The Bank for All

17TH ANNUAL REPORT
FY 2022-23

Global IME Bank
ग्लोबल आइएमई बैंक लि.
सबैका लागि बैंक

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ABOUT US

The journey of the Global IME Bank Ltd (GIBL) that we know today began as "Global Bank Limited" in 2007. The bank was established as a Class "A" commercial bank in Nepal with the highest capital base of 1 billion at that time. Even today, after 17 years of operation, the bank continues to have the largest paid-up capital of NRs. 35.77 billion (Mid-Jul 2023) in the industry.

With a vision of becoming "The Bank for All", the bank has been extending its reach both internally and externally. It is the first private bank in Nepal to provide banking services in all 77 districts. It is also the only bank in Nepal to have an international presence. The bank has three international representative offices in London, Delhi, and Sydney. The bank is in the process of extending its representative office in Korea.

GIBL has established itself as one of the most profitable commercial banks in the industry with a net profit of NRs. 6.69 billion (Mid-Jul 2023). The bank, not only boasts an ever-growing business and profitability but also maintains a well-diversified asset. Through its healthy and balanced exposure in various areas including priority sectors of the economy (hydropower, deprived sectors, exports, agriculture, and micro-finance projects), the bank also contributes towards balanced economic growth.

Global IME Bank is a trusted name amidst a group of diverse stakeholders. Not to forget, the Bank has been listed among a few commercial banks trusted by the Government of Nepal for handling government revenue transactions. The bank truly recognizes the value of its dedicated and committed staff base as the most valuable of all resources it has; as a result, it has placed its undivided attention on the enhancement of skills, competencies, and capabilities of its manpower. Through the collective effort of the staff, an adequate degree of safety, and timely servicing of financial obligations, the bank has been able to achieve the credit rating of [ICRANP-IR] A-. This is an important milestone for the bank given a large exposure in Retail & SMEs (More than 50% Mid-Jul 2023) and the difficult situation on account of the pandemic.

The bank has been able to achieve this feat through an integrated approach toward digitalization, sustainability, and inclusion. A 5-year strategic plan steers the bank's digitalization efforts to modernize the workplace and services. At the heart of sustainability lies the bank's partnership with international organizations such as British International Investment (erstwhile CDC), International Finance Corporation (IFC), Mashreq Bank Ltd, and KFW Development Bank, to mobilize soft loans for green trade and finance, sustainable development projects and to build MSMEs.

VISION

The Bank shares a common vision of "The Bank for All" among its Promoters, Directors, Management Team and Staff in commitment to providing the highest standard of services for customers from all regions and societies.

STRATEGIC OBJECTIVES

The Bank aims to fulfill the needs and expectations of its valued customers and all other stakeholders while assisting the Government in its nationwide drive to ensure economic transformation in various sectors of the economy. In order to achieve the stated objective, the Bank plans to implement some key strategies as follows:

- Development of innovative technology-based products and services
- Diversification of deposit and credit portfolio
- Expansion of new streams of revenues as well as an emphasis on deposit mobilization
- Healthy growth of the capital fund

MISSION

To win a respectable market share through customer focused quality products and services, innovative business solutions, and technology-driven banking thereby enhancing the growth and profitability of the bank so as to ensure the optimum benefit to all stakeholders at all times.

KNOW US

CONTACT US

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P.O. Box: 19327

01-5326347, 5328671

info@gibl.com.np

www.globalimebank.com

SWIFT Code : GLBBNPKA

CORPORATE INFORMATION

Company Registration No: 962/062/063
Permanent Account No: 302122026
NRB License No: 19/063/064
NEPSE Trading Symbol: GBIME

CREDIT RATING AGENCY:

ICRA Nepal Ltd.
Credit Rating: [ICRANP-IR]A-@

SUBSIDIARIES

1. Global IME Laghubitta Bittiya Sanstha Limited
2. Global IME Capital Limited
3. JBNL Securities Limited

CUSTOMER SUPPORT

☎ 01-5970600
globalconnect@gibl.com.np

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9851199640 (Phone Call & WhatsApp)
remittance@gibl.com.np,
supportremit@gibl.com.np

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INTERNATIONAL RECOGNITION

The Banker Bank of the Year 2014 NEPAL

IFM BEST ISLAMIC FINANCE TECHNOLOGY PROVIDER - GLOBAL AWARDS 2016

13th EMPLOYER BRANDING AWARDS BEST EMPLOYER 2018-2019 EMPLOYER BRANDING INSTITUTE - INDIA

EUROMONEY AWARDS FOR EXCELLENCE 2022 NEPAL BEST BANK

FOLLOW US

MERGER TREE

The bank has consistently adopted both internal and external growth strategies to remain relevant to its customer base and the banking industry as a whole. Since its establishment, there has been 20 mergers and acquisition including the number of entities merged with merged institutions.

The bank has merged recently, the Bank of Kathmandu (BOK) Ltd., A class Commercial Bank in this Financial Year and successfully commenced the joint operation from 9th Jan, 2023. With this combined strength, the bank strives to be the Bank for All through its financial reach, financial access, and wide range of product and services tailored for different segments of the market. Based on the recent developments in the industry (merger and acquisition), the bank is the largest bank in the industry in terms of capital funds, assets, deposits and total loans.

Types of institutions* merged/acquired

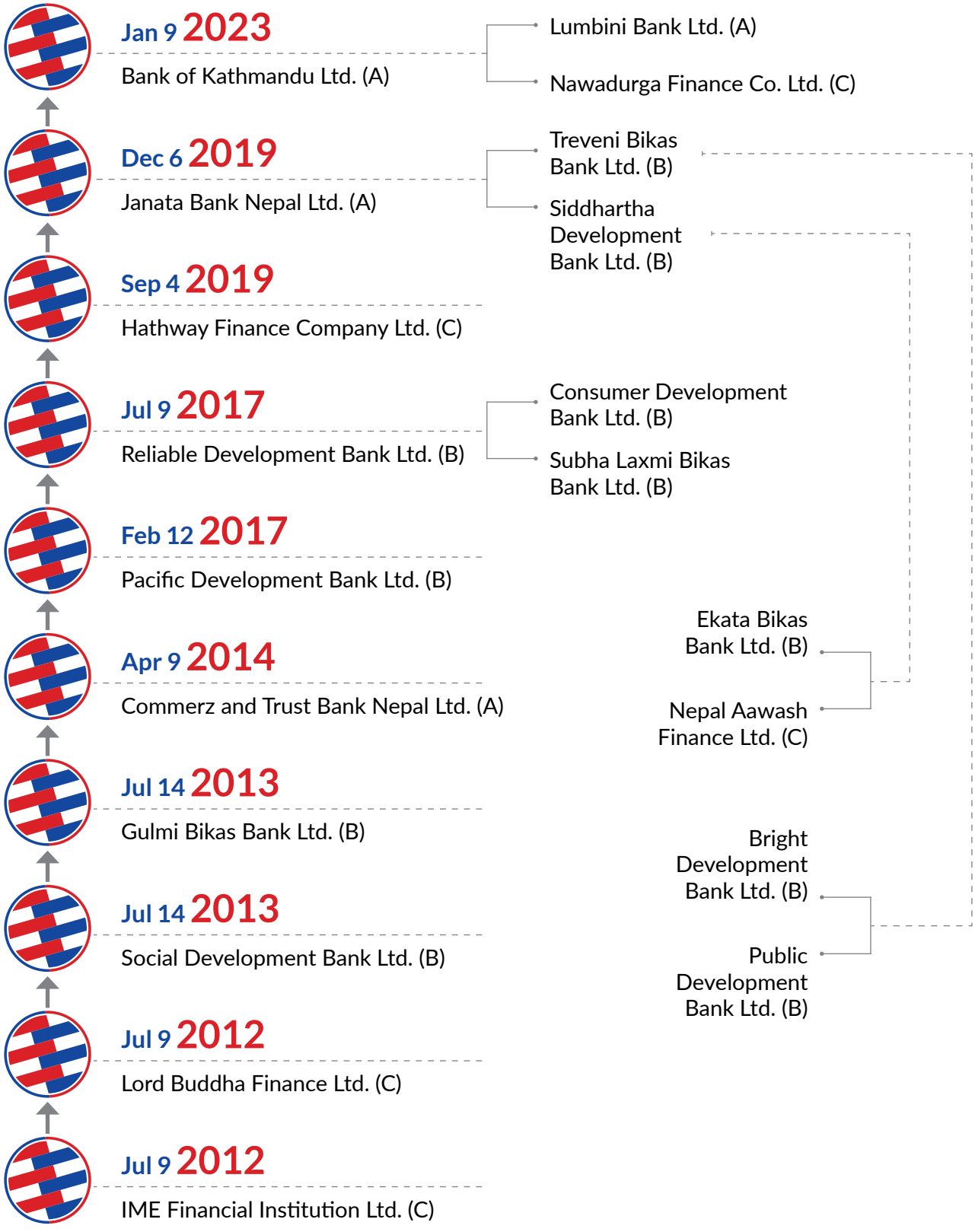
05 Class 'A' Commercial Banks

10 Class 'B' Development Banks

05 Class 'C' Finance Companies

**Nepal Rastra Bank (NRB), the Central Bank of Nepal, issues license and provides regulatory guidelines to Bank and Financial Institutions (BFIs) in Nepal.*

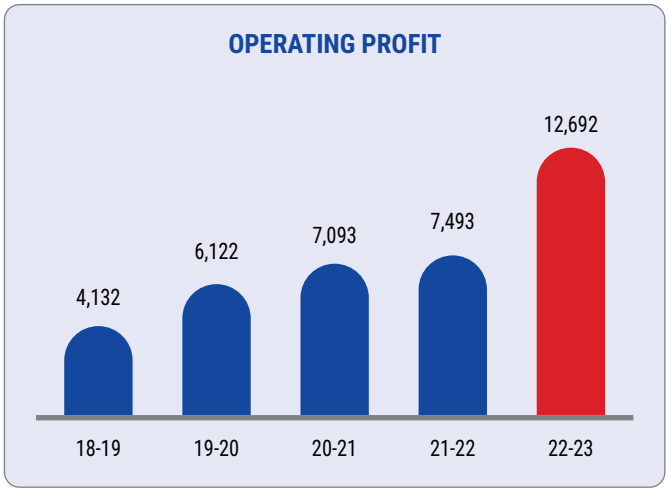
Global IME Bank

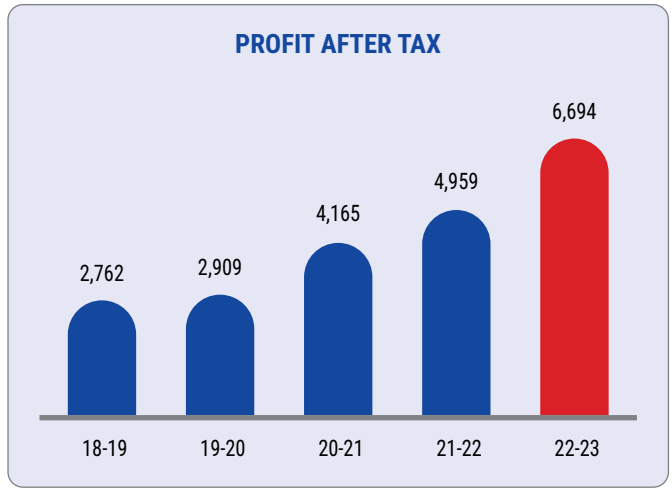


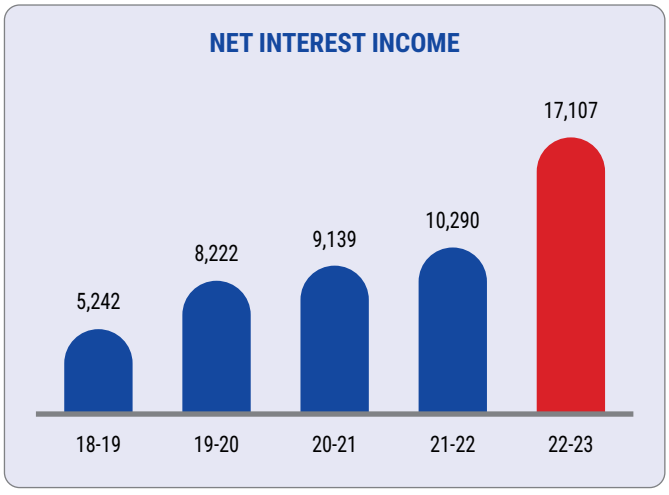
OVERVIEW

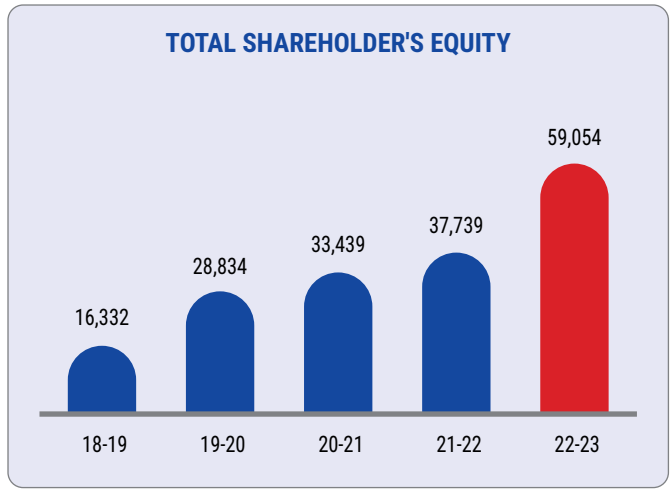


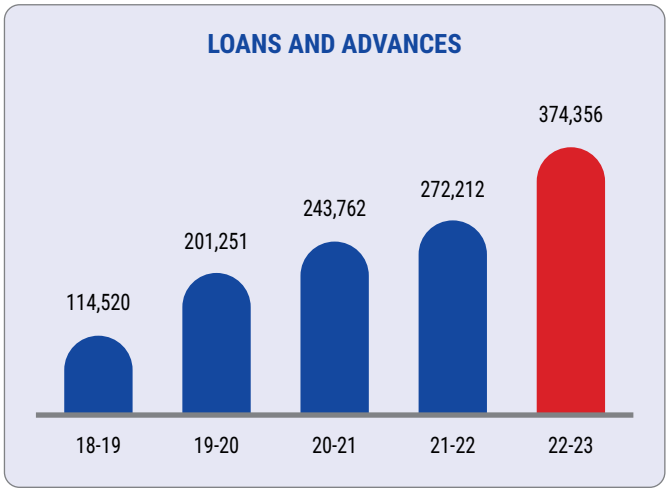
FINANCIAL PERFORMANCE

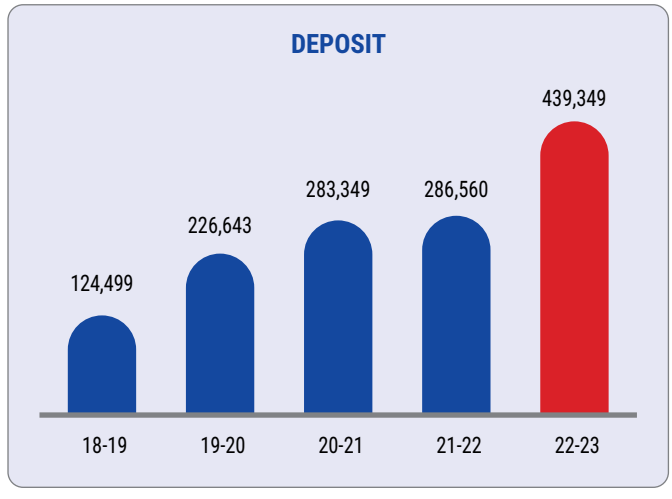




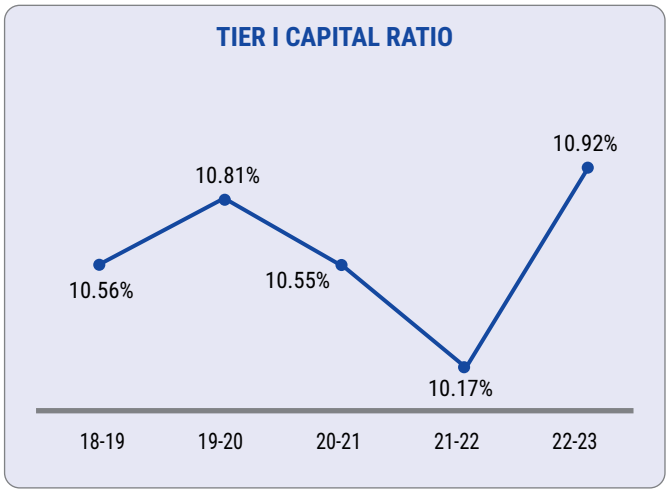


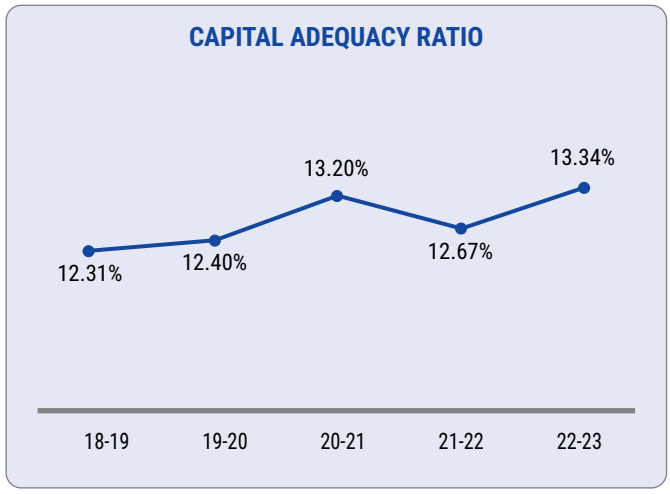


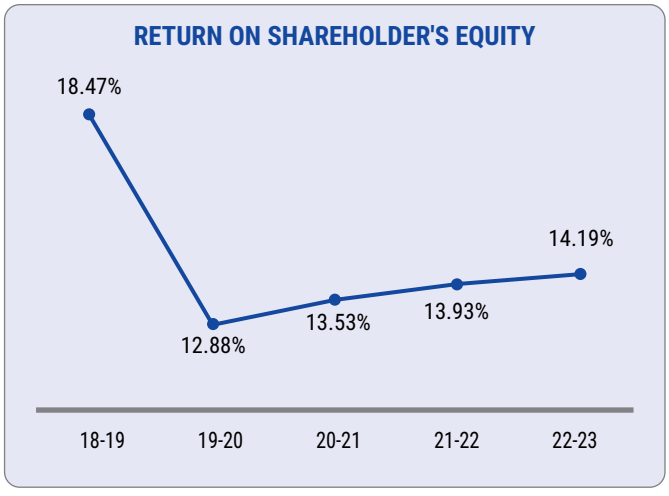


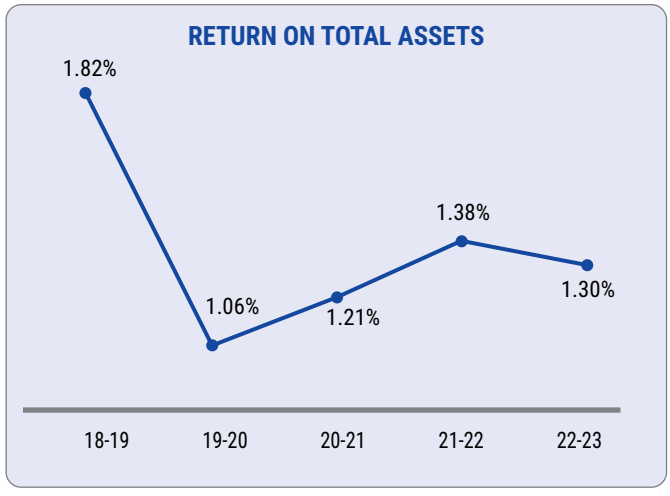


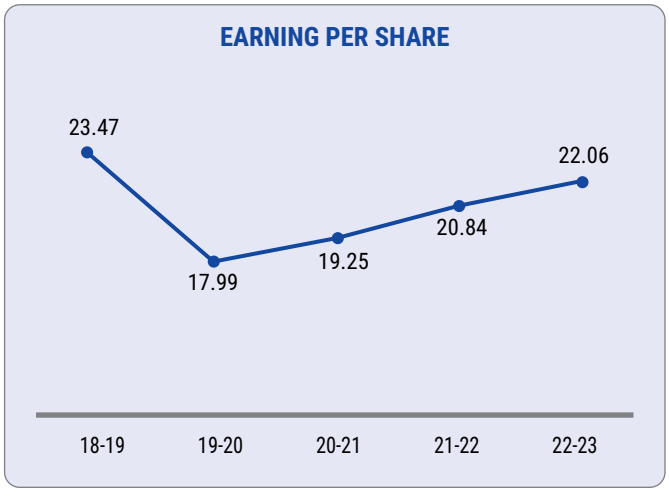
FINANCIAL PERFORMANCE

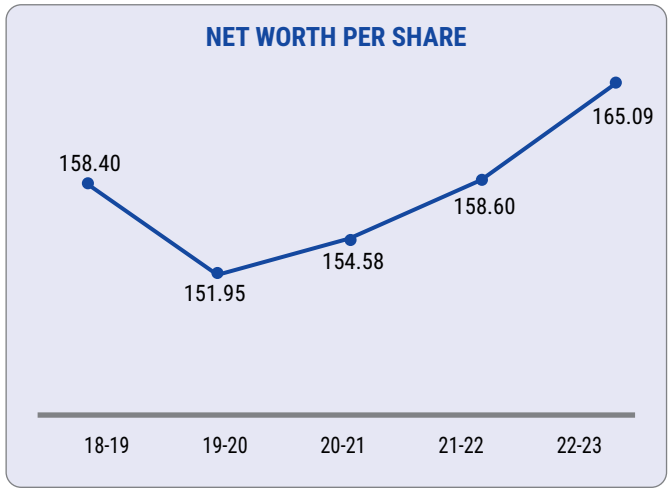




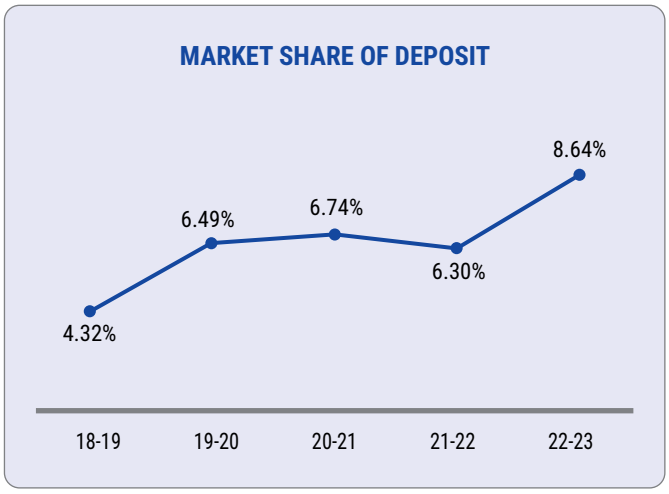


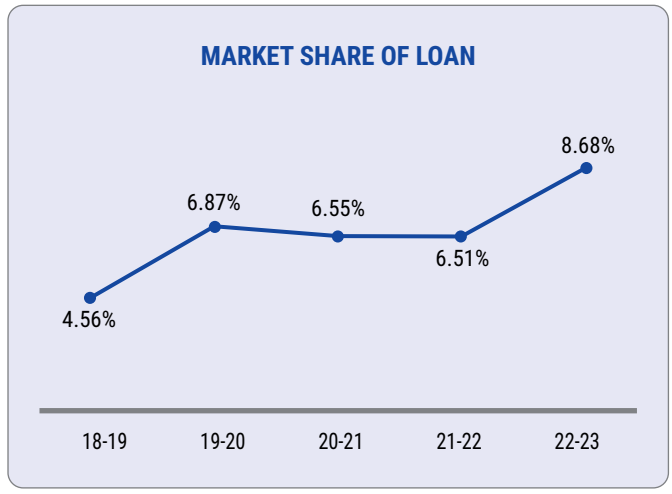


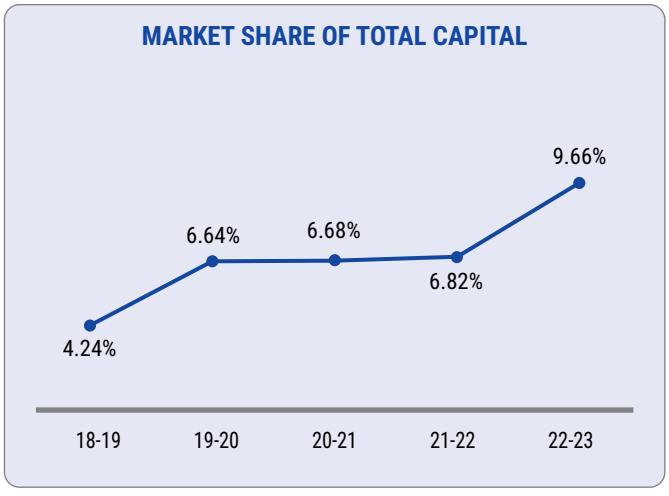


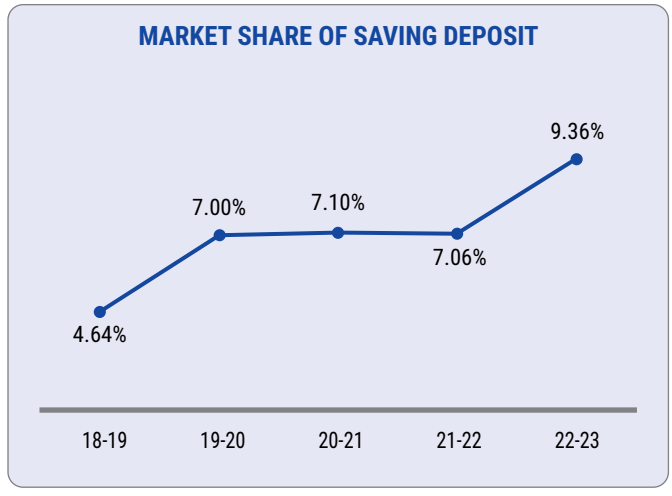


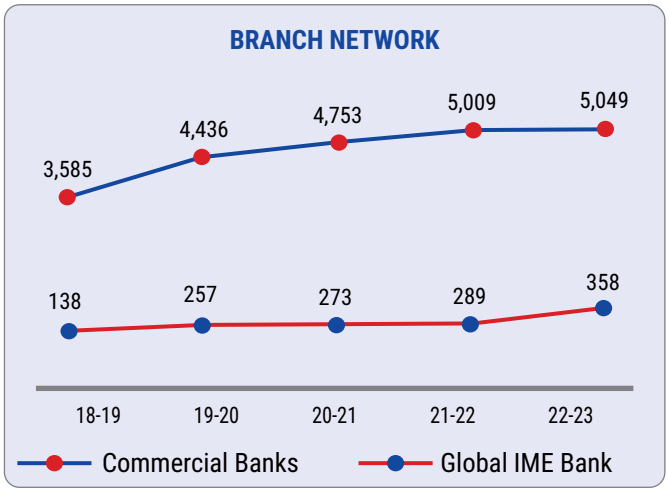
COMPARISON WITH COMMERCIAL BANKS

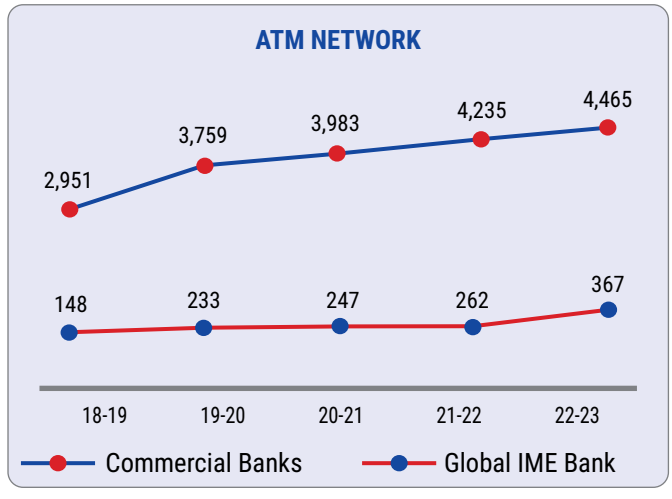




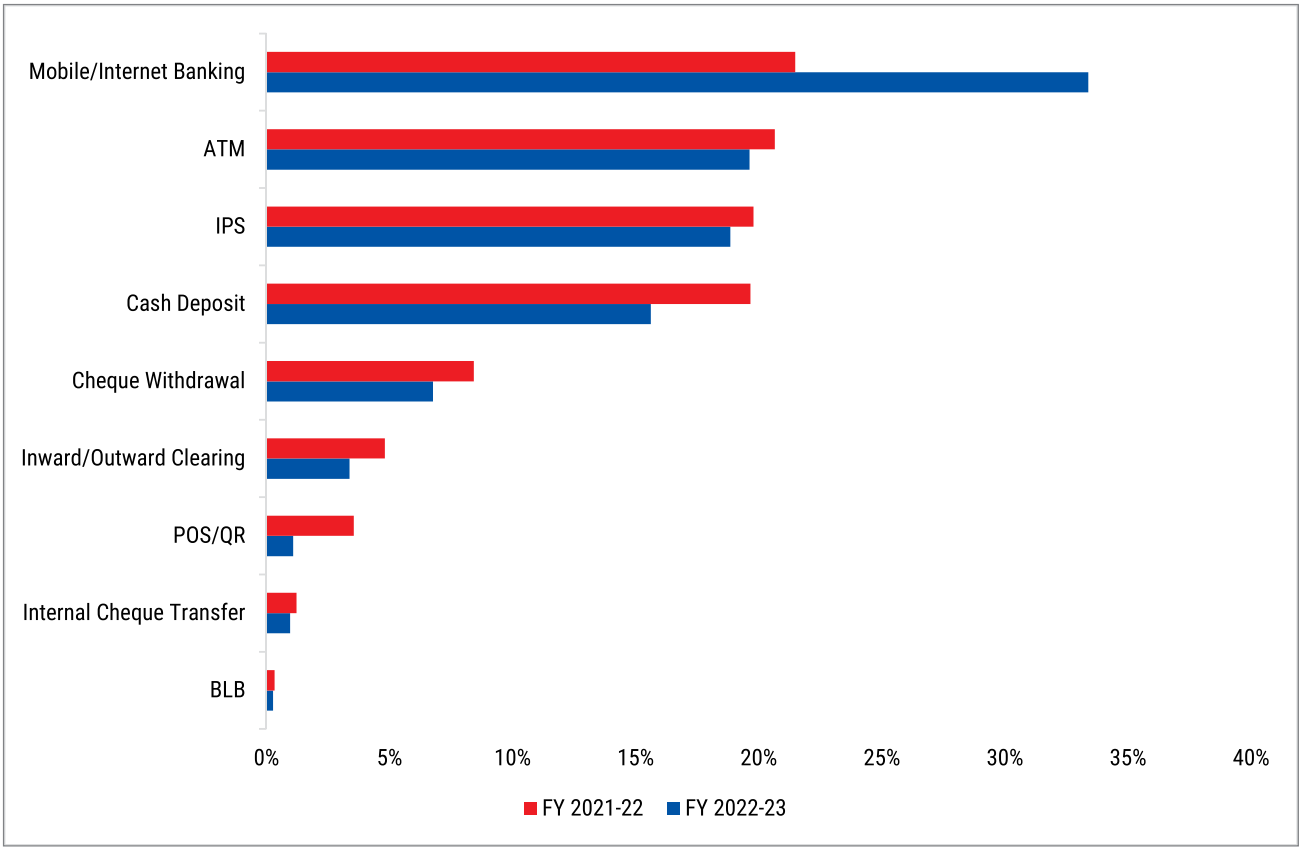


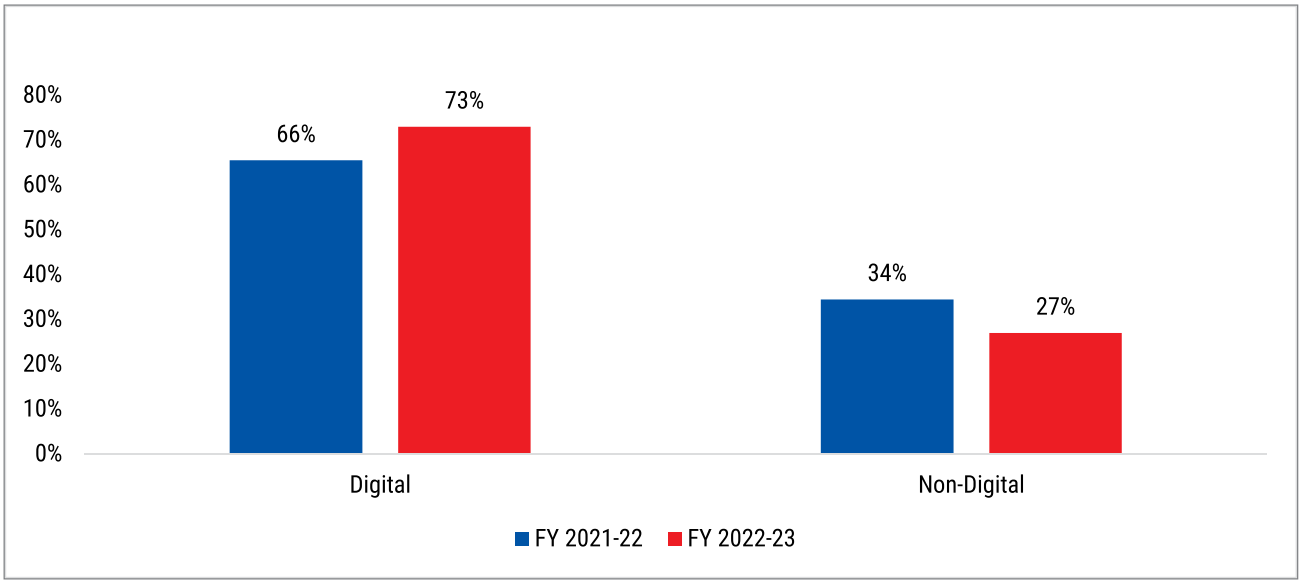






Mode of Transaction





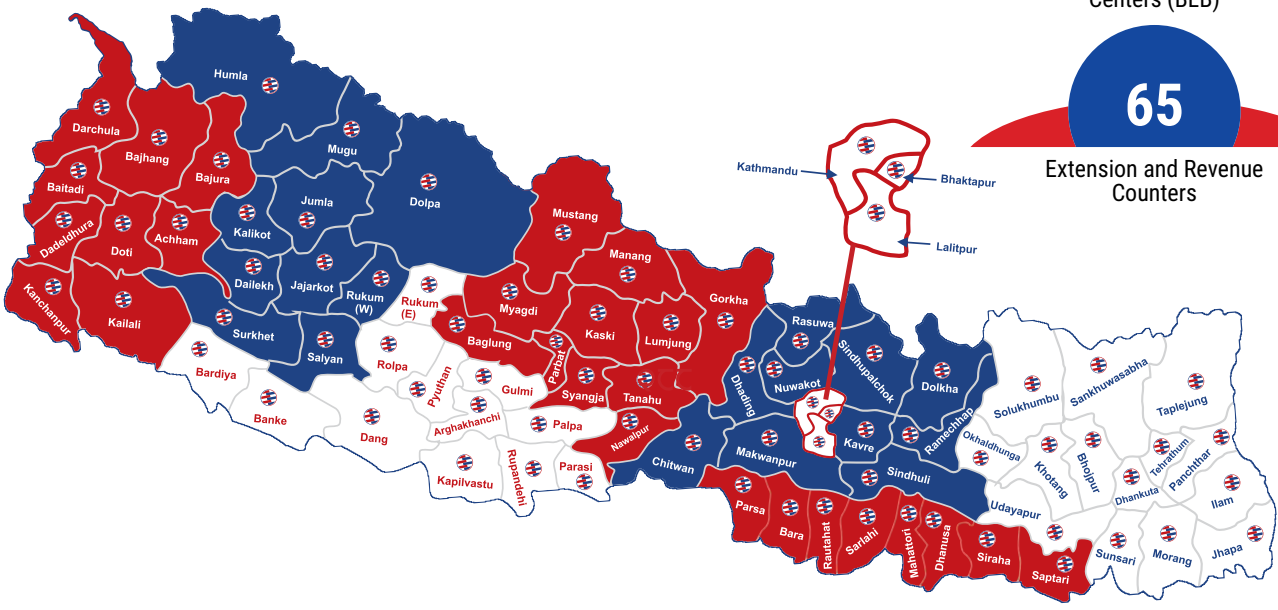
FINANCIAL ACCESS

Global IME Bank is the first commercial bank in Nepal to establish a branch in all 77 districts of Nepal. The banks access point locally and globally has been summarized below:

351
Branches

274
Branchless Banking Centers (BLB)

65
Extension and Revenue Counters



CUSTOMER BASE

DEPOSIT ACCOUNTS

CUSTOMERS
4.5+
MILLION
GROWTH
45.55%
MARKET SHARE
10.38%

Deposit Accounts (000)

2022-23	4,565
2021-22	3,137
2020-21	2,529

LOAN ACCOUNTS

ACCOUNTS
78+
THOUSAND
GROWTH
28.06%
MARKET SHARE
5.22%

Loan Accounts (000)

2022-23	79
2021-22	62
2020-21	57

MOBILE BANKING

USERS
1.9+
MILLION
GROWTH
+32.85%
MARKET SHARE
10.61%

Mobile Banking Users (000)

2022-23	1,956
2021-22	1,473
2020-21	1,137

INTERNET BANKING

USERS
273+
THOUSAND
GROWTH
16.89%
MARKET SHARE
20.29%

Internet Banking Users (000)

2022-23	274
2021-22	234
2020-21	174

GLOBAL PRESENCE



Relationship officers have been deployed in 12 countries.

● Representative Office

Global IME Bank
Representative Office India



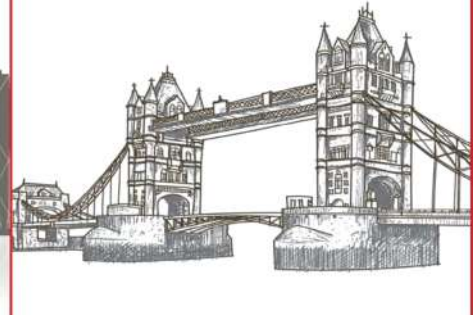
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CHAIRMAN'S STATEMENT



Chandra Prasad Dhakal
Chairman

Our unique identity as "The Bank for All", has helped the Bank remain as Nepal's most beloved Bank. Together, we share the responsibility of building and adopting the evolving digital infrastructure, and fostering a culture rooted in belief. I am proud to share that our progress extends beyond numbers.

The Financial Year 2022-23 was filled with successes and challenges. Our merger with Bank of Kathmandu, a Class "A" Financial Institution", marked yet another milestone in our "Big Merger" strategy. We have sensed a good synergistic impact in the days to come. However, we also witnessed economic distress caused through a combination of economic slowdown, import bans, fall in government revenue and expenditure, sudden rise in Non-Performing Assets, and minimum demand for credit. Despite these adversities, the bank remained committed in supporting the economy to revive. In these testing times, we have built a self-reliant digital infrastructure in an effort to make payments swift and convenient in an attempt to aid economic activities and weather the turbulent economic/ operational environment.

The Bank's results of the review period remains encouraging as we were able to harness the opportunities despite unfavorable economic situation. The results presented in this annual report shows accomplishment of our collective efforts.

Throughout the year we witnessed a decline in our income stream with additional provision on our assets which stemmed from negligible economic activities and lower recovery rate. Despite these challenges, the bank has been able to report a commendable net profit of Rs. 6.69 Billion, a 35% growth compared to previous year. The bank's deposit base grew by more than 53% to Rs. 439 Billion, and lending portfolio grew by more than 37% to Rs. 374 Billion during the fiscal year. The merger with Bank of Kathmandu Ltd played a big role in achieving these milestones.

The challenges in these year did not detract the Bank from its goal of building a new-age financial institution. Our continuous effort in building digital platform has gained momentum and elevated the Bank to a leading, digitally enabled, financial services provider among BFIs in Nepal. Our advanced Information Technology infrastructures are instrumental in ensuring uninterrupted operations 24x7. With the strategy "LAKSHYA 2025", Global IME Bank has systematically envisioned and initiated the digital journey towards a true cashless economy. Leveraging this digital transformation, the bank has also been able to simplify banking experience, enhance security, and improved operational efficiency making banking simple, secure and convenient for our customers.

We proudly serve a customer base of more than 4.5 Million customers through our 1068 plus service outlets spread across 77 districts of Nepal that includes 351 branches, 375 ATMs, 3 foreign representative offices, 65 extensions / revenue collection counters and 274 branchless banking centers. Our 7 provincial offices further strengthen and facilitates the banking services which are tailored based on province needs, a de-centralization strategy which aligns with the federal system adopted by the country.

I would like to take this opportunity to extend my sincere appreciation to my fellow Board Members for their continued support and professionalism in providing a strategic guidance to the bank. I would also like to thank all the employees for their unwavering dedication and passion, which also represents our great source of competitive advantage.

I express my sincere gratitude for the guidance and support received from Nepal Rastra Bank, Securities Board of Nepal, Nepal Stock Exchange, Office of Company Registrar, Ministry of Finance, Government of Nepal and all other regulatory bodies.

My sincere gratitude to our shareholders – your support over the years has been a source of immense strength for the Bank and I look forward to your continued support in moving forward with this journey of excellence.

To our loyal customers, Global IME Bank is infinite grateful for your trust and confidence. You have been the driving force and our source of success, innovation and growth.

CEO SAYS

Despite the numerous economic challenges leading to sluggish economic activities, which was further exacerbated by global economic volatility, the bank has remained resilient and performed. Even in this unfavorable business and operating environment, the bank saw an opportunity to prove its ability to sail through challenges and build resilient infrastructure for future growth. As we look back at the last year's performance, it is evident that the Bank is emerging as a leading player in the industry by leveraging its inherent strengths as well as capitalizing on emerging opportunities.

With the strategic plan "Lakshya (Target) -2025", the bank began its digitalization journey. Every day the bank is moving steadfast in achieving the goals set in various parameters and avenues envisioned within their defined timeline. Our relentless pursuit of digital transformation in all areas of business has helped offset some of the adverse impacts of economic challenges. Navigating within this difficult context has also offered us the opportunity to re-think and re-engineer many of our processes and become more efficient and productive in all that we do.

The key thrust of the plan is to leverage digitization and innovation as a catalyst for increasing business, diversifying income streams, and optimizing costs to elevate efficiency at all fronts.

Our Vision towards digitization

The digital revolution in financial services has occurred at an unprecedented rate, transforming the way banks interact with their customers and how customers interact in the market. In this evolving environment, strengthening digital capabilities remains a focus for our long term goal. Given our unmatched customer reach, geographical presence, we are mindful of the role we can play in driving digital literacy across our customers. Our branches have actively been involved in financial and digital literacy campaign across the country. The result of these initiatives have been well reflected through our increasing digital user base. With our new dynamic "Global Smart Plus" mobile baking application, we are attempting to redefine banking experience to our customers through quick, secure, and convenient banking/ payment system, contributing to the efforts of making the economy cashless. We have been observing visible results as customer footfall at our branches have drastically fallen. We are proud to share that out of total average daily customer transactions, more than 80% are through digital as against around 50% in previous year!

With the foresight of "Lakshya 2025" we believe our reach can only be fulfilled if we are to be digitized in our every work process and within ourselves. The Bank's internal work process have been digested to the great extent which has contributed in our additional capability enhancement. The move to adapt newer technological processes has positively impacted the efficiency and ease with which customers are able to interact with the Bank. Digital adaption was further aided by on-boarding our clients from the onset to our digital platform which offers them end-to-end assistance of banking services. In parallel to our heightened digital focus, we up skilled our staff with a clear focus on the fast-changing needs in the industry. With the rapid pace of digital transformation and financial innovations, we are keeping up with our customers' aspirations and expectations. We aim to be front runners in every business automation through a formidable digital infrastructure.

Way forward

Since stepping into Global IME Bank, I have overseen challenging times from sluggish economic activities due to global conflict, post-merger integration of diverse work force and streamlining the business pattern/ culture to propel growth and navigating out of COVID-19 – which remains pivotal. These experiences have always demonstrated that the Nepalese economy offer substantial untapped business potential – particularly in SMEs and Agriculture which is also the backbone of the economy. The extensive network of the bank positions us ideally across the country to venture into and support these sectors. With our continuous efforts exploring these sectors, we intend to emerge as the most successful retail banking institution in Nepal.

Being one of the largest banks in the economy, we shoulder a greater responsibility in showing the path towards a prudent banking and highest standards of corporate governance. We are committed and prepared to lead the way in all functional areas ranging from exemplary corporate governance practices, digitization, satisfying needs of remote customers and their business needs, to accomplishing targets in prioritized areas for socioeconomic development of Nepal.

Merger Milestones

In mere 17 years of our banking journey, our Bank remains the sole entity to have successfully executed "big merger and acquisition" strategy with 20 different financial institutions. Building on the synergies from past mergers and acquisition, the Bank yet completed another historic merger with a Class "A" Commercial Bank - Bank of Kathmandu Ltd. This is a significant milestone, as we have become "The Largest bank in Nepal" with total assets exceeding NRs. 500 billion !

Acknowledgement

We would like to express sincere gratitude to Board of Directors for their support, and strategic vision, which informs and strengthens our own belief in achieving new heights. Not to forget the tireless effort and effective leadership displayed by the Management Team and entire staff members. Only through our continued perseverance, dedication, and teamwork we can overcome the challenges we face today. Special thanks to Nepal Rastra Bank and other regulatory authorities also for their oversight, as well as to our cherished customers who are the key source of our impetus for continuous betterment.

Amidst numerous macroeconomics challenges, Global IME Bank has again demonstrated strong resilience in the FY 2022-23, by upholding the banks commitments and shared value of its stakeholders. Throughout the fiscal year, the bank experienced and achieved a sustained growth across business activities, services, digitization, network expansion, and brand image.



Ratna Raj Bajracharya
Chief Executive Officer

STRATEGY


Operational Efficiency
Brand Value
Innovation
Marketing
Information Technology


Operations
Customer Service
Human Resources
Resources
Customer Satisfaction
Knowledge Retention
Business Values

CORE VALUES AND CODE OF CONDUCT

ETHICS AND PROFESSIONAL INTEGRITY

The underlying business philosophy of the Bank is to conduct each and every business practice following higher standards of ethics and professional integrity.

TEAMWORK AND COLLABORATION

The Bank's success lies in its uncompromising emphasis on teamwork and collaboration. It is only through the combined efforts and contributions of all the concerned stakeholders that the Bank can achieve its vision, mission, and its fundamental business philosophies. The Bank has always considered its customers as its business partners and valued members of its core team. As such it is continuously involved in an exchange of ideas, skills, competencies, and information with its valued clientele, which has enabled the Bank to scale greater heights not only in terms of business growth but also in aspects of customer loyalty.

RESPECT AND HUMILITY

The Bank strongly abides by the fact that an individual can achieve his/her strategic aims and aspirations by following the virtues of respect and humility. The Bank's focus has always been on creating an amicable atmosphere where it offers equal respect to various cultures, languages, races, ethnicity, social values, and beliefs of diverse individuals and offers them equal opportunities so as to create synergistic effects in all of its activities.

PROFESSIONALISM

The Bank conducts each of its operations with strict adherence to the highest benchmarks of service excellence and professionalism. The Bank has been continuously strengthening its relationship with its varied stakeholders by offering them qualitative, dependable, and safe banking services and this was achievable only because of the Bank's utmost focus on customer-oriented, research-based innovation in its market offerings and business processes.

CORPORATE GOVERNANCE

The Bank abides by the directives, guidelines, and regulations necessitated by Nepal Rastra Bank with respect to corporate governance so that it is able to further strengthen transparency in its business and regular operations and create an empowering and robust internal control mechanism.

LOYALTY

The Bank has always been a loyal partner for its diverse stakeholders. It is fully committed to serving as a reliable partner for its business stakeholders, especially its customers even during tough times. The Bank intends to falsify the age-old belief of banks being there for customers only during favorable times and intends to validate the concept that 'bankers are partners for their customers at all times



BANK'S PERFORMANCE ALIGNMENT WITH STRATEGIES

Global IME bank is the only bank in Nepal to have international Representative Offices. Currently we have office in Sydney (Australia), New Delhi (India), and Hampshire (United Kingdom). We have also deployed relationship officers in 10 different countries to promote and facilitate trade, remittance, and other cross-border services.

In order to bolster our commitment and increase our reach, the bank is negotiating terms with IFC, Asian Development Bank (ADB), Global Climate Partnership Fund (GCPF), SIFIM, and OPEC Fund. All the negotiations are in the final stage and we are expecting disbursement in the first half of FY 2023/24. This will be a combined project of USD 121 million. Using out networks in all 77 districts in Nepal and technical guidance from leading International Institution, we are looking forward to strategically mobilize the loan into the productive sector and help the economy revive from post Covid-19 and recessionary phase.

In the mere 17 years of its establishment, the Bank has emerged as one of the trusted bank in Nepal. With our financial aspirations and the goal of becoming "The Bank for All", we are constantly evolving in this dynamic environment. Going forward, we have adopted the principles of Responsible Banking to play our part in achieving the Global commitment of building a green, sustainable and resilient economy through local initiative.

Currently, leveraging our large exposure in SME and Retail (60%), the bank has partnered with International Institution to channel green and sustainable funds in Nepal. On September 28, 2022, the bank signed the first-ever Green Finance facility extended by IFC globally to promote and build a sustainable trading activities in Nepal. We are offering similar trade facilities through ADB and AXIM bank. Due to our large exposure in SME/ Agriculture, KFW Development bank has entrusted us as a partner banks to mobilize soft loan to increase M-SME business under Sustainable Economic Development in Rural and Semi-Urban Areas (SEDRA project). We have mobilized USD 25 million from British International Investment (BII) to boost the productive sector in Nepal.



CUSTOMER-CENTRIC BUSINESS MODEL

The Bank has always kept its customers at the forefront of its business philosophy and has always emphasized on developing qualitative, cost-effective, and reliable products and services to cater to their varied needs. Some of the key highlights of the customer-centric initiatives of the Bank are presented below:

- Easily accessible digital banking services like mobile banking, internet banking, and connect-IPS along with the facility of self-generated password facilities to customers for services like mobile banking and connect-IPS
- Availability of customer-friendly and prompt banking services namely online account opening, online loan application, online checkbook requests, and so on to offer banking service on the go for its customers
- Introduction of a new fixed deposit product entitled 'Meri Unilai' to enhance the financial inclusion of the female customers.
- The bank has 274 BLB agents providing banking facilities in remote parts of the country. This has greatly helped in increasing financial literacy and financial reach in the country.
- The bank has 3 international offices and deployed representative officers in 7 different countries to promote remittance through formal channels and disseminate lucrative banking products and services to Nepalese living abroad.
- Introduction of "Hybrid Bachat Khata" where the saving deposit will automatically convert into a Fixed Deposit on reaching a balance of Rs. 100,000.
- Introduction of NRN saving and Fixed Deposit products making access for Non-Resident Nepali to open their accounts in their respective residing country's currency.

The customer-centric business model of the Bank has not only enabled it to create a diverse pool of dependable customers but also enabled it to enhance its sustainability and profitability

TECHNOLOGY AND DIGITAL SOLUTION

The strategy department has set the roadmap of the digital journey of the bank for the Five Years in the Strategic Plan of the bank (Lakshya 2025) in July 2021. The document guides the programs and projects to be undertaken with specific timelines. The aim taken of the Strategic Plan- is to onboard customers into digital banking platforms and workflow automation. Based on the proposed plans and new initiations during the year, the digital department has been guiding the digital journey of the bank.

For operational efficiency the bank has upgraded its Core Banking System to Finacle 10th version in previous year. With this, the bank has gained a comprehensive set of capabilities, including flexible product factories, extensive parameterization, product bundling, and reusable business components, to help accelerate innovation-led growth. With its real-time processing engine, open APIs, and embedded customer insights, Finacle delivers one of the most advanced digital banking foundations.

Digital User Base

The rapid adoption of digital services has drastically reduced the footfall in branches. This is largely attributed by digital adoption and development of digital payment gateways. Digitalization has led to an increase in user base. Mobile banking users and Internet banking users have increased to 1.9 million and 274 thousand users respectively. This is a growth of 33% in mobile banking and 17% in internet banking user base as compared to previous year. In reference to the commercial banks in Nepal, the bank's mobile banking and internet banking user base represents 10.61% and 20.29%.



GOVERNANCE


Board Level Committees
Management Level Committees
NRB
SEBON
Company Registrar
Corporate Office
Province Office
Branches
Policies and Procedures
Transparency and Accountability


Board of Directors and Committees
Legal and Regulatory Framework
Organizational Hierarchy
Monitoring and Internal Control
Budget
Performance Review
Internal Audit
Annual/Quarterly Reports
Basel Disclosure
Rates and Charges
NRB Directives
Internal Policies
Circulars

BOARD OF DIRECTORS



MR. CHANDRA PRASAD DHAKAL
Chairman

Mr. Chandra Prasad Dhakal is one of the reputed names when it comes to entrepreneurship and responsible business in the country. Mr. Dhakal leads the IME Group of Companies which is one of the rapidly growing business conglomerates in the country. Mr. Dhakal pioneered the Nepalese remittance industry thereby creating a dependable medium for numerous Nepalese citizens residing abroad to transfer funds to their families back home. He established International Money Express (IME) in 2001 in Nepal and Malaysia to offer remittance services to Nepalese migrant workers in Malaysia. The establishment not only proved to be an innovative move but also paved a strong avenue for the institutionalization of remittance inflow in the country that was mostly routed through informal channels till then.

Mr. Dhakal has been conferred with many prestigious awards from the Nepal Government, and different bodies for his exemplary contribution to the economic development, on various fronts of the nation. His visionary leadership has represented a benchmark for the merger policy of the Government of Nepal and Nepal Rastra Bank through Global IME Bank – an institution that has been formed through the merger and acquisition of 21 different financial institutions. Mr. Dhakal is the Honorary Consul of the Republic of Indonesia to Nepal and also the President of the Federation of Nepalese Chambers of Commerce and Industry (FNCCI).



MR. RAM BAHADUR BHANDARI
Director

Mr. Ram Bahadur Bhandari is a distinguished expert in the field of solar energy in Nepal. He is the managing director of Suryodaya Urja Pvt. Ltd. and had previously served as a Board member of the Janata Bank Nepal Ltd. and the Chairman of the Board in then Siddhartha Development Bank Ltd before its merger with erstwhile Janata Bank Nepal Ltd.



MR. RADHESH PANT
Director

Mr. Radhesh Pant is a highly accomplished individual with a wealth of experience in the financial and business industries. He has successfully led Kumari Bank Ltd (2011-2016) and erstwhile Bank of Kathmandu Ltd (2002-2009) in the capacity of Chief Executive Officer. Mr. Pant also served as a Financial Analysts at Pacific Rim Interface Member Enterprises, Inc. from 1990 to 1992, and as a Planning Analyst at Royal Nepal Airline Corporation from 1987 to 1989.



MR. KRISHNA PRASAD SHARMA

Director

Mr. Krishna Prasad Sharma is a leading banker with more than 3 decades of experience in banking operations, business management, and human resource management. Mr. Sharma served as the Chief Executive Officer at Rastriya Banijya Bank as well as the Director in Nabil Bank Ltd., Nepal Investment Bank Ltd., Employees Provident Fund, National Life Insurance, NLG General Insurance, Credit Information Center, Deposit Insurance Credit Guarantee Company to name a few



MR. MADAN LAL JOSHI

Director

Mr. Madan Lal Joshi is a business professional with wealth of experience in the corporate sector. Mr. Joshi is also the Managing Director of Furniture Land Pvt. Ltd. Mr. Joshi previously served as a Director of erstwhile Lumbini Bank Ltd., 2004-2016 AD. In addition to professional engagements, Mr. Joshi served as President of Narayangarh Chamber of Commerce & Industry from 2004 to 2006 AD, and President of Rotary Club of Chitwan from 1997 to 1998 AD.



MR. NARAYAN PRASAD PAUDEL

Director

Mr. Narayan Prasad Paudel has served for 30 years in the central bank of Nepal, Nepal Rastra Bank, in various capacities. During his tenure, he held the positions of Spokesperson and Member Secretary of the Nepal Rastra Bank Management Committee. Throughout his service at Nepal Rastra Bank, he represented the institution as a Director in several organizations, including Nepal Stock Exchange Limited, Deposit and Credit Guarantee Fund, and Rural Development Bank, to name a few.

After retiring as the Executive Director from Nepal Rastra Bank, Mr. Paudel also assumed the role of Chief Executive Officer at Prabhu Life Insurance Company Limited. Mr. Paudel possesses comprehensive knowledge in financial analysis, research, and academic discourses. His expertise has been enriched through numerous visits, studies, training sessions, and seminars conducted in various countries.

Mr. Paudel holds a Master's Degree in Economics and an MBA from Tribhuvan University, in addition to an MBA from the United Kingdom.

DIRECTOR'S REPORT

Dear respected shareholders,

On behalf of board of directors, I would like to welcome all the shareholders for your gracious presence at this 17th annual general meeting of the bank. It gives us great pride to share with all our shareholder that bank is able to mark the remarkable and consistent achievements as it has done over the past 16 years. It gives us honor to share that bank completes its 17 years of banking service in coming January 2024. Despite of ever present challenges, bank's excellence and success has been possible only because of the constant support and encouragement received from its diverse stakeholders including but not limited to shareholders, customers, regulatory authorities and employees.

On behalf of the Board of Directors, I, hereby, present you the Annual Report for the Financial Year 2022-23, along with Statement of Financial Position (Balance Sheet), Statement of Profit or Loss, Statement of Cash Flows, Statement of Changes in Equity and reports of board of directors including various activities and disclosures as at 16th July 2023.

This Financial Statements has been prepared in conformity with the provisions laid down in the Bank and Financial Institution Act, 2016, Nepal Rastra bank's directives, Companies Act, 2006 and Corporate Governance Directives, 2017 related to listed organization issued by Securities Board of Nepal.

Overview of the World Economy

Economy around the world has witnessed a high inflation due to the effect of Russia-Ukraine war, worldwide economic recession, increment in cost of petroleum products and global supply disruption. The world economy growth rate is slowed down due to interest rate increment. International Monetary Fund has predicted the world economy growth at 2.8% in 2023 against its achievement of 3.4% in 2022. However, the world economy remains on reviving phase as the International Monetary Fund on April 2023 has projected the economy growth of 3% in 2024. Nonetheless, the risk of increase in inflation rate is always on alert due to the start of another war between Israel and Hamas, soft policies to curb worldwide economy recession and uncertainty in energy distribution around the globe.

Overview of the National Economy:

Central Bureau of statistics has estimated that national economic growth will increase by 2.16 % on base price and 1.86% on producer's price for FY 2022-23. In the review year, it is estimated that agriculture, industry and service sectors will grow by 2.73%, 0.59% and 2.33% respectively. Despite improvement in external sectors and value position, domestic economies have pressure on government financial position due to recession of economic activities. Slight increment was observed in private sector lending but overall Non performing loan has been increased in banking industry. In the review year, contraction in construction and its inter-related sectors were observed. It is expected that domestic economies will have stood up in near future as there is relaxation in external factors and falling down the deposit rate continuously resulting the improvement in economic activities and increment in lending demand. Also tourism sectors will continue to grow as Nepal government has declared 2023-2033 as tourism decade and investment in hotel, airport, resort and infrastructure related to tourism sector has been improved.

Nepal Government has targeted to achieve the economic growth rate by 6% during FY 2023-24. To achieve that growth target, central government has set aside capital expenditure budget Rs. 302.07 billion along with the economic improvement working plan. Also Province Government has set aside capital expenditure budget Rs. 159.49 billion. It will have positive impact on private sector investment after implementation of such working plan and expenditure of capital budget as planned. During FY 2023-24, there is planning to add 900 megawatts in national electricity grid. Nepal gets permission to export 952 megawatts to India for which agreement for 300 megawatts was made on July 2023. It will help to improve the Balance of Payment with India and domestic economic activities. Increasing trend to go abroad for foreign employment helps to get increment in remittance inflow. However, domestic consumption will be affected as large number of young people are going abroad in search of employment and education.

In review year, the BFIs deposit has been increased by 12.3% which was increased by 9% during previous fiscal year. Lending growth during review period is 3.8% which was increased by 13.1% during previous fiscal year. Current, saving and term deposit mix is 7.7%, 26.6% and 58.9% respectively as on 16th July 2023 which was 8.9%, 27.6% and 55.8% respectively as on previous fiscal year end. Institutional deposit consists 36.6% of total deposit as on 16th July 2023 which was 38.3% as on previous fiscal year end.

During the review period, 12 commercial banks has been merged. As on 16th July 2023, total number of 112 banks and financial institution are in operation including 20 commercial banks, 17 development banks, 17 finance companies, 57 microfinance companies and 1 infrastructure bank.

Due to recession in domestic economy, the demand for lending has not increased as expected in comparison with deposit growth. Due to non-recovery of overdue principal and interest from the customers, bank has witnessed pressure on Net Profit. Limit restriction on share loan, Home loan and introduction of working capital guidelines from the regulator has affected the lending growth.

It is today's necessity to get trust and confidence of the customers and provide banking services as per the policies, rules and guidelines of the regulatory body Nepal Rastra Bank in order to promote and support government's broad policies and promote national economy. And bank has been aware of the same.

Review of the Bank's performance in the FY 2022/23:

Financial Position:

Rs in Million

Description	Mid July		Growth	
	2023	2022	Amount	Percentage (%)
Paid up Capital	35,771	23,796	11,975	50.33
Deposits	439,349	286,560	152,789	53.32
Loans and Advances	374,356	272,212	102,145	37.52
Investment	90,083	47,537	42,545	89.50
Reserve and Fund	23,283	13,944	9,339	66.98
Debenture and Bond	12,200	4,500	7,700	171.11

Due to merger with erstwhile Bank of Kathmandu Limited, "A" class financial institution licensed by Nepal Ratra bank, there has been significant growth in capital and reserves, credit portfolio, resource mobilization.

The performance of erstwhile Bank of Kathmandu at the time of merger was as below:

Rs in Million

Description	As at 8th January 2023
Paid up Capital	11,261.43
Deposits	113,450.92
Loans and Advances	105,539.60
Investment	18,615.90
Reserve and Fund	5,622.74

Operational Performance:

During FY 2022/23, the Bank has earned Operational Profit of Rs. 9.26 billion and net profit of Rs. 6.69 billion. A brief snapshot of the Bank's profitability has been highlighted in the following table:

Rs in Million

Description	Mid July		Growth	
	2023	2022	Amount	Percentage (%)
Interest Income	48,210	29,058	19,152	65.91
Interest Expenses	31,103	18,769	12,334	65.72
Net Interest Income	**17,107**	**10,290**	**6,817**	**66.26**
Fees, Commission and Operating Income	3,442	3,288	154	4.69
Operational Expenses	3,623	2,794	829	29.68
Employees Cost excluding Staff Bonus	3,205	2,510	695	27.69
Employees Staff Bonus	1,030	781	249	31.86
Provision for loss against loans and other financial assets	3,426	466	2,960	634.54
Operating Profit	**9,266**	**7,027**	**2,239**	**31.86**
Income Taxes	2,571	2,067	504	24.37
Net Profit	**6,694**	**4,959**	**1,735**	**34.99**

Note: Profitability figures of erstwhile Bank of Kathmandu limited till the merger date has not included in Financial of FY 2022/23.

During FY 2022-23; net interest income has been increased by Rs. 6.81 billion as compared to previous year. There is significant growth seen in income due to merger with Bank of Kathmandu Limited. Increment in expense side is due to increment of employee and addition of branches of erstwhile Bank of Kathmandu Limited. The positive growth in the Bank's overall revenue base has contributed to the satisfactory rise in its net profit by 35% to reach to Rs. 6.69 Billion as compare to Rs. 4.96 Billion of previous financial year.

Current year 1st quarter performance:

Till the end of 1st quarter, deposit has been increased by Rs. 16.89 billion and stands at Rs. 456.24 billion. Likewise Lending has been increased by Rs. 1.56 billion to reach at Rs. 375.11 billion. I would like to inform you that bank has earned more than Rs. 1.22 billion during the 1st quarter of current fiscal year 2023-24. The domestic economy has been sluggish due to the recession faced resulting to increase non-performing loan to 4.38% which was 3.15% at the end of 16th July 2023. Additional Rs. 1.78 billion loan loss has been provided due to increment of NPL which adversely affect the net profit of the bank. Adverse impact on interest income due to slow growth in lending and increment in loan loss provision caused by domestic recession. It is anticipated to improve in near future.

Merger with Bank of Kathmandu Ltd.

Bank has successfully completed the merger with then Bank of Kathmandu Limited, an "A" class financial institution, to help the merger and acquisition policy adopted by Nepal Rastra Bank for better improvement of financial sectors.

In mere 17 years of business existence; the bank has been able to establish itself as exemplary banking entity in terms of merger and acquisition where 21 financial institutions (including those BFIs merged in previous BFIs) have come under one roof which includes 5 "A" class Commercial Banks, 10 "B" class development banks and 5 "C" class financial institutions. We are happy to support the national policy for financial sector consolidation and will continue its support in future also.

After merger with Bank of Kathmandu Limited; It is ease for the bank to invest in large projects in Nepal and it also increases the competitive business strength. We are largest bank in major parameters including capital, business (Deposit/lending etc.). We are aware of our responsibilities to operate banking activities along with the increment in its market share which is currently more than 8%.

Merger between BOK Capital Markets limited and Global IME capital limited (subsidiaries of respective bank) has been successfully completed (bank shall have only one merchant bank as subsidiary).

Future Plans

The Bank aims to enhance the effectiveness of its products and services by adopting customer friendly and robust digital technologies. Bank is planning to add additional service features to provide effective service to the customers. Our efforts are to support the customers to enhance their long term business income sources sustainable along with the easy banking service facilities. We expect that we are able to provide the return to our shareholder as expected and provide secured long term investment.

The Bank aims to implement allowing plans and strategies in the upcoming days:

- Bank aims to further enhance the scope of its business through expansion of branch network as well as representative offices within the country and abroad so as to enhance the financial inclusion and also fulfill its motto of becoming 'Bank for All' for its diverse stakeholders. Bank has been serving more than 4.5 million customers via 1068 service outlets including Branches, revenue counter, branchless banking, ATM, Extension Counter and Representative Offices. The Bank is committed as ever to bring the larger mass of customers which are still beyond the reach of the formal banking channels.
- Bank has already opened 3 representing offices in Australia, India and United Kingdom in order to extends its presence in international markets, to promote international trade, to encourage Nepali workers working abroad and students to use formal banking channel for remittance inflow. Bank is trying to open first Nepali foreign branch in South Korea in order to provide its banking services to ease Nepalese people working there. However, Country credit rating issue has delayed the process. We are looking forward to open representing offices in other countries also.
- Bank has mobilized resources from international financial institution within the limits prescribed by Nepal Rastra Bank as per National policy to mobilize the foreign resource by financial sectors in Nepal. Bank has availed borrowing amounting USD 25 million from Global climate partnership fund. We are in final stage to get borrowing from International Finance Corporation (IFC), Asian developing banks (ADB) and is in discussion phase with U.S. Development Finance Corporation (DFC), OPEC funds, Swiss Investment fund for Emerging Market, AIIB etc. and planning to materialize within current fiscal year. These additional resources from the international market shall not only enable the Bank to enhance its credibility but also helps to mark bank's presence itself in the international market.
- Bank has been providing Credit to the targeted group as per the directives of Nepal Rastra Bank. Bank shall promote Green Financing in accordance with Green Economic Strategy adopted by Government of Nepal. Bank has dedicated unit to promote investment in green financing and sustainable development financing. Bank has plans to increase its lending in productive sectors, export industries in support of national policies replacing import.
- Bank has always prioritized its investment in the Agriculture Sector, which is the major contributor (27% on total GDP and 65% dependency of total population) in the economy. Bank has already established agriculture department to priorities lending in agriculture sector which we expect that it will have positive impact after effective implementation.
- Ever since the inception, the Bank has prioritized in offering suitable credit facilities to the small and medium enterprises on the basis of underlying geographical structure, as the Bank believes that the country's economy can prosper only with the prosperity of small and medium enterprises. This will help to develop the entrepreneurship in the country which will create additional employment. This can help diversify the portfolio of the bank which will finally results in efficient management of Credit Risk.
- Bank has continued and prioritized its plan to collect the deposits from customers, which is the core resources of the bank, through network expansion.
- Apart from being backbone of the domestic economy, remittance is a vital and reliable source of business for the bank. The Bank has played an active role in ensuring the inflow of significant remittance in the country through establishment of representative offices, remittance agents and strategic partners in different countries throughout the globe. The Bank shall continue prioritizing the systematic and effective management

of its remittance business in the days to come so as to generate substantial remittance income.

- The provincial office structure has been changed extensively to support the branches for providing customer-oriented quality service. The human resources have been managed accordingly. Majority of branches have been opened till 7 PM to serve the customer of the bank. Regular training has been provided to employee along with the continued development of work process automation to provide quality services and minimization of operational risk. We are in continuous process to automate bank's internal process.

- Bank has adopted the policy of moving forward by increasing the use of information technology and providing modern technology friendly quality banking services. Bank has already established the separate digital banking unit and started working. The bank has adopted the policy to provide all the banking services through digital banking technology. It is targeted to increase the digital use by 80% from existing use of 70%. The bank has targeted to increase its income by double from digital channel by next fiscal year.

- During the review period, bank has issued debenture amounting to Rs. 5 billion with maturity period of 5 years as resource mobilization to support business growth. It is expected that it will help for business growth resulting to increase dividend capacity to shareholder.

- Bank has minutely monitored the operating expenses and various strategy has been implemented to minimize the operating cost. The cost control mechanism will be implemented effectively without compromising the quality.

- Bank is taking the risk management with utmost importance. Bank has management level risk management committee to identify and manage the risk effectively. Bank has established Credit Oversight Team and Operation Oversight Team to manage the risk effectively related to credit and operations respectively. Bank has appointed Big four firm "Ernst & Young", Sri Lanka to conduct Information system (IS) audit of the bank. We believe that it will help to improve quality and security of the information technology system used by the bank.

- In order to strengthen the internal control system of bank, bank has planned to automate the operational system and strengthen internal audit department by providing sufficient human resources. Bank has automated risk based audit system which includes onsite and offsite audit.

- Human resources are main assets of the bank. It is possible to achieve the business objectives of the bank with their knowledge, capacity development and proper deployment. For this; bank has formulated and implemented an annual training schedule for the development of the employees. Bank is continuing its policy to nourish and enhance the employee knowledge, capacity development through proper training.

  Bank is focused to increase staff productivity by increasing business per staff, income and net profit.

- As a responsible corporate member of the society, the bank has always prioritized its corporate social responsibility. It will adopt the policy to raise the living standards of the underprivileged sectors including education, health, natural disasters and environmental protection.

- Since its inception, Global IME Bank Limited has been committed to complying with the policies announced by the Government of Nepal and Nepal Ratsra Bank. In accordance with the merger policy adopted by the federal government and Nepal Rastra Bank, 20 banks and financial institutions have been merged into this bank so far. Bank has been successful to manage human resources coming from different culture and enhance their professional capabilities.

The bank is committed to provide high return and safe investment as provided in the past with the continuation of the mentioned future plans in the coming days also.

Permission for stock broking through its subsidiary

With the aim of increasing the access of public investors to the securities market, develop and expand the securities market and make it clean, fair, transparent and competitive in terms of services and quality, bank has entered into securities market through its wholly owned subsidiary company JBNL Security Limited and received permission from Nepal Securities Board to carry out securities business as limited stock broker.

The subsidiary has paid up capital of Rs. 200 million and its registered office is located at Kathmandu Metropolitan ward no 20, Shankhamul Marg, New Baneshwor. It has received membership no 89 from Nepal Stock Exchange Limited. Bank has believed that it has increased the customer base and expand the business area of the bank.

Customer Relation:

The customer base of the bank has been increased continuously. I am happy to share that bank has over 4.5 million customer base after merger with erstwhile Bank of Kathmandu Limited. Along with the merger and business expansion, we will continue to maintain the continue increment of customer base of the bank and will adopt the policy of making customer service of the bank effective by giving priority to the service and satisfaction of all customers.

Bank's Network:

The Bank has always remained in prominent position to provide the easy, user friendly, and multiple banking products and services in terms of deposit, lending to national importance sector and development of financial access. The Bank currently is operating with 1,068 outlets in all 77 districts of the country with 351 branches (excluding merged branches) 65 extension and Revenue Collection counters, 375 ATMs, 274 Branchless Banking Services and 3 representative offices in India, UK and Australia. Bank has established province offices in all 7 provinces as per the Nepal Rastra Bank directives. Province offices have been coordinating, inspecting and facilitating the branches.

Technology

With rapid development in information technology, there is unlimited possibilities as well as challenges in banking sector. We will be oriented towards providing more secure and advanced service facilities to all customers of the bank. After COVID-19, there is huge demand for use of digital platform and its impact is also seen in the banking sector also. I would like to inform you that bank is committed to expand its services digitally.

Bank has purchased and brought into operation Cash deposit machine to identify the physical currency to count, trim the currency and provide vouchers without employee involvement. In addition to this, bank has Cheque deposit kiosk (Kiosk) by accepting outward cheque and send for clearing. It is believed that use of this type of cutting edge technology for regular services of the bank will increase the efficiency and reduce the operating expenses.

During the review year, bank has brought contact-less VISA CARD based on modern technology into operation. It will ease and improve Mobile banking, QR code payment system, Internet banking etc. services and similar technology based facilities will be added. Bank has upgraded core banking system finacle 7 to finacle version 10. It has eased the challenges arises due to branch network expansion and increment in customer's numbers. It has also helped to keep information management agile. Bank has brought into operation Centralized Document Repository System to keep the written documents that needs to be preserved for long time. Bank's website is mirror of the bank. Bank has launched new website that is accessible to public which is simple, easy and attractive.

Bank has automated AML software for management of customer's information, reporting and identify and reporting suspicious transaction for effective implementation of prevailing assets money laundering laws and directives issued by Nepal Rastra Bank. It will be made more effective.

Bank is aware of recent incidents and challenges related to information technology and take precautionary measures to identify the possibilities of such incidents in the future. Bank has mobilized information Technology Incidents Response Team as per Nepal Rastra bank directives.

Bank has the policy for full digitalization of its services considering its business size, branch network, dependency of third party software, servers (More than 160), network devices like LOS, HRIS, Mobile Banking, Internet Banking, Remittance Applications, SWIFT system. Bank has appointed world renowned audit firms to conduct Information system audit of the bank and will continue in the coming year also.

Contribution in the National Economy

During FY 2022/23, the bank has paid more than Rs.6.4 billion in the forms of corporate tax and tax deducted at source (TDS). I am happy to share that bank has been awarded from Inland Revenue Department, Nepal Government as highest tax payer organization for the tax paid during FY 2021-22. Bank has made significant contribution in strengthening the industrial development of the country via collection and disbursement of funds in the form of loans and advances through its extensive branch network spread all over Nepal. The Bank has been able to generate employment opportunities for more than 3,677 Nepalese citizens creating a positive impact in the standard of living.

Corporate Social Responsibility

In addition to assisting in the overall economy of the country through financial and economic services with different groups of stakeholders, the Bank has effectively fulfilled its corporate social responsibility. Bank has helped Nepal Army for clean mountain program, international high mountain bicycle program where 10 countries has been participated, Nepal Police for establishment of scholarship fund, Kathmandu Metropolitan traffic police to build panel to put in road with social message. The Bank has contributed almost Rs. 25.7 million during the FY 2022/23 in the sectors of education, health, sports, pandemic control, banking awareness, natural calamities, and environmental conservation including financial literacy program in all 77 districts, free women health checkup.

Apart from this, the credit facilities those are targeted to the small and medium enterprises has played a vital role in economic empowerment of the marginalized communities of the country by giving them a chance of self-employment. Likewise, the Bank has been satisfying the banking needs of its customers in the far flung area via its branchless banking service and also assisted the government in revenue collection especially for Department of Transportation Management, Department of Immigration, Department of Passport, Department of Foreign Employment, Traffic Police Department to name a few.

Corporate Governance

Bank's board of directors and management team is committed to maintain highest standards of corporate governance in the organization. It has also imparted enough attention on making timely and needed updates in the corporate governance mechanism of the Bank in view of the expansion in the business base and points of representation of the Bank. Bank has fully complied the guidance on corporate governance. The members of the Board of directors as well as employees are subject to the Code of Conduct, including the one issued by Nepal Rastra Bank which is being complied fully. On the basis of the Bank's extended businesses and other operating activities, internal process control and other workforce areas are being further strengthened. Additionally, for further extending the employee's capabilities, the bank's organizational structure and official responsibilities are being amended as per the necessity.

Audit Committee of the Bank monitors all activities and ensures that the processes and procedures in place are adequate and operational along with the compliance of the Nepal Rastra Bank directives. The Bank has always adopted a proactive approach towards good corporate governance practice with a commitment to operate in a very transparent manner.

Dividend

Board has proposed dividend (Cash as well as stock) of 9% of paid up capital which amounts to Rs. 3.21 billion.

Considering the capital requirement and expectation of shareholder, board has recommended for approval for 1% of paid up capital as stock dividend amounting to Rs. 0.35 billion and 8% of paid up capital amounting to Rs. 2.86 billion as cash dividend. Total capital after issuance of 1% bonus share will reach to Rs. 36.13 billion. We believe that this will be able to gain confidence from all the stakeholders which will indeed support us in increasing the business.

The fraction share shall be kept as it is in the name of the respective shareholder until it is converted into a whole share.

As per income tax act 2001, dividend tax is exempted for 2 years from the merger date for the shareholder who holds the shares as on merger date. Those who became the shareholder of the bank after the merger date, Cash dividend has been distributed after deducting dividend tax.

Financial Statements and Audit

The Consolidated Statement of Financial Position as at year ended 16th July 2023, Consolidated Statement of Profit or Loss for FY 2022-23, Consolidated Cash Flow Statement, Consolidated Statement of Changes in Equity, Related disclosures, as well as the Auditor's Report have been attached herewith which is an integral part of this report. The various details as required by the Companies Act, 2006 is presented in page 74.

Change in Board of Directors and Management Team

As per the Final merger agreement between Global IME Bank Limited and erstwhile Bank of Kathmandu dated 14th November 2022, joint operation was commenced from 9th January 2023. Mr. Chandra Prasad Dhakal, Mr. Cabinet Shrestha, Mr. Krishna Prasad Sharma and Mr. Devendra Pratap Shah has continued as director representing Global IME Bank Limited and Mr Radhesh Pant and Mr Madanlal Joshi has continued as director representing erstwhile Bank of Kathmandu Limited. Bank has 7 members in the Board.

We would like to thank all the directors (incoming and outgoing) of the both banks to make this merger a huge success and we acknowledge their contribution in bank's business progress. The tenure of current board of directors is one year and new BOD has been formed through election at this 17th Annual General Meeting. We would like to thanks all the current directors working under my chairmanship for their support and contribution to reach the bank at new height.

Board of Directors prepares the required policies, manuals for the workflow of the Bank by considering the Banking and Finance Act, 2016, Nepal Rastra Bank's directives, Bank's AOA MOA. To manage the cumulative risk of the Bank, to conduct the services for the benefit of customers and stakeholders of the Bank remains added responsibility of the Board. Maintaining good corporate governance, collection of deposits, investments, management of employees, approving the Bank's budget and business plan, delegation of duties to chief executive officer for smooth running of bank's business, implementation of direction provided by Nepal Rastra Bank, Securities Board of Nepal, statutory audit and other regulatory are the areas where the Board plays pivotal roles.

Bank has active board level audit committee to which board of directors are responsible. The committee conducts internal control plan, audit plan, termly review of the remarks provided by internal and external audit and direction for improvement to the management along with necessary advice to the Board. Any irregularities, effectiveness and presence in the Bank's business are regularly monitored and reviewed by the committee along with the review of quarterly financial position and its submission of review report to the Board Committee are the important work areas of the audit committee.

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.

Employee Benefit Committee has been actively involved in the management of employees like new recruits, transfer, placement, promotion, performance analysis, capability building. Along with this the committee prepares the review report on the policy and manuals related to employee services and present them to Board. The review report is study report on structure of employee's remuneration, remuneration of the peer industries and its impact on any changes in remuneration structure. Addition to this the committee provides the necessary suggestion on the above study, succession planning management as well.

Anti-Money Laundering/ Combating Financing of Terrorism (AML/CFT) committee has been formed and is active in accountability of Board Committee. The committee prepares the review report and submit to the Board Committee on the work performance based on the directions as per Money Laundering Prevention Act, 2007 and Nepal Rastra Bank Directives. Besides these the committee overlooks the effectiveness of AML/CFT system in Bank, effectiveness of provision regarding Know Your Customer, work mechanism on investment done for money laundering and financing terrorism act as per the policies of Bank, Act and internal policy.

ACKNOWLEDGEMENT

Lastly, I on the behalf of Board would like to express my sincere gratitude to all our shareholders. Your patronage over the years has been a source of immense strength for the Bank, and for our customers to perpetually believe in us. We would like to appreciate the Government of Nepal, Ministry of Finance, Nepal Rastra Bank, Company Registrar's Office, Securities Exchange Board of Nepal, Nepal Share Exchange Limited, other regulatory bodies, and the media for guiding us on the road map towards success, towards benefit, and towards progress. Similarly, we would like to thank all the dedicated employees who have worked tirelessly for the growth and prosperity of the Bank. We would like to once again reiterate our commitment to providing the highest quality services and to providing increasing returns to our respected shareholders in the years ahead.

Board has always welcome the constructive suggestion from all the stakeholders.

On Behalf of Board
Chandra Prasad Dhakal
Chairman

MANAGEMENT TEAM



MR. RATNA RAJ BAJRACHARYA
Chief Executive Officer

Mr. Ratna Raj Bajracharya is a leading figure in the Nepalese banking industry with an impactful career spanning various esteemed institutions. He holds an MBA degree and is a qualified Chartered Accountant. Mr. Bajracharya started his career with Nepal Rastra Bank. After serving for 20 years in various capacities, he opted out of employment and founded his own accounting firm in 1992. He also pioneered in setting up a training institution in the field of practical accounting, taxation, finance, and general banking. He was a senior member of the foreign management team (2002-2005) that undertook the management contract for the reform of Nepal Bank Ltd, the oldest commercial bank in the country under the World Bank-funded Financial Sector Reform Project.

During his professional career, Mr. Bajracharya has served as the President of the Association of the Chartered Accountants of Nepal and the President of the Institute of Chartered Accountants of Nepal. He has also served as a member of the Board of Directors of the Securities Board of Nepal (twice). Before rejoining the bank, he served as the Chief Executive Officer in Sunrise Bank Ltd. (2015-2019) and Nepal Credit and Commercial Bank Ltd. (2007-2011).

Mr. Bajracharya has been appointed as the Chief Executive Officer of Global IME Bank Ltd for a second term from August 17, 2020.



MR. SURENDRA RAJ REGMI
Senior Deputy Chief Executive Officer

Mr. Surendra Raj Regmi joined Global IME bank in the year 2008. During his tenure, he has experience serving in various leadership roles such as Chief Credit Officer, Chief Operating Officer, and Chief Business Officer. Altogether, Mr. Regmi brings 34 years of banking experience with him. He holds a degree in Economics and an MBA from the University of Wales, Bangor, UK. As Senior Deputy Chief Executive Officer of the Bank, Mr. Regmi oversees Corporate Lending, Infra Project Financing, Trade Finance/Guarantees Promotional Marketing, Finance and Planning, Treasury International Banking, Recovery, Human Resources, Corporate Communication and other General Administrations for cost optimization. He is also serving as Chief Information Officer of the Bank and as Chairman of First Microfinance Laghubitta Bittiya Sanstha Limited representing the Bank.



MR. SUMAN POKHAREL
Deputy Chief Executive Officer

Mr. Suman Pokharel brings over 20 years of experience in the financial services and payment industry to the bank. He is passionate about driving FinTech and banking innovation to transform customer experience. As the Deputy Chief Executive Officer, Mr. Pokharel oversees IT Systems, Digital Banking, Transaction Banking, Digital Innovations, Remittance and International Offices, Financial Resources Management, and Mid Corporate, Small and Medium Enterprises Lending, Deprived Sector Lending and Retail/Consumer lending and Credit Administration Department of bank.

Mr. Pokharel has a strong track record of leading and delivering successful projects and partnerships in payments, cross-border remittance, business relationship management, and risk management. He is the Chairman of Smart Choice Technologies Pvt. Ltd (SCT Network). He has also served as the Senior Vice President of IME Group Nepal, Board Member of Nepal Infrastructure Bank Ltd. (NIFRA), CEO of IME Ltd., and Managing Director of Dish Media Network.



MR. BIMAL DAGA

Assistant Chief Executive Officer

Mr. Bimal Daga joined Bank in the year 2019 with more than 3 decades of banking experience. During his banking career, Mr. Daga has held various leadership roles in areas of business, risk, strategy & compliance. Currently Mr. Daga leads as Chief Risk and AML Compliance Office. He is a strong leader carrying a reputation for building highly motivated team members and is considered to be an excellent trainer in the industry. Mr. Daga holds a degree in Finance from Shri Ram College of Commerce, University of Delhi, and an MBA from Kathmandu University.



MR. CHANDRA RAJ SHARMA

Assistant Chief Executive Officer

Mr. Chandra Raj Sharma is a senior Chartered Accountant and also holds an MBA degree from Tribhuvan University, Nepal. He has been in the banking industry since 2003. Mr. Sharma has served in various leadership capacities such as Chief Financial Officer and Chief Operating Officer. Currently, Mr. Sharma is entrusted with the role of Chief Financial Officer of the Bank. Additionally, he oversees the Treasury and International Banking, General Services, and Central Trade Operations of the bank. Mr. Sharma also serves as Director of RSDC Laghubitta Bittiya Sanstha Limited representing the Bank.



MR. KALYAN BIKRAM PANDE

Assistant Chief Executive Officer

Mr. Kalyan Bikram Pande brings 18 years of banking experience with him. He has an MBA from Bangalore University and a Bachelor of Technology in Electrical Engineering. Mr. Pande began his banking career at Kumari Bank Ltd. as a Corporate Credit Relationship Manager in 2004. Since then, he has assumed various senior roles including Senior Corporate Relationship Manager at Laxmi Bank Ltd. He then joined erstwhile Janata Bank Nepal Ltd. (now Global IME Bank Ltd.) in 2009. Mr. Pande currently leads Corporate Lending, Infrastructure Project Financing and Trade Finance/Guarantees Promotional Marketing. He also serves as a Board member of Mero Microfinance Laghubitta Bittiya Sanstha Ltd as a Global IME Bank Ltd representative



MR. BHAWANI DHAKAL

Deputy General Manager

Mr. Bhawani Dhakal possess more than 18 years of banking experience. Mr. Dhakal started his career as Private Legal Practitioner as an Advocate for about 13 years prior to joining Global IME Bank Ltd in 2006. Mr. Dhakal has worked in all facets of banking, working as Head Human Resource, Head of Internal Audit, Chief of Compliance, General Service Department, Credit Administration Department, and Branch Management. He has been currently assuming the role of Chief Monitoring and Governance Officer. He is currently representing Global IME Bank Ltd. in the board of Banking Finance & Insurance Institute of Nepal. Mr. Dhakal holds Master's Degree in Commercial Law from Tribhuvan University.



MR. BUDDHI AKELA

Deputy General Manager

Mr. Buddhi Akela possess more than 20 years of banking experience. Mr. Akela started his banking career as Deputy Manager in Nepal Bank Ltd. in 2004. He has been associated with Global IME Bank since 2006. Mr. Akela has worked in various areas of banking, working as Head of Integrated Risk, Credit and Credit Administration etc. Currently he is assuming the role of Head of Internal Audit. He is also serving as Chairman of Global IME Laghubitta Bittiya Sanstha Ltd; a subsidiary of Global IME Bank Ltd. Mr. Akela holds Master's Degree in Business Administration from Pokhara University.



MR. DEEP CHANDRA REGMI

Deputy General Manager

Mr. Deep Chandra Regmi has more than 16 years of banking experience. He started his career from Standard Chartered Bank of Nepal as second in charge of Central Trade Finance prior to joining Global IME Bank Ltd in 2009. He has assumed various senior positional roles including Senior Relationship Manager, Head of Trade Finance, Chief Financial Officer, Chief Human Resource Officer. Currently, he is assuming the role of Chief Lending Officer for Corporate and Project Financing Business. Mr. Regmi in addition also serves as Chief of HR Oversight. Mr. Regmi graduated from Asian Institute of Technology, Thailand with a Master's Degree in Business Administration.

EXTENDED MANAGEMENT TEAM



MR. ANIL JOSHI
Chief Operating Officer
Assistant General Manager



MR. RAJA ARYAL
Chief Recovery Officer
Assistant General Manager



MR. DILIP POKHAREL
Chief Marketing Officer
Assistant General Manager



MR. RITESH LAMICHHANE
Chief of Digital Innovation and Transformation
Assistant General Manager



MRS. SHANTA SHIWAKOTI
Chief of Lumbini Province
Assistant General Manager



MR. RUPENDRA WAGLE
Chief of Bagmati Province
Assistant General Manager



MR. SULAV HARI JOSHI
Chief of Koshi Province
Assistant General Manager



MRS. ANAMIKA SINGH
Chief Human Resources Officer
Chief Manager



MR. SUSHOVAN DEVKOTA
Chief of Gandaki Province
Chief Manager



MR. DHOJ SAUD
Chief of Madhesh Province
Chief Manager



MR. MANINDRA RAJ JOSHI
Chief of Information Technology
Chief Manager

CORPORATE GOVERNANCE

The Bank's board of directors as well as the management team have always emphasized on maintenance of vigorous corporate governance in the organization. The Bank has always taken a proactive approach to streamline and make necessary adaptations in its organizational structure and processes so as to further enhance the state of governance especially in the light of expansion of the overall service network and business portfolio of the Bank. The Bank fully abides by all the national and international directives, principles and regulations pertaining to corporate governance. The Bank's board of directors have a strict adherence to the expected roles and behaviors as necessitated by Nepal Rastra Bank for enhancement of the culture of corporate governance in the organization.

With the growth in the business base, operations and overall network of the Bank, necessary amendments are made in the internal control mechanism of the Bank including but not limited to change in the organizational structure, amendments in the roles and responsibilities of high-ranking officials and enhancement of necessary skills and competence of the employees. The Bank's Audit Committee diligently scrutinizes the regular operations of the Bank and also ensures that the Bank is working at par with the various regulations and policies of the supreme regulator – Nepal Rastra Bank. The Audit Committee also ensures suitability and sufficiency of the Bank's workflow and processes with reference to such directives and policies. The Bank has always been committed to ensure transparency in each and every operation so as to enhance the state of corporate governance in the organization, thereby creating higher benchmarks of service and operational excellence.

Some of the major highlights that portray the Bank's adherence to Corporate Governance are shown below:

- The Bank conducts the meetings of the board of directors as well as other sub-committees reporting to the board of directors on a regular basis with main areas of discussion on strategy formulation, Information Technology, cyber security, risk management, and preserving portfolio quality.
- The Board also reviewed and revised several key policies with due consideration to best practices, changes in the operating areas, and regulatory developments





- The Bank has streamlined and strengthened the composition and role of the Bank's internal audit department.

- The Bank's Management Committee (MANCOM) meeting is held on a regular basis to discuss the prevailing issues and challenges faced and the strategic decisions that might be required to address the internal and external market dynamics.

It is an inevitable fact that corporate governance helps a bank to create a sense of direction, regularity, and control in its operations. The Bank has clearly defined the rights, roles, and responsibilities of its board of directors, shareholders, employees as well as all other concerned stakeholders so as to ensure the effective implementation of corporate governance throughout the organization. The Bank's board of directors and the management team share a common vision to ensure a higher degree of corporate governance in the Bank. The bank also maintains a watchful eye to initiate and implement suitable measures to adapt to the new realities resulting from the expansion in its business and branch base to maintain its adherence to corporate governance principles and mechanisms.

The Bank has in place various committees and sub-committees such as an audit committee, risk management committee, employee welfare committee, anti-money laundering committee as well as various other managerial committees to enhance the effectiveness of its internal procedures while marinating the corporate governance and transparency standards necessitated by various national and international organizations. All of these committees and subcommittees are effectively fulfilling their designated roles and responsibilities while taking care of the authority entrusted to them by the Bank.

In order to ensure the effective implementation of corporate governance, the Bank has developed and implemented a comprehensive code of conduct for its employees and also has a dedicated governance unit in place for monitoring and initiation of corrective actions as and when necessary. The Bank regularly updates all of its concerned stakeholders on the relevant information about the Bank and its activities through various notices and information sources.

ANNUAL COMPLIANCE REPORT FOR CORPORATE GOVERNANCE

As per Corporate Governance Directives, 2074 issued by Securities Board of Nepal

Name of the Institution	Global IME Bank Ltd.
Address	Kamaladi, Kathmandu
Website	www.globalimebank.com
Telephone	+977-1-4226247
Compliance Report	FY 2079-80 (Mid July 2022- Mid July 2023)

1. Information on Board Committee

a. Name of Chairman and Appointment Date:

Name	Chandra Prasad Dhakal
Appointment Date	Appointed as Chairman on 25th Poush 2079 (9th January 2022) after the formation of joint Board Committee as per merger agreement for merger of erstwhile Bank of Kathmandu Ltd. and Global IME Bank Ltd

b. Shareholding structure of the Entity

Promoter Shareholding	51.24%
Public Shareholding	48.76%
Total	100.00%

c. Board of Director's Committee

S.No.	Name of Directors	Representative Group	No. of Shares Held	Last Appointed Date	Date of Oath taken	Director's appointment process
1	Mr. Chandra Prasad Dhakal	Promoter	8,966,410	9th January 2022	9th January 2022	As per agreement for merger between erstwhile Bank of Kathmandu Ltd. and Global IME Bank Ltd.
2	Mr. Cabinet Shrestha	Promoter	2,016,433	9th January 2022	9th January 2022	
3	Mr. Ram Bahadur Bhandari	Promoter	117,118	9th January 2022	9th January 2022	
4	Mr. Radhesh Pant	Promoter	1,363,853	9th January 2022	9th January 2022	
5	Mr. Krishna Prasad Sharma	Public	2,657	9th January 2022	9th January 2022	
6	Mr. Madan Lal Joshi	Public	8,320	9th January 2022	9th January 2022	
7	Mr. Devendra Pratap Shah	Independent	10,784	9th January 2022	9th January 2022	

d. Meetings of Board Committee

S.No.	Date of meeting held in FY 2022-23	No. of Directors present	No. of Directors signing by keeping difference of opinion in the meeting	Date of meeting held in FY 2021-22
1	3rd August 2022	5	None	19th July 2021
2	1st September 2022	6	None	29th July 2021
3	29th September 2022	7	None	13th August 2021

S.No.	Date of meeting held in FY 2022-23	No. of Directors present	No. of Directors signing by keeping difference of opinion in the meeting	Date of meeting held in FY 2021-22
4	23rd October 2022	7	None	19th August 2021
5	10th November 2022	6	None	2nd September 2021
6	13th November 2022	7	None	17th September 2021
7	4th December 2022	7	None	28th September 2021
8	12th December 2022	6	None	11th October 2021
9	27th December 2022	7	None	11th November 2021
10	4th January 2023	6	None	18th November 2021
11	9th January 2023	7	None	2nd December 2021
12	10th February 2023	6	None	22nd December 2021
13	15th March 2023	7	None	6th January 2022
14	24th April 2023	6	None	3rd February 2022
15	23rd May 2023	7	None	4th March 2022
16	5th June 2023	7	None	7th April 2022
17	4th July 2023	7	None	1st May 2022
			None	3rd June 2022
			None	15th June 2022
			None	30th June 2022
			None	9th July 2022

e. Other Details of Board meeting:

- Details of Board meeting which were adjourned due to not reaching the full quorum members which were adjourned due to not reaching the full quorum members
- Other details related to Board Meetings

Presence or Non-Presence of Alternate Director in meeting of Board of Directors. (If No then date of Meeting and Reason)	No provision of Alternate Director
Presence or Non-Presence of Alternate Director in meeting of Board of Directors. (If No then date of Meeting and Reason)	No provision of Alternate Director
Whether records for Director's presence, details of discussion and its decisions (details of minute) are kept separately ?	Yes
Maximum gap (in days) between two continuous meeting.	No meeting has been called beyond 60 days delay
Date of Annual General Meeting for fixing the Director's board meeting allowance	18th November 2019. 13th Annual General Meeting
Amount of per member Board meeting fees	Chairman: Rs. 17,000.00 Director : Rs. 15,000.00
Total Board Meeting expenses in current Financial Year	Rs. 1,519,000.00

2. Information on Director's conduct an Other detail:

Does the organization have code of conduct related to Director's conduct ?	Yes
Information on presence of one or more Director from single family ?	No

Details of Annual Orientation/Refreshment program to Board of Directors.

S. No.	Program	Date	No. of Director Present	Place of Orientation
1	Economic and Financial status of Country, Corporate Governance on Banking System, Strategic Risk Management, Asset, Anti Money Laundering and Countering the Financing of Terrorism, International Best practices.	30th April 2022	7	The Terrace Resort and Spa, Lakuri Bhanjyang, Lalitpur

Whether Board member have informed in written form about the following details within 15 days of their appointment? • Information about any contract entered or will be entered by the member or his family members with the organization. • Information on number of shares or debentures held by the member or his family members in the organization's parent or subsidiary company. • Whether the member is director or fundamental shareholders of any other organization. • Details of any family member working as employee or representative in the organization.	Yes all the details have been submitted
Information on working as Director, chief executive officer, paid representative or employee in the similar nature objectives organization.	No such records
Information of disciplinary action on member taken by regulatory bodies or any other bodies.	No such records

3. Information on organization's risk management and internal control system

a.	Committee formed or not formed for risk management and reason if not formed.		Yes
b.	Information on board level risk management committee.		No
i.	Committee members		
	Mr. Devendra Pratap Shah	Coordinator	
	Mr. Ram Bahadur Bhandari	Member	
	Chief of Country Operation	Member	
	Chief Risk Officer	Member Secretary	
ii.	No. of Risk Management Committee meeting	6	
iii.	Brief disclosures on committee's roles: • Informing Board of Directors about the adequacy and appropriateness of existing risk identification and management system and making suggestions for the development of suitable risk management system. • Suggestion to the Board of Directors on developing the necessary Risk Management policy and procedures in compliance with directives and instructions issued by Nepal Rastra Bank for Risk Management, the internal limits set by the Bank and international best practices. • To analyze and submit quarterly report to Board of Directors on the Bank's asset structure and operational status of assets, the income that can be obtained from it, change in quality of those assets and activities/work done by Asset Liability Committee.		
c.	Is Internal Control Procedures in place?		Yes
d.	Whether any committee has been formed for internal control System? If not formed, reason for the same.		Yes, Management Level Risk Management Committee
e.	Information on Internal Control System		
i.	Committee Structure (Committee Members)		

	Mr. Surendra Raj Regmi, SDCEO	Coordinator
	Mr. Chandra Raj Sharma, ACEO	Member
	Mr. Bimal Daga, ACEO	Member
	Mr. Kalyan Bikram Pande, ACEO	Member
	Mr. Buddhi Akela, AGM	Member Secretary
	Mrs. Shanta Shiwakoti, Chief Manager	Member
	Mr. Rupendra Wagle, Chief Manager	Member
ii.	No. of Risk Management Committee meeting	7
iii.	Brief description of work of committee: Management Level committee regularly monitors the assets of the bank, the operational status of those assets, income that can be generated from it, change in quality of the assets and review the activities done by Asset Liability Committee (ALCO) on quarterly basis and submit to Board level risk management committee. Results of regular Stress Test are submitted to the Board level risk management committee along with policy to be developed in future.	
iv.	Whether the organization has Financial Administration Bye-laws ?	Yes

4. Details on information flow of the organization.

a. Information published by the organization and details of information

a. Information published by the organization and details of information	
Details	**Date of Publication**
Notice of Annual General Meeting	29th Kartik 2079 (15th November 2022) & 1st Mangsir 2079 (17th November 2022)
Notice of Special General Meeting	-
Annual Report	As per law
Quarterly Report	As per law
Price Sensitive Information	Dividend Declared Time: 5th November 2022 8:00 AM Information submitted to Regulators: 5th November 2022 10:00 AM
Others	None
b. Has the Securities Board of Nepal or other regulators made any prosecution for not making any information public?	Not Prosecuted
c. Date of Annual or Special General Meeting Completed.	23rd Mangsir 2079 (9th December 2022) Friday

5. Information on Corporate Structure and Employees

a.	Whether there is Personnel Policy Guidelines which covers employees structure, filling positions, career and development training, salary, allowances, and other facilities, attendance and leave, code of conduct etc.?	Yes
b.	Attaching Organization Structure.	Attached
c.	Name of Management Team, Education, and their experience	

S.No.	Name	Position	Education	Experience
1	Ratna Raj Bajracharya	CEO	Chartered Accountant, MBA	Above 45 Years
2	Surendra Raj Regmi	SDCEO	Post Graduate	Above 35 Years
3	Bimal Daga	ACEO	Post Graduate	Above 30 Years

S.No.	Name	Position	Education	Experience
4	Chandra Raj Sharma	ACEO	Chartered Accountant, MBA	Above 20 Years
5	Kalyan Bikram Pande	ACEO	Post Graduate	Above 19 Years
6	Buddhi Akela	AGM	Post Graduate	Above 19 Years
7	Bhawani Dhakal	AGM	Post Graduate	Above 17 Years
8	Anil Joshi	AGM	Post Graduate	Above 22 Years
9	Raja Aryal	AGM	Post Graduate	Above 19 Years
10	Deep Chandra Regmi	AGM	Post Graduate	Above 16 Years
11	Ritesh Lamichhane	AGM	Post Graduate	Above 23 Years
12	Dilip Pokharel	AGM	Post Graduate	Above 18 Years
13	Shrawan Lal Maskay	SDCEO	They were in service of the Bank as on 16th July 2023, but separated from the Bank as on 17th October 2023.	
14	Deepak Gautam	DGM		
15	Kamal Raj Pathak	AGM		
16	Santosh Pradhan	AGM		
17	Anil Shrestha	AGM		

d. Other details related to employees

Whether employee posts are filled according to structure	Yes
Procedure followed while filling the posts of new employees	Employee Service Regulation, 2077
Number of management level employees	Top Management -17 Manager Level -162
Total number of employees	3,677
Is there succession plan of employees ?	Yes
No. of employee trainings conducted in this Financial Year	438
No. of employees participating in trainings in this Financial Year	11,604
Total Employee Training Expenses in this Financial Year	Rs. 35,264,161
Percentage of Employee Expenses in Total Expenses	53.89%
Percentage of employee training expenses in total employee expenses	0.83%

6. Information on Accounts and Audit of the organization

a. Information on accounts

Whether the organization has prepared previous year's financial statements as per NFRS. If not then reason for it	Prepared in Accordance with NFRS
Date of latest financial statements approved by Board of Directors	19th Kartik 2080, (5th November 2023) for FY 2022-23
Date of Publication of Quarterly Financials	24th October 2022 First 21st January 2023 Second 20th April 2023 Third 6th August 2023 Fourth
Date of completion of Final audit	19th Kartik 2080, (5th November 2023) for FY 2022-23
Date of approval of financial statements from General Meeting	23rd Mangsir 2079 (9th December 2022)

Details regarding Internal audit of the Organization		
a.	Audit conducted internally or by external expert	Conducted internally
b.	Details of external expert, if any, appointed	Not appointed
c.	How often the internal audit is conducted? (Quarterly, Half Yearly)	As per the approved audit plan

b. Information of Internal Audit Committee

S.No.	Name	Post	Education Qualification
1	Mr. Ram Bahadur Bhandari	Coordinator	Post Graduate
2	Mr. Krishna Prasad Sharma	Member	Post Graduate
3	Head- Internal Audit	Member Secretary	Post Graduate

Number of Audit Committee Meeting: 13

Audit Committee meeting fees: Rs. 15,000 per director per meeting

7. Other Details

The organization has /has not taken the loan or borrowings from director and person or BFIs where his/her close family members have financial interest in any other form	Not Taken
Whether any person, firm, company, advisor, consultant, who has a financial interest in the organization has/has not used any property of the organization in anyway other than benefits received by the director, shareholder, employee or consultant of the company in accordance to prevailing laws.	No such information has come to notice.
Adherence to the condition laid down by the regulatory body while granting the license.	Yes
Whether the instruction given to the organization by the regulators during the regulatory inspection or supervision have been followed.	Followed and instruction related to policy and long term nature are being implemented on priority
If any case is pending in the court against the institution or any directors. If Yes details of the same.	None other than cases of business nature.

Date of Approval of Compliance report from Board of Director: 5th November 2023

RISK MANAGEMENT

BOARD LEVEL COMMITTEE

The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank. There are various categories of risks to which any bank is exposed to. Some of the major categories of risks that a commercial bank has to curtail in the course of its operations includes credit risk, operational risk, market risk, liquidity risk, technological and human resource related risk to name a few. A commercial bank has to timely identify, analyze and minimize the triggers of these kinds of risks in order to ensure sustainability of its business and regular operations.

The Bank has in place both board level and management level committees for management of risks that address the various inherent risks that might arise in the course of business and operations and implements appropriate risk management measures depending on the severity of the risk incidents.

- Risk Management Committee (Board level committee)
- Integrated Risk Management Committee (Managerial Level committee)

The Board Level Risk Management Committee is led by Director Madan Lal Joshi as coordinator and Director Krishna Prasad Sharma and Narayan Prasad Paudel as the Member of Committee. Further Chief Risk Officer serves as Member Secretary to the committee

RISK MANAGEMENT & CONTROL ENVIRONMENT

The Bank has in place a well-defined risk management mechanism that is involved in creating an organizational culture that is not only aware of the inherent risks involved but also in the minimization of such risk through effective and integrated efforts. Under the supervision of its risk management department, the Bank not only identifies risk areas effectively and efficiently but also ensures full adherence to the various guidelines of Nepal Rastra Bank as well as its own internal policies and procedures that are developed in line with the risk management guidelines issued time and again by various national and international regulatory bodies.



Appropriate measures to timely identify and analyze various kinds of potential risks play an instrumental role in downsizing the risk exposure of a bank as well as to initiate and implement timely corrective measures to outplay the adverse impacts of the various risk categories. The Bank has in place a well-defined risk management mechanism comprising various committees and policies.



The Bank's Integrated Risk Management Department has assisted the Bank to develop a proactive internal culture that supports effective risk management. The Department assists the Risk Management Committee with respect to credit risk, operational risk, market risk, and management risks so as to ensure a risk management mechanism that is self-regulated as well as regulated by the relevant risk management directives and policies issued by various regulatory authorities. The Department is also responsible for the development of a proactive risk management system inside the Bank in full coordination with various departments and divisions of the Bank. The Integrated Risk Management Department primarily emphasizes:

- Credit Risk
- Operational Risk
- Market & Liquidity Risk
- Information Security Risk
- Environment & Social Risk Management
- Compliance & AML/CFT Risk
- Legal Risk
- Human Risk

ENVIRONMENT AND SOCIAL RISK MANAGEMENT (E&S)

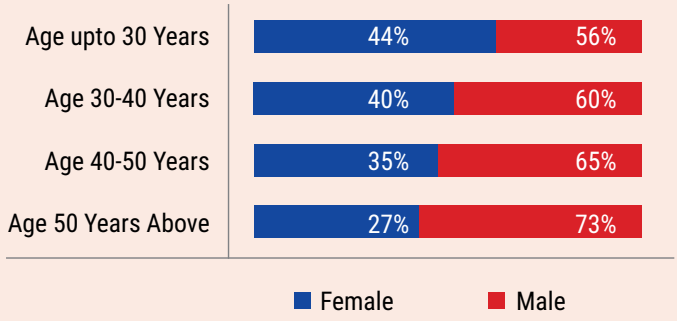
Bank is committed to contribute towards sustainable banking practices and shall continue to strengthen Environment and Social Risk Management System (ESMS) with adherence to national laws and regulations as well as global E&S standards/practices as applicable. It has established "E & S Risk Management (ESRM) Unit" and has also appointed a dedicated E&S Risk Officer with the same academic background. The Bank has its own E&S Risk Management Policy and Guidelines based on which integration of ESMS with Credit Risk Management system of the Bank is completed. The Unit is responsible for identification, quantification and assessment, monitoring and reporting of E&S risk associated with proposed borrower during credit appraisal process. The corrective action plan and covenants are recommended as per ESDD and site visit checklist by the ESRM unit. In addition, the unit facilitates in smooth implementation of ESMS as well as capacity building of staffs in relation to environment and social risk management. Furthermore, the Bank is planning to fully digitize ESMS for proper recording, review and reporting.

HUMAN RESOURCE MANAGEMENT

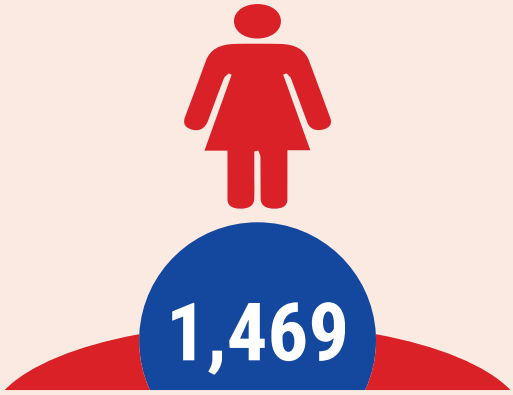
Any commercial bank can offer qualitative banking services to meet the unique banking needs of its varied customers only through effective management of its available workforce. The Bank has in place a dedicated Human Resource Department that is actively involved in enhancement of skills and competence of its active employee base of around 3,600 employees through various kinds of training and development activities so that it can keep its promise of 'Bank for All' for its internal stakeholders as well.

One of the major tasks entrusted to the Human Resource Department includes identification and management of competent employees. To ensure this, the Department is involved in various activities and operations including recruitment and selection, promotion, annual performance review, compensation and benefits, compliance to employee bylaws, induction of new employees, training and development, employee database, salary and allowances, employee transfers to name a few.

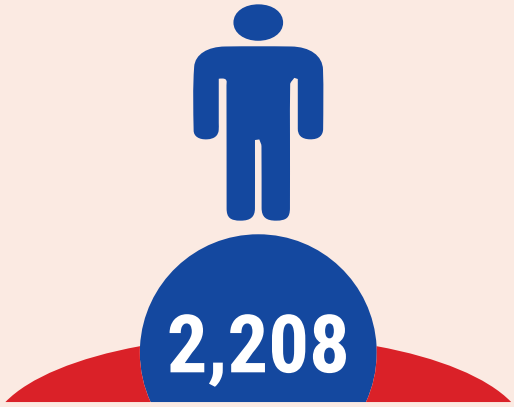
COMPOSITION OF AGE DEMOGRAPHY BY GENDER







TOTAL NUMBER OF FEMALE EMPLOYEES



TOTAL NUMBER OF MALE EMPLOYEES

KEY HR INDICATORS

The sustainable development and progress of any organization depends on clear understanding of the employees of the organization on what is expected of them in terms of their performance. It is also necessary that the organization has proper performance benchmarks in place as well as there is a proper mechanism to identify and ensure transparency and effectiveness of the performance of its employees. For this, the Bank has kept in place a few performance indicators to evaluate the overall performance of its employees working in various divisions and departments

The key performance indicators of the Bank shall also assist in enhancing the effectiveness of the performance evaluation mechanism of the Bank while at the same time increase the transparency in the regular work processes of the Bank. These indicators also play a vital role in promoting effective coordination amidst various departments and divisions of the Bank.

HUMAN RESOURCE COMMITTEE

As per the guidelines of Nepal Rastra Bank, the Bank has established a board level employee welfare committee. The committee has been fulfilling its roles and responsibilities in line with the provisions mentioned in Nepal Rastra Bank's Unified Directives No 6. Section 67. Director Radhesh Pant is the coordinator and director Krishna Prasad Sharma is member of the committee and Chief Human Resource Officer is the Member Secretary of the Committee. The working scope of the committee has been highlighted below:

- Assist the management committee in development of 'Compensation Determination Policy'
- Identify and analyze pay scale of the employees at regular intervals as well as recommend amendments in the pay scale of the employees
- Recommend the management committee of the bank for necessary increment in the salary and benefits of the employees ranging from Chief Executive Officer to junior level staffs as per the prevalent policies and market trends
- Evaluate the performance of the employees on the basis of the performance evaluation mechanism of the Bank and the roles and responsibilities assigned to each staff
- Recommend necessary policies, procedures and mechanism to the management committee regarding employee recruitment and selection, job division, promotion and transfers, skills development, rewards and punishment and labor laws
- Recommend the management committee regarding the roles and authorities assigned to staffs on the basis of their designation and work scope.

CORPORATE SOCIAL RESPONSIBILITY

Over the last seventeen years, the Bank is continuously involved in contributing back to the society especially in corporate responsibility initiative targeting the overall society, general public and environmental conservation.

Global IME Bank is guided by not just bridging communities but also giving back to the Nepalese people. The bank views its Corporate Social Responsibility (CSR) as a means of strengthening the surrounding communities that it endeavors to serve. This ethos is reflected in the proactive initiatives taken by the bank. The theme and nature of these activities are based on the community assessment. For this, the bank has set up a dedicated committee chaired by the Senior Deputy Chief Executive Officer. The Committee periodically identifies the target communities, creates an action plan, and ensures effective execution of the program.

Based on the bank's objectives and the national need, the CSR committee prioritizes on the following sectors:

1. Financial Literacy
2. Community Health
3. Education
4. Conservation and Promotion of Cultural Heritage
5. Natural Calamities management

The nature of the activities ranges from financial assistance programs to procurement and distribution of essential commodities to awareness programs.

In FY 2022/23, the bank carried out 48 CSR activities. Of these, 11 initiatives were at the national level, and 37 initiatives were at regional and local levels. The scope and the reach of these programs varied based on the intent which ranged from financial literacy to "Save our daughters' campaign to disaster relief assistance. The bank has apportioned 5% of the Corporate Social Responsibility Fund for financial inclusion initiatives targeting women and socially disadvantaged communities.

1



2



PHOTO CAPTIONS:

1. Handover of Computer to Diktel Multiple Campus
2. Handover of Cheque of Rs. 2.5 Million to Nepal Police Scholarship Fund
3. Blood Donation Campaign conducted on the occasion of 16th Anniversary of Bank
4. Free Health Camp organized on coordination with Family Planning Association of Nepal on Dhap, Darchula
5. Scholarship handover under "Scholarship to female student" program
6. Free Health Camp organized on coordination with Family Planning Association of Nepal on Holeri Rolpa

3


१६ औं वार्षिकोत्सव समारोह
बृहत रक्तदान कार्यक्रम
Global IME Bank

4


Global IME Bank
निःशुल्क महिला स्वास्थ्य शिविर
Global IME Bank
निःशुल्क महिला स्वास्थ्य शिविर

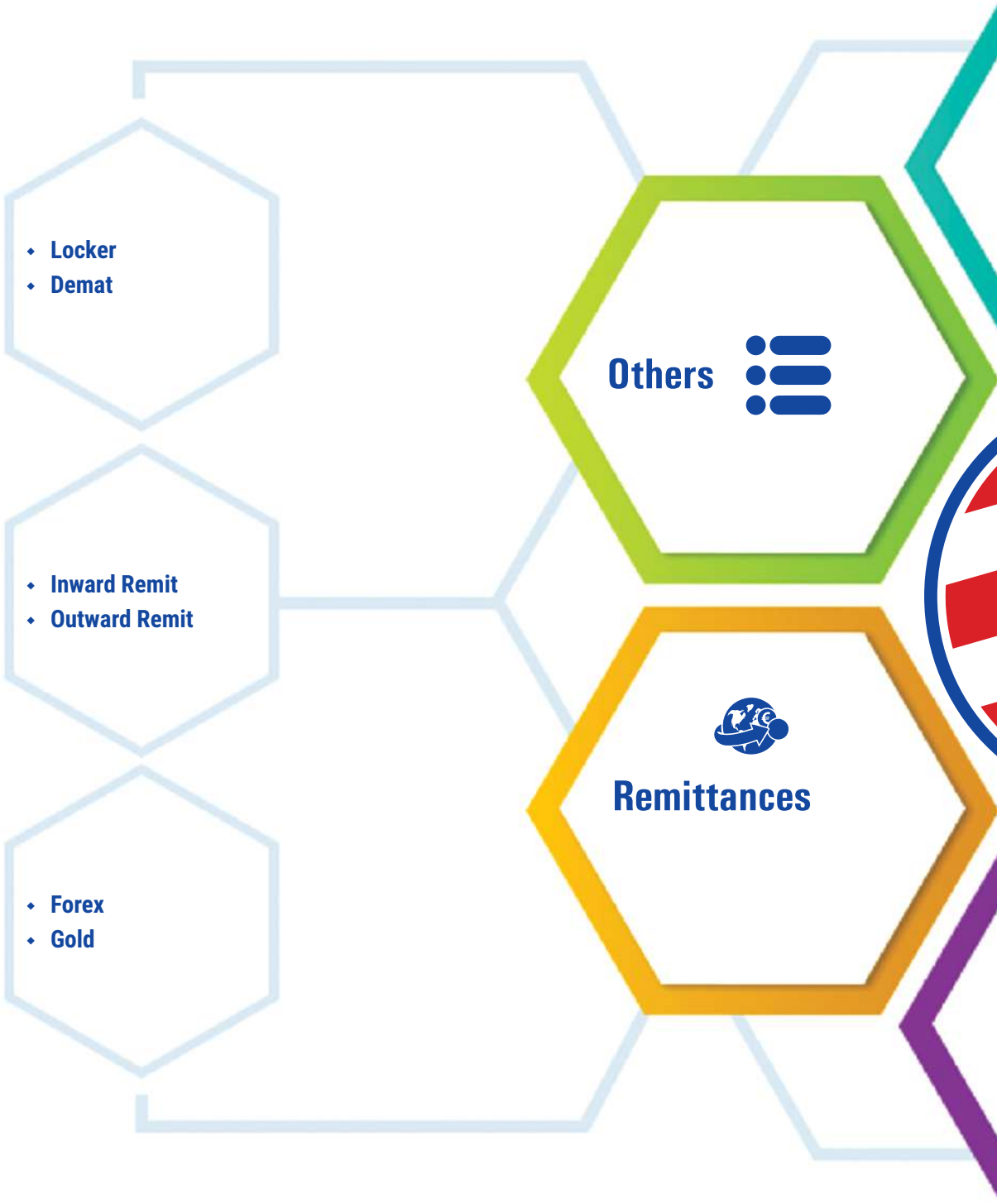
5


Global IME Bank
ग्लोबल आइएमई बैंक लि

6



SERVICES


Locker
Demat
Others
Inward Remit
Outward Remit
Remittances
Forex
Gold


Deposit
Funded/ Non-funded Services
Digital Banking Products
Treasury
Interest Bearing
Non-Interest Bearing
Loans and Advances
Letter of Credit
Bank Guarantee
Mobile/Internet Banking
QR/POS
ATMS. Cards

DEPOSIT

In the dynamic landscape of the banking industry, deposit products play a pivotal role in attracting customers and establishing a solid financial foundation. With a customer base above 4.6 million and strong presence across the nation and abroad, Global IME Bank, as a prominent player in the financial sector, has curated a range of deposit products designed to meet the diverse needs of its customers. The bank's deposit products offer a unique blend of banking and technological services and facilities and are thus highly referred by both individual and institutional customers.

The bank is currently offering deposits schemes under different categories, namely, Savings deposit, Fixed deposit, Call deposit and current deposit. Within its diverse array of fixed deposit products, 'Meri Unilai' recurring fixed deposit scheme is gaining immense popularity. Translating to 'To my Beloved', this initiative is not just a financial product; it is a testament to the bank's commitment to uplift and empower female customers across all age groups. The "Meri Unilai" is tailored to cater to the unique financial needs of women. This recurring fixed deposit has gathered significant attention for its innovative approach towards increasing financial literacy, security, and confidence among female customers. By providing a dedicated banking platform for female customers, the bank recognizes the importance of addressing gender-specific financial challenges and facilitating a more inclusive financial landscape. This flagship product was recognized by Banker Magazine in its January's (2022) issue, which states, "To my Beloved: the goal is to give women financial security and a greater sense of confidence in managing household expenses."

In its commitment to financial inclusivity and innovative banking solutions, Global IME Bank has made significant strides with its Non-Residential Nepalese (NRN) savings schemes. Designed to cater to the Nepalese diaspora living abroad, this product has not only proven to be crucial for the nation but has also met with considerable success. The NRN savings schemes offered by Global IME Bank are tailored to encourage Nepalese individuals living abroad to invest and save their earnings in Nepal. With representative offices and officers strategically placed in different countries, the bank has effectively marketed this product, creating a bridge between the Nepalese diaspora and their home country. With this scheme, the bank is not only influencing remittance inflow in Nepal with attractive interest rates but also encouraging remittance through formal channels.



TOTAL DEPOSITS
(Y-o-Y Growth)



DEPOSIT CUSTOMERS
(Y-o-Y Growth)

Global IME Bank's comprehensive range of deposit schemes reflects its commitment to providing versatile financial solutions. From long-term investments with various Fixed Deposit options to addressing short-term fund placement needs through Current/call and savings Deposit services, the bank's offerings underscore its dedication to meeting the diverse financial requirements of its customers.

By continuously innovating and adapting to market dynamics, the bank remains a trusted partner for customers seeking reliable and rewarding deposit products in today's ever-evolving banking landscape.

Other notable savings deposit schemes for different market segments are:

Segments	Target Group	Savings Scheme
General	Small individual savers seeking higher returns	Sabai Nepali ko Bachat Khata
Institutions	Targeting investors, nonprofits, and employees.	Global Share Lagani Bachat Khata Global Sansthagat Bachat Khata Global Karmachari Bachat Khata Navaratna Salary Account
Remittance and NRNs	Encourage inward remittance and encourage the use of formal channels	Global Remit Savings Global Janmabhumi Bachat Khata Sahayatri Bachat Khata Foreign Currency Savings Deposit Account Global NRN Deposit Account
Women	To improve financial inclusion and empowerment	Global Nari Bachat Khata
Children	To create a financial cushion and financial awareness	Global Students Saving Account Global Balbalika Bachat
Remote Segment	To increase access in remote parts of the country	Global Branchless Banking Savings Account

Notable fixed deposit schemes for different market segments are:

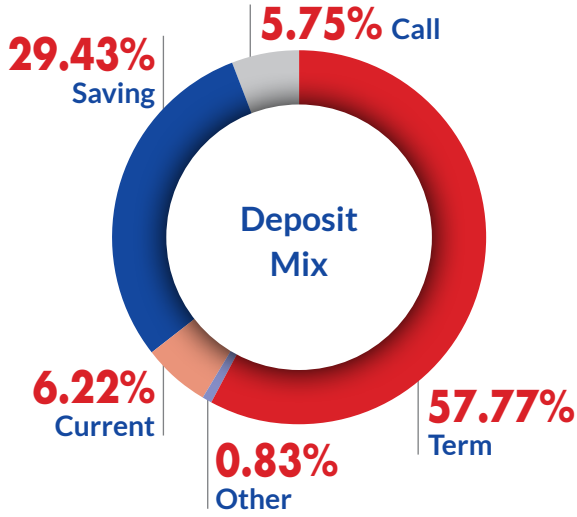
Segments	Target Group	Fixed Deposit Scheme
General	All segment	General Fixed Deposit
Recurring Nature	Customer segment with regular income preferring regular investment with higher return	Global Top Up Fixed Deposit
Female	Female segment looking for regular savings thereby enriching the financial empowerment	Meri Unilai Fixed Deposit
NRNs & Individuals with FCY income source	Non Resident Nepalese residing Abroad	Foreign Currency Savings Deposit Account Global NRN Deposit Account
Pensioners/ Retired Professionals	Pensioners with regular income, aiming to bridge gap the financial requirement in the old age and provide high rate of return in the investment	Sambriddha Awakash Fixed Deposit
Migrant Workers	People working abroad , Encouraging inward remittance and usage of formal channels	Global Remitters Fixed Deposit

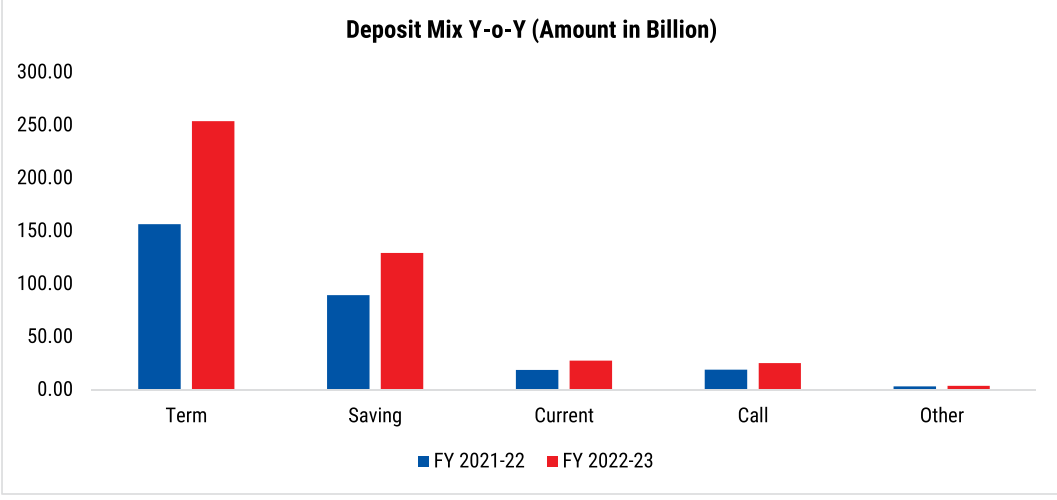
DEPOSIT MIX

Global IME Bank, holding the position of the largest Banking and Financial Institution (BFI) in the deposit sector, recorded a substantial deposit of NPR 468.15 billion as of Poush End 2080. This noteworthy deposit is anticipated to significantly enhance the bank's market share and industry rank.

During the period from Shrawan 2080 to Poush 2080, individual deposits (Savings & Individual Fixed Deposit only) have contribution of around 65% of the total deposits. The bank has successfully maintained proportional deposit structure, effectively managing liquidity even amid market volatility. This further contributes to the bank's strategic positioning in the market.

To meet both short-term and long-term obligations in varying market scenarios, Global IME Bank has maintained a sustainable deposit mix. This strategic approach highlights the bank's commitment to ensuring liquidity resilience and positions it as a leading bank in the industry.





LOANS AND ADVANCES

374+
BILLION
+37.52%

TOTAL LOANS AND ADVANCES
(Y-o-Y Growth)

78+
THOUSAND
+28.06%

LOAN CUSTOMERS
(Y-o-Y Growth)

In order to cater to the needs of the customers who seek financial assistance to fulfill their personal as well as professional aspirations, GIBL offers loans and advances facilities of various nature, magnitude and length. These credit services are strategically built to meet the fund deficit of individual customers, small and medium enterprises, corporate houses, manufacturing organizations, infrastructure projects and so on.

Global IME also promotes corporate and trading sector along with international banking. The Bank offers credit facilities like Letter of Credit, Letter of Guarantee/Bank Guarantee, documentary collection to name a few so as to fulfill the trade finance requirements of its valued customers. In addition to this, the Bank offers facilities of funded loans to meet the fund requirement of corporate houses, infrastructure/project and consortium loans to back up large projects, Global IME Krishi Karja to empower the agricultural sector. It also uplifts the businesses of various small and medium enterprises by offering them credit facilities like Global Small Business Loan, Global IME SME Loan and so on.



LOAN MIX

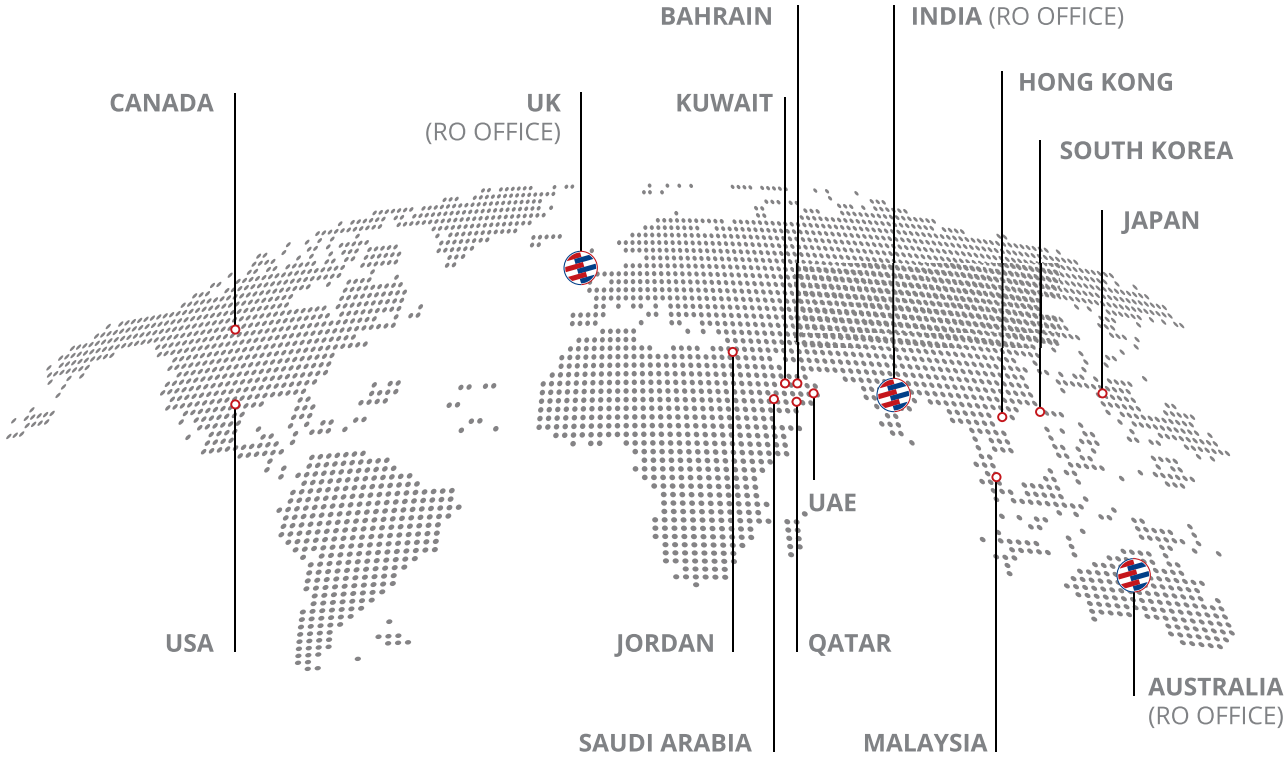
In FY 2022/23, Global IME Bank held a loan portfolio size of Rs.374 billion. This is the largest loan portfolio among the BFIs in Nepal and represents 8.68% of the total market loan portfolio of Class "A" Commercial banks in Nepal.

The bank has a diversified loan exposure based on product, economic sector, and priority sector as mandated by NRB. The largest exposure based on:

- the product-wise exposure: Term Loan (36.73%) followed by Cash Credit Loan (17.79%);
- the economic sector is Wholesaler & Retailer (23.76%) followed by Consumption loan (19.52%).

Based on the NRB directives, the bank has sizeable loan exposure in the priority sector (26.32%) and deprived sector (5.46%). The bank has committed to fulfilling NRB and national mandates through national and international initiatives. The bank has initiated foreign borrowing from British International Investment (erstwhile CDC), IFC, and KFW to pump in liquidity in the economy. With these funds, the bank aims on promoting and supporting sustainable development projects and SMEs/ MSMEs in Nepal. The bank has also signed the Green Global Trade Finance Agreement with IFC. This is the first-ever green trade finance extended by IFC in the world. With this credit line, the bank is hoping to create a sustainable loan portfolio in both funded and non-funded exposures.

REMITTANCE



Global Remit is dedicated to provide fastest and safest way of money transfer and very competitive in terms of offering remittance with lowest sending fee and highest exchange rate. So far with the lowest sending fee and highest exchange rate offered to its customers, Global Remit has established a strong bond amongst its customers.

GIBL has been one of the strong market players in terms of offering premium customer centric, technology-oriented remittance services to its customers. It offers a robust web-based remittance service equipped with the latest security and technological features that support remittance from various international destinations to any bank's accounts and any locations in Nepal. Customer can send money through our international remittance partner using their branches or using digital platform.

With the presence of 3 representative offices in United Kingdom, Australia and India, Global IME Bank has tie up with licensed partners from more than 13 countries for international remittance to Nepal which consist of more than 40 receiving partners/banks. The remittance payment of the bank can be collected from more than 50,000 IME and GME's agents along with banks own 289 branches. In addition, Bank also provides domestic remittance service in Nepal via all its branches.

Global IME Bank has also been awarded by Nepal Rastra Bank for bringing in the highest remittance into Nepal

In an effort to increase inward remittance and to promote remittance through formal channels, the bank has launched deposit schemes which offers 1% extra interest rate on FD and remittance saving account. Further in order to support migrants, bank is also offering pre migration loan "Baideshik Rojgar Tewa Karja" to aspiring migrants who are in process of going abroad for foreign employment. The loan is collateral free and can be availed digitally without visiting bank.

Along with this, our officers deployed in different countries have been marketing our NRN deposit, Janmabhumi Bachat, remittance saving account and FCY deposit schemes with attractive interest rates. In FY 2022/23, the bank opened 96 FCY NRN accounts, 21,187 Janmabhumi Bachat Khata, and as of now bank has opened 296,264 Janmabhumi Bachat Khata, and 13,252 Global IME Remitters Term Deposit Accounts.

BRANCHLESS BANKING

BRANCHLESS BANKING CENTRE

322
CENTERS

17.52%
GROWTH

24.81%
MARKET SHARE

BRANCHLESS BANKING CUSTOMERS

72+
THOUSAND
Customers

19.4%
GROWTH

22.58%
MARKET SHARE

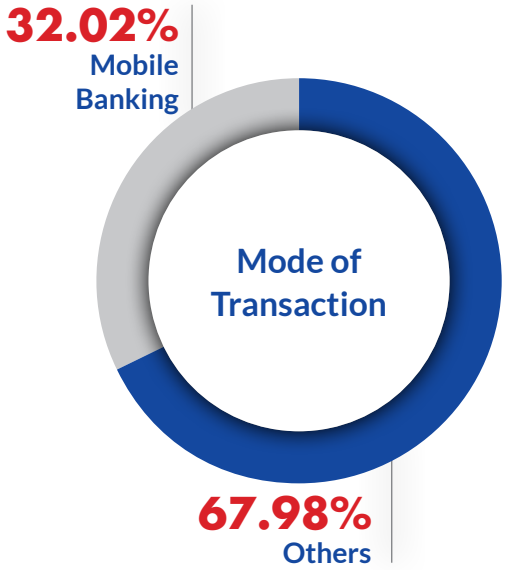
The Bank has played a crucial role in catering to the rural customers who were earlier devoid of formal banking services because of their geographical location. The Bank has been offering apt products and swift services to empower these rural customers by inculcating a habit of saving in them. The Bank's technologically robust and operationally efficient branchless banking service has not only served the banking needs of its rural customers but also played a major role in economic empowerment of the rural communities who were earlier untouched by the formal banking channels.

The bank has attempted to provide three types of accounts under BLB scheme to meet depositors' day-to- day and savings needs: Global Branchless Banking (Normal Savings), Branchless Banking Fixed Deposit, and BLB Current Account. Within these three schemes, the bank has opened over 72 thousand accounts. This fiscal year, the bank saw 17.52% increase in accounts.

All of these three products have been equally popular among the communities across the country- with equal exposure and access. Of the total accounts, on aggregate, 52% were of female and 48% were of male. The growth in account opening has also been positive and symmetric with 18% growth in male users and 20% growth in female users. This shows the progress of our BLB agents and the prospect of opening branches in the future.



MOBILE BANKING AND INTERNET BANKING



+32%
1.95+
MILLION
MOBILE BANKING USERS

+16%
0.27+
MILLION
INTERNET BANKING USERS



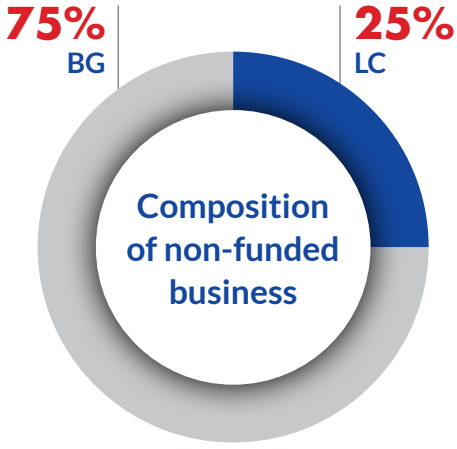
Global Smart - the mobile banking service of GIBL has been a great tool for its varied customers to carry out their banking transactions at their fingertips. Though the quick, simple and convenient platform of mobile banking, the Bank has been offering services of fund transfer, bank statements, interbank fund transfer, missed call banking, utility payment, credit card payment, account information, information on exchange rates, bank branches, offers and discounts of the Bank to name a few.

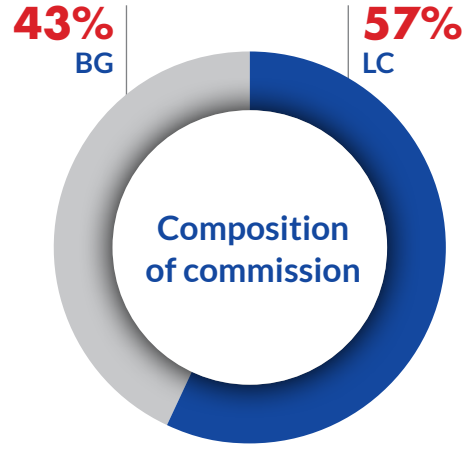
The use of mobile banking and internet banking has been widely adopted post pandemic in Nepal. In order to accommodate this trend, the bank has newly launched Global Smart Plus application. Additionally, Global Smart Plus application is integrated with omni-channel which allows simple and convenient way to take command of the bank account on mobile phone or PC. This is an upgrade to our previous application which covers wide range of services and is convenient to use. In this FY 2022/23, the bank recorded a growth of 32.84% in mobile banking users and a growth of 16% in internet banking users.

This increase in user base has drastically reduced the footfall in our branches. Of the total customer transaction in the fiscal year, 32% of those were done through mobile banking. In the last FY 2021/22, the share of mobile banking transaction was 21%.

The use of internet banking is also gradually increasing. It only represented 1.38% of the total transaction This is due to the abrupt jump in adoption of internet banking as a mode of a transaction from thousands to now tens of thousands of transactions.

TRADE PROMOTION AND MARKETING





GIBL share of Import LC to total Import of Nation in FY 2022-23

Amount in Billion

Total Import of Nation (Excluding Diesel/Petrol/LPG)	1,332.96
Total Import through GIBL	97.50
% of Import through GIBL	7.31

NON-FUNDED COMMISSION

NPR **774+** MILLION

+19.3% Y-O-Y GROWTH

LC **336+** MILLION

BG **438+** MILLION

Trade Promotion and Marketing Unit's (TPMU) main objective is to promote trade business portfolio in general. The unit operates to bring out the strengths of the bank and giving a thrust to its trade business. The unit engages in marketing the trade products of the bank such as Letter of Credit (LC), Letter of Guarantee (BG), Telegraphic Transfers (TT), Documentary Collections such as Document Against Payment (DAP), Documents Against Acceptance (DAA) and Forex Transaction including foreign currency buy/sell, forward contracts, along with various loan products under trade transaction. This year led to issuance of NPR 104 billion in LC and BG volume and USD 257 Million in FCY TT volume which has contributed to the bank's increase in fees and commission income. Similarly, the non-funded commission from BG and LC amounted to NPR 770 Million, a YoY increment of 24% and NPR 51.39 Million in outward remittance (TT) a YoY increment of 18%.

The department carries out the following task to diversify trading activities.

1. Support the corporate business units and branches in formulating plans and policies for expansion of trade business.
2. Contribute to strengthening the profitability of the bank by developing and expanding trade business via aggressive marketing.
3. Support in achieving the budgetary targets of the branches by providing trainings, market information, regular interactions, liaison service with corporate office, field visits ETC in relation to trade business.
4. Conduct trainings, seminar/workshops related to trade transactions.
5. Assist business units in identifying potential market.
6. Co-ordinate/initiate tie ups and programs with relevant stake holders in the domestic as well as international market to attract and support trade business.
7. Create information pool by collecting trade-business data from the market.
8. Study and identify the bottlenecks of trade business/transaction in branches and advise the higher management with appropriate measures to solve such problems.

TREASURY AND INTERNATIONAL BANKING

"Treasury & International Banking is pivotal department of a bank dealing with acceptable level of risk and utilizing the consolidated fund of the bank optimally and profitably. The purpose of the department is to manage a bank's overall liquidity and to mitigate its financial and operational risk. The overall objective of the department is to safeguard the bank's holdings optimally and to follow the long-term strategy set out by the bank for obtaining desired results.

The Bank operates Treasury & International Banking within the parameters of the foreign exchange rules and regulations issued by Nepal Rastra Bank (NRB) and Foreign Exchange and Money Dealers' Association of Nepal (FEDAN). The department is accountable for balancing and managing the daily cash flow and liquidity of funds within the bank. The department also handles the bank's investments in securities, foreign exchange and cash instruments. The department is also highly focused on market research and development. The department recognizes and plans for the potential impact of deviations in market scenarios, banks operations, and the financial situation in which a bank operates. Treasury & International Banking has served as centralized function of the bank who administers buy/sell of foreign exchange currencies (FX), money market dealings, investment in government treasury bills/bonds, and bullion trading and transfer pricing.

Treasury & International Banking is also looking after the bank's correspondent banking relationship. Through correspondent banking relationships, the bank has access to financial services in different jurisdictions and provides cross-border payment services to their customers, supporting international trade and financial inclusion. Treasury department facilitates the branches/units with the management and funding of required nostros, cross-border payment, and pricing of international trade deals. The department also acts as a communication bridge with a correspondent bank for various kinds of issues like payment process, pricing, RMA, and compliance requirement for both parties."





INTERNATIONAL CORRESPONDENT BANKS

List of International Correspondent Banks SWIFT/BIC Codes
For Settlement through: GLBB NP KA

Currency	Correspondent Bank	SWIFT/BIC
AED	**Standard Chartered Bank**, Dubai	SCBL AE AD
AED	**Mashreq Bank**, Dubai	BOMLAEAD
AUD	**Standard Chartered Bank,** Singapore	SCBL SG 22
CAD	**Commerz Bank AG**, Frankfurt am Main	COBA DE FF
CNY	**China Construction Bank**, Shanghai, China	PCBCCNBJSHX
EUR	**Standard Chartered Bank,** Frankfurt am Main	SCBL DE FX
EUR	**Commerz Bank AG**, Frankfurt am Main	COBA DE FF
GBP	**Standard Chartered Bank**, London	SCBL GB 2L
INR	**HDFC Bank Ltd**, Mumbai	HDFC IN BB
INR	**Standard Chartered Bank**, Mumbai	SCBL IN BB
INR	**AXIS Bank**, Mumbai	AXIS IN BB FIC
INR	**IDBI Bank**, Ashok Nagar, Chennai	IBKL IN BB 005
INR	**YES Bank**, Mumbai	YESB IN BB
INR	**RBL Bank** , Mumbai	RATNINBB
INR	**ICICI Bank**, Mumbai	ICICINBBA
INR	**Mashreq Bank**, Mumbai	MSHQINBB
JPY	**Standard Chartered Bank**, Tokyo	SCBL JP JT
JPY	**Sumitomo Mitsui Banking Corporation**, Tokyo	SMBC JP JT
KRW	**Kookmin Bank**, Seoul	CZNB KR SE
SGD	**Standard Chartered Bank,** Singapore	SCBL SG 22
USD	**Mashreq Bank PSC**, New York	MSHQ US 33
USD	**Standard Chartered Bank**, New York	SCBL US 33
USD	**Habib American Bank**, New York	HANY US 33
USD	**Kookmin Bank**, Seoul	CZNB KR SE
USD	**KEB Hana Bank**, Seoul, Korea	KOEX KR SE
USD	**Industrial Bank of Korea** ,Seoul, Korea	IBKO KR SE
USD	**ICICI Bank**, Hong Kong	ICICHKHHCLR

ASBA SERVICES



C-ASBA is centralized application on ASBA (Application Supported by Blocked Amount) based issuance. Main objective of this system is to eliminate the invalid and error data by verifying the demat account number and bank account number before applying for public issues through ASBA system. Securities Board of Nepal (SEBON) provides the license for ASBA services. Global IME Bank is one of the leading ASBA member in Nepal to provide ASBA services to customers for share application.

DP CASBA Unit performs the functions of supporting, guiding, coordinating, and controlling the DP/ CASBA related activities carried out in branches and DP unit. We have now two separate DPs and one subsidiary companies/ Merchant Banking (Global IME Capital). This unit coordinates with capitals and branches. Main focus of this unit is to provide the support to branches and quality services to the customers related to DP/ CASBA.

SERVICES OFFERED

- Demat Account Opening and renewal, Mero Share Registration and renewal.
- Providing Demat statement/ detail of customer.
- Reset of Mero Share password of customers upon request.
- De-materialization of Share certificate.
- Collection DRN DIS request from outside valley branches and provide to Global IME Capital Ltd for needful action.
- Pledge and release of shares as per request of customers on Global IME Bank Ltd.
- Grievance handling of customer related to Demat, Mero Share, bonus, tax etc.

GLOBAL CONNECT CUSTOMER CARE SERVICES

Global IME Bank has launched Call Center Service called Global Connect from Bhadra 1, 2077. The Call Center is an important communication link to customers and is an important source of contact for requesting information and support services. The call center will be the primary contact point for responding to public enquiries. The Call Center centrally manages all calls coming into the Bank via a dedicated hotline telephone number.

In this age of digitization, we need to have a digital platform where the customers are attended by the Bank therefore the Global Connect has been established. In the initial phase, customers can contact Global Connect from 8:00 a.m. in the morning to 7:00 p.m. in the evening in weekdays and 8:00 a.m. in the morning to 4:00 p.m. in the evening during Fridays. Customers can also put up their query and complaints as well as request for information and give suggestions to the Bank via Global Connect.



RELATIONSHIP WITH SHAREHOLDERS

We are in forever gratitude to all of our shareholders for making this great journey possible.



Global IME Bank Ltd has always maintained the close relationship among its shareholders and other stakeholders to envision the long corporate journey. We focus on stabilizing the business and earnings so as to maximize our shareholders earnings and their confidence on us.

SHAREHOLDER'S QUERIES AND CURIOSITY

Global IME Bank Ltd addresses all the queries and curiosity raised by our shareholder during the time of our Annual General Meeting and other queries raised through various channels. All the necessary information that will be required by the shareholders for their decision making or being informed about the Bank's activities are shared through our official website, newspapers and information officer.

GRIEVANCE AND THEIR HANDLING

Global IME Bank Ltd addresses all the queries and grievances raised by our customers, for which the Bank has established the information and grievance handling desk. The details related to grievance handling desk are updated on website. During the year the Bank received 6,248 grievances from its customers which has been addressed immediately on the raise.

AGM & Dividend

	16th AGM (FY 2021-22)	17th AGM (FY 2022-23)
AGM Notice Date	15th November 2022	17th November 2023
AGM Holding Date	9th December 2022	14th December 2023
Dividend Approved		
Cash (%)	10.60	8.00
Bonus (%)	3.00	1.00

Dividend tax on the dividends

Tax on dividends declared by the Bank had been exempt for the period of two years from the date of merger with then Bank of Kathmandu Ltd (i.e. 9th January 2023). However, tax on dividend is exempt for only those shareholders who held the shares on the date of merger. Dividend of other shareholders will be taxed accordingly.

Stock Details

Particulars	NEPSE
Stock Symbol	GBIME
Market Category	Banking "A"
Year of Listing	25/12/2065
Face Value	100
Market Value as on 16th July 2023	186.00

Market Price Information

Month	Highest Price	Lowest Price	No. of Shares Traded	No. of Days Traded
Shrawan 2079 (Mid-August 2022)	-	-	-	-
Bhadra 2079 (Mid-September 2022)	-	-	-	-
Ashwin 2079 (Mid October 2022)	-	-	-	-
Kartik 2079 (Mid November 2022)	-	-	-	-
Mangsir 2079 (Mid December 2022)	240.00	205.00	436,182	6
Poush 2079 (Mid-January 2023)	217.70	197.10	1,065,319	15
Magh 2079 (Mid February 2023)	-	-	-	-
Falgun 2079 (Mid March 2023)	210.00	183.80	1,409,913	13
Chaitra 2079 (Mid April 2023)	201.00	178.10	1,815,820	21
Baisakh 2080 (Mid May 2023)	196.00	180.20	1,218,532	20
Jestha 2080 (Mid June 2023)	191.00	177.90	1,609,194	22
Ashad 2080 (Mid July 2023)	201.90	176.00	2,537,422	20

Share trading of the Bank was suspended from 16th June 2022 to 6th Dec 2022 and from 9th Jan 2023 to 20th Feb 2023 after the Bank entered into merger agreement with Bank of Kathmandu Ltd.

CREDIT RATING

ICRA Nepal Limited has assigned Issuer Rating of "[ICRANP - IR] A-". Issuer with rating of "[ICRANP - IR] A-" are considered to have adequate degree of safety regarding timely servicing of financial obligations and the rated entity carries very low credit risk.

QUARTERLY FINANCIALS

Quarterly Results	Period	Published Date	EPS (Rs.)
Unaudited Results of 1st Quarter	17th July 2022 to 17th October 2022	24th October 2022	20.00
Unaudited Results of 2nd Quarter	18th October 2022 to 14th January 2023	21st January 2023	18.07
Unaudited Results of 3rd Quarter	15th January 2023 to13th April 2023	20th April 2023	17.08
Unaudited Results of 4th Quarter	14th April 2023 to 16th July 2023	6th Aug 2023	20.77

FIVE YEARS FINANCIAL HIGHLIGHTS

	FY 2018/19	FY 2019/20	FY 2020/21	FY 2021/22	FY 2022/23
INCOME STATEMENT					
Interest Income	13,530.88	20,489.40	21,693.58	29,058.37	48,210.08
Interest Expenses	8,288.54	12,267.39	12,554.46	18,768.81	31,103.09
Net interest income	**5,242.35**	**8,222.01**	**9,139.13**	**10,289.56**	**17,106.99**
Fees and Commission Income	1,181.10	1,472.135	1,914.286	2,217.828	2,744.142
Operating Income	602.47	776.970	1,288.279	1,070.322	698.154
Operating Expenses	2,893.81	4,348.803	5,248.357	6,084.690	7,857.624
Operating Profit (profit before provision and tax)	**4,132.11**	**6,122.31**	**7,093.34**	**7,493.02**	**12,691.66**
Provision for Loans, Investments and other Assets	198.19	1,954.43	1,125.26	466.43	3,426.14
Profit Before Tax	**3,933.92**	**4,167.89**	**5,968.08**	**7,026.58**	**9,265.52**
Tax Expense (Income Tax and Deferred Tax)	1,171.96	1,259.22	1,802.93	2,067.36	2,571.17
Profit After Tax	**2,761.95**	**2,908.66**	**4,165.15**	**4,959.22**	**6,694.36**
BALANCE SHEET					
Authorized Capital	16,000.00	25,000.00	25,000.00	25,000.00	50,000.00
Paid-up Capital	10,310.52	18,975.88	21,632.50	23,795.75	35,771.06
Shareholders' Equity	16,332.17	28,834.40	33,438.86	37,739.46	59,053.71
Deposits	124,499.32	226,643.08	283,348.58	286,559.78	439,349.07
Borrowings NRB	1,231.80	1,339.36	10,894.00	14,438.91	470.72
Borrowings Foreign	-	2,404.00	2,371.77	5,747.23	3,282.55
Debenture Outstanding	1,500.00	1,500.00	4,500.00	4,500.00	12,200.00
Loans & Advances (Excl Staff Loans and Accrued Interest)	114,060.45	200,006.02	242,447.29	272,211.67	374,356.36
Accrued Interest	298.89	1,953.70	1,554.76	1,867.21	5,471.68
Investments	13,692.50	27,362.72	49,916.64	47,537.12	90,082.53
Fixed Assets (Net)	1,373.57	2,543.21	3,252.01	5,884.77	7,740.93
Total Assets	151,653.56	273,876.59	345,423.28	360,537.22	526,882.56
Total Liabilities	135,321.39	245,042.19	312,702.84	322,797.76	467,828.85
Total Off-balance Sheet Items	43,822.64	58,313.12	71,767.63	82,600.88	99,857.39
CAPITAL MEASURES					
Risk Weighted Exposures	140,948.19	237,628.88	278,717.95	326,987.91	460,065.46
Core Capital (Tier-I)	14,884.90	25,695.10	29,418.23	33,259.37	50,219.06
Supplementary Capital (Tier-II)	2,465.72	3,966.18	7,384.39	8,163.53	11,148.47
Total Regulatory Capital	17,350.62	29,661.28	36,802.62	41,422.90	61,367.53
Capital Adequacy Ratio	12.31%	12.48%	13.20%	12.67%	13.34%
Tier-I Capital Ratio	10.56%	10.81%	10.55%	10.17%	10.92%
CREDIT QUALITY					
Non Performing Loans (NPL)	622.52	3,520.71	3,422.24	3,477.64	11,787.87
NPL to Total Loans and Advances (%)	0.55%	1.76%	1.41%	1.28%	3.15%
Provision for Non Performing Loans	491.09	2,193.17	2,516.38	2,671.93	7,396.67
Provision for Performing Loans	1,272.01	2,979.84	3,782.26	4,093.15	6,711.05

DISTRIBUTION TO SHAREHOLDERS					
Earnings per Share	26.46	17.99	19.25	20.84	22.06
Market value per Share (Public)	295.00	239.00	441.00	251.40	186.00
Price to Earning Ratio	11.15	13.29	22.90	12.06	8.43
Total Assets Value Per Share	1,470.86	1,443.29	1,596.78	1,515.13	1,472.93
Net Worth Per share	158.40	151.95	154.58	158.60	165.09
Return on Equity (%)	18.47%	12.88%	13.38%	13.93%	14.19%
Dividend Paid					
Cash (%)	12.75%	2.00%	3.50%	10.60%	8.00%
Stock (%)	12.75%	14.00%	10.00%	3.00%	1.00%
PROFITABILITY & PERFORMANCE RATIO					
Net Interest Margin (Spread) (%)	4.47%	5.12%	3.49%	3.68%	4.66%
Credit to Core Capital and Deposit Ratio (%)	78.69%	73.18%	73.18%	-	-
Credit to Deposit Ratio (%)	-	-	-	89.21%	83.47%
Cost of Fund (%)	7.18	6.53	4.99	6.41	8.42
Cash Reserve Ratio (%)	4.34	5.72	7.59	3.18	4.16
Statutory Liquidity Ratio (%)	17.39	19.29	25.08	18.11	25.24
Total Cost to Total Income Ratio (%)	41.19	41.53	42.53	44.81	38.24
Operating Profit per Employee (Rs in Million)	2.44	2.00	2.39	2.53	3.45
Operating Profit per Branch (Rs in Million)	29.94	23.82	25.98	25.93	35.45
OTHER INFORMATION					
Number of Branches	138	257	273	289	358
Number of ATMs	148	233	247	262	367
Number of Represetative Offices	3	3	3	3	3
Number of BLB Agents	171	249	257	275	322
Number of Extension and Revenue Counters	29	38	47	51	64
Number of Deposit Accounts	1,136,122	2,116,464	2,529,309	3,136,603	4,565,236
Number of Loan Accounts	29,433	54,306	56,510	61,663	78,966
Debit Card reg	310,890	498,534	657,416	868,748	890,239
Credit Card reg	15,271	17,437	20,817	24,385	18,753
Mobile Banking Customer	656,154	768,894	1,137,218	1,472,526	1,956,214
Internet Banking Customer	105,943	123,290	174,237	233,988	273,509
Number of Employees	1,696	3,059	2,962	2,966	3,677
Male Employees	1,125	1,966	1,887	1,878	2,208
Female Employees	571	1,093	1,075	1,088	1,469
Managerial Level Female Employees	10	11	12	14	33
Managerial Level Male Employees	59	98	85	96	129

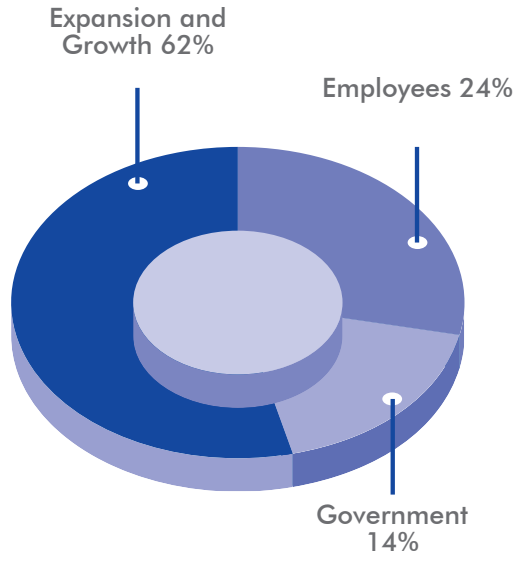
MARKET SHARE OF GLOBAL IME BANK

	Current Year			Previous Year		
	All Commercial Banks	Global IME Bank	Share of Global IME Bank	All Commercial Banks	Global IME Bank	Share of Global IME Bank
		NPR in Million			NPR in Million	
Total Loans and Advances	**4,312,591**	**374,356**	**8.68%**	**4,182,299**	**272,212**	**6.51%**
Growth Rate of Loans	3.12%	37.52%		12.44%	12.28%	
Total Deposits	**5,086,244**	**439,349**	**8.64%**	**4,545,157**	**286,560**	**6.30%**
Growth Rate of Deposit	11.90%	53.32%		8.09%	1.13%	
Term Deposit	2,898,148	253,769	8.76%	2,436,953	156,512	6.42%
Saving Deposit	1,366,476	127,886	9.36%	1,261,715	89,117	7.06%
Current Deposit	441,571	27,380	6.20%	453,605	18,633	4.11%
Call Deposit	333,864	25,174	7.54%	329,895	18,784	5.69%
Other Deposit	46,186	5,141	11.13%	62,988	3,515	5.58%
Financial Reach		**Actual Numbers**			**Actual Numbers**	
Total Branches	5,049	358	7.09%	5,009	289	5.77%
Deposit Account	43,981,888	4,565,236	10.38%	38,892,532	3,136,603	8.06%
Loan Account	1,512,193	78,966	5.22%	1,491,767	61,663	4.13%
Branchless Banking	1,298	322	24.81%	1,526	275	18.02%
Mobile Banking Users	18,438,455	1,956,214	10.61%	16,091,464	1,472,526	9.15%
Internet Banking Users	1,347,970	273,509	20.29%	1,279,475	233,988	18.29%
ATM	4,465	367	8.22%	4,235	262	6.19%
Debit Card Users	11,358,426	890,239	7.84%	10,274,413	868,748	8.46%
Credit Card Users	283,126	18,753	6.62%	238,794	24,385	10.21%

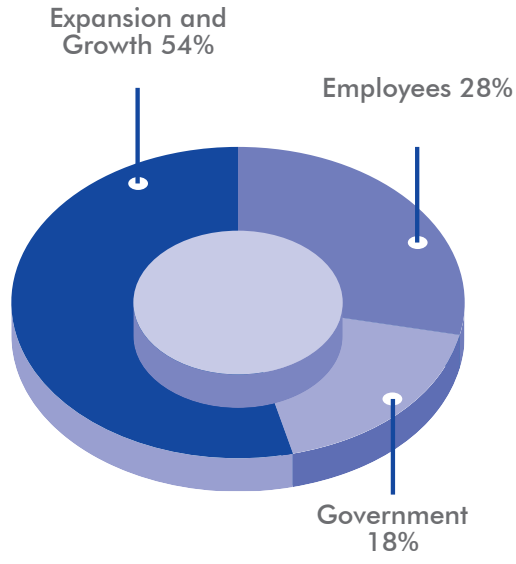
VALUE ADDED STATEMENT AND WEALTH DISTRIBUTION

	FY 2022-23		FY 2021-22	
Vale Added Statement	**RS. MILLION**	**IN PERCENTAGE**	**RS. MILLION**	**IN PERCENTAGE**
Revenue	51,652.38		32,346.52	
Net Cost for the Services	(33,662.02)		(20,751.19)	
Total Wealth Created	**17,990.36**	**100.00%**	**11,595.33**	**100.00%**
Wealth Distributed as				
To Employees				
Benefits and Remuneration	4,234.42	23.54%	3,290.73	28.38%
To Government				
Current Taxation	2,571.17	14.29%	2,067.36	17.83%
To Expansion and Growth				
Depreciation, Amortization and Loan Impairment	4,216.91	23.44%	1,278.02	11.02%
Profit for the Year Attributable to Shareholders	6,967.86	38.73%	4,959.22	42.77%
Total Distributions	**17,990.36**	**100.00%**	**11,595.33**	**100.00%**
Employees	23.54%		Employees	28.38%
Government	14.29%		Government	17.83%
Expansion and Growth	62.17%		Expansion and Growth	53.79%

WEALTH DISTRIBUTION 2022-23



WEALTH DISTRIBUTION 2021-22



AS REQUIRED BY SEC 109 OF COMPANIES ACT 2063, TO BE INCLUDED SEPARATELY WITH BOARD'S REPORT

1. Information on shares forfeited by the Bank during the year:

There is no forfeiture of share during the fiscal year 2022-23.

2. Financial position of the Bank and its subsidiary in the previous year ended:

The detailed financial position of the bank and its subsidiaries have been provided in the Director's Report and Audited Consolidated Financial Statements for the fiscal year 2022-23. The Bank's Performance has also been highlighted in the Board Report for FY 2022-23.

3. Major transactions carried out by the Bank and its subsidiary during the financial year 2022-23, and any significant changes in the business of the Bank during the period:

The major transactions carried out by the bank and its subsidiary and the change in transactions is provided in the attached Consolidated Statement of Financial Position, Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Cash Flow Statement, Statement of Changes in Equity, Significant Accounting Policies and Notes to Accounts.

4. Information provided by key shareholder to the company during the previous fiscal year.

No such transaction noted.

5. Information regarding the purchase and ownership of shares by the Directors and Management team of the company, and further information received by the company from the directors if involved in the share transactions.

The Directors and members of management team are not involved in the share transaction of the company. Management team has not taken any shares apart from the ones separated for the employees. Shareholding patterns of the Directors are as follows:

S.No.	Name of Shareholder	Representative	No. of Shares
1	Mr. Chandra Prasad Dhakal	Promoter Shareholder	8,966,410
2	Mr. Cabinet Shrestha	Promoter Shareholder	2,272,840
3	Mr. Ram Bahadur Bhandari	Promoter Shareholder	117,118
4	Mr. Radhesh Pant	Promoter Shareholder	1,363,853
5	Mr. Krishna Prasad Sharma	General Shareholder	2,657
6	Mr. Madan Lal Joshi	General Shareholder	8,320
7	Mr. Devendra Pratap Shah	Independent Director	10,784

6. Information provided to the company by any directors or his close relatives on their personal interest in the company related agreements in the previous fiscal year.

No such information have been provided to the company.

7. If company has purchased its own shares, the reason for purchasing its own shares, the number of shares purchased and the amount and also the payment by the company for such kind of purchase details.

No such transaction has taken place.

8. Distribution of Profit:

The bank has recommended distributing bonus shares of Rs. 357,710,596.55 (i.e. 1.00%) and cash dividend of Rs. 2,861,684,772.43 (i.e. 8.00%) from its net profit of current year and retained earnings. Net profit has been transferred to statutory and regulatory reserves as directed by Nepal Rastra Bank. These distribution has been shown in the financial statements accordingly.

9. Statement of the total management expenses for the financial year

Particulars of the total management expenses for the financial year 2022-23 are as follows:

Particulars	Amount
Staff Expenses*	4,234,417,863
Other Operating Expenses	3,623,205,681
Total	**7,857,623,544**

* Staff Expenses include provision for annual staff bonus of Rs 1,029,502,688.

10. Details on the members of the Audit Committee; salary, bonus and facilities provided to the members; work carried out by the committee and any suggestions given:

The Bank has Audit Committee comprising of the following members:

Mr. Ram Bahadur Bhandari, Director	- Coordinator
Mr. Krishna Prasad Sharma, Director	- Member
Chief, Internal Audit Department	- Member Secretary

For every audit meeting held, the audit committee members get Rs. 15,000/- allowance. In this current fiscal year, a total allowance of Rs. 390,000/- has been paid to the audit committee members. Audit committee, in regular intervals, discusses internal and annual audit report prepared by Internal Audit Department and presents it to the Board of Directors. During the review year, Audit Committee meeting was held 13 times with different agenda. As a result, the committee has given suggestions to the Board of Directors on various areas of financial position, internal control operation, legal compliance and risk minimization.

11. Payments due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank and their close relatives, or from any firm, company or corporate body in which they are involved in.

No payment is due to the Bank from any Directors, Managing Director, Chief Executive or the key shareholders of the Bank or any of their close relatives, or from any firm, company or corporate body in which they are involved in.

12. Remuneration, allowances and facilities provided to the Directors, Managing Director, Chief Executive Officer and other official of the bank.

The amounts paid as remunerations, allowances and facilities to the Directors, Chief Executive Officer and other office bearers are as provided below:

a. Chairman and Board members:

Chairman of the Board of Directors and the Board members get Rs. 17,000 and Rs. 15,000 respectively as meeting allowance per meeting and the sub-committee members get Rs. 15,000 as meeting allowance per meeting. Sum of Rs. 10,000 per month is provided to directors for communication and traveling facilities.

During the fiscal year a sum of Rs 1,519,000 has been paid to the Chairman and the board members as allowance and Rs 1,361,500 for sub-committee members (including audit committee members). Rs. 1,741,478 has been incurred as other expenses. Auditor Remuneration expense of Rs. 4,520,000 has been incurred during the year.

b. Chief Executive Officer, Company Secretary and other officials:

i. The detail of salary and allowance paid to CEO is as below:

Particulars	Amount
Salary	7,596,000.00
Allowance	5,040,000.00
Provident Fund	759,600.00
Leave Fare Allowance	1,053,000.00
Dashain Allowance	1,053,000.00
Others	-
Total	**15,501,600.00**

The performance based salary provided to the CEO is as follows:

Staff Bonus	Rs. 6,050,055.63
Other Facilities	
a) Telephone & Mobile Expense	Rs. 37,936.00
b) Repair and maintenance of vehicle	Rs. 363,120.00
c) Fuel	Rs. 103,715.89

ii. **Company Secretary and other officials**

- For staffs up to the position of assistant manager, salary, allowance and provident fund totaling to Rs. 360,686,876 and in addition to this, fuel and mobile facility is provided as per the bank's rule.
- Company Secretary has been paid remuneration of Rs 2,145,000.00 during the year.
- Remuneration and facilities so provided has been paid only after deducting income tax and TDS as per Income Tax Act.
- Other facilities and allowances have been provided as per the company's employee bye- laws and any decision made by the board of directors.

13. Dividend yet to be collected by the Shareholders:

The dividend yet to be collected by shareholders is Rs. 64,311,333.98.

14. Details of property purchased or sold u/s 141 by the Bank during the year:

a) The details of assets required by the bank such as vehicle, office equipment, capital expenditure, leasehold improvement purchased and sold has been shown under schedule 4.13 of the attached financial statement.

b) The bank has purchased or sold the assets as per the prevailing market price and the procedures prescribed in the financial policy of the bank.

15. Details of transactions between related companies u/s 175.

The details of transaction between the related companies have been provided in Note 5.7 of the financial statement published with this annual report.

16. Details to be disclosed in Board of Director's report as per the Company Act and other related acts:

There are no additional details for disclosure.

17. Any other issues:

There are no other issues for disclosure.

DISCLOSURE RELATED TO SUB RULE (2) OF RULE 26 OF SECURITIES REGISTRATION AND ISSUANCE REGULATION, 2073

1. Report of Board of Directors:

Included in the Annual Report

2. Report of the Auditors:

Included in the Annual Report

3. Audited Financial Details:

Included in the Annual Report

4. Details relating to Legal Action

a. Law Suits filed by/against the Bank:

No such except business cases.

b. Law Suits filed by/against the promoters/directors involving charge of regulatory violations or criminal offences:

No information received by the Bank.

c. Case filed against any promoters/directors for financial fraud:

No information received by the Bank.

5. Analysis of share transaction and progress of organized institution:

a. Management view on share transactions of the bank on Nepal Stock Exchange:

Since the share prices are determined by open market operations at Nepal Stock Exchange under the supervision of Securities Board of Nepal, management has no comment on the same.

b. Maximum, minimum and closing share price of organized institution including total transacted number of shares and transacted days during the Year 2022-23:

Quarter (Months)	Maximum Share Price	Minimum Share Price	Closing Share Price	Total Transacted Number of Shares	Total Number of Trading days
I Quarter (Shrawan- Ashwin)*	-	-	-	-	-
II Quarter (Kartik- Poush)	244.08	197.10	210.40	1,501,501	21
III Quarter (Magh- Chaitra)	210.40	178.10	189.00	3,225,733	34
IV Quarter (Baisakh- Ashad)	201.90	176.00	186.00	5,365,148	62

** Share transaction of the bank was suspended from 16th June 2022 to 6th Dec 2022 and from 9th Jan,2023 to 20th Feb,2023 due to the prevalent regulation during the process of merger with then Bank of Kathmandu Ltd.*

6. Problems and Challenges

a. Problems and Challenges Faced:

Internal

- Minimising operational risk and cost resulted due to increase in human resource, business and banking networks after the merger with then Bank of Kathmandu Ltd.
- Maintaining good credit quality and maintain the NPA at lowest possible level.
- Maintaining the optimum business level in the complex situation of declining credit demand due to ongoing economic recession.
- Minimising the operational and management cost to generate expected return on capital.
- Inherent risk arising due to use of technology in Banking transactions and related problems.
- Maximise the utilization of knowledge, skill and capability of human resources and minimise their turnover rate.

External

- Adverse effect in national economy as result of economic recession and its direct effect in repayment by the borrowers.
- Creating sustainable banking transaction in current situation and expected level of profitability by the shareholders.
- Low credit expansion and variable deposit rates.
- Non-performing assets and recovery.
- Contraction on the expected profitability with the introduction of new policies and directions from the regulators.
- Various challenges in banking business due to recent big mergers.

b. Strategy followed by the management in solving such problems and challenges:

- Assets and liabilities management and diversification of portfolio on the basis of risk.
- Management of economic recession by collaborating with business house and individual who are directly affected by the recession.
- Rescheduling and Restructuring of Loans
- Effectively monitoring of Bank's Expenses and management of high risk assets
- Assessment of Operation, market and business risk and effectively managing such risks
- High priority in recovery and management of Non-Performing Loan.
- Strengthening of Bank's Capital adequacy and risk tolerance capacity.
- Development and expansion of innovative digital banking products and services.
- Strategic Work schedule regarding employee's training.

7. Corporate Governance

- Complying with the directions, guidelines issued by Nepal Rastra Bank regarding corporate Governance.
- Regular Central Management Committee meetings to review progress in various areas of operations.
- Bank's Internal Audit Department has been strengthened.
- Board of Directors and its Committees' meeting are held on regular basis.
- Asset Liabilities and Committee and Risk Management Committee (Operation, Credit and Market) meetings are held regularly.
- Board of Directors and Management are committed to maintain corporate governance.
- Committed to comply with Directives on Good Corporate Governance of a Body Corporate,2074 issued by Securities Board of Nepal for all listed body corporate.

PYC & ASSOCIATES
Chartered Accountants

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Kathmandu Nepal
T: +977 1 4531951

P. J. P. N. & Co.
Chartered Accountants

GPO Box 10309, Kamalpokhari
Kathmandu Nepal
T: +977 1 4428887

Independent Auditor's Report

To the Shareholders of Global IME Bank Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying separate Financial Statements of Global IME Bank Ltd (the "Bank") and the Consolidated Financial Statements of the Bank and its subsidiaries (the "Group"), which comprise the Consolidated Statement of Financial Position as at Ashad 31, 2080 (July 16, 2023), and the Consolidated Statement of Profit or Loss, Consolidated Statement of Other Comprehensive Income, Consolidated Statement of Changes in Equity and Consolidated Statement of Cash Flows for the year then ended, and notes to the Consolidated Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Group as at Ashad 31, 2080 (July 16, 2023), and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Nepal Financial Reporting Standards.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Handbook of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Nepal (ICAN) and we have fulfilled other ethical responsibilities in accordance with ICAN's Handbook of the Code of Ethics for Professional Accountants. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

EMPHASIS OF MATTER

Litigation on taxation of transactions relating to mergers and acquisitions: We draw attention to *Note 4.28.5 Litigations*, where the bank jointly with other banks, has filed a case in the Supreme Court of Nepal, after the reporting date on 15 September, 2023 (29 Bhadra, 2080) against the provision of Finance Act 2080 relating to the tax liability on bargain purchase gain, if any arises from the merger & acquisitions. The bank acquired/merged with 20 different banks and financial institutions since its establishment till the current financial year. Tax liability on the same if any is contingent upon the verdict of the Supreme Court.

Our opinion is not modified with respect to the above matter.

Other Matter

We did not audit the financial statements of subsidiary companies, namely Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, and JBNL Securities Ltd. The financial statements and other financial information have been audited /certified by other auditors/ management whose reports have been furnished to us by the management. Our opinion on the financial statements so far as it relates to the accounts and disclosures included in respect of the subsidiaries are based solely on the report of other auditors or as certified by the Management.

Our opinion on the consolidated financial statements is not modified with respect to the above matter.

Key Audit Matters

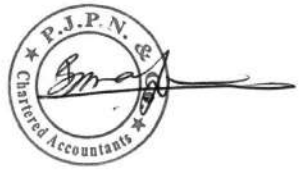
Key audit matters are those matters that, in our professional judgment, were the most significant in the audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the *Basis for Opinion* section, we have determined the matters described below to be the key audit matters to be communicated in our report.

S.N	Key Audit Matters	Auditor's Response
1.	**Interest Recognition** *(Ref. Note 3.19 and 4.29 of Financial Statements)* The interest income of the bank is recognized on an accrual basis and follows the Interest Income Recognition Guidelines issued by NRB. Recognition of interest income on bad loans involves the judgments on calculating the net realizable value of loans and advances. As an automated system is yet to be used to suspend recognition of income based on the overdue status of the loan and fair value of collateral as well as a review of fair valuation of collateral on a regular basis, manual intervention is required in the interest recognition process and hence create a risk of improper application of the guidelines and determination of the Fair Value of the collateral. This may, in turn, have an effect on the recognition of interest income of the bank. thus, considered them as key audit matters.	Our audit approach regarding verification of the process of interest recognition included: a. Obtaining a clear understanding of the process of accrual of interest income on loans and advances in the Core Banking Software of the bank. b. For fair value of collateral, we relied on the latest available valuation report of the collateral and have test-checked it as per NRB Income Recognition guidelines. c. Test-checked the interest income recording with manual computation on sampled borrowers. d. Test-checked the premium charged on sampled borrowers from the report provided and basis taken by the management.
2.	**Investment Valuation and Impairment** *(Ref. Note 4.8, 4.10 and 4.11 of Financial Statements)*	Our audit approach regarding verification of the process of investment valuation, identification and impairment included:

	Investment of the bank comprises investment in government bonds, T-bills, development bonds, and investment in quoted and unquoted equity instruments. The valuation of the aforesaid securities has been done in compliance with NFRS and NRB Directive. Given the varieties of treatments recommended for the valuation of investment based on the nature of cash flow, the business model adopted, the complexity of calculations and the significance of the amount involved in such investments, we have considered this as Key Audit Matter.	a. Review of the investment of the bank and its valuation having reference to NFRS and NRB Directives. b. Assess the nature of the expected cash flow of the investments as well as the business model adopted by the management on the basis of available evidence/circumstances and ensured that the classification of investment is commensurate with the nature of cash flow and management's intention of holding the investment. c. Test check the Effective Interest Rate and amortization schedule on a test basis for the investment valued at amortized cost. d. Ensure that fair valuation has been done at the closing rate in NEPSE at the year-end for quoted investment and for the unquoted investment, net assets value based on the financial reports.
3.	**Impairment of Loans and Advances** *(Ref. Note 2.12, 4.6, 4.7 and 4.35 of Financial Statements)* As per NRB Directive 4, the bank shall measure impairment loss on loans and advances at the higher of: ▪ Amount derived as per norms prescribed by Nepal Rastra Bank for loan loss provisioning; and ▪ Amount determined adopting Incurred Loss Model per the Carve out provided on NFRS 9 financial instruments - impairment. Impairment of loans and advances under incurred loss model requires assessment of future cash flows as well as historical loss experiences of portfolios. On the other hand, impairment of loans and advances under NRB norms for loan loss provisioning require assessment of the overdue status of loans and advances and proper utilization of loans for the intended purpose. Significant estimates and assumptions used by the management in such calculations. Hence, the assessment of the availability and accuracy of required data for impairment of loans and advances under incurred loss model as well as NRB provisioning norms are considered a key audit matter.	Our audit approach regarding verification of impairment of loans and advances included: a. Test the operating effectiveness of key controls established by the bank to identify loss events and for determining the extent of provisioning required against non-performing loans and advances. b. Review the overdue status of loans and advances by obtaining data from the system and matching the same with the NRB 2.2 report. c. Review of sampled credit files, among other things, from the perspective of utilization of loans and advances for the intended purpose by way of scrutiny of financial statements, account movement, account turnover etc. including the business visits of the selected borrowers. d. Review of credit files of sampled borrowers for expected future cash flows with an indication of impairment are assessed on the basis of realizable value of collateral securities based on management estimate. e. Assess the grouping of homogeneous group of loans on the basis of the nature and purpose of loans including data of historical loss experience in portfolios based on past due data from the system as well as data of loan loss provisioning of the defined group in the past.

4.	**Information Technology (IT) System and Controls over financial reporting** IT controls with respect to recording transactions, generating various reports in compliance with NRB guidelines and other compliances to regulators is an important part of the process. Such reporting is heavily dependent on the effective working of Core Banking Software (CBS) and other allied systems. We have considered this a key audit matter as any control lapses, validation failures, incorrect input data, and errors in the extraction of data may result in incorrect financial reporting.	Our audit approach regarding the information technology of the bank is based upon the Information Technology Guidelines issued by NRB and it included: a. Understanding of the business processes, IT Systems used to generate and support those balances and associated IT application controls and IT dependencies in manual controls. b. Understanding the coding system adopted by the bank for various categories of customers c. Evaluating and testing the design and operating effectiveness of certain control activities over the integrity of the material IT systems that the relevant to financial reporting. d. Understanding the feeding of the data in the system and going through the extraction of the financial information and statements from the IT system existing in the bank. e. Checking the user /authority matrix for any changes in the regulations/ policy of the bank f. Reviewed the reports generated by the system on a sample basis and verified the interest income and expense booking regarding loan and deposit on a test basis with the CBS of the bank.
5.	**Goodwill on Merger and Acquisition** *(Ref. Note 3.9 and 4.14 of Financial Statements)* Following the merger with Bank of Kathmandu Ltd during the year, the bank has calculated the goodwill based on the fair value at the acquisition date, duly certified by the independent valuer/expert. The bank is required to annually test the amount of goodwill for impairment, which is complex, highly judgmental, and based on several assumptions and indicators that are affected by expected future market or economic conditions. Thus, we have considered this as a key audit matter.	Our audit approach regarding recognition of goodwill on business combination is based upon NFRS 3 with interpretation, explanatory notes issued by ASB, and guidance notes issued by ICAN and it included: a. Reviewing the calculation and recognition of goodwill based on the agreed prices (as per due diligence report) including the terms and conditions of the merger and acquisition in line with the above guidance note. b. Reviewing the fair value calculation at the acquisition date of both banks and report of independent consultant in this respect. c. Reviewing impairment testing of goodwill including the assumptions and other indicators taken by the bank.





Information other than the Consolidated Financial Statements and Auditor's Report thereon

The Bank's management is responsible for the preparation of the other information. The other information comprises the information included in the Management Report, Report of the Board of Directors, and Chairman's Statement but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. As the other information documents are in the process of completion, the management has provided written representation that the final version of the documents will be provided when available thus we have nothing to report in this regard.

Responsibility of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Nepal Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations or has no realistic alternative but to do so. Those charged with Governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Nepal Standards on Auditing (NSAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with NSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from

fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purposes of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management,
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We have communicated with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.





Report on the requirements of the Banks and Financial Institutions Act, 2073 and Company Act, 2063

We have obtained satisfactory information and explanations asked for, which to the best of our knowledge and belief were necessary for the purpose of our audit; the returns received from the branch offices of the bank, though the statements are independently not audited, were adequate for the purpose of the audit; the consolidated financial statements including the consolidated statement of financial position, consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statement of changes in equity, consolidated statement of cash flows including a summary of significant accounting policies and other explanatory notes have been prepared in all material respect as per the procedures and format prescribed by Nepal Rastra Bank and are in agreement with the books of accounts of the Bank; and the accounts and records of the Bank are properly maintained in accordance with the prevailing laws.

To the best of our information and according to the explanations given to us, in the course of our audit, we did not come across cases where the business of the Bank and transactions were not conducted within the scope of its authority. We observed that the loans have been written off as specified and we did not come across cases of accounting-related fraud and cases where the board of directors or any director or any office bearer of the Bank has acted contrary to the provisions of law or caused loss or damage to the Bank or committed any misappropriation of the funds of the bank.

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

UDIN No.: 231105CA00185ZSH9Z

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

UDIN No.: 231105CA00052aoR2o

Place: Kathmandu, Nepal
Date: 5 November 2023

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As on 31st Ashad 2080 (16th July 2022)

Amount in Rs.

		Group		Bank	
		Current Year	Previous Year	Current Year	Previous Year
	Note	Rs	Rs	Rs	Rs
Assets					
Cash and Cash Equivalent	4.1	29,695,930,524	18,698,097,038	28,531,853,793	18,198,066,315
Due from Nepal Rastra Bank	4.2	18,649,052,888	11,930,868,071	18,649,052,888	11,930,868,071
Placement with Bank and Financial Institutions	4.3	668,727,450	-	668,727,450	-
Derivative financial instruments	4.4	996,239,429	1,265,935,824	996,239,429	1,265,935,824
Other trading assets	4.5	1,205,710,850	867,969,808	-	-
Loan and advances to B/FIs	4.6	11,035,986,519	8,800,199,800	13,660,224,854	10,751,322,217
Loans and advances to customers	4.7	361,757,979,882	266,410,628,989	354,466,748,244	258,087,531,600
Investment securities	4.8	87,674,740,063	46,527,011,373	87,591,673,563	46,513,511,373
Current Tax Assets	4.9	3,554,131,782	2,429,317,076	3,379,899,906	2,238,645,152
Investment in subsidiaries	4.10	-	-	650,695,250	370,695,250
Investment in associates	4.11	2,274,269,653	1,078,397,513	1,840,164,899	652,916,735
Investment property	4.12	1,744,769,197	570,893,919	1,733,323,553	559,448,275
Property and equipment	4.13	7,891,058,770	5,995,838,713	7,740,931,938	5,884,766,979
Goodwill and intangible assets	4.14	908,065,662	498,247,610	905,684,124	495,782,678
Deferred Tax Assets	4.15	117,953,348	313,329,644	16,633,758	180,132,467
Other Assets	4.16	6,282,600,184	3,463,935,795	6,050,709,293	3,407,597,534
Total Assets		**534,457,216,201**	**368,850,671,173**	**526,882,562,942**	**360,537,220,470**
Liabilities					
Due to Bank and Financial Institutions	4.17	14,488,472,228	12,252,188,597	13,023,623,863	9,594,870,797
Due to Nepal Rastra Bank	4.18	470,715,561	14,438,907,756	470,715,561	14,438,907,756
Derivative financial instruments	4.19	946,946,972	1,271,009,520	946,946,972	1,271,009,520
Deposit from customers	4.20	428,704,103,327	279,600,259,178	426,325,446,161	276,964,909,623
Borrowing	4.21	3,282,545,590	5,747,233,648	3,282,545,590	5,747,233,648
Current tax liabilities	4.9	2,857,161,694	2,364,798,682	2,788,102,452	2,203,840,353
Provisions	4.22	-	-	-	-
Deferred Tax Liabilities	4.15	-	-	-	-
Other Liabilities	4.23	10,613,612,621	9,305,061,706	8,809,882,484	8,084,119,352
Debt securities issued	4.24	12,181,589,400	4,492,869,348	12,181,589,400	4,492,869,348
Subordinated Liabilities	4.25	-	-	-	-
Total Liabilities		**473,545,147,393**	**329,472,328,435**	**467,828,852,483**	**322,797,760,397**
Equity					
Share capital	4.26	35,771,059,655	23,795,753,339	35,771,059,655	23,795,753,339
Share premium					-
Retained earnings	4.27	4,132,001,814	4,026,504,269	3,243,361,568	3,239,226,171
Reserves	4.27	20,339,563,689	10,993,992,848	20,039,289,236	10,704,480,563
Total equity attributable to equity holders		**60,242,625,158**	**38,816,250,456**	**59,053,710,459**	**37,739,460,073**
Non-controlling interest		**669,443,650**	**562,092,282**		
Total Equity		**60,912,068,808**	**39,378,342,738**		
Total Liabilities and Equity		**534,457,216,201**	**368,850,671,173**	**526,882,562,942**	**360,537,220,470**
Contingent Liabilities and Commitment	4.28	**99,857,389,569**	**82,600,879,928**	**99,857,389,569**	**82,600,879,928**
Net Assets Value per Share				**165.09**	**158.60**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Cabinet Shrestha
Director

Radhesh Pant
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

Chandra Raj Sharma
Assistant Chief Executive Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)

Amount in Rs.

		Group		Bank	
		Current Year	Previous Year	Current Year	Previous Year
	Note	Rs	Rs	Rs	Rs
Interest Income	4.29	49,495,297,765	30,050,080,075	48,210,079,805	29,058,367,013
Interest Expenses	4.30	31,833,335,212	19,139,302,233	31,103,088,791	18,768,811,399
Net interest income		**17,661,962,553**	**10,910,777,842**	**17,106,991,014**	**10,289,555,614**
Fee and Commission Income	4.31	2,964,226,212	2,628,277,994	2,744,142,023	2,217,827,855
Fee and Commission Expense	4.32	717,540,678	649,159,961	683,570,414	535,516,508
Net fee and commission income		**2,246,685,534**	**1,979,118,033**	**2,060,571,609**	**1,682,311,347**
Net interest, fee and commission income		**19,908,648,087**	**12,889,895,875**	**19,167,562,623**	**11,971,866,961**
Net Trading Income	4.33	620,226,487	256,623,182	474,601,196	594,205,883
Other Operating Income	4.34	194,597,557	491,875,749	215,026,625	472,847,798
Total operating income		**20,723,472,131**	**13,638,394,806**	**19,857,190,444**	**13,038,920,642**
Impairment charge/(reversal) for loans and other losses	4.35	3,505,413,044	513,665,966	3,426,139,062	466,431,088
Net Operating Income		**17,218,059,087**	**13,124,728,840**	**16,431,051,382**	**12,572,489,554**
Operating Expenses					
Personnel Expenses	4.36	4,575,412,558	3,604,218,444	4,234,417,863	3,290,725,812.49
Other Operating Expenses	4.37	1,945,590,158	1,517,131,545	1,875,361,351	1,446,858,511.50
Depreciation and Amortization	4.38	829,401,019	677,499,471	790,774,873	647,131,708.99
Operating profit		**9,867,655,352**	**7,325,879,380**	**9,530,497,295**	**7,187,773,521**
Non operating income	4.39	17,149,912	69,097,914	8,525,937	3,268,779
Non operating expense	4.40	273,662,248	164,457,353	273,499,043	164,457,353
Profit before income tax		**9,611,143,016**	**7,230,519,941**	**9,265,524,189**	**7,026,584,947**
Income Tax Expense	4.41				
Current tax		2,849,924,830	2,326,402,704	2,788,102,452	2,165,532,758
Deferred tax		(180,265,744)	(238,095,272)	(216,936,058)	(98,172,554)
Profit for the Year		**6,941,483,930**	**5,142,212,509**	**6,694,357,795**	**4,959,224,743**
Profit attributable to:					
Equity holders of the Bank		6,862,914,508	5,066,365,291		
Non-controlling interest		78,569,422	75,847,218		
Profit for the Year		**6,941,483,930**	**5,142,212,509**	**6,694,357,795**	**4,959,224,743**
Earnings per Share	4.42				
Basic earnings per share				**22.06**	**20.84**
Diluted earnings per share				**22.06**	**20.84**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Cabinet Shrestha
Director

Radhesh Pant
Director

Prakash Jung Thapa, FCA
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Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)

Amount in Rs.

		Group		Bank	
		Current Year	Previous Year	Current Year	Previous Year
	Note	Rs	Rs	Rs	Rs
Profit for the year		**6,941,483,930**	**5,142,212,509**	**6,694,357,795**	**4,959,224,743**
Other comprehensive income, net of income tax					
a) Items that will not be reclassified to profit or loss					
Gains/(losses) from investments in equity instruments measured at fair value	4.8	(1,174,179,557)	6,008,897	(1,172,529,057)	19,543,990
Gains/(losses) on revaluation			-		-
Actuarial gain/(losses) on defined benefit plans	4.23	191,010,554	122,104,602	190,872,197	121,194,912
Income Tax relating to above items	4.15	294,999,662	(38,434,050)	294,497,058	(42,221,671)
Net other comprehensive income that will not be reclassified to profit or loss		**(688,169,341)**	**89,679,449**	**(687,159,803)**	**98,517,232**
b) Items that are or may be reclassified to profit or loss					
Gains/(losses) on cash flow hedge					
Exchange gains/(losses) (arising from translating financial assets of foreign operation)					
Income Tax relating to above items					
Reclassify to profit or loss					
Net other comprehensive income that are or may be reclassified to profit or loss				**-**	**-**
c) Share of other comprehensive income of associate accounted as per equity method					
Other comprehensive income for the year, net of income tax		**(688,169,341)**	**89,679,449**	**(687,159,803)**	**98,517,232**
Total comprehensive income for the year		**6,253,314,589**	**5,231,891,958**	**6,007,197,993**	**5,057,741,975**
Total comprehensive income attributable to:					
Equity holders of the Bank		6,174,986,999	5,158,226,641		
Non-controlling interest		78,327,590	73,665,317		
Total comprehensive income for the period		**6,253,314,589**	**5,231,891,958**	**6,007,197,993**	**5,057,741,975**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

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Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)

Amount in Rs.

	Group										
	Attributable to Equityholders of the Bank										
	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Total Shareholders' Funds	Non Controlling Interest	Total Equity
Balance as at Shrawan 1, 2079	**23,795,753,339**	**-**	**6,368,864,962**	**203,845,520**	**1,561,277,907**	**178,379,395**	**4,026,504,269**	**2,681,625,064**	**38,816,250,456**	**562,092,282**	**39,378,342,738**
Adjustment/Restatement	-	-	(5,500,687)	-	-	-	(24,713,830)	(550,068)	(30,764,585)	(19,632,176)	(50,396,762)
Adjusted/Restated balance at Shrawan 1,2079	**23,795,753,339**	**-**	**6,363,364,274**	**203,845,520**	**1,561,277,907**	**178,379,395**	**4,001,790,439**	**2,681,074,996**	**38,785,485,870**	**542,460,106**	**39,327,945,976**
Comprehensive Income for the year									-		-
Profit for the year	-	-	-	-	-	-	6,862,914,508	-	6,862,914,508	78,569,422	6,941,483,931
Other Comprehensive income, net of tax											
Gains/(losses)from investments in equity instruments measured at fair value	-	-	-	-	-	(821,636,852)	-	-	(821,636,852)	(288,838)	(821,925,690)
Gains/(losses) on revaluation	-	-	-	-	-						-
Actuarial gains/(losses) on defined benefit plans							-	133,709,343	133,709,343	47,006	133,756,349
Gains/(losses) on cash flow hedge									-		**-**
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-		**-**
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**(821,636,852)**	**6,862,914,508**	**133,709,343**	**6,174,987,000**	**78,327,590**	**6,253,314,590**
Transfer to reserve during the period											-
General Reserve Fund	-	-	1,360,311,860	-	-	-	(1,360,311,860)	-	-	-	-
Exchange Fluctuation Fund	-	-	-	4,625,119	-	-	(4,625,119)	-	-	(40,950)	(40,950)
Corporate Social Responsibility Fund	-	-	-	-	-	-	(42,853,431)	42,736,658	(116,773)	-	(116,773)
Training Reserve	-	-	-	-	-	-	(25,406,761)	25,406,761	-	9,766,657	9,766,657
Regulatory reserve	-	-	-	-	1,933,379,229	-	(1,904,074,032)	(29,309,481)	(4,285)	-	(4,285)
Debenture Redemption Reserve	-	-	-	-	-	-	(445,723,684)	445,723,684	-	(479,302)	(479,302)
Client Protection Fund	-	-	-	-	-	-	(647,937)	(2,661,952)	(3,309,889)	-	(3,309,889)
Interest Capitalized reserve	-	-	-	-	-	-	(16,360,164)	16,360,164	-	-	-
Transfer from reserve during the period									-		-
Investment Adjustment Reserve	-	-	-	-	-	-	397,000,000	(397,000,000)	-	-	
Other Reserve	-	-	-	-	-	-	26,618,549	(26,618,549)	-	-	-
Capital Reserve Fund	-	-	-	-	-	-	164,075	(164,075)	-	-	-
Transactions with owners, directly recognised in equity	-								-		-
Transfer from merged entity	11,261,433,717	-	3,750,159,978	122,690,087	684,787,779	1,139,297,243	(86,744,048)	969,824,599	17,841,449,355	62,259,427	17,903,708,782
Dividends to equity holders											
Bonus shares Issued	713,872,600	-	-	-	-	-	(713,872,600)	-	-		-
Cash Dividend Paid	-	-	-	-	-	-	(2,555,866,121)	-	(2,555,866,121)	(22,849,878)	(2,578,716,000)
Balance at Ashad end, 2080	**35,771,059,655**	**-**	**11,473,836,112**	**331,160,726**	**4,179,444,915**	**496,039,786**	**4,132,001,814**	**3,859,082,148**	**60,242,625,157**	**669,443,651**	**60,912,068,808**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Cabinet Shrestha
Director

Radhesh Pant
Director

Prakash Jung Thapa, FCA
Partner
P.J.P.N. & Co.
Chartered Accountants

Chandra Raj Sharma
Assistant Chief Executive Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)

Amount in Rs.

	Bank								
	Attributable to Equityholders of Bank								
	Share Capital	Share Premium	General Reserve	Exchange Equalization Reserve	Regulatory Reserve	Fair Value Reserve	Retained Earning	Other Reserve	Total Shareholders' Funds
Balance as at Shrawan 1, 2079	**23,795,753,339**	**-**	**6,250,610,171**	**203,845,520**	**1,502,642,200**	**179,710,644**	**3,239,226,171**	**2,567,672,027**	**37,739,460,072**
Comprehensive Income for the year									
Profit for the year							6,694,357,795		6,694,357,795
Other Comprehensive income, net of tax									-
Gains/(losses)from investments in equity instruments measured at fair value						(820,770,340)			(820,770,340)
Gains/(losses) on revaluation									-
Actuarial gains/(losses) on defined benefit plans								133,610,538	133,610,538
Gains/(losses) on cash flow hedge									-
Exchange gains/(losses) arising from translating financial assets of foreign operation)									-
Total comprehensive income	**-**	**-**	**-**	**-**	**-**	**(820,770,340)**	**6,694,357,795**	**133,610,538**	**6,007,197,993**
Transfer to reserve during the period									
General Reserve Fund			1,338,871,559				(1,338,871,559)		-
Exchange Fluctuation Fund				4,625,119			(4,625,119)		-
Corporate Social Responsibility Fund							(42,393,693)	42,393,693	-
Training Reserve							(25,406,761)	25,406,761	-
Regulatory reserve					1,909,172,415		(1,909,172,415)		-
Debenture Redemption Reserve							(445,723,684)	445,723,684	-
Interest Capitalise Reserve							(16,360,164)	16,360,164	-
Transfer from reserve during the period									-
Investment Adjustment Reserve							397,000,000	(397,000,000)	-
Other Reserve							26,618,549	(26,618,549)	-
Capital Reserve Fund							164,075	(164,075)	
Transactions with owners, directly recognised in equity									-
Transfer from merged entity	11,261,433,717	-	3,738,740,654	122,690,087	703,901,517	1,137,965,994	(95,229,173)	959,899,452	17,829,402,248
Dividends to equity holders									
Bonus shares Issued	713,872,600						(713,872,600)		-
Cash Dividend Paid							(2,522,349,854)		(2,522,349,854)
Balance at Ashad end, 2080	**35,771,059,655**	**-**	**11,328,222,384**	**331,160,725**	**4,115,716,133**	**496,906,298**	**3,243,361,568**	**3,767,283,695**	**59,053,710,459**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Cabinet Shrestha
Director

Radhesh Pant
Director

Prakash Jung Thapa, FCA
Partner
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Chandra Raj Sharma
Assistant Chief Executive Officer

Ram Bahadur Bhandari
Director

Krishna Prasad Sharma
Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
	Rs	Rs	Rs	Rs
CASH FLOW FROM OPERATING ACTIVITIES				
Interest Received	41,435,729,172	27,417,084,417	40,203,453,374	26,280,535,393
Fees and Other Income Received	2,937,985,321	2,528,556,477	2,744,142,023	2,074,739,467
Dividend received	-	-	-	-
Receipts from other operating activities	581,400,245	866,367,485	580,355,465	866,367,485
Interest Paid	(30,200,761,813)	(18,485,298,598)	(29,981,982,451)	(18,327,046,995)
Commission and Fees Paid	(693,538,775)	(535,516,508)	(683,570,414)	(535,516,508)
Cash Payment to Employees	(3,400,016,456)	(3,165,914,886)	(3,104,166,022)	(2,905,531,186)
Other Expenses Paid	(2,115,985,954)	(1,701,244,381)	(2,010,727,579)	(1,448,354,958)
Operating cash flows before changes in operating assets and liabilities	**8,544,811,740**	**6,924,034,007**	**7,747,504,396**	**6,005,192,698**
(Increase) / Decrease in operating assets				
Due from Nepal Rastra Bank	(6,718,184,817)	13,405,245,969	(6,718,184,817)	13,405,245,969
Placements with B/FIs	(669,190,450)	-	(668,727,450)	-
Other trading assets	(145,475,434)	(305,208,454)	-	-
Loans and advances to B/FIs	1,298,442,802	(294,676,483)	616,461,123	(389,816,850)
Loans and advances to customers	6,946,174,040	(31,802,702,585)	5,968,290,678	(29,700,943,977)
Other assets	(2,487,050,123)	4,565,258,540	(2,321,590,691)	4,326,145,439
	(1,775,283,982)	**(14,432,083,013)**	**(3,123,751,157)**	**(12,359,369,419)**
(Increase) / Decrease in operating liabilities				
Due to Nepal Rastra Bank	(13,968,192,195)	3,544,909,230	(13,968,192,195)	3,544,909,230
Due to bank and financial institutions	2,139,666,608	(5,319,921,454)	2,650,154,364	(5,319,921,454)
Deposit from customers	36,431,523,084	9,519,816,452	36,688,215,473	8,531,118,020
Borrowings	(4,460,669,736)	4,478,137,925	(3,778,688,057)	3,375,464,059
Other liabilities	80,789,728	(246,152,010)	(129,850,370)	(422,223,262)
	20,223,117,489	**11,976,790,143**	**21,461,639,215**	**9,709,346,593**
Net cash flow from operating activities before tax paid	**26,992,645,247**	**4,468,741,137**	**26,085,392,454**	**3,355,169,872**
Income taxes paid	(3,466,782,345)	(1,967,884,056)	(3,345,095,106)	(1,812,759,177)
Net cash flow from operating activities	**23,525,862,902**	**2,500,857,081**	**22,740,297,348**	**1,542,410,695**
CASH FLOW FROM INVESTING ACTIVITIES				
Purchase of investment securities	(24,530,404,261)	2,243,074,021	(24,504,862,541)	2,488,395,309
Receipt from sale of investment securities	-	328,112,452	-	199,850,535
Purchase of property and equipment	(577,681,842)	(2,619,754,613)	(540,429,386)	(2,602,682,157)
Receipt from sale of property and equipment	-	369,900	-	-
Purchase of intangible assets	(43,321,780)	(22,106,946)	(43,208,779)	(21,705,691)
Receipt from sale of intangible assets	-	-	-	-
Purchase of investment properties	(1,171,326,234)	(195,260,487)	(1,171,326,234)	(195,260,487)
Receipt from sale of investment properties	-	-	-	-
Interest received	3,786,480,178	2,222,358,436	3,786,480,178	2,222,348,851
Dividend received	93,330,254	42,167,003	93,021,334	47,734,533
Net cash used in investing activities	**(22,442,923,684)**	**1,998,959,766**	**(22,380,325,428)**	**2,138,680,893**
CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of debt securities	4,991,536,157	-	4,991,536,157	-
Repayment of debt securities	-	-	-	-
Receipt from issue of subordinated liabilities	-	-	-	-
Repayment of subordinated liabilities	-	-	-	-
Receipt from issue of shares	140,000,000	-	-	-
Dividend paid	(2,577,423,348)	(788,597,591)	(2,521,057,202)	(724,097,591)
Interest paid	(1,422,758,565)	(407,357,371)	(905,068,143)	(407,357,370)
Other receipt/payment	8,765,039,547	(392,138,315)	8,389,904,270	-
Net cash from financing activities	**9,896,393,791**	**(1,588,093,277)**	**9,955,315,081**	**(1,131,454,961)**
Net increase/(decrease) in cash and cash equivalents	10,979,333,009	2,911,723,570	10,315,287,001	2,549,636,627
Cash and Cash Equivalents as at 1st Shrawan	**18,698,097,038**	**15,731,886,190**	**18,198,066,315**	**15,593,942,410**
Effect of exchange rate fluctuation on Cash & Cash Equivalents	18,500,477	54,487,278	18,500,477	54,487,278
Cash and Cash Equivalents as at Ashad End	**29,695,930,524**	**18,698,097,038**	**28,531,853,793**	**18,198,066,315**

The accounting policies and notes on pages 93 to 171 form an integral part of the Financial Statements

As per report attached.

Ratna Raj Bajracharya
Chief Executive Officer

Chandra Prasad Dhakal
Chairman

Cabinet Shrestha
Director

Radhesh Pant
Director

Prakash Jung Thapa, FCA
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Director

Devendra Pratap Shah
Director

Yuddha Raj Oli, FCA
Partner
PYC & Associates
Chartered Accountants

Date: 03/11/2023
Place: Kathmandu

Madan Lal Joshi
Director

Statement of Distributable Profit Or Loss

For the year ended 31st Ashad 2080 (17th July 2022 - 16th July 2023)
(As per NRB Regulation)

Amount in Rs.

	Bank	
	Current Year	**Previous Year**
Net profit or (loss) as per statement of profit or loss	**6,694,357,795**	**4,959,224,743**
Appropriations:		
a. General reserve	(1,338,871,559)	(1,009,721,826)
b. Foreign exchange fluctuation fund	(4,625,119)	(13,621,820)
c. Capital redemption reserve	(445,723,684)	(708,333,333)
d. Corporate social responsibility fund	(42,393,693)	(20,206,124)
e. Employees' training fund	(25,406,761)	(39,723,507)
f. Other		
i. Investment adjustment Reserve	397,000,000	-
ii. Interest capitalise Reserve	(16,360,164)	-
iii. Fair Value Reserve (Sale of Shares)		89,384,388
iv. Other Reserve	26,782,624	
Profit or (loss) before regulatory adjustment	**5,244,759,439**	**3,257,002,522**
Regulatory adjustment :		
a. Interest receivable (-)/previous accrued interest received (+)	(1,335,734,199)	(142,658,215)
b. Short loan loss provision in accounts (-)/reversal (+)	-	-
c. Short provision for possible losses on investment (-)/reversal (+)	-	-
d. Short loan loss provision on Non Banking Assets (-)/resersal (+)	(696,064,201)	(129,023,578)
e. Deferred tax assets recognised (-)/ reversal (+)	(36,822,971)	(94,258,479)
f. Goodwill recognised (-)/ impairment of Goodwill (+)	-	-
g. Bargain purchase gain recognised (-)/resersal (+)	-	-
h. Actuarial loss recognised (-)/reversal (+)	159,448,956	84,836,438
i. Other		-
Net Profit for the year end 31st Ashad 2080 available for distribution	**3,335,587,024**	**2,975,898,688**
Opening Retained Earning as on Shrawan 1,2079	**3,239,226,171**	**3,183,715,394**
Adjustment(+/-)		
Transfer from Merger	(95,229,173)	-
Distribution		
Bonus Share Issued	(713,872,600)	(2,163,250,304)
Cash Dividend Paid	(2,522,349,854)	(757,137,606)
Total Distributable profit or (loss) as on year end date	**3,243,361,568**	**3,239,226,172**
Annualised Distributable Profit/Loss per share	9.07	13.61

NOTES TO CONSOLIDATED **FINANCIAL STATEMENTS**

1. BANK

1.1 Corporate Information

Global IME Bank Limited (hereinafter referred to as "The Bank") is a public limited company, incorporated on 29th May 2006 as per the then Companies Act 1964 of Nepal. The Bank obtained its operating license from Nepal Rastra Bank on 31st December 2006. The registered office of the Bank is located at Kamaladi, Kathmandu, Nepal. Its ordinary shares are listed on the Nepal Stock Exchange Limited (the sole stock exchange in Nepal) for public trading.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements of the Bank as at and for the year ended 31st Ashad 2080 (16th July 2023) comprise the Bank (Parent Company) and its Subsidiaries (together referred to as the "Group"). The subsidiaries of the Bank are Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, BOK Capital Markets Ltd. and JBNL Securities Ltd. The Financial Statements of all companies in the Group have a common financial year which ends on 31st Ashad 2080.

1.3 Principal Activities and nature of operations

Bank

Bank provides comprehensive range of financial services encompassing accepting deposits, corporate and retail banking, project financing, trade finance, treasury and investment services, remittance and card services, foreign currency exchange services and other financial services through its strategic business units, branches, extension counters, ATMs and network of agents.

Subsidiaries

a. Global IME Capital Ltd

The principal activities of Global IME Capital Ltd are to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, fund management of mutual fund schemes, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients.

b. Global IME Laghubitta Bittiya Sanstha Ltd

The principal activities of Global IME Laghubitta Bittiya Sanstha Ltd are to provide the sustainable microfinance services to the deprived group of people and small entrepreneurs to help them in developing self-employment opportunities and various income generating activities. This microfinance is offering a broad range of microfinance products to the public who do not have access to mainstream of financial services.

c. BOK Capital Markets Ltd

The principal activities of BOK Capital Markets Ltd are to provide merchant banking services that include management of public offerings, portfolio management, registrar to shares, underwriting of securities, depository participant's service under Central Depository Service (CDS), corporate advisory services and administration and record keeping of securities of its clients.

d. JBNL Securities Ltd

The principal activities of JBNL Securities Ltd are to provide the share broker services. The entity has received the business license from Securities Board of Nepal and is in the process to start the business operation.

2. Basis of Preparation

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1. Statement of compliance

The Consolidated Financial Statement of the Group which comprises of Statement of Financial Position, Statement of Profit or Loss and Statement of Other Comprehensive Income shown as two separate statements, Statement of Changes in Equity, Statement of Cash Flows, Notes to the Financial Statements have been prepared in accordance with Nepal Financial Reporting Standards 2018 as issued by the Nepal Accounting Standard Board and in compliance with the requirements of the Companies Act, 2006, directives issued by Nepal Rastra Bank and required disclosures as per Securities Board of Nepal.

The format used in the preparation and presentation of the Financial Statements and disclosures made therein also complies with the specified formats prescribed in the directives of Nepal Rastra Bank. Bank and its subsidiaries have adopted the uniform accounting policies for all like transactions.

2.2. Responsibility of Financial Statements

The management is responsible for the preparation and presentation of Financial Statements of the Group as per Nepal Financial Reporting Standards.

2.3. Approval of financial statements

The Group reporting period is from 1st Shrawan 2079 to 31st Ashad 2080 (17th July 2022 to 16th July 2023) with the corresponding previous year from 1st Shrawan 2078 to 32nd Ashad 2079 (16th July 2021 to 16th July 2022). These financial statements have been approved by the Board of Directors on 19th Kartik 2080 (5th November 2023).

2.4. Basis of measurement

The financial statements have been prepared under the historical cost convention, except for following material items stated in the Statement of Financial Position:

- Fair value and impairment of financial instruments as per NFRS 13 and NFRS 9.
- Defined Benefit Obligations recognized as per NAS 19.
- Leases recognized as per NFRS 16.

2.5. Functional and presentation currency

Items included in these Financial Statements are measured using the currency of the primary economic environment in which the Group operates. These Financial Statements are presented in Nepalese Rupees, the Group's functional and presentation currency. Financial information presented in Nepalese Rupees has been rounded to the nearest Rupees unless indicated otherwise. There is no change in Group's presentation and functional currency during the year under review.

2.6. Materiality and Aggregation

In compliance with Nepal Accounting Standards - NAS 1 (Presentation of Financial Statements), each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately unless they are immaterial. Financial assets and liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by an Accounting Standard.

2.7. Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's classification in order to provide a better presentation. Comparative Information presented under this Financial Statements represents the information of Group that existed at the previous period. Information of erstwhile Bank of Kathmandu Ltd and subsidiaries which have merged with Global IME Bank Ltd are not presented in comparative information.

2.8. Statement of Cash Flows

The Statement of Cash Flows has been prepared by using the direct method in accordance with the Nepal Accounting Standard - NAS 7 (Statement of Cash Flows), whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognized. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible into cash and are subject to risk of insignificant changes in value.

2.9. Use of judgments and estimates

In preparing the Financial Statements of the Group in conformity with NFRSs and NASs, the management has made judgments, estimates and assumptions which affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized prospectively. Significant areas of critical judgments and assumptions in applying accounting policies that have most significant effects on the amounts recognized in the Financial Statements of the Group are explained below separately. The significant areas where the estimates and judgments have been used in applying accounting policies that have the most significant effects on the amounts recognized in these Financial Statements are as below:

- Fair value of financial instruments
- Impairment losses on financial and non-financial assets
- Useful economic life of property & equipments and intangible assets
- Defined benefit obligations
- Provisions for liabilities, commitments and contingencies

Information about significant areas of estimation and critical judgments in applying accounting policies, other than those stated above and which have significant effects on the amounts recognized in the financial statements are described in respective notes.

2.10. Going concern basis

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue its business for the foreseeable future. Management is not aware of any material uncertainties that may cast doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements of the Group continue to be prepared on going concern basis.

2.10.1. Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position, for which there is no observable market price are determined using a variety of valuation techniques. The Group measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

2.10.2. Impairment losses on loans and advances

The impairment losses on loans and advances have been calculated as per alternative treatment to the existing provisions of NFRS 9, carve out issued by Institute of Chartered Accountants of Nepal. Impairment charge however has been higher of the Nepal Rastra Bank Provision as per directives 2 or as calculated as per para 5.5 of NFRS 9. These are explained in detail in Note 4.7.

The Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of Profit or Loss. In particular, the management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and hence, actual results may differ, resulting in future changes to the provisions made.

The individual impairment provision applies to financial assets evaluated individually for impairment and is based on management's best estimate of the present value of the future cash flows that are expected to be received. In estimating these cash flows, management makes judgments about a borrower's financial situation and the net realizable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows are considered recoverable.

A collective impairment provision is established for:

- groups of homogeneous loans and advances that are not considered individually significant; and
- groups of loans and advances that are individually significant but that were not found to be individually impaired

The collective provision for groups of homogeneous loans is established using statistical methods (such as, net flow rate methodology, risk migration analysis) or a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the probability of default and amount of loss. Management applies judgment to ensure that the estimate of loss arrived at, on the basis of historical information is appropriately adjusted to reflect the economic conditions and portfolio factors as of the reporting date. The loss rates are regularly reviewed against actual loss experience.

In assessing the need for collective impairment, management considers factors such as credit quality, portfolio size, concentrations and economic factors. To estimate the required allowance, assumptions are made to define how inherent losses are modeled and to determine the required input parameters, based on historical experience and current economic conditions. The accuracy of the provision depends on the model assumptions and parameters used in determining the collective provisions.

2.10.3. Impairment of financial investments measured at fair value

The Group also records impairment charges on financial investments measured at fair value when there has been a significant or prolonged decline in the fair value below their cost along with the historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.10.4. Fair Value of Property, Plant and Equipment

Property, Plant and Equipment of the Group are reflected at fair value less any impairment losses. The Group has revalued Property, Plant and equipment at the time of merger with erstwhile Bank of Kathmandu where all the properties were revalued and necessary adjustments were included in the financial statements.

2.10.5. Useful lives of property & equipment

The Group reviews the residual values, useful lives and methods of depreciation of property & equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. Detail of useful lives of property and equipment are disclosed in Note 4.38 “Depreciation and Amortization”.

2.10.6. Deferred tax liabilities and assets

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences. Whereas, Deferred tax assets are the amounts of income taxes recoverable in future periods in respect of:

a. deductible temporary differences;
b. the carry-forward of unused tax losses; and
c. the carry-forward of unused tax credits.

Differences between book profits and tax profits that can be reversed in subsequent periods are known as temporary differences for which a deferred tax asset (DTA) or a deferred tax liability (DTL) is created.

A deferred tax asset represents a financial benefit, while a deferred tax liability indicates a future tax obligation or payment due. Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available and can be utilized against such tax losses. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.10.7. Defined benefit obligation

The cost of the defined benefit plans is determined using an actuarial valuation. Post-employment benefits of the bank like gratuity and leave services for carry-forward sick and annual leave are the defined benefit obligation of the bank. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, salary escalation rate, withdrawal rate, mortality rates, etc. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

2.10.8. Provisions for liabilities, commitments and contingencies

The Group may receive legal claims in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due processes in respective legal jurisdictions.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies other than those stated above that have significant effects on the amounts recognized in the financial statements are described in Note 4.28.

2.10.9. Leases

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets as per NFRS 16. It also uses judgment in the determination of the discount rate in the calculation of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease. As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate to measure the lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay, to borrow an amount similar to the value of the lease asset, over a similar term and with similar security in similar economic environment. Further, the Group applies judgment in evaluating whether it is reasonably certain to renew or terminate the lease at the end of the lease term. That is, it considers all relevant factors that create an economic benefit for it to exercise, either renewal or termination option.

3. Significant Accounting Policies- General

3.1. Basis of consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in accordance with the Nepal Accounting Standard - NFRS 10 (Consolidated Financial Statements).

a. Non-Controlling Interest

Non-controlling interest is "the equity in a subsidiary not attributable, directly or indirectly, to a parent". The similar term **"minority interest"** was previously used. Non-Controlling Interest (NCI) refers to ownership of a company which does not give the shareholder the control of the company.

b. Subsidiaries

The Financial Statements of subsidiaries are fully consolidated from the date on which control is transferred to the bank and continue to be consolidated until the date when such control ceases. The Financial Statements of the bank's subsidiaries are prepared for the same reporting year as the bank, using consistent accounting policies.

c. Loss of Control

The loss of control of a subsidiary is a transaction or another event in which a parent company sells its controlling interest in a subsidiary to another party.

If a parent loses control of a subsidiary, the parent:

- de-recognizes the assets and liabilities of the former subsidiary from the Consolidated Statement of Financial Position
- recognizes any investment retained in the former subsidiary when control is lost and subsequently accounts for it and for any amounts owed by or to the former subsidiary in accordance with relevant NFRSs. That retained interest is remeasured and the remeasured value is regarded as the fair value on initial recognition of a financial asset in accordance with NFRS 9 Financial Instruments or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.
- recognizes the gain or loss associated with the loss of control attributable to the former controlling interest.

d. Transaction elimination on consolidation

All the intergroup transactions between subsidiary and parent are eliminated on preparing consolidated financial statements.

e. Investment in Associates

An associate is an entity over which the Group has significant influence but not control. Significant influence is the power to participate in the financial and operating policy decisions of the investee but does not have control or joint control over these policies. The Group's investments in associates, are accounted at cost as per NAS 28 "Investment in Associates and Joint Ventures" and with the principles of NAS 27 "Separate Financial Statements". Equity accounting is based on the profit reported by associate entities on their financial statements.

3.2. Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Nepal Financial Reporting Standard - NFRS 3 (Business Combinations), interpretation and explanatory notes issued by the Accounting Standards Board (ASB) and Explanatory note on Accounting for Business Combination issued by the Institute of Chartered Accountants of Nepal (ICAN) dated 31st July 2022.

Erstwhile Bank of Kathmandu Ltd an "A" Class financial Institution has been merged with the Bank on 25th Poush 2079 (9th January 2023). The Bank has applied the requirements and principles of Nepal Financial Reporting Standard - NFRS 3 (Business Combinations) for the recognition of all transferred assets and liabilities, where goodwill and fair value has been measured accordingly.

The Group measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When excess is negative, a bargain purchase gain is recognized immediately in profit or loss, if controlling power is acquired. The changes in parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary are equity transactions. Detail of goodwill measurement and fair value measurement is disclosed in Notes 4.13 and 4.14.

3.3. Foreign Currency Transactions and Balances

All foreign currency transactions are translated into the functional currency, which is Nepalese Rupees, using the exchange rates prevailing at the dates of transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to Nepalese Rupees using the spot foreign exchange rate prevailing at that date and all exchange differences arising on non trading activities are taken to 'Other operating income' in the Statement of Profit or Loss. The foreign currency gains or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the period, adjusted for payments during the period and amortized cost in foreign currency translated at the rate of exchange prevailing at the end of the reporting period.

Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rates as at the dates of the initial transactions. Non- monetary items in foreign currency measured at fair value are translated using the exchange rates at the date when the fair value was determined.

As at 31st Ashad 2080, the principal rates of exchange used for translating foreign currency balance is NPR 131.40 to USD 1 (32nd Ashad 2079: NPR 127.90 to USD 1)

3.4. Financial Instruments- Initial recognition, Classification and subsequent measurement

3.4.1. Date of recognition

Financial Instruments, including loans and advances to customers and balances due from customers, are initially recognized on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular-way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

3.4.2. Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention when acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

3.4.3. Classification of Financial assets or liabilities

The Group classifies its financial assets into the following measurement categories as per NFRS 9:

- those to be measured at fair value (either through other comprehensive income or through profit or loss); and
- those to be measured at amortized cost.

The classification depends on the Group's business model for managing financial assets and the contractual terms of the financial assets' cash flows. The Group classifies its financial liabilities at amortized cost unless it has designated liabilities to be classified at fair value.

3.4.4. Financial instruments measured at amortized cost

Financial instruments are measured at amortized cost where they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These financial instruments are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

3.4.5. Financial instruments measured at fair value through profit or loss

Instruments measured at fair value through profit or loss comprise:

- Instruments held for trading and
- Instruments specifically designated as fair value through profit or loss on initial recognition;

Financial instruments measured at fair value through profit or loss are initially recognized at fair value, with transaction costs recognized in the income statement as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized in the income statement as they arise.

3.4.6. Financial instruments measured at fair value through other comprehensive income (FVTOCI)

Investment in equity instruments that are not held for trading is measured at fair value through other comprehensive income, where an irrevocable election has been made by management.

Amounts presented in other comprehensive income are not subsequently transferred to profit or loss. However as per the clarification from Accounting Standard Board Nepal dated 4th Kartik 2077, for sale of investments measured at FVTOCI, fair value gain on investments recognized up to previous year of sale will be recognized in Other Comprehensive income and additional realization after recognizing in OCI will be recognized in profit or loss. The bank has recognized such sale proceeds accordingly which are disclosed in Notes 4.8. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

3.4.7. De recognition of financial assets and liabilities

a. Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is de-recognized when the rights to receive cash flows from the asset have expired. The Group also de-recognizes the assets if it has both transferred the asset, and the transfer qualifies for de-recognition.

The group has transferred the asset if and only if, either:

- The group has transferred its contractual rights to receive cash flows from the asset; Or
- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement.

A transfer only qualifies for de-recognition if either:

- The group has transferred substantially all the risks and rewards of the asset; or
- The group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

b. Financial Liabilities

A financial liability is de-recognized when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as de-recognition of the original liability and the recognition of a new liability.

3.4.8. Reclassification of Financial Instruments

The Group will choose to reclassify its financial assets when and only when an entity changes its business model for managing financial assets. When the entity changes its business model, all the affected financial assets are reclassified in accordance with Note 3.4.2.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before re-classification date are subsequently made. Effective interest rates for financial assets reclassified to financial assets measured at amortized cost are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively. The Group has not made any reclassification among its financial assets from the initial recognition.

3.4.9. Determination of fair value

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of principal market, in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

❖ **Level 1 - financial instruments –**
Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Group has access to at the measurement date. The Group considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the reporting date.

❖ **Level 2 - financial instruments –**
Those where the inputs that are used for valuation are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Group will classify the instruments as Level 3.

❖ **Level 3 – financial instruments –**
Those that include one or more unobservable input that is significant to the measurement as a whole. The group evaluates the leveling at each reporting period on an instrument-by-instrument basis and reclassifies instruments when necessary based on the facts at the end of the reporting period.

3.4.10. Effective interest rate

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate at a shorter period, to the net carrying amount of the financial asset or financial liability. The amortized cost of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted amortized cost is calculated based on the original or latest re-estimated EIR and the change is recorded as 'Interest income' for financial assets and 'Interest expense' for financial liabilities if any arises. The accounting policies for the EIR method vary by instruments and are further explained in the Notes:

- for 'Financial Assets Measured at Amortized Cost'
- for 'Due from banks and loans and advances to customers'
- for 'Debt securities issued and other borrowed funds'

3.4.11. Impairment of financial assets

The Group assesses at the end of each reporting period whether there is any objective evidence that a financial asset or group of financial assets has impaired. A financial asset or group of financial assets is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Objective evidence that financial assets are impaired can include:

- significant financial difficulty of the obligor
- default or delinquency by a borrower
- breach of loan covenants or conditions, restructuring of a loan or advance
- indications that a borrower or issuer will enter bankruptcy,
- the disappearance of an active market for a security,
- deterioration in the value of collateral,
- or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers in the group, or economic conditions that correlate with defaults in the group.

i. Financial assets carried at amortized cost

The group's impairment methodology for financial assets carried at amortized cost, such as amounts due from banks, held to maturity investments comprises:

A. Specific impairment losses for individually significant or specifically identified exposures
B. Collective impairment of:

i. Individually not significant exposures
ii. Incurred but not yet identified losses

A. Specific impairment losses for individually significant or specifically identified exposures

It is the Group's policy to regularly monitor its loan portfolio. For retail and consumer lending, a specific assessment is made on an individual basis for loans that are 180 days past due. For the corporate and small business portfolio impairment indicators include:

- internal rating of the borrower indicating default or near-default,
  - the borrower requesting emergency funding from the Bank;
  - the borrower having past due liabilities to public creditors or employees;
  - a material decrease in the underlying collateral value where the sale of the financed asset is required to repay the loan;
  - a material decrease in the borrower's turnover or the loss of a major customer;
  - a material decrease in estimated future cash flows;
  - any material facility at the debtor level falling beyond 90 past due;
  - a covenant breach not waived by the Bank.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the assets carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in "Impairment charges for Loans" in the income statement.

Loans and advances together with the associated allowances are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced (but only up to the extent of the carrying amount had the impairment not been recognized) by adjusting the allowance account.

B. Collective Impairment

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (that is, on the basis of the product characteristics, industry, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated. Collective impairment losses reflect impairment losses that have been incurred in the performing portfolio but have not yet been identified by either the specific or collective assessment. These loans, similar to the 'individually not significant' exposures, are grouped into smaller homogenous portfolios by risk drivers. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified). The loss emergence period is determined and regularly monitored by the Bank for each portfolio.

The Group uses the principles of Unified Directives issued by Nepal Rastra Bank for providing impairment for loans and advances to customers together with the carve-out issued by Institute of Chartered Accountants of Nepal as mentioned in Note 3. 21.

3.5. Trading Assets

A financial instrument is classified as trading assets if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative.

3.6. Derivative assets and derivative liabilities

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, and foreign exchange rates. Derivatives are categorized as trading unless they are designated as hedging instruments. All derivatives are initially recognized and subsequently measured at fair value, with all revaluation gains recognized in income statement. Fair value is based on the quoted market price, quotes from brokers or dealers, or estimates based upon discounted expected cash flows as appropriate.

3.7. Property and Equipment

Property and equipment is stated at cost excluding the costs of day–to–day servicing less accumulated depreciation and accumulated impairment in value. An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace part of an item of property, plant and equipment. The Group applies cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation (except for freehold land) and any accumulated impairment losses. Bank Assets including acquired/ transferred on account of business combination have been recorded at fair value on the date of acquisition/merger.

Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates. Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is de-recognized. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

The carrying amount of an item of property and equipment is de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of property and equipment is included in the Statement of Profit or Loss when the item is de-recognized. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization"

Capital Work in Progress

These are expenses of capital nature directly incurred in the construction of buildings and system development, awaiting capitalization. Capital work-in-progress would be transferred to the relevant asset when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

3.8. Leases

The Group has applied NFRS 16 Leases for all the right to use identifiable assets. The recognition exemption for the short term leases have been applied accordingly.

The determination of whether an arrangement is a lease, or contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or whether the arrangement conveys a right to control the use of an identified asset for a period of time in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset, the Group considers whether:

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- The Group has right to obtain substantially all of the economic benefits from the use of the asset throughout the period of use; and
- The Group has right to direct the use of the asset. The Group has this right when it has the decision making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for

what purpose the asset is used is predetermined, the Group has the right to direct the use of the asset if either;

- The Group has the right to operate the asset; or
- The Group designed the asset in a way that predetermines how and for what purpose it will be used.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the payment of the rent. The present value has been derived using the discount rate equal to the Group's incremental borrowing rate. The Group has applied cost model after initial recognition on the commencement date and subsequent measurement. The Group has measured the right-of-use asset at cost:

a. Less accumulated depreciation and accumulated impairment and
b. Adjusted for any remeasurement of lease liabilities if any.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Groups' incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate. The lease liability is subsequently measured at amortized cost using the effective interest method.

The Group presents right of use assets under Note 4.13 to the financial statements while the corresponding lease liability is presented in Note 4.23, 'Liabilities under Finance Lease'. The detail explanation for the charge of right-of-use assets and lease liabilities has been explained in Notes. 4.23.8.

Short term leases and leases of low value assets

The Group has elected not to recognize right-of-use assets and lease liabilities for short term leases (that have a lease term of 12 months or less) and leases of low value assets. The Group recognizes lease payments associated with these leases as an expense on a straight line basis over the lease term.

3.9. Goodwill and Intangible assets

An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

Goodwill on business combination is recognized on the acquisition date at the excess of (a) over (b) below:

(a) The aggregate of:
(i) The consideration transferred measured in accordance with the NFRS 3, which generally requires acquisition-date fair value
(ii) The amount of any non-controlling interest in the acquiree measured in accordance with the NFRS 3; and
(iii) In a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree.
(b) The net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured in accordance with the NFRS 3.

The carrying amount of an item of intangible asset is de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss when the item is de-recognized.

3.10. Investment Property

Non-Banking Assets which are acquired as part of recovery of loans are classified as investment property and are carried at cost i.e. acquired value. Assets determined to be useful for internal operations are transferred to their relevant asset category at the repossessed value. Repossessed collateral is classified as investment property as per NAS 40.

3.11. Income tax

i. Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are rates applicable as per Income Tax Act 2058.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

ii. Deferred tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred taxes are recognized as income tax benefits or expenses in the income statement except for tax related to the fair value re measurement of financial instruments measured at fair value through other comprehensive income, actuarial gains/losses, which are charged or credited to Other Comprehensive Income.

3.12. Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. When the effect of the time value of money is material, the Group determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the income statement net of any reimbursement in other operating expenses.

3.13. Financial Guarantee and loan commitment

In the ordinary course of business, the group issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognized in the

financial statements at fair value, being the premium received. The premium received is recognized in the income statement in net fees and commission income on a straight line basis over the life of the guarantee.

3.14. Share Capital and Reserves

Share capital is increased when dividends in form of scrip (bonus shares) are paid to the shareholders. Proposed bonus shares are not shown as increment to share capital until approved by annual general meeting. Reserves are the accumulation of profit over the years which comprises statutory reserves and regulatory reserves created with the direction of Nepal Rastra Bank and the retained earnings after the allocation of statutory reserve and distribution of dividend to shareholders.

3.15. Earnings per share

The Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to the ordinary equity of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares, if any.

3.16. Segment Reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses, including revenue and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available. For management purposes, the Group has identified 7 provinces as operating segments. The detailed disclosure regarding segment reporting is reported in Notes 5.4.

3.17. Impairment of non-financial assets

The Group assesses the impairment requirement at each reporting date when there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

3.18. Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting agreements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Group's annual reporting schedule.

3.19. Revenue Recognition

a. Interest Income

Interest income is booked on accrual basis using the effective interest rate (EIR) method as allowed by carve-outs issued by Institute of Chartered Accountants of Nepal.

b. Fees and Commission Income

Fees and commission income earned from services that are provided over a certain period of time which includes fees collected from issuance of letter of credit, guarantees, and card related fees are recognized on time proportion basis. The Bank has availed Carve-out on NFRS for accounting of Fees and commission to include as part of EIR.

c. Dividend Income

Dividend income from assets is recognized when the Group's right to receive the payment is established.

d. Net trading Income

All the realized gains/loss and unrealized mark to market gains/loss generated by trading activities are recognized as net trading income.

e. Changes in fair value of financial instrument

Changes in fair value of equity instruments and mutual funds which are measured at fair value through other comprehensive income are charged to Other Comprehensive Income

3.20. Interest Expense

Interest expense is recorded using the effective interest rate (EIR) method to the extent material and practicable. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability.

3.21. Carve out on NFRS taken by Group

i. Calculation of Effective Interest rate

Transaction cost and fees incurred and received in obtaining deposits and lending to customers are not included in calculating the effective interest rate.

ii. Impairment Loss on Loans and advances.

Group has applied carve out provided on NFRS 9: Financial Instruments – impairment, which allows to measure impairment loss on loan and advances as the higher of amount derived as per the norms prescribed by Nepal Rastra Bank and as per Para 5.5 of NFRS 9.

4. Notes to the Consolidated Financial Statements

4.1 Cash and cash equivalent

Cash and cash equivalents include cash in hand, balance with local and foreign financial institution and money at call and short notice. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position. Bank has classified financial investments with original maturities of three months or less as cash and cash equivalents. These investments are investments in treasury bills and placements with local and foreign financial institutions which are considered highly liquid and held for the purpose of managing short term commitments of the Bank.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-cash in hand	6,594,379,913	5,866,898,223	6,594,331,623	5,866,408,718
-balance with financial institution	9,200,368,325	6,179,897,815	8,076,320,218	5,720,356,597
-money at call and short notice	39,980,334	40,000,000	-	-
-other cash and cash equivalent	13,861,201,952	6,611,301,000	13,861,201,952	6,611,301,000
	29,695,930,524	**18,698,097,038**	**28,531,853,793**	**18,198,066,315**

4.2 Due from Nepal Rastra Bank

Due from Nepal Rastra Bank includes the balance maintained with Nepal Rastra Bank in local currency and convertible foreign currency. These balance are also used in maintaining the cash reserve and liquidity ratio required by Nepal Rastra Bank. As required by the Directives no. 13 (Mandatory Cash Reserve and Statutory Liquidity Ratio) issued by Nepal Rastra Bank, minimum cash balance is maintained with the Nepal Rastra Bank. As at 31st Ashad 2080, the minimum cash reserve requirement was 4 % (2079: 3 %) of the total local currency deposit liabilities. As at 31st Ashad 2080, the statutory liquidity ratio to be maintained was 12 % (2079: 10 %) of the local currency deposit liabilities. For the purpose of calculating statutory liquidity ratio mandatory cash reserve is also included. Balances with Nepal Rastra Bank are carried at amortised cost in the Statement of Financial Position.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-statutory balance with Nepal Rastra Bank	18,649,052,888	11,930,868,071	18,649,052,888	11,930,868,071
-securities purchased under resale agreement	-	-	-	-
-other deposit and receivable from NRB	-	-	-	-
	18,649,052,888	11,930,868,071	18,649,052,888	11,930,868,071

4.3 Placements with Bank and Financial Institutions

Placement with bank and financial institutions are the inter bank deposits within Nepal and outside Nepal placed for short term. This includes placements in Nepalese rupees and foreign currency within the commercial bank of Nepal and foreign currency placements with international banks outside Nepal held for period of more than three months . Placements with maturities of three months or less are classified as cash and cash equivalents as these are highly liquid in nature. Placements are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and are measured at amortised cost using the EIR, less provision for impairment.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-placements				
-with domestic B/FIs Nepal	-	-	-	-
-with foreign B/FIs	668,727,450	-	668,727,450	-
less: allowances for impairment	-	-	-	-
	668,727,450	**-**	**668,727,450**	**-**

4.4 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-interest rate swap	-	-	-	-
-currency swap	-	-	-	-
-forward exchange contract	-	-	-	-
-others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-forward exchange contract	996,239,429	1,265,935,824	996,239,429	1,265,935,824
-others	-	-		-
	996,239,429	**1,265,935,824**	**996,239,429**	**1,265,935,824**

4.5 Other trading assets

Trading assets are securities held by group for the purpose of selling them for profit. These assets include treasury bills, government and NRB bonds, equities, mutual fund units and other securities held for trading. These assets are initially recorded at fair value and are subsequently measured at fair value through profit or loss with any realized and unrealized gains and losses included in net trading income. The bank has not acquired any assets with the intention of trading them in short term.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Treasury bills	-	-	-	-
Government bonds	-	-	-	-
NRB Bonds	-	-	-	-
Domestic Corporate bonds	76,081,695	63,118,440	-	-
Equities	1,129,629,155	804,851,368	-	-
Other	-	-	-	-
	1,205,710,850	867,969,808	-	-
Pledged			-	-
Non-pledged	1,205,710,850	867,969,808	-	-
	1,205,710,850	**867,969,808**	-	-

4.5.1 Investment securities measured at FVTPL

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Agricultural Development Bank Ltd.	-	-	-	1	331	331						
Civil Bank Ltd.	-	-	-	25,262	6,313,028	5,380,806						
Himalayan Bank Ltd	21,294	6,313,028	4,531,363	-	-	-						
Citizens Bank International Ltd	-	-	-	1,923	378,831	24,532						
Everest Bank Ltd.	22,644	13,385,013	12,748,825	6,294	3,906,846	2,763,802						
Global IME Bank Ltd	1	157	138	-	-	-						
Sunrise Bank Ltd.	-	-	-	811	237,748	168,075						
Laxmi Sunrise Bank Ltd.	9,049	1,747,487	1,566,290									
Machhapuchhre Bank Ltd.	35,786	11,245,605	8,295,195	25,301	8,503,566	6,426,454						
Nabil Bank Ltd	11,645	9,137,570	6,977,606	22,750	9,105,100	9,077,250						
Nepal Bank Ltd	3,753	895,868	934,612	-	-	-						
Nepal Investment Bank Ltd.	25,766	9,972,940	4,478,200	17,515	7,188,154	4,641,475						
Nepal Investment Bank Ltd. (P)	11,254	3,716,682	1,731,929	3,011	1,077,614	730,168						
Nepal SBI Bank Ltd	20	6,341	6,820	-	-	-						
NIC Asia Bank Ltd.	6,450	4,882,216	5,120,010	-	-	-						
NMB Bank Ltd	2,775	1,054,981	627,150	-	-	-						
Prabhu Bank Limited	7,221	1,499,236	1,174,086	-	-	-						
Prime Commercial Bank Limited	4,826	932,526	941,132	-	-	-						
Sanima Bank Ltd	12,118	3,163,296	3,156,609	-	-	-						
Siddhartha Bank ltd	5,366	1,858,609	1,357,661	-	-	-						
Standard Chartered Bank Ltd.	1,501	777,317	795,680	22,521	11,529,475	8,925,072						
Nepal Infrastructure Bank Limited	2,718	972,607	608,832	2,718	972,607	652,320						
Garima Bikas Bank Ltd.	2,001	759,137	810,203	35	13,545	13,545						
Jyoti Bikas Bank Ltd.	7	-	2,086	1	455	302						
Kamana Sewa Bikas Bank Ltd	17,738	9,443,673	5,800,378	17,990	9,999,459	6,294,701						
Lumbini Bikas Bank Ltd.	-	-	-	6,447	3,349,190	2,198,427						
Muktinath Bikas Bank Ltd.	-	-	-	1	440	440						
Narayani Development Bank Ltd	8,986	3,855,098	3,720,204	-	-	-						
Shangrila Development Bank Ltd.	4,221	1,603,833	1,359,162	6,890	2,840,703	1,998,100						
Shine Resunga Development Bank Ltd	1	-	384	-	-	-						
Goodwill Finance Ltd	14,605	7,311,418	7,054,215	-	-	-						
Manjushree Finance Ltd	5,748	4,604,808	3,161,400	7,348	5,886,599	3,284,556						
Chhimek Laghubitta Bittiya Sanstha Ltd.	1,204	1,313,050	1,204,018	-	-	-						
Deprosc Laghubitta Bittiya Sanstha Ltd.	1,584	2,096,334	1,308,384	-	-	-						
First Micro Finance Laghubitta Bittiya Sanstha Ltd.	229,391	176,403,095	168,900,593	103,495	100,343,555	68,823,992						
Forward Microfinance Laghubitta Bittiya Sanstha Ltd.	1,325	1,964,464	1,749,665	270	643,950	643,950						
Global IME Laghubitta Bittiya Sanstha Ltd	336	412,788	356,496	-	-	-						
Grameen Bikas Laghubitta Bittiya Sanstha Ltd.	2,150	2,250,425	1,360,950	-	-	-						
Laxmi Laghubitta Bittiya Sanstha Limited	1,022	1,074,111	912,298	-	-	-						
Mero Microfinance Bittiya Sanstha Ltd.	1,965	2,414,627	1,298,865	3,785	5,119,231	3,205,895						
Mirmire laghubitta Bittiya Sanstha Ltd	68	58,221	47,964	-	-	-						
Mithila Laghubitta Bittiya Sanstha Ltd.	2,524	3,926,182	3,205,785	1,710	2,766,700	2,337,570						
Nerude Laghubitta Bittiya Sanstha Ltd.	1	-	688	-	-	-						
NIC Asia Laghubitta Bittiya Sanstha Ltd	361	369,483	263,169	-	-	-						
Nirdhan Utthan Laghubitta Bittiya Sanstha Ltd	1,420	1,447,136	1,086,430	-	-	-						
RMDC Laghubitta Bittiya Sanstha Ltd				1,931	2,295,962	1,618,178						
Swabalamban Laghubitta Bittiya Sanstha Ltd	1,479	716,030	1,331,987	611	875,652	714,259						
Swabalamban Laghubitta Bittiya Sanstha Ltd (P)	8,871	4,294,729	6,937,122	-	-	-						
Swabhimaan laghubitta Bittiya Sanstha Ltd	231	252,747	207,687	-	-	-						

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd	1,687	1,591,273	1,307,549	2,980	3,727,399	3,173,700						
Asian Life Insurance Company Ltd	1,736	1,204,744	1,293,635	-	-	-						
Prime Life Insurance Company Ltd	-	-	-	47,614	40,855,638	27,092,366						
Himalayan Life Insurance Ltd	55,065	41,623,855	27,917,914	-	-	-						
Nepal Life Insurance Co. Ltd.	30,315	25,328,317	22,554,628	3,456	4,650,933	2,581,632						
Prabhu Life Insurance Limited	31,140	21,805,255	18,279,180	28,361	21,805,255	10,124,877						
Surya Life Insurance Company Ltd.	-	-	-	5,857	4,902,415	2,266,659						
Surya Jyoti Life Insurance Company Ltd.	14,063	9,695,136	8,578,259	-	-	-						
Life Insurance Corporation (Nepal) Ltd	1,471	2,406,672	2,287,405	-	-	-						
Himalayan General Insurance Company Ltd	-	-	-	564	400,874	293,280						
Everest Insurance Ltd (P)	-	-	-	106,856	46,307,809	34,749,571						
Himalayan Everest Insurance Ltd(P)	1,824	825,086	839,040	-	-	-						
IME General Insurance Company Ltd.	-	-	-	2,226	1,752,877	823,620						
IGI Prudential Insurance Ltd.	3,972	1,770,017	2,224,370	-	-	-						
National Insurance Company Ltd	4,727	3,187,565	3,049,141	-	-	-						
NECO Insurance Company Ltd	1,675	1,596,638	1,492,878	-	-	-						
Nepal Doorsanchar Company Ltd.	2,810	2,490,317	2,548,389	-	-	-						
Nepal Insurance Company Ltd	42	376	34,440	-	-	-						
Siddhartha Premier Insurance Ltd	3,295	2,929,903	2,564,908	-	-	-						
NLG Insurance Company Ltd	801	620,430	672,815	-	-	-						
Prabhu Insurance Company Ltd	1,600	1,139,991	1,194,931	425	335,598	181,900						
Sagarmatha Lumbini Insurance Co Ltd	8	6,194	5,984	-	-	-						
Rastriya Beema Company Ltd	130	1,898,048	2,092,870	-	-	-						
Rastriya Beema Company Ltd. Po	14,951	250,771,122	233,205,698	11,489	202,794,539	129,699,321						
Nepal Reinsurance Co. Ltd.	83,174	86,985,465	61,548,760	56,151	73,948,229	41,270,985						
Nepal Reinsurance Co. Ltd. (P)	387,433	76,195,476	76,195,476	352,252	76,195,476	76,195,476						
Api Power Company Ltd.	17	3,561	3,349	1	244	244						
Arun Valley Hydropower Development Co. Ltd.	22,720	7,083,824	5,793,600	-	-	-						
Butwal Power Company Limited	959	343,910	316,834	-	-	-						
Greenlife Hydropower Ltd	244,437	117,351,797	62,453,654	295,757	155,353,104	89,614,371						
Himalaya Urja Bikas Company Ltd	219,798	105,834,037	60,224,652	169,025	91,024,306	38,706,725						
Himalayan Power Partner Limited	196,135	87,946,150	56,074,997	160,786	77,323,252	51,773,092						
Madhya Bhotekoshi Jalavidyut Co Ltd	2,935	1,053,064	866,119	1,130	499,142	263,855						
Mountain Energy Nepal Ltd	2,877	2,901,221	2,862,615	38,505	45,348,956	30,804,000						
Mountain Hydro Nepal Ltd.	960	481,050	228,480	960	481,050	261,120						
National Hydro Power Company Ltd	19,757	4,195,834	3,514,770	-	-	-						
Ngadi Group Power Ltd.	176,078	55,940,012	41,184,644	165,132	55,074,819	49,044,204						
Rasuwagadhi Hydropower Co Ltd.	3,050	1,091,600	915,000	-	-	-						
Ridhi Hydropower Co. Ltd.	-	-	-	265	222,070	222,070						
Panchakanya Mai Hydropower Ltd.	1,512	556,459	308,448	1,512	556,459	334,152						
Sahas Urja Ltd	1,910	1,136,474	924,249	760	519,649	349,600						
Sikles Hydropower Ltd	790	324,667	305,730	-	-	-						
Upper Tamakoshi Hydropower Ltd	47,430	24,103,799	20,243,124	2,815	1,880,029	1,880,029						
Bottlers Nepal(Terai)Limited	200	2,467,640	2,760,000	-	-	-						
Himalayan Distillery Ltd.	-	-	-	1,270	4,837,191	4,330,700						
Chandragiri Hills Limited	42,144	64,350,836	53,944,320	39,294	60,779,007	41,254,771						
Citizen Investment Trust.	81	150,111	169,731	5,168	17,680,694	12,997,520						
Nrn Infrastructure And Development Ltd	977	775,615	501,201	1,177	934,391	607,921						
Shivam Cements Ltd.	43,175	28,448,538	28,129,148	1,923	2,619,684	1,461,480						
Citizen Super 30 Mutual Fund-30	30,000	300,000	300,000	-	-	-						

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Global IME Balance Fund 1	45,000	450,000	420,300	-	-	-						
Global IME Sammunnat Yojana-1	113,613	1,286,048	1,286,048	-	-	-						
Kumari Dhanbriddhi Yojana	101,545	937,629	1,019,512	-	-	-						
Nabil Equity Fund	75,000	998,959	720,750	-	-	-						
NIBL Growth Fund	30,000	300,000	319,200	-	-	-						
NIBL Sahabhagita Fund	43,000	493,665	459,240	-	-	-						
NIC Asia Dynamic Debt Fund	30,000	300,000	333,300	-	-	-						
Laxmi Equity Fund	41,400	378,514	397,026	-	-	-						
Nmb Hybrid Fund 1	100,614	1,242,553	1,085,625	-	-	-						
Prabhu Smart Fund	30,000	300,000	297,000	-	-	-						
RBB Mutual Fund 2	30,000	300,000	300,000	-	-	-						
Siddhartha Investment Growth Scheme 3	50,000	500,000	500,000	-	-	-						
Siddhartha Equity Fund	122,600	1,049,252	1,156,118	-	-	-						
Sunrise Focused Equity Fund	1,000,000	10,000,000	9,680,000	-	-	-						
NMB 50 Mutual Fund	422,423	5,172,492	4,435,442	198,600	2,969,070	2,561,940						
Prabhu Select Fund	612,350	5,883,264	5,419,298	408,950	4,123,408	3,930,010						
Sanima Equity Fund	770,058	10,288,990	9,086,684	319,238	5,312,795	4,070,285						
Sanima Large Cap Fund	541,340	5,611,359	4,828,753	525,400	5,485,060	4,896,728						
Siddhartha Investment Growth Scheme-2	248,659	2,653,434	2,245,391	88,160	1,251,872	863,086						
Sunrise Bluechip Fund	524,670	5,188,503	4,118,660	490,000	4,900,000	4,282,600						
Sunrise First Mutual Fund	430,250	5,395,103	4,767,170	170,720	2,674,385	1,963,280						
10% Himalayan Bank Debenture	2,755	3,105,276	2,979,808	2,525	2,875,307	2,734,575						
10% Sanima Bank Debenture	247	248,282	279,308	75	83,325	81,000						
10% Sunrise Bank Debenture	6,250	6,734,630	6,375,000	6,250	6,734,630	6,093,750						
10.25% Kumari Bank Ltd Debenture	796	778,375	880,774	220	231,417	221,320						
10.25% Nepal Banladesh Bank Debenture	26,066	31,088,923	32,637,239	25,911	30,932,307	27,698,859						
10.25% Nepal SBI Bank Debenture 2083	300	292,852	300,000	-	-	-						
10.25% NIC Asia Debenture 2083/84	10	9,217	10,975	-	-	-						
10.25% Sunrise Bank Debenture 2083	20	18,425	21,400	-	-	-						
10.35% Agriculture Dev. Bank Debenture	6,324	7,321,844	7,101,852	6,279	7,277,951	6,693,414						
10.50% Siddhartha Bank Ltd Debenture	480	503,613	508,896	275	304,179	286,440						
10.50%Century Commercial Bank Ltd Debenture	8,030	8,030,000	8,213,887		8,030,000	8,030,000						
11% NIC ASIA Bank Ltd Debenture	2,511	2,808,857	2,937,870	2,295	2,591,140	2,496,272						
12% Goodwill Finance Debenture 2083	1,276	1,348,564	1,435,500	-	-	-						
12% ICFC Finance Debenture 2083	484	501,943	574,024	-	-	-						
8% Nabil Bank Debenture	10,400	10,353,677	8,767,200	10,300	10,275,734	8,782,810						
9% NIC Asia Debenture 2081/82	160	154,107	161,536	-	-	-						
9.5% Manjushree Debenture 2085	20	17,100	19,500	-	-	-						
9.5% NCC Rinpatra 2086	540	521,728	585,360	-	-	-						
		1,471,612,120	**1,205,710,850**		**1,272,212,406**	**867,969,808**						

4.6 Loan and advances to B/FIs

Loans and advances to banks and financial institutions includes loans provided to class "D" financial institutions and cooperatives. These loans are in the form of short term lending or term loan. These loans are initially measured at fair value and subsequently measured at amortized cost using effective interest rate. Loan loss provisions on loans and advances to banks and financial institutions are provided on the basis of directives issued by Nepal Rastra Bank. These loans are categorised under pass, watch-list, sub-standard, doubtful and loss category for providing the loan loss provisions.

Using the principles of NFRS, Loan loss provision are calculated separately. Bank has applied both collective and individual assessment for calculating the impairment for loans and advances to banks and financial institutions. Loans and advances to banks and financial institutions are individually tested for impairment. No any specific impairment has occur for the year and the previous years. Collective impairment has been provided based on the loan classes

falling in the loan products with similar risk characteristics to the loan products classified for loans and advances to customers as no historical loss existed for the loans and advances provided to financial institutions. Loans to microfinance institutions and others include interest income accrued on such loans. Loan Loss provision is provided at higher of loan loss provision as per NRB directives and loan loss provision calculated using the principles of NFRS.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loans to microfinance institutions	11,135,007,963	8,720,423,496	13,793,810,734	10,697,244,587
Others	45,225,343	195,677,104	45,225,343	195,677,104
Less: Allowances for Impairment	(144,246,787)	(115,900,800)	(178,811,223)	(141,599,474)
	11,035,986,519	**8,800,199,800**	**13,660,224,854**	**10,751,322,217**

4.6.1: Allowances for impairment

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Balance at Shrawan 1	115,900,800	111,466,276	141,599,474	135,928,126
Impairment loss for the year:	-			
Transfer from Merger/Acquisition	45,041,410	-	45,041,410	
Charge for the year	45,108,850	18,273,515	53,974,612	19,510,339
Recoveries/reversal	(61,804,273)	(13,838,991)	(61,804,273)	(13,838,991)
Amount written off	-		-	-
Balance at Ashad end	**144,246,787**	**115,900,800**	**178,811,223**	**141,599,474**

4.7 Loans and advances to customers

Loans and advances to customers comprises of non-derivative financial assets with fixed or determinable payments that are not quoted in an active market which includes short term lending, term based lending, hire purchase lending, mortgage lending, personal lending, loans to employees and others. Loans and advances are initially measured at fair value and subsequently measured at amortised cost.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. Bank has not taken in account of upfront service fees collected on the individual loans to customers for calculating EIR, as the upfront service fees collected in terms of term based loans are less than 1% of the loan amount. Total income from service fees earned from term based loan is not material to the net interest earned by the bank. As per carve out on NFRS 9 (EIR) these service fees are taken to the income and not taken for recalculating the EIR of loans on the basis of materiality.

Loan loss provisions on loans and advances to customers are provided on the basis of directive number 2 issued by Nepal Rastra Bank. These loans are categorised under pass, watch-list, sub-standard, doubtful and loss category and provisions are made accordingly. Loan loss provisions are provided on the basis of percentage of total loan outstanding based on their overdue days and other criteria set out in the directives issued by Nepal Rastra Bank.

Staff loans which are fair valued at initial recognition and subsequently measured at amortized cost are included in loans and advances to customers measured at amortized cost. Loans and advances to customers include accrued interest on these loans.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Loan and advances measured at amortized cost	376,061,157,256	273,285,773,688	368,395,661,154	264,711,009,707
Less: Allowances for Impairment				
Collective impairment	(6,907,025,260)	(4,227,211,692)	(6,532,760,797)	(3,975,545,099)
Individual impairment	(7,396,152,113)	(2,647,933,007)	(7,396,152,113)	(2,647,933,008)
Net amount	**361,757,979,882**	**266,410,628,989**	**354,466,748,244**	**258,087,531,600**
Loan and advances measured at FVTPL				-
Total	**361,757,979,882**	**266,410,628,989**	**354,466,748,244**	**258,087,531,600**

4.7.1: Analysis of loan and advances - By Product

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Product				
Long Term loans	**123,813,044,852**	**72,950,275,935**	**123,813,044,852**	**64,490,933,821**
Personal	18,702,043,385	15,516,741,349	18,702,043,385	15,516,741,349
Business	82,033,243,329	57,433,534,586	82,033,243,329	48,974,192,472
Working Capital	23,077,758,138		23,077,758,138	
Overdraft (Personal)	10,923,135,712	10,137,481,967	10,923,135,712	10,137,481,967
Cash Credit Loan	66,576,076,188	35,049,902,934	66,576,076,188	35,049,902,934
Trust receipt/Import loans	6,577,941,224	5,549,191,070	6,577,941,224	5,549,191,070
Short Term WC/Demand Loan	59,658,239,623	60,828,864,935	59,658,239,623	60,828,864,935
Personal residential loans	27,994,154,375	23,875,648,525	27,989,969,712	23,871,678,308
Real estate loans	15,995,656,774	10,456,607,654	15,995,656,774	10,456,607,654
Margin lending loans	6,274,911,281	4,999,438,912	6,274,911,281	4,999,438,912
Hire purchase loans	14,141,902,154	11,253,835,392	14,141,902,154	11,253,835,392
Deprived sector loans	27,859,292,359	4,365,018,678	20,383,959,616	4,365,018,678
Bills purchased	-	-	-	-
Staff loans	2,437,837,343	1,542,274,079	2,406,656,983	1,525,059,189
Other	8,304,651,756	30,316,445,637	8,304,648,983	30,316,445,636
Sub total	**370,556,843,642**	**271,324,985,718**	**363,046,143,102**	**262,844,458,497**
Interest Receivable	5,504,313,613	1,960,787,970	5,349,518,052	1,866,551,210
Grand total	**376,061,157,255**	**273,285,773,688**	**368,395,661,154**	**264,711,009,707**

4.7.2: Analysis of loan and advances - By Currency

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	369,525,468,897	270,634,371,082	362,014,768,357	262,153,843,861
Indian rupee	-	-	-	-
United State dollar	1,008,174,707	690,614,636	1,008,174,707	690,614,636
Great Britain pound	-	-	-	-
Euro	23,200,038	-	23,200,038	-
Japanese yen	-	-	-	-
Chinese yuan	-	-	-	-
Other	-	-	-	-
Sub total	**370,556,843,642**	**271,324,985,718**	**363,046,143,102**	**262,844,458,497**

4.7.3: Analysis of loan and advances - By Collateral

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Secured				
Movable/immovable assets	336,657,881,978	213,066,039,397	329,155,238,120	211,216,726,269
Gold and silver	764,913	5,531,813	764,913	5,531,813
Guarantee of domestic B/FIs	-	-	-	-
Government guarantee	-	-	-	-
Guarantee of international rated bank	-	-	-	-
Collateral of export document	-	-	-	-
Collateral of fixed deposit receipt	3,687,262,598	3,859,099,609	3,687,262,598	3,859,099,609
Collateral of Government securities	-	-	-	-
Counter guarantee	-	-	-	-
Personal guarantee	-	-	-	-
Other collateral	30,210,934,153	54,394,314,899	30,202,877,471	47,763,100,806
Sub total	**370,556,843,642**	**271,324,985,718**	**363,046,143,102**	**262,844,458,497**
Unsecured				-
Grand Total	**370,556,843,642**	**271,324,985,718**	**363,046,143,102**	**262,844,458,497**

4.7.4: Allowances for impairment

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Specific allowances for impairment				
Balance at Shrawan 1	2,647,933,008	2,808,907,218	2,647,933,008	2,808,907,218
Impairment loss for the year:				
Transfer from Merger/Acquisition	2,308,283,769	-	2,308,283,769	
Charge for the year	5,188,237,428	1,030,986,950	5,188,237,428	1,030,986,950
Recoveries/reversal during the year	(2,613,144,868)	(1,191,961,160)	(2,613,144,868)	(1,191,961,160)
Write-offs	(135,157,224)		(135,157,224)	-
Exchange rate variance on foreign currency impairment	-		-	-
Other movement	-		-	
Balance at Ashad end	**7,396,152,113**	**2,647,933,008**	**7,396,152,113**	**2,647,933,008**
Collective allowances for impairment				
Balance at Shrawan 1	4,261,669,819	3,558,242,864	3,975,545,099	3,353,811,150
Impairment loss for the year:				
Transfer from Merger/Acquisition	1,563,182,311	-	1,563,182,311	
Charge for the year	3,242,555,440	2,134,954,277	3,154,415,696	2,019,733,686
Recoveries/reversal during the year	(2,160,382,309)	(1,465,985,449)	(2,160,382,309)	(1,397,999,736)
Exchange rate variance on foreign currency impairment	-			
Other movement	-			
Balance at Ashad end	**6,907,025,260**	**4,227,211,692**	**6,532,760,797**	**3,975,545,099**
Total Allowances for impairment	**14,303,177,373**	**6,875,144,699**	**13,928,912,909**	**6,623,478,107**

Impairment of loans and advances to customers under NFRS

Bank applies the principles of incurred loss model for measurement of impairment of loans and advances to customers based on the carve out on NFRS 9 for measurement of impairment.

Impairment of individually assessed loans

Bank has reviewed it's individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of profit or loss. The bank has assessed its loan portfolio for the specific impairment of individually significant loans under the five loan products namely hire purchase loans, home loans, term loans, mortgage loans and short term loans. All the possible objective evidence are assessed on such significant loans which the bank has designed in assessing the specific impairment tests. Reasonable estimates and assumptions are made on assessing the objective evidence, so that there is no understatement or overstatement of the impairment amount on the individually assessed loans. In particular, the judgment of the management is required in estimating the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors, and actual results may differ, resulting in future changes to the allowance. Additionally the bank has conducted specific assessment on the 100% provisioned loans as per NRB directives. These assessments are made on the judgment and estimates of the management for the amount and timing of future cash flow recovery from such loans on the basis of the security value possessed and the projected cash flows to be received from such loans.

Impairment of collectively assessed loans

All other loans where no specific impairment is established are assessed collectively based on the products which bear similar type of risk characteristics. The bank has segregated five major products with similar risk characteristics namely:

a. Hire Purchase Loans
b. Home Loans
c. Mortgage Loans
d. Short term Loans
e. Term Loans

Collective impairment losses reflect impairment losses that have been incurred in the bank's loan portfolio where impairment have not yet been identified by specific assessment. Collective assessment is performed on the net flow rate method where the bank assesses the movements of outstanding principal as per overdue days. This establishes the bank's historical trend for the amount of loans moving to default zone from the date of issue of loans. The bank has identified default zone as 180 days. The methodology combines probability of default (PD), exposure at the time of default (EAD) and loss given default (LGD) over the loss emergence period (the period between the loss event and the impairment being identified).

Impairment amount calculated with the principles of NFRS 9 together with carve-outs are as below:

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Impairment under NFRS				
Collective impairment	5,034,662,559	1,850,897,985	5,034,662,559	1,729,229,416
Individual impairment	328,817,499	329,355,482	328,817,499	329,355,482
Total Impairment under NFRS	5,363,480,058	2,180,253,467	5,363,480,058	2,058,584,898
Loan Loss Provision under NRB	**14,447,424,160**	**6,991,045,499**	**14,107,724,132**	**6,765,077,581**

4.7.5: Forbearance/Relaxation

	Current Year		Previous Year	
	No. of Customers	Amount	No. of Customers	Amount
Accrued Interest Received after Ashad end	3,296	662,485,519	1,462	122,105,970
Additional 0.3% Loan Loss Provision created on Pass Loan Portfolio		923,846,339		757,109,390
Extension of moratorium period of loan provided to Industry or Project under construction	-	-	3	817,337,124
Restructured/Rescheduled Loan with 5% Loan Loss Provision	778	14,060,953,610	-	-
Enhancement of Working Capital Loan by 20% to COVID affected borrowers	3	162,025,000	21	201,725,000
Enhancement of Term Loan by 10% to COVID affected borrowers	-	-	3	262,895,600
Expiry Date of Additional 20% Working Capital Loan (COVID Loan) extended for up to 1 year with 5% provisioning	-	-	-	-
Expiry Date of Additional 10% Term Loan (COVID Loan) extended for up to 1 year with 5% provisioning	-	-	-	-
Time Extension provided for repayment of Principal and Interest for up to two years as per clause 41 of NRB Directives 2	11	5,677,316,355	14	4,668,754,598

4.7.6: Business Continuity Plan

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Refinance Loan	-	-	949	7,038,145,190
Business Continuity Loan	1	55,911,000	-	-

4.7.7: Subsidized Loan

	Current Year		Previous Year	
	No. of Customers	Amount (NRs.)	No. of Customers	Amount (NRs.)
Subsidized Loan	7,541	11,023,512,801	4,649	9,841,752,131

4.8 Investment securities

Investment in securities comprises of Investments in government securities like development bonds, treasury bills, Nepal Rastra Bank bonds, deposit instruments with Nepal Rastra Bank, equity instruments and units of mutual funds and others. Investment securities are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the Effective Interest Rate (EIR) less impairment.

All the listed ordinary equity shares and mutual fund units are measured at fair value using Level 1 input as described in NFRS 13 "Fair Value Measurement". Level 1 inputs are quoted prices (unadjusted) in active market that the entity can access at the measurement date. All of equity securities whose fair value cannot be obtained from the Level 1 and Level 2 inputs are valued using the most recent available Networth per shares to represent the fair value of these investments at the reporting date. Management carried out an impairment assessment of the unquoted share investments held by the Bank and concluded that no impairment is required as there is no evidence for a permanent decline in value of the investment because of the higher fair value than the purchase cost.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment securities measured at amortized cost	85,603,765,627	44,551,073,161	85,550,548,627	44,551,073,161
Investment securities measured as at FVTOCI	2,070,974,436	1,975,938,212	2,041,124,936	1,962,438,212
	87,674,740,063	**46,527,011,373**	**87,591,673,563**	**46,513,511,373**

4.8.1: Investment securities measured at amortized cost

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
- debt securities	1,794,603,307	1,741,386,307	1,741,386,307	1,741,386,307
- government bonds	44,146,099,231	32,747,101,433	44,146,099,231	32,747,101,433
- government treasury bills	33,160,277,884	10,062,585,421	33,160,277,884	10,062,585,421
- nepal rastra bank bonds	-	-	-	-
- nepal rastra bank deposit instruments	6,502,785,205	-	6,502,785,205	-
	85,603,765,627	**44,551,073,161**	**85,550,548,627**	**44,551,073,161**
Less: specific allowances for impairment			-	-
Total	**85,603,765,627**	**44,551,073,161**	**85,550,548,627**	**44,551,073,161**

4.8.2: Investment in equity measured at fair value through other comprehensive income

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity Instruments				
-unquoted equity instruments	422,398,126	23,007,147	421,398,126	23,007,147
-quoted equity instruments	924,202,495	1,501,458,899	924,202,495	1,501,458,899
Mutual Funds	724,373,815	451,472,166	695,524,315	437,972,166
	2,070,974,436	**1,975,938,212**	**2,041,124,936**	**1,962,438,212**

4.8.3: Information relating to investment in equities

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Quoted Equity Investments												
Asian Life Insurance Co. Ltd .	4,758	2,213,663	3,545,186	3,830.00	2,213,662.55	2,198,420.00	4,758	2,213,663	3,545,186	3,830.00	2,213,662.55	2,198,420.00
Aarambha Chautari Laghubitta Bittiya Sanstha Ltd. (P)	83,592	6,000,000	11,214,703	83,592	6,000,000	11,578,328	83,592	6,000,000	11,214,703	83,592	6,000,000	11,578,328
Chhimek Laghubitta Bittiya Sanstha Ltd.	-	-	-	1	-	1,100	-	-	-	1	-	1,100
Chilime Hydropower Company Ltd.	12,268	3,380,546	6,584,236	11,312	3,380,546	4,615,296	12,268	3,380,546	6,584,236	11,312	3,380,546	4,615,296
Citizen Investment Trust	5,044	9,754,158	10,536,916	3,880	9,754,158	9,758,200	5,044	9,754,158	10,536,916	3,880	9,754,158	9,758,200
Sanima GIC Insurance Ltd.	54,286	5,596,887	35,280,471	200,000	20,620,000	29,726,000	54,286	5,596,887	35,280,471	200,000	20,620,000	29,726,000
Himalayan Life Insurance Ltd.	2,018	147,859	1,023,126	1,878	147,859	910,830	2,018	147,859	1,023,126	1,878	147,859	910,830
IGI Prudential Insurance Ltd	17,975	7,230,812	10,066,000	-	-	-	17,975	7,230,812	10,066,000	-	-	-
Hydorelectricity Investment and Development Company Ltd.	74,144	6,241,131	13,642,496	1,796	158,731	359,200	74,144	6,241,131	13,642,496	1,796	158,731	359,200
Kalika Laghubitta Bittiya Sanstha Ltd.	65	1,444	47,840	53	1,444	63,494	65	1,444	47,840	53	1,444	63,494
Laxmi Laghubitta Bittiya Sanstha Ltd.	15,249	26,663,250	13,617,357	13,260	26,663,250	16,906,500	15,249	26,663,250	13,617,357	13,260	26,663,250	16,906,500
Mirmire laghubitta Bittiya Sanstha Ltd	37	959	26,233	29	959	30,450	37	959	26,233	29	959	30,450
Mithila Laghubitta Bittiya Sanstha Ltd.	192	4,570	200,448	166	4,570	226,922	192	4,570	200,448	166	4,570	226,922
Neco Insurance Co. Ltd.	9,164	9,545,593	8,166,040	7,969	9,545,593	5,530,486	9,164	9,545,593	8,166,040	7,969	9,545,593	5,530,486
Nepal Infrastructure Bank Ltd (P)	-	-	-	11,826,000	1,095,000,000	1,277,681,040	-	-	-	11,826,000	1,095,000,000	1,277,681,040
Nepal Life Insurance Co.Ltd	17,826	7,365,825	13,262,544	17,826	7,365,825	13,316,022	17,826	7,365,825	13,262,544	17,826	7,365,825	13,316,022
Nepal Reinsurance Co. Ltd.	4,200	3,002,740	3,108,000	4,000	3,002,740	2,940,000	4,200	3,002,740	3,108,000	4,000	3,002,740	2,940,000
Nepal Reinsurance Co. Ltd. (P)	739,731	60,472,562	98,191,893	704,505	60,472,562	113,080,098	739,731	60,472,562	98,191,893	704,505	60,472,562	113,080,098
Nerude Laghubitta Bittiya Sanstha Ltd.	14	-	9,632	12		10,560	14	-	9,632	12	-	10,560
Ngadi Group Power Ltd.	4,602	1,335,096	1,076,408	4,390	1,334,796	1,303,830	4,602	1,335,096	1,076,408	4,390	1,334,796	1,303,830
NLG Insurance Company Ltd.	18,779	599,455	15,774,360	17,072	599,455	8,160,416	18,779	599,455	15,774,360	17,072	599,455	8,160,416
NLG Insurance Company Ltd (P)	3,238	151,262	396,525	2,944	151,262	628,338	3,238	151,262	396,525	2,944	151,262	628,338
Rastriya Beema Company Ltd. (P)	50	535,137	779,900	50	535,137	564,450	50	535,137	779,900	50	535,137	564,450
Ridi Power Company Ltd.	1	-	243	-	-	-	1	-	243	-	-	-
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd	136	47,423	122,264	124	47,423	103,912	136	47,423	122,264	124	47,423	103,912
Vijaya laghubitta Bittiya Sanstha Ltd.	64	1,503	44,384	49	1,503	41,479	64	1,503	44,384	49	1,503	41,479
Soaltee Hotel Ltd.	520	98,140	252,200	495	98,140	100,238	520	98,140	252,200	495	98,140	100,238
Upper Tamakoshi Hydropower Ltd	2,995	1,545,244	1,278,266	2,995	1,545,244	1,623,290	2,995	1,545,244	1,278,266	2,995	1,545,244	1,623,290
Grameen Bikash Laghubitta Bittiya Sanstha Ltd. (P)	1,047	104,700	217,650				1,047	104,700	217,650	-	-	-
Nepal Insurance Company Ltd	1	-	820				1	-	820	-	-	-
NMB Microfinance Bittiya Sanstha Ltd.	2	-	1,280				2	-	1,280	-	-	-
Sana Kisan Bikas Laghubitta Bittiya Sanstha Ltd (P)	178,547	8,598,944	46,093,694				178,547	8,598,944	46,093,694	-	-	-
Sagarmatha Lumbini Insurance Co Ltd	564	-	421,872				564	-	421,872	-	-	-
Sanima GIC Insurance Ltd. (P)	145,714	15,023,113	16,972,767				145,714	15,023,113	16,972,767	-	-	-
Reliable Nepal Life Insurance Ltd. (P)	4,000,000	400,000,000	612,000,000				4,000,000	400,000,000	612,000,000	-	-	-
Shikhar Insurance Co Ltd	292	-	246,740				292	-	246,740	-	-	-
		575,662,014	**924,202,494**		**1,248,644,858**	**1,501,458,897**		**575,662,014**	**924,202,494**		**1,248,644,858**	**1,501,458,897**

	Group						Bank					
	Current Year			Previous Year			Current Year			Previous Year		
	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value	Unit	Cost	Fair Value
Quoted Mutual Fund Investments												
Global IME Samunnat Yojana-I	1,250,000	25,350,000	12,037,500	15,230,328	165,153,280	152,303,280	-	-	-	13,980,328	139,803,280	139,803,280
Kumari Equity Fund	1,000,000	10,000,000	10,170,000	1,000,000	10,000,000	10,070,000	1,000,000	10,000,000	10,170,000	1,000,000	10,000,000	10,070,000
Kumari Dhanabriddhi Yojana	5,000,000	50,000,000	50,200,000	5,000,000	50,000,000	50,000,000	5,000,000	50,000,000	50,200,000	5,000,000	50,000,000	50,000,000
Laxmi Equity Fund	1,345,403	13,454,030	12,902,415	1,169,916	11,699,160	11,582,168	1,345,403	13,454,030	12,902,415	1,169,916	11,699,160	11,582,168
Laxmi Unnati Kosh	1,000,000	10,000,000	9,390,000	1,000,000	10,000,000	9,560,000	1,000,000	10,000,000	9,390,000	1,000,000	10,000,000	9,560,000
Nabil Balance Fund-2	1,000,000	10,000,000	8,800,000	1,000,000	10,000,000	10,780,000	1,000,000	10,000,000	8,800,000	1,000,000	10,000,000	10,780,000
Nabil Equity Fund	1,915,054	19,150,540	18,403,669	788,550	7,885,500	7,885,500	1,915,054	19,150,540	18,403,669	788,550	7,885,500	7,885,500
NIBL Samriddhi Fund -1	-	-	-	-	-	-	-	-	-	-	-	-
NIBL Samriddhi Fund -2	3,672,123	36,721,230	33,453,041	3,672,123	36,721,230	31,837,306	3,672,123	36,721,230	33,453,041	3,672,123	36,721,230	31,837,306
NIC ASIA Balance Fund	750,000	7,500,000	6,997,500	750,000	7,500,000	8,032,500	750,000	7,500,000	6,997,500	750,000	7,500,000	8,032,500
NIC ASIA Select 30	4,500,000	45,000,000	40,455,000	4,500,000	45,000,000	39,465,000	4,500,000	45,000,000	40,455,000	4,500,000	45,000,000	39,465,000
NMB 50 Mutual Fund	1,500,000	15,000,000	15,750,000	1,500,000	15,000,000	19,350,000	1,500,000	15,000,000	15,750,000	1,500,000	15,000,000	19,350,000
NMB Hybrid Fund -1	2,208,362	22,083,620	23,828,226	946,441	9,464,410	10,600,139	2,208,362	22,083,620	23,828,226	946,441	9,464,410	10,600,139
Prabhu Select Fund	1,468,090	14,680,900	12,992,597	1,468,090	14,680,900	14,108,345	1,468,090	14,680,900	12,992,597	1,468,090	14,680,900	14,108,345
Sanima Large Cap Fund	1,000,000	10,000,000	8,920,000	1,000,000	10,000,000	9,320,000	1,000,000	10,000,000	8,920,000	1,000,000	10,000,000	9,320,000
Siddhartha Investment Growth Scheme II	2,000,000	20,000,000	18,060,000	2,000,000	20,000,000	19,580,000	2,000,000	20,000,000	18,060,000	2,000,000	20,000,000	19,580,000
Sunrise Blue Chip Fund	4,605,026	46,050,260	36,149,454	4,605,026	46,050,260	40,247,927	4,605,026	46,050,260	36,149,454	4,605,026	46,050,260	40,247,927
Sunrise First Mutual Fund	500,000	5,000,000	5,540,000	500,000	5,000,000	5,750,000	500,000	5,000,000	5,540,000	500,000	5,000,000	5,750,000
Global IME Balance Fund -I	23,000,000	230,000,000	214,820,000	-	-	-	21,200,000	212,000,000	198,008,000	-	-	-
NIBL GROWTH FUND	4,000,000	40,000,000	42,560,000	-	-	-	4,000,000	40,000,000	42,560,000	-	-	-
NIBL Pragati Fund	1,027,407	10,274,070	9,976,122	-	-	-	1,027,407	10,274,070	9,976,122	-	-	-
NMB Sulav Investment Fund II	5,000,000	50,000,000	49,950,000	-	-	-	5,000,000	50,000,000	49,950,000	-	-	-
RBB MUTUAL FUND 2	5,000,000	50,000,000	50,000,000	-	-	-	5,000,000	50,000,000	50,000,000	-	-	-
Sanima Growth Fund	3,000,000	30,000,000	29,970,000	-	-	-	3,000,000	30,000,000	29,970,000	-	-	-
Subha Laxmi Kosh	302,410	2,999,932	3,048,293	-	-	-	302,410	2,999,932	3,048,293	-	-	-
		773,264,582	**724,373,816**		**474,154,740**	**450,472,166**		**729,914,582**	**695,524,316**		**448,804,740**	**437,972,166**
Unquoted Equity Investments												
ICRA Nepal Ltd.	27,360	760,000	4,632,869	22,800	760,000	5,726,220	27,360	760,000	4,632,869	22,800	760,000	5,726,220
National Banking Training Institute P. Ltd	-	-	-	12,000	1,200,000	4,483,440	-	-	-	12,000	1,200,000	4,483,440
Care Ratings Nepal Ltd.	25,000	2,500,000	6,390,250	25,000	2,500,000	5,572,000	25,000	2,500,000	6,390,250	25,000	2,500,000	5,572,000
Karja Suchana Kendra Ltd.	319,520	2,542,000	164,623,096	11,813	94,500	3,520,865	319,520	2,542,000	164,623,096	11,813	94,500	3,520,865
SWIFT	5	3,806,000	5,718,538	5	3,704,623	3,704,623	5	3,806,000	5,718,538	5	3,704,623	3,704,623
Nepal Finsoft Company Ltd.	10,000	1,000,000	1,000,000	10,000	1,000,000	1,000,000	-	-	-	-	-	-
Nepal Clearing House Limited	839,483	16,074,200	240,033,374				839,483	16,074,200	240,033,374	-	-	-
		26,682,200	**422,398,127**		**9,259,123**	**24,007,148**		**25,682,200**	**421,398,127**		**8,259,123**	**23,007,148**
Total Investment in Securities measured at FVTOCI		**1,375,608,796**	**2,070,974,437**		**1,732,058,721**	**1,975,938,212**		**1,331,258,796**	**2,041,124,937**		**1,705,708,721**	**1,962,438,212**

4.9 Current tax assets

Current tax assets consist of amounts paid to the Inland Revenue Department in respect of the current year and the carried forward balance of advance taxes paid in previous years net off of income tax payable on those years using the tax rates enacted on the reporting date and any adjustment to tax payable in respect of prior years. Current tax liabilities consist of the amount of assessed tax liabilities by the bank for the current year.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current Tax Assets				
Current year income tax assets	3,144,656,857	2,053,765,490	2,968,060,630	1,851,066,773
Tax assets of prior periods	409,474,925	375,551,585	411,839,275	387,578,379
Current Tax Liabilities				
Current year income tax liabilities	2,859,526,044	2,364,798,682	2,788,102,452	2,203,840,353
Tax liabilities of prior periods	(2,364,350)	-		-
Net tax assets / (liabilities)	**696,970,088**	**64,518,393**	**591,797,453**	**34,804,799**

4.10 Investment in subsidiaries

Subsidiaries are entities in which the Group directly or indirectly holds the majority of the voting rights and where it determines their financial and business policies and is able to exercise control over them in order to benefit from their activities. At each reporting date the Bank reassess whether it controls an entity, if facts and circumstances indicate that there are changes to one or more elements of control mentioned. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date on which control ceases.

Inter-company transactions, balances and intergroup gains on transactions between group companies are eliminated.

Intergroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

After the merger, BOK Capital Markets Ltd. a subsidiary of erstwhile Bank of Kathmandu Ltd has been added as another subsidiary of the group.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted subsidiaries	-	-	145,695,250	145,695,250
Investment in unquoted subsidiaries	-	-	505,000,000	225,000,000
Total investment	**-**	**-**	**650,695,250**	**370,695,250**
Less: Impairment allowances	-			
Net carrying amount	**-**	**-**	**650,695,250**	**370,695,250**

4.10.1: Investment in quoted subsidiaries

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Laghubitta Bittiya Sanstha Limited	3,557,436	145,695,250	355,743,600	3,176,283	145,695,250	317,628,300
		145,695,250	**355,743,600**		**145,695,250**	**317,628,300**

4.10.2: Investment in unquoted subsidiaries

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Global IME Capital Limited	2,741,299	165,000,000	274,129,900	2,741,299	165,000,000	274,129,900
BOK Capital Markets Limited	1,400,000	140,000,000	140,000,000	-	-	-
JBNL Securities Limited	2,000,000	200,000,000	200,000,000	600,000	60,000,000	60,000,000
		505,000,000	**614,129,900**		**225,000,000**	**334,129,900**

4.10.3: Investment in subsidiaries

	Percentage of ownership held by the Bank	
	Current Year	Previous Year
Global IME Capital Limited	75.00%	75.00%
BOK Capital Markets Limited	66.67%	
Global IME Laghubitta Bittiya Sanstha Limited	57.48%	57.48%
JBNL Securities Limited	100.00%	100.00%

4.10.4: Non Controlling Interest of the Subsidiaries

	Current Year			Previous Year	
	GILBSL	BOK Capital	GICL	GILBSL	GICL
Equity interest held by NCI (%)	42.52%	33.33%	25%	42.52%	25%
Profit/(loss) allocated during the year	47,930,196.27	7,102,047	23,537,178	113,384,785	(39,719,468)
Accumulated balances of NCI as on Ashad end	463,096,258.88	78,445,872	127,901,519	456,767,217	105,325,065
Dividend paid to NCI	-	-	-	-	-

4.11 Investment in associates

An associate is an entity over which the investor has significant influence where significant influence is defined as power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies. If an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee or if entity has its representative as a director in the investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case. If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence. Investment in associates have been recognised at cost in standalone statement of financial position.

The Group has accounted its investment in associates using equity method. Equity accounting is based on the profit reported by associate entities on their unaudited financial statements using the policy disclosed in the financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment in quoted associates	2,125,817,359	297,702,500	1,708,134,399	131,033,235
Investment in unquoted associates	148,452,294	780,695,013	132,030,500	521,883,500
Total investment	**2,274,269,653**	**1,078,397,513**	**1,840,164,899**	**652,916,735**
Less: Impairment allowances	-	-	-	-
Net carrying amount	**2,274,269,653**	**1,078,397,513**	**1,840,164,899**	**652,916,735**

4.11.1: Investment in quoted associates

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
First Microfinance Laghubitta Bittiya Sanstha Ltd	1,167,180	56,987,235	121,059,965	980,823	56,987,235	101,033,448
Mero Micro Finance Laghubitta Bittiya Sanstha Ltd	1,848,019	74,046,000	191,619,585	1,680,000	74,046,000	196,669,052
Chhimek Laghubitta Laghubitta Bittiya Sanstha Ltd	2,357,260	16,584,764	104,869,820	-	-	-
IME Life Insurance Co. Limited	4,000,000	400,000,000	501,763,284	-	-	-
Nepal Infrastructure Bank Ltd	11,826,000	1,095,000,000	1,127,590,890	-	-	-
RSDC Laghubitta Bittiya Sanstha Ltd	1,043,481	65,516,400	78,913,815	-	-	-
		1,708,134,399	**2,125,817,359**		**131,033,235**	**297,702,500**

4.11.2: Investment in unquoted associates

Amount in Rs.

	Current Year			Previous Year		
	Units	Cost	Fair Value	Units	Cost	Fair Value
Smart Choice Technologies Ltd	771,608	77,160,800	59,313,559	771,608	77,160,800	67,642,495
Nepal Electronics Payment System Ltd.	470,000	47,000,000	78,688,423	310,000	31,000,000	48,381,767
Banking Finance And Insurance Institution Ltd.	33,000	3,000,000	4,603,258	33,000	3,000,000	4,465,501
National Banking Training Institute Ltd	48,697	4,869,700	5,847,054	-	-	-
IME Life Insurance Co. Limited	-	-	-	2,000,000	200,000,000	277,681,984
Reliable Nepal Life Insurance Co. Limited	-	-	-	2,000,000	200,000,000	309,092,100
Nepal Clearing House Limited	-	-	-	405,795	10,722,700	73,431,166
		132,030,500	**148,452,294**		**521,883,500**	**780,695,013**

4.11.3: Information relating to associates of the Bank

	Percentage of ownership held by Bank	
	Current Year	Previous Year
First Microfinance Dev Bank Limited	10.17%	10.17%
Mero Micro Finance Bittya Sanstha Ltd	14.00%	14.00%
IME Life Insurance Co. Limited	10.00%	10.00%
Smart Choice Technologies Ltd	15.43%	15.50%
Nepal Electronics Payment System Ltd.	26.70%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%
Chhimek Laghubitta Bikas Bank Limited	8.31%	-
RSDC Laghubitta Bittiya Sanstha Ltd	12.00%	-
National Banking Training Institute Ltd	9.74%	-
Nepal Infrastructure Bank Ltd	5.48%	-
Reliable Nepal Life Insurance Co. Limited	-	10.00%
Nepal Clearing House Limited		7.15%

4.12 Investment Property

Bank classifies the non-banking assets as possessed collateral which are non-financial assets acquired by the Bank in settlement of overdue loans. The assets are initially recognized at lower of fair value of the property or total dues to bank when acquired and included in investment property or other assets depending on their nature and the bank's intention of holding the asset or reselling it.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Investment properties measured at fair value				
Balance as on Shrawan 1				
Additions during the year				
Disposal during the year				
Net changes in fair value during the year				
Adjustment /transfer				
Net Amount	**-**	**-**		**-**
Investment properties measured at cost				
Balance as on Shrawan 1	570,893,919	366,094,589	559,448,275	354,648,945
Transfer from Merger/Acquisition	41,035,467		41,035,467	-
Additions during the year	1,160,790,760	323,583,380	1,160,790,760	323,583,380
Disposal during the year	(14,925,449)	(118,784,050)	(14,925,449)	(118,784,050)
Adjustment/transfer	(13,025,500)	-	(13,025,500)	-
Accumulated depreciation				
Accumulated impairment loss				
Net Amount	**1,744,769,197**	**570,893,919**	**1,733,323,553**	**559,448,275**
Total	**1,744,769,197**	**570,893,919**	**1,733,323,553**	**559,448,275**

4.13 Property and Equipment

Property and equipment is stated at cost excluding the costs of day–to–day servicing, less accumulated depreciation and accumulated impairment in value. Changes in the expected useful life are accounted for by changing the amortization period or methodology, as appropriate, and treated as changes in accounting estimates. During the year, erstwhile Bank of Kathmandu Ltd was merged with Global IME Bank Ltd. wherein the certain class of property and equipment at erstwhile Bank of Kathmandu Ltd. had different useful lives in compared to useful lives carried in Global IME Bank Ltd for same class of assets. Those assets whose useful lives had differ, were revised to align the useful lives followed by Global IME Bank Ltd. from the date of joint operation. These change has been treated as change in accounting estimates and are accounted prospectively. Property and equipment brought forward from the merged entity has been accounted at Fair value as per NFRS 3 Business Combination, as a result a revaluation gain of Rs 770,589,767 on Land has been accounted accordingly.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the bank and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred. Freehold land is not depreciable. Depreciation on other property and equipment is calculated using the straight–line method to allocate their cost less residual values over their estimated useful lives. The estimated useful lives are included in Note 4.38 "Depreciation and Amortization".

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date of the statement of financial position. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell and value in use. No property and equipment were impaired as at 31st Ashad 2080 (2079: nil). Gains and losses on disposals are recorded by comparing proceeds with carrying amount.

The Group has recognized a right of use of asset as per NFRS 16 Leases. The right to use of assets is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis.

Amount in Rs.

	Group								
Cost:	**Land**	**Buildings**	**Machinery**	**Office Equipments**	**Motor Vehicles**	**Right to use of Assets**	**Leasehold Improvement**	**Total**	**Total Ashad 32 2079**
As on Shrawan 1, 2079	2,450,923,134	385,513,676	370,119,315	1,470,597,649	736,549,233	2,234,405,403	1,066,758,205	8,714,866,616	6,063,623,825
Transfer from Merger/ Acquisition	961,721,560	340,741,892	127,022,818	651,149,215	315,344,922	814,768,923	311,402,150	3,522,151,481	2,723,618,561
Additions	-	-	12,291,169	83,962,025	76,548,698	310,260,784	137,267,561	620,330,237	-
Disposals	-	-	(30,096,656)	(28,222,901)	(74,706,739)	-	(18,114,223)	(151,140,519)	(72,375,770)
Balance on Ashad end 2080	**3,412,644,694**	**726,255,568**	**479,336,646**	**2,177,485,989**	**1,053,736,115**	**3,359,435,110**	**1,497,313,693**	**12,706,207,815**	**8,714,866,616**
Accumulated Depreciation									
As on Shrawan 1, 2079	-	51,202,572	270,990,121	1,119,111,349	398,178,500	314,132,726	565,412,634	2,719,027,902	2,124,262,979
Transfer from Merger/ Acquisition	-	70,833,199	87,643,127	530,062,910	157,349,375	395,586,403	224,590,386	1,466,065,400	-
Depreciation charge for the year	-	15,573,581	43,225,897	152,874,697	108,126,944	383,207,008	85,985,846	788,993,973	644,741,964
Disposals	-	-	(29,068,196)	(25,904,368)	(54,314,169)	-	(38,900)	(109,325,633)	(49,977,040)
Balance on Ashad end 2080	**-**	**137,609,352**	**372,790,950**	**1,776,144,589**	**609,340,650**	**1,092,926,137**	**875,949,966**	**4,864,761,642**	**2,719,027,902**
Capital WIP	**-**	**49,612,598**	**-**	**-**	**-**	**-**	**-**	**49,612,598**	
Net book value:									
As on Ashad 32, 2079	**2,450,923,134**	**334,311,104**	**99,129,194**	**351,486,300**	**338,370,733**	**1,920,272,678**	**501,345,571**	**5,995,838,713**	**3,939,360,846**
As on Ashad 31, 2080	**3,412,644,694**	**638,258,814**	**106,545,697**	**401,341,400**	**444,395,465**	**2,266,508,973**	**621,363,727**	**7,891,058,770**	**5,995,838,713**

Amount in Rs.

Bank									
Cost:	**Land**	**Buildings**	**Machinery**	**Office Equipments**	**Motor Vehicles**	**Right to use of Assets**	**Leasehold Improvement**	**Total**	**Total Ashad 32 2079**
As on Shrawan 1, 2079	2,450,923,134	385,513,676	345,419,958	1,425,583,852	711,892,689	2,152,502,762	1,057,883,300	8,529,719,371	5,976,099,306
Transfer from Merger/ Acquisition	961,721,560	340,741,892	127,022,818	651,149,215	315,344,922	814,768,923	311,402,150	3,522,151,481	
Additions			12,291,169	78,957,119	76,548,698	262,012,876	106,231,522	536,041,384	2,624,284,335
Disposals	-	-	(30,096,656)	(25,456,156)	(74,706,739)		(18,068,458)	(148,328,009)	(70,664,270)
Balance on Ashad end 2080	**3,412,644,694**	**726,255,568**	**454,637,289**	**2,130,234,030**	**1,029,079,571**	**3,229,284,560**	**1,457,448,514**	**12,439,584,226**	**8,529,719,371**
Accumulated Depreciation									
As on Shrawan 1, 2079	-	51,202,572	254,241,816	1,093,824,857	383,775,599	298,801,041	563,106,508	2,644,952,392	2,079,047,511
Transfer from Merger/ Acquisition		70,833,199	87,643,127	530,062,910	157,349,375	395,586,403	217,016,330	1,458,491,344	
Depreciation charge for the year	-	15,573,581	43,225,897	143,373,082	105,090,593	360,636,612	83,752,238	751,652,004	614,554,231
Disposals	-	-	(29,068,196)	(23,448,488)	(54,314,169)			(106,830,853)	(48,649,350)
Balance on Ashad end 2080	**-**	**137,609,352**	**356,042,644**	**1,743,812,361**	**591,901,398**	**1,055,024,056**	**863,875,075**	**4,748,264,886**	**2,644,952,392**
Capital WIP		49,612,598						49,612,598	
Net book value:									
As on Ashad 32, 2079	**2,450,923,134**	**334,311,104**	**91,178,141**	**331,758,995**	**328,117,091**	**1,853,701,721**	**494,776,793**	**5,884,766,979**	**5,884,766,979**
As on Ashad 31, 2080	**3,412,644,694**	**638,258,814**	**98,594,644**	**386,421,669**	**437,178,173**	**2,174,260,505**	**593,573,439**	**7,740,931,938**	

4.14 Goodwill and Intangible Assets

The Group's intangible assets include the value of computer software, Core Banking Software and other software used in Banking. An intangible asset is recognized only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the group. The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortized over the useful economic life. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortization period or methodology, as appropriate, which are then treated as changes in accounting estimates.

The amortization expense on intangible assets with finite lives is presented as a separate line item in the income statement. Amortization is calculated using the straight–line method to write down the cost of intangible assets to their residual values over their estimated useful lives, as mentioned in Note 4.38 "Depreciation and Amortization".

The Bank (referred as acquirer) completed its merger with erstwhile Bank of Kathmandu Ltd. (referred as acquiree) a "A" Class financial Institution on 25th Poush 2079 (9th January 2023). The merger has been completed through exchange of equity interests. Using the Para 4 of NFRS 3 the Bank has accounted the business combinations by applying the acquisition method on the acquisition date as mentioned in Para 5. As stated in Para 10, as of acquisition date, the acquirer shall recognise, separately from goodwill, the identifiable assets acquired, the liabilities assumed and any non controlling interest in the acquiree. Accordingly the Bank has recognised all the identifiable assets and liabilities on the merger with erstwhile Bank of Kathmandu Ltd as on 9th January 2023.

Additionally the bank has recognised the goodwill on this business combination as per para 32 of NFRS 3, wherein Goodwill on business combination is recognized on the acquisition date at the excess of (a) over (b) below:

(a) The aggregate of:
(i) The consideration transferred measured in accordance with the NFRS 3, which generally requires acquisition-date fair value
(ii) The amount of any non-controlling interest in the acquiree measured in accordance with the NFRS 3; and
(iii) In a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held equity interest in the acquiree.

(b) The net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed measured in accordance with the NFRS 3. As stated in para 33, In a business combination, where acquirer and acquiree exchange only equity interests, the acquirer shall determine the amount of goodwill by using the acquisition date fair value of the acquiree's equity interests instead of the acquisition date fair value of the equity interests transferred.

Accordingly, the Bank has taken the fair value of acquiree's equity interest as on acquisition date, which is the purchase consideration calculated as per para 32(a)(i) of NFRS 3. The detail calculation is set out as below:

The fair value of acquiree's equity interest is calculated by using the adjusted fair value of acquirer's net-worth as on acquisition date, from when the acquiree will be common party on the resulting entity after business combination completion. Thus calculated fair value is considered as the purchase consideration transferred.

Fair Value of Net worth of Global IME Bank Ltd as on acquisition date	**39,013,079,109**
No. of shares of Global IME Bank Ltd as on acquisition date	245,096,259
Fair Value of Net worth of Global IME Bank Ltd as on acquisition date (a)	159.17
No. of shares taken over by Global IME Bank (b)	112,614,337
Consideration transferred c=(a*b)	17,925,332,884
Less: Net Assets taken over of erstwhile Bank of Kathmandu Ltd. (d)	17,519,517,348
Goodwill (c-d)	**405,815,536**

Amount in Rs.

Group						
		Software				
Particulars	**Goodwill**	**Purchased**	**Developed**	**Other**	**Total**	**Total Ashad 32 2079**
As on Shrawan 1, 2079	266,954,356	480,576,395			747,530,751	725,941,970
Additions	405,815,536	16,869,536	-	-	422,685,072	21,797,717
Transfer from Merger/Acquisition	-	179,182,719	-	-	179,182,719	-
Disposals	-	-	-	-	-	(208,936)
Balance on Ashad end 2080	**672,769,892**	**676,628,650**	**-**	**-**	**1,349,398,542**	**747,530,751**
Accumulated Amortization						
As on Shrawan 1, 2079	-	249,283,141	-	-	249,283,141	215,667,243
Transfer from Merger/Acquisition	-	151,642,694	-	-	151,642,694	-
Amortization for the year	-	40,407,046	-	-	40,407,046	33,615,898
Disposals	-	-	0	-	-	-
Balance on Ashad end 2080	**-**	**441,332,880**	**-**	**-**	**441,332,880**	**249,283,141**
Net book value:						
As on Ashad 32, 2079	**266,954,356**	**231,293,254**	**-**	**-**	**498,247,610**	**510,274,727**
As on Ashad 31, 2080	**672,769,892**	**235,295,770**	**-**	**-**	**908,065,662**	**498,247,610**

Amount in Rs.

Bank						
		Software				
Particulars	**Goodwill**	**Purchased**	**Developed**	**Other**	**Total**	**Total Ashad 32 2079**
		Rs			**Rs**	
As on Shrawan 1, 2079	266,911,056	469,274,037			736,185,093	714,479,403
Additions	405,815,536	16,728,286			16,728,286	21,914,626
Transfer from Merger/Acquisition		178,123,186			178,123,186	-
Disposals		-			-	(208,936)
Balance on Ashad end 2080	**672,726,592**	**664,125,510**		**-**	**931,036,566**	**736,185,093**
Accumulated Amortization						
As on Shrawan 1, 2079	-	240,402,415			240,402,415	207,824,938
Transfer from Merger/Acquisition		151,642,694			151,642,694	-
Amortization for the year		39,122,869			39,122,869	32,577,478
Disposals					-	-
Balance on Ashad end 2080	**-**	**431,167,978**	**-**	**-**	**431,167,978**	**240,402,415**
Net book value:						
As on Ashad 32, 2079	**266,911,056**	**228,871,622**	**-**	**-**	**495,782,678**	**506,654,465**
As on Ashad 31, 2080	**672,726,592**	**232,957,532**	**-**	**-**	**905,684,124**	**495,782,678**

4.15 Deferred Tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognized for all deductible temporary differences, carried forward unused tax losses (if any), to the extent it is probable that taxable profit will be available against which the deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates that have been enacted at the reporting date.

Amount in Rs.

	Group			Bank		
	Current Year			Current Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs						-
Loans and advances to customers						-
Interest receivable on loans to customers	-	-	-			-
Investment properties	-	-	-			-
Investment securities	80,321,388	212,959,842	(132,638,454)		212,959,842	(212,959,842)
Property & equipment	925,774	428,573,341	(427,647,567)		409,642,681	(409,642,681)
Employees' defined benefit plan	576,189,907	-	576,189,907	567,421,042		567,421,042
Lease liabilities	75,788,759	-	75,788,759	52,842,264		52,842,264
Provisions	19,750,208	-	19,750,208	18,591,237		18,591,237
Other temporary differences	6,510,495	-	6,510,495	381,738		381,738
Deferred tax on temporary differences	**759,486,532**	**641,533,183**	**117,953,348**	**639,236,281**	**622,602,523**	**16,633,758**
Deferred tax on carry forward of unused tax losses						-
Deferred tax due to changes in tax rate						-
Net Deferred tax asset/(liabilities) as on Ashad 31, 2080			**117,953,348**			**16,633,758**
Deferred tax asset/(liabilities) as on Shrawan 1, 2079			313,329,644			180,132,467
Transferred From Merged Entities/Adjustments Assets/ (Liabilities)			(443,754,895)			(443,754,895)
Origination/(Reversal) during the year			**248,378,599**			**280,256,186**
Deferred tax expense/(income) recognised in profit or loss			(184,555,867)			(216,936,058)
Deferred tax expense/(income) recognised in other comprehensive income			(294,999,662)			(294,497,058)
Deferred tax expense/(income) recognised in directly in equity			231,176,930			231,176,930

	Group			Bank		
	Previous Year			Previous Year		
	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)	Deferred Tax Assets	Deferred Tax Liabilities	Net Deferred Tax Assets/ (Liabilities)
Deferred tax on temporary differences on following items						
Loan and Advance to B/FIs	-	-	-	-	-	-
Loans and advances to customers	-	-	-	-	-	-
Interest receivable on loans to customers	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Investment securities	117,927,302	77,018,847	40,908,455	-	77,018,847	(77,018,847)
Property & equipment	29,194,411	213,181,777	(183,987,365)	28,015,677	193,511,877	(165,496,200)
Employees' defined benefit plan	401,043,126	-	401,043,126	393,740,667	-	393,740,667
Lease liabilities	49,473,685	-	49,473,685	28,397,863	-	28,397,863
Provisions	1,411,871	-	1,411,871	-	-	-
Other temporary differences	4,479,873	-	4,479,873	508,984	-	508,984
Deferred tax on temporary differences	603,530,268	290,200,624	313,329,644	450,663,191	270,530,724	180,132,467
Deferred tax on carry forward of unused tax losses						
Deferred tax due to changes in tax rate						
Net Deferred tax asset/(liabilities) as on Ashad 32, 2079			**313,329,644**			**180,132,467**
Deferred tax asset/(liabilities) as on Shrawan 1, 2078			75,360,825			85,873,988
Transferred From Merged Entities			-			-
Origination/(Reversal) during the year			**(237,968,819)**			**(94,258,479)**
Deferred tax expense/(income) recognised in profit or loss			(238,095,272)			(98,172,554)
Deferred tax expense/(income) recognised in other comprehensive income			126,455			3,914,076
Deferred tax expense/(income) recognised in directly in equity						-

4.16 Other Assets

Other assets includes those assets which are not classified separately in the financial statements. Accrued income, prepayments, security deposits, account receivables and prepaid employee benefit balance are classified as other assets. Prepaid employee benefits are the benefits which arises as a result of lower interest rate on the staff loans. These benefits are amortized over the term of the staff loan availed by the employees.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Assets held for sale	-	-		-
Other non banking assets	-	-	-	-
Bills receivable	-	-	-	-
Account receivables	2,133,551,662	689,031,666	1,915,558,455	638,988,770
Accrued Income	151,916,095	23,885,709	149,399,001	23,885,709
Prepayments and deposit	353,999,079	264,052,160	348,561,866	261,028,221
Income tax deposit	184,056,979	74,986,501	184,056,979	74,986,501
Deferred employee expenditure	2,679,723,091	1,768,101,436	2,679,723,091	1,768,101,436
Other assets	779,353,278	643,878,323	773,409,901	640,606,897
	6,282,600,184	**3,463,935,795**	**6,050,709,293**	**3,407,597,534**

4.16.1: Deferred Employee expenditure

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
opening balance	1,768,101,436	1,566,422,086	1,768,101,436	1,566,422,086
transfer from Merger	858,807,919	-	858,807,919	-
adjustment for new loan granted	253,761,324	389,024,445	253,761,324	389,024,445
adjustment for settled loan	(89,273,552)	(88,496,732)	(89,273,552)	(88,496,732)
charge to personnel expenses	(111,674,036)	(98,848,363)	(111,674,036)	(98,848,363)
closing balance	**2,679,723,091**	**1,768,101,436**	**2,679,723,091**	**1,768,101,436**

4.17 Due to Bank and Financial Institutions

Interbank borrowings and deposits from banks and financial institution are classified as due to bank and financial institutions. These are subsequently measured at amortized cost using effective interest rate. All the transaction cost are considered in calculating effective interest rate. The bank has not incurred any additional cost in collecting the deposits or borrowings from the banks. Deposits from BFIs are in nature of term, call ,current and margin deposits from A, B, C and D class and Co-operative financial institutions.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Money market deposits	-	-	-	-
Inter bank borrowings	1,464,848,365	2,657,317,800	-	-
Deposits from BFIs	13,023,623,863	9,594,870,797	13,023,623,863	9,594,870,797
Settlement and clearing accounts	-	-	-	-
	14,488,472,228	**12,252,188,597**	**13,023,623,863**	**9,594,870,797**

4.18 Due to Nepal Rastra Bank

Group has classified any amount due to Nepal Rastra Bank as subsequently measured at amortized cost using effective interest rate. All the transaction cost, incurred if any, are considered in calculating effective interest rate. These includes borrowings directly and indirectly from Nepal Rastra Bank like Refinancing loan, Standing Liquidity Facility and any other borrowing from Nepal Rastra Bank. The group has not incurred any additional transaction cost in taking the borrowing facilities from the Nepal Rastra Bank.

The Bank had borrowed fund of Rs. 518,505,701 from the Nepal Rastra Bank under the program "Sustainable Economic Development in Rural Areas",

a program of German Financial Cooperation implemented by KFW (Kreditanstalt für Wiederaufbau) German government owned development bank and Government of Nepal (represented by Ministry of Finance) in December 2017. This borrowing is used to provide access to financial services to Micro Small and Medium Enterprises (MSMEs). This borrowing carries the interest rate as defined in the agreement between Nepal Rastra Bank which has acted as On - lending Agent and Global IME Bank acting as Project - Executing Agency. This borrowing will mature in 15 years with a grace period of up to 3 years from the first date of disbursement and payable in consecutive semi-annual installments.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Refinance from NRB	55,911,000	7,982,622,739	55,911,000	7,982,622,739
Standing Liquidity Facility	-	6,000,000,000	-	6,000,000,000
Lender of last resort facility from NRB	-	-	-	-
Securities sold under repurchase agreements	-	-	-	-
Other payable to NRB	414,804,561	456,285,017	414,804,561	456,285,017
Total	**470,715,561**	**14,438,907,756**	**470,715,561**	**14,438,907,756**

4.19 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, foreign exchange rates. Derivatives are categorised as trading unless they are designated as hedging instruments. The Group uses the derivatives presented below for risk management purposes.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Held for trading				
-interest rate swap	-	-	-	-
-currency swap	-	-	-	-
-forward exchange contract	-	-	-	-
-others	-	-	-	-
Held for risk management				
-Interest rate swap	-	-	-	-
-Currency swap	-	-	-	-
-forward exchange contract liabilities	946,946,972	1,271,009,520	946,946,972	1,271,009,520
-others	-	-		-
	946,946,972	**1,271,009,520**	**946,946,972**	**1,271,009,520**

4.20 Deposit from Customers

Deposit from customers are the deposits accepted by bank from the individuals, corporate entities and other organized institutions. These deposits are in the form of saving, term, call, margin and demand. Deposit from customers are recognized when the funds reaches to the banks. These are measured at amortized cost using the effective interest rate. Transaction cost incurred, if any, are considered in determining the effective interest rate payable on deposit from customers. Bank launches the deposit collection program, dormant account activation, new deposit products awareness on regular basis to the customer of the bank. For this, the bank involves its employees and provides incentives and bonus for the motivation to carry out the program effectively. These incentives and bonuses have not been included as transaction cost in calculating the effective interest rate as these cost are in immaterial nature and allocation of the cost to individual deposit is not feasible.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Institutional Customers				
-term deposits	100,789,057,763	67,634,017,309	100,789,057,763	67,634,017,309
-call deposits	14,217,901,929	11,342,626,301	14,645,522,550	11,668,547,354
-current deposits	22,731,006,143	15,950,260,282	23,045,388,183	15,950,260,282
-other deposits	5,057,075,093	3,423,878,058	5,057,075,093	3,423,878,058
Individual Customers				
-term deposits	151,412,770,781	87,409,712,517	151,412,770,781	87,409,712,517
-saving deposits	131,006,312,242	92,078,027,980	127,885,652,415	89,116,757,373
-current deposits	3,407,118,034	1,671,718,965	3,407,118,034	1,671,718,965
-other deposits	82,861,342	90,017,766	82,861,342	90,017,765
	428,704,103,327	**279,600,259,178**	**426,325,446,161**	**276,964,909,623**

4.20.1: Currency wise analysis of deposit from customers

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Nepalese rupee	424,488,617,881	276,470,181,574	422,109,960,715	273,834,832,019
Indian rupee	-	-	-	-
United State dollar	4,092,722,708	3,019,327,542	4,092,722,708	3,019,327,542
Great Britain pound	34,312,298	15,354,771	34,312,298	15,354,771
Euro	72,006,383	29,101,390	72,006,383	29,101,390
Japanese yen	14,805,745	25,912,464	14,805,745	25,912,464
Chinese yuan	36,733	-	36,733	-
Other- AUD	1,601,579	40,413,437	1,601,579	40,413,437
Total	**428,704,103,327**	**279,600,291,178**	**426,325,446,161**	**276,964,941,623**

4.21 Borrowing

Borrowings are financial liabilities accepted by bank with fixed or determinable payments. Subsequent to initial recognition, these financial instruments are measured at amortised cost using effective interest rate. The Bank had borrowed an amount of USD 20 Million from International Finance Corporation in October 2019 with maturity in October 2022. Additionally the Bank has borrowed USD 25 Million from Commonwealth Development Corporation UK in December 2021 with three years tenure repayable in equal semi-annual installment and borrowed USD 10 Million from Mashreq Bank in October 2021 with three years tenure with full repayment on maturity. The borrowing has been shown in equivalent Nepalese Rupees with revaluation at each year end at the closing rate.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Domestic Borrowing				
Nepal Government	-	-	-	-
Other Institutions	-	-	-	-
Other	-	-	-	-
Sub total	-	-	-	-
Foreign Borrowing				
Foreign Bank and Financial Institutions	3,282,545,590	5,747,233,648	3,282,545,590	5,747,233,648
Multilateral Development Banks	-	-	-	-
Other Institutions	-	-	-	-
Sub total	3,282,545,590	5,747,233,648	3,282,545,590	5,747,233,648
Total	**3,282,545,590**	**5,747,233,648**	**3,282,545,590**	**5,747,233,648**

4.22 Provisions

A provision is recognised when the bank has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

There hasn't been any instances or rise of any obligation for which the bank is required to make the provisions for them. Any provisions that arises are reviewed at each reporting date and adjusted to reflect the current best estimate.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Provisions for redundancy	-	-	-	-
Provision for restructuring	-	-	-	-
Pending legal issues and tax litigation	-	-	-	-
Onerous contracts	-	-	-	-
Other	-	-	-	-
Total	**-**	**-**	**-**	**-**

4.22.1: Movement in provision

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Opening Balance	-	-	-	-
Provisions made during the year	-	-	-	-
Provisions used during the year	-	-	-	-
Provisions reversed during the year	-	-	-	-
Unwind of discount	-	-	-	-
Closing Balance	**-**	**-**	**-**	**-**

4.23 Other liabilities

Creditors and accruals

Creditors and accruals are financial liabilities which are initially measured at fair value, and subsequently measured at amortised cost. These includes any payables to the vendors by bank for service gained from them in the business operation.

Liability against employees

Bank makes the provisions for long term benefits in the form of gratuity and accrued leave which are payable at the time of retirement or termination. These long term benefits are provided on the basis of actuarial valuation. The bank also makes a yearly provision for staff bonus at 10% of profit before tax and bonus as a short term benefits for the service rendered to the bank.

Defined benefit obligation (gratuity and leave obligation) has been meausured using acturial valuation , as the liability is dependent on the future increase of salaries and service period of the employee. All the disclosures in Note 4.23.1 to 4.23.6 are the disclosure pertaining to the bank's financial statements.

Statutory liabilities

Bank is under obligation to deposit the tax deducted at source collected from the payment of interest on deposits, borrowings, and other vendors by the 25th of next month. These liabilities to inland revenue are presented separately from other liabilities.

Other liabilities

All other liabilities in the form of bills payable, interest payable on deposits and borrowings, excess interest payable, unpaid dividend are measured at amortized cost.

Lease liabilities as per NFRS 16, are included under Liability under Finance Lease.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Liability for employees defined benefit obligations	1,361,517,791	885,683,331	1,327,986,919	863,676,045
Liability for long-service leave	579,466,119	464,541,842	563,416,553	448,792,847
Short-term employee benefits	885,579	357,624	-	-
Bills payable	28,879,556	12,714,369	28,879,556	12,714,369
Creditors and accruals	3,421,797,187	3,608,907,634	2,233,048,806	2,669,157,829
Interest payable on deposits	216,247,444	180,188,375	114,345,416	78,288,521
Interest payable on borrowing	507,432,694	335,064,697	505,354,532	327,425,617
Liabilities on defered grant income	-	-	-	-
Unpaid dividend	64,311,334	63,018,682	64,311,334	63,018,682
Liabilities under Finance Lease	2,468,364,907	2,018,614,005	2,350,401,384	1,948,361,264
Employee bonus payable	1,069,588,892	820,531,118	1,029,502,688	780,731,661
Other statutory liabilities	460,039,464	308,909,589	459,417,580	308,326,448
Excess Interest Payable	514,845	450,000,000	514,845	450,000,000
Other liabilities	434,566,809	156,530,440	132,702,871	133,626,069
Total	**10,613,612,621**	**9,305,061,706**	**8,809,882,484**	**8,084,119,352**

4.23.1: Defined benefit obligations

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Present value of unfunded obligations	1,911,832,663	1,312,468,892	1,891,403,472	1,312,468,892
Present value of funded obligations			-	-
Total present value of obligations	**1,911,832,663**	**1,312,468,892**	**1,891,403,472**	**1,312,468,892**
Fair value of plan assets			-	
Present value of net obligations	1,911,832,663	1,312,468,892	1,891,403,472	1,312,468,892
Recognised liability for defined benefit obligations	**1,911,832,663**	**1,312,468,892**	**1,891,403,472**	**1,312,468,892**

4.23.2: Plan assets

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Equity securities		-	-	-
Government bonds		-	-	-
Bank deposit		-	-	-
Other		-	-	-
Total			-	-
Actual Return on Plan Assets		**-**	-	-

4.23.3: Movement in the present value of defined benefit obligations

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Defined benefit obligations at Shrawan 1	1,325,705,187	1,271,546,326	1,312,468,892	1,271,546,326
Actuarial losses/(gains)	(112,620,238)	(199,785,402)	(112,645,086)	(199,785,402)
Benefits paid by the plan	(544,525,643)	(85,782,902)	(544,253,492)	(85,782,902)
Acquisition/Business Combination/Divestiture	911,986,551	-	911,986,551	-
Current service costs and interest	331,286,806	326,490,870	323,846,607	326,490,870
Defined benefit obligations at Ashad end	**1,911,832,663**	**1,312,468,892**	**1,891,403,472**	**1,312,468,892**

4.23.4: Movement in the fair value of plan assets

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Fair value of plan assets at Shrawan 1	-	-	-	-
Contributions paid into the plan	-	-	-	-
Actuarial losses	-	-	-	-
Benefits paid by the plan	-	-	-	-
Expected return on plan assets	-	-	-	-
Fair value of plan assets at Ashad end			**-**	**-**

4.23.5: Amount recognised in profit or loss

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Current service costs	279,726,462	234,526,281	273,901,158	234,526,281
Interest on obligation	129,787,455	73,375,432	128,172,560	73,375,432
Expected return on plan assets		-	-	-
Total	**409,513,917**	**307,901,713**	**402,073,718**	**307,901,713**

4.23.6: Amount recognised in other comprehensive income

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Acturial (gain)/loss for the period	(190,847,349)	(121,194,912)	(190,872,197)	(121,194,912)
Total	**(190,847,349)**	**(121,194,912)**	**(190,872,197)**	**(121,194,912)**

4.23.7: Actuarial assumptions

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Discount rate			10%	11.0%
Expected return on plan asset			0%	0%
Future salary increase			As per Level	As per Level
Withdrawal rate			11%	11%

4.23.8: Maturity Analysis of Lease liabilities

The Bank has recognized a right of use of asset and lease liability as per NFRS 16 Leases. The right to use of assets and lease liability is the present value of the total lease payments up to the contract date from the start of contract inclusive of any increments on the lease payment. The right to use of assets is depreciated over the lease term on straight line basis. The lease liability is amortised over the lease term. The recognition impact and the maturity analysis of lease liability is shown as below.

Amount in Rs.

	Current Year		Previous Year	
	Right to Use of Assets	Leased Liabilities	Right to Use of Assets	Leased Liabilities
Balance as on 1st Shrawan 2079	1,853,701,721	1,948,361,264	2,152,502,762	2,152,502,761
Add: Transfer from Merger	419,182,521	490,191,558		
Add: New Branches Opened	262,012,876	262,012,876		
Less: Depreciation	(360,636,612)	-	(298,801,041)	
Add: Interest Cost	-	62,452,183		132,096,180
Less: Rent Paid for the Year	-	(412,616,496)		(336,237,677)
Balance as on Ashad end, 2080	**2,174,260,506**	**2,350,401,385**	**1,853,701,721**	**1,948,361,264**

	Current Year	Previous Year
Less Than 1 Year	25,418,128	7,690,620
1- 5 Year	574,401,502	1,195,964,327
More than 5 Year	1,750,581,755	744,706,317
	2,350,401,385	**1,948,361,264**

4.24 Debt securities issued

Debentures are measured at amortized cost using the effective interest rate. All the transaction cost incurred upto the time of allotment formed part of effective interest rate. Details of debentures issued by the bank are disclosed under Note 5.2 of Capital Management.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Debt securities issued designated as at fair value through profit or loss	-	-	-	-
Debt securities issued at amortised cost	12,181,589,400	4,492,869,348	12,181,589,400	4,492,869,348
	12,181,589,400	**4,492,869,348**	**12,181,589,400**	**4,492,869,348**

4.25 Subordinated Liabilities

These are the liabilities which are in lower ranks to the borrowers and other debts in terms of obligations. These are the unsecured liabilities which are repaid only after the depositors in case of liquidation. The bank has not issued any subordinated liabilities till the date of reporting from its inception.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Redeemable preference shares	-	-	-	-
Irredeemable cumulative preference shares (liabilities component)	-	-	-	-
Other	-	-	-	-

4.26 Share capital

Ordinary share capital represents the par value of ordinary shares issued. Share issuance cost which were incurred for raising the capital has not been shown as deduction from share capital but are charged to profit or loss.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Ordinary shares	35,771,059,655	23,795,753,339	35,771,059,655	23,795,753,339
Convertible preference shares (equity component only)	-	-	-	-
Irredeemable preference shares (equity component only)	-	-	-	-
Perpetual debt (equity component only)	-	-	-	-
Total	**35,771,059,655**	**23,795,753,339**	**35,771,059,655**	**23,795,753,339**

4.26.1: Ordinary shares

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Authorized Capital				
500,000,000 (PY 250,000,000) Ordinary share of Rs. 100 each	50,000,000,000	25,000,000,000	50,000,000,000	25,000,000,000
Issued capital				
357,710,596 (PY 237,957,533) Ordinary share of Rs. 100 each	35,771,059,655	23,795,753,339	35,771,059,655	23,795,753,339
Subscribed and paid up capital				
357,710,596 (PY 237,957,533) Ordinary share of Rs. 100 each	35,771,059,655	23,795,753,339	35,771,059,655	23,795,753,339
Total	**35,771,059,655**	**23,795,753,339**	**35,771,059,655**	**23,795,753,339**

4.26.2: Ordinary share ownership

	Current Year		Previous Year	
	Percent	Amount	Percent	Amount
Domestic ownership	**100%**		**100%**	
Nepal Government	0.08%	28,177,480	0.11%	27,356,777
"A" class licensed institutions	-	-	-	-
Other licensed institutions	-	-	-	-
Other Institutions	14.87%	5,317,373,384	11.01%	2,620,517,254
Public	48.76%	17,442,365,132	48.65%	11,576,728,768
Other	36.30%	12,983,143,659	40.22%	9,571,150,540
Foreign ownership				
Total	**100%**	**35,771,059,655**	**100%**	**23,795,753,339**

4.26.3: Share ownership 0.5% and above

	Current Year		Previous Year	
Name of shareholder	No.of Shares	Percent	No.of Shares	Percent
Employees Provident Fund	16,971,535	4.74%		
IME Holdings Pvt Ltd	9,938,838	2.78%	9,649,356	4.06%
IME Investment Pvt Ltd	8,966,411	2.51%	8,705,253	3.66%
Bishnu Prasad Neupane	5,033,570	1.41%	4,851,039	2.04%
Sumit Kumar Agarwal	5,003,785	1.40%	4,858,044	2.04%
Mangal Kalash Investment Pvt Ltd	4,430,054	1.24%		
Continental Investment	4,122,311	1.15%	4,002,244	1.68%
Uttam Kumar Nepal	3,391,851	0.95%	3,293,059	1.38%
Citizen Investment Trust	3,285,788	0.92%		
Rana Bahadur Shah	2,804,145	0.78%		
Nimisha Investment Pvt Ltd	2,655,764	0.74%	2,578,411	1.08%
Homeland Developers	2,601,821	0.73%	2,526,040	1.06%
Hem Raj Dhakal	2,402,324	0.67%	2,332,353	0.98%
Cabinet Shrestha	2,272,841	0.64%	2,206,641	0.93%
Dambar Bahadur Malla	2,247,197	0.63%		
Kamadhenu Investment	2,219,761	0.62%	1,887,639	0.79%
Rita Malla	1,997,837	0.56%		
Sharada Devi	1,878,892	0.53%		
Sandeep Agarwal	1,853,236	0.52%	1,992,154	0.84%

4.27 Reserves

Statutory Reserves

Statutory reserves represents the mandatory reserves maintained by the bank as per Nepal Rastra Bank directives. This includes general reserve,exchange equilization reserve, capital redemption reserve, investment adjustment reserve, interest capitilized reserves, corporate social responsibility reserve, training and development reserve and other reserve notified by Nepal Rastra Bank. These reserves are not available for distribution of dividends.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Statutory general reserve	11,473,836,112	6,376,947,207	11,328,222,384	6,250,610,171
Exchange equilisation reserve	331,160,725	203,845,520	331,160,725	203,845,520
Corporate social responsibility reserve	162,442,528	69,866,160	157,869,490	65,694,761
Capital redemption reserve	-	-	-	-
Training Reserve	119,282,611	36,286,722	119,282,611	49,522,336
Interest capitalized reserve	16,360,164	-	16,360,164	-
Investment adjustment reserve	6,260,000	403,260,000	6,260,000	403,260,000
Capital reserve	-	-	-	-
Other reserve	759,595,983	298,567,070	672,726,592	266,911,056
Assets revaluation reserve	990,940,550	451,527,713	990,940,550	451,527,713
Dividend equalisation reserve	-	-	-	-
Debenture redemption reserve	1,833,333,333	1,387,609,649	1,833,333,333	1,387,609,649
Deferred Tax Reserve	-	-	-	-
Fair value reserve	496,039,786	179,710,644	496,906,298	179,710,644
Regulatory reserve	4,179,444,916	1,642,859,627	4,115,716,133	1,502,642,200
Actuarial gain/(loss)	(29,133,019)	(56,487,464)	(29,489,044)	(56,853,487)
Total	**20,339,563,689**	**10,993,992,848**	**20,039,289,236**	**10,704,480,563**

a. Statutory General Reserve

According to Banks and Financial Institutions Act, 2073, amount equal to 20% of net profit of each year is transferred to the general reserve fund.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	6,250,610,171	5,240,888,345
Transfer from the Merger	3,738,740,654	
Transfer during the period	1,338,871,559	1,009,721,826
Withdrawal during the period		-
Balance as on Ashad end	**11,328,222,384**	**6,250,610,171**

b. Exchange Equalization Reserve

According to Banks and Financial Institutions Act, 2073, Banks which earn foreign exchange revaluation gain on foreign currency other than Indian Currency are required to transfer 25% of such revaluation gain to exchange equalisation reserve.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	203,845,520	190,223,700
Transfer from the Merger	122,690,086	
Transfer during the period	4,625,119	13,621,820
Withdrawal during the period		
Balance as on Ashad end	**331,160,725**	**203,845,520**

c. Corporate Social Responsibility Reserve

As per NRB directive, Banks are required to allocate 1% of its Net profit to Corporate Social Responsibility Fund which will be expensed in the next financial year. Bank has used the fund in economic transformation mainly in the field of education, financial awareness, community conservation and community health, directly or by support to various event organizers.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	65,694,761	45,488,637
Transfer from Merger	49,781,036	-
Less: CSR Expenses during the period	(24,549,885)	(29,386,124)
Add: Transfer from Retained earning	66,943,578	49,592,248
Balance as on Ashad end	**157,869,490**	**65,694,761**

d. Debenture Redemption Reserve

As per the NRB directive Banks which have issued the debentures shall create the debenture redemption reserve proportionately for the maturity term excluding on the year of issue and redemption. Also, Bank is not required to maintain the debenture redemption reserve if the bank distributes dividend in form of bonus shares equivalent to the amount of debenture redemption reserve to be created during the year for debentures with remaining maturity of more than 5 years. However amount not created as debenture redemption reserve and distributed as dividend in form of bonus shares must be proportionately allocated to debenture redemption reserve in the remaining maturity period from next year onwards. Accordingly Bank has opted not to create debenture redemption reserve on 10 Years "8.50% GIBL debenture 2086/87" worth Rs. 3 Billion with remaining maturity of 7 years as on Ashad 2080. Amount not created as debenture redemption reserve is Rs. 333,333,333

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	1,387,609,649	679,276,316
Transfer during the period	445,723,684	708,333,333
Withdrawal during the period		-
Balance as on Ashad end	**1,833,333,333**	**1,387,609,649**

e. Training Reserve

As per NRB directive, Banks are required to incur minimum 3% of its total employee's salary and allowances expenses of previous year on training and development of their employees. Any amount not expensed upto 3% during the year shall be transferred to this reserve from retained earnings. This reserve is created for the training and development of the Bank's employees as per said directives.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	49,522,336	9,798,829
Transfer from Merger	44,353,514	-
Less: Training Expenses during the period	(35,264,161)	(19,102,255)
Add: 3% of Employees' Salary & allowances	60,670,922	58,825,762
Balance as on Ashad end	**119,282,611**	**49,522,336**

f. Interest capitalized reserve

As per NRB directive No 4, Banks are required to create Interest Capitalised Reserve (ICR) for the Interest accrued and capitalised during Moratorium period of Loan approved after 2079.10.26 or having Financial Closure. Such capitalised interest need to be booked under separate account i.e. Interest Capitalised Term Loan (ICTL) and transfer to this reserve net off of staff bonus and tax.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	-	-
Add: Transfer to reserve	16,360,164	-
Balance as on Ashad end	**16,360,164**	**-**

g. Investment Adjustment Reserve

Investment adjustment reserve are created as a cushion for adverse price movements in the bank's investments as per the directive issued by Nepal Rastra Bank. This reserve is created against those investments whose shares doesn't not get listed in Nepal Stock Exchange within three years from the date of investment except for those exempted by Nepal Rastra Bank.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	403,260,000	403,260,000
Transfer during the period	-	-
Withdrawal during the period	(397,000,000)	-
Balance as on Ashad end	**6,260,000**	**403,260,000**

h. Capital Reserve

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	-	-
Transfer from Merger	164,075	-
Withdrawal during the period	(164,075)	
Balance as on Ashad end	**-**	**-**

i. Fair Value Reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets that are measured at fair value and the changes in fair value is recognized in other comprehensive income, until the assets are de-recognized.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	179,710,644	255,414,239
Transfer from the Merger	1,137,965,994	
Transfer during the period	(820,770,340)	13,680,793
Withdrawal during the period	-	(89,384,388)
Balance as on Ashad end	**496,906,298**	**179,710,644**

j. Regulatory Reserve

This reserve is allocated from retained earnings of the Bank as per the Directive of Nepal Rastra Bank. This includes interest income recognized but not received in cash and fair value of investment property net of staff bonus and tax and additionally includes, amount equal to deferred tax asset in financial statement, amount equal to actuarial loss recognized till date of reporting.

Amount in Rs.

	Deferred Tax Reserve	Investment Property	Accrued Interest	Actuarial (Gain) / (Loss)	Total Regulatory Reserve
Balance as on 1st Shrawan 2079	**180,132,467**	**352,452,413**	**913,203,833**	**56,853,487**	**1,502,642,200**
Transfer from the Merger	-	25,852,345	545,964,659	132,084,513	703,901,517
Transfer during the period	36,822,971	696,064,202	1,335,734,199	-	2,068,621,372
(Withdrawal) during the period	-	-	-	(159,448,956)	(159,448,956)
Balance as on 31st Ashad 2080	**216,955,438**	**1,074,368,960**	**2,794,902,691**	**29,489,044**	**4,115,716,133**

k. Actuarial Gain/Loss

Actuarial gains and losses comprise the difference between the payments actually made by an employer and the expected amount for the defined benefit obligation. A gain occurs if the amount paid is less than expected. A loss occurs if the amount paid is higher than expected. Actuarial gain or loss can also arise from either change in assumption or experience adjustments / variance. The change in assumption can be financial as well as demographic. Nepal Rastra Bank has mandated to keep the additional reserve for the loss arising on actuarial loss.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	(56,853,487)	(141,689,926)
Transfer from the Merger	(106,246,095)	-
Transfer during the period	-	-
Withdrawal during the period	133,610,538	84,836,439
Balance as on Ashad end	**(29,489,044)**	**(56,853,487)**

l. Other Reserve

Other Reserves include reserves created as other components of equity against Goodwill, created during merger with erstwhile Janata Bank Nepal Ltd and acquisition of Hathway Finance Company Ltd and during the merger with erstwhile Bank of Kathmandu Ltd.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	266,911,056	266,911,056
Transfer from the Merger	26,618,549	-
Transfer during the period	405,815,536	-
Withdrawal during the period	(26,618,549)	-
Balance as on Ashad end	**672,726,592**	**266,911,056**

Calculation of Other Components of Equity in relation to recognition of Goodwill during the Financial Year

	Bank of Kathmandu Ltd	Hathway Finance Co. Ltd.	Janata Bank Nepal Ltd.	Total
Value of Price Used for Purchase consideration	159	164	237	
Goodwill Calculation				
Consideration transferred by Acquirer	17,925,332,884	206,325,000	17,066,616,427	35,198,274,311
Less: Business Value taken over	17,519,517,348	205,500,000	16,800,530,371	34,525,547,719
Goodwill	405,815,536	825,000	266,086,056	672,726,592
Other Components of Equity	**405,815,536**	**825,000**	**266,086,056**	**672,726,592**

m. Asset Revaluation Reserve

NFRS 3 Business Combination requires the acquirer to measure the identifiable assets acquired and the liabilities assumed at their acquisition date fair values." Accordingly all the identifiable assets and liabilities are measured at their individual fair values as on acquisition date. Those assets and liabilities acquired are brought in the books of the acquirer at same values as at the acquisition date. The change in fair value over the book value is transferred to asset revaluation reserve, which were valued by independent valuators as on acquisition date.

Asset Revaluation Reserve has been created on the property transferred from merger with erstwhile Bank of Kathmandu Ltd.

Amount in Rs.

	Current Year	Previous Year
Balance as on Shrawan 1	451,527,713	451,527,713
Transfer from the Merger	539,412,837	-
Transfer during the period	-	-
Withdrawal during the period	-	
Balance as on Ashad end	**990,940,550**	**451,527,713**

Retained earnings

Retained earnings represents the cumulative net earnings or profit after accounting for dividends paid to shareholders and mandatory reserves required as per directives issued by Nepal Rastra Bank before distributing dividend.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-opening balance	4,026,504,268	4,235,392,671	3,239,226,171	3,183,715,393
-add: profit for the year	6,862,914,509	5,067,692,484	6,694,357,795	4,959,224,743
-add: transfer from merger	(88,094,153)	-	(95,229,173)	-
-less: transfer to regulatory reserves	(1,933,379,229)	(312,803,261)	(1,909,172,415)	(281,103,834)
-less: transfer from regulatory reserves	-	-	-	-
-add: transfer from statutory reserves	451,552,423	91,204,806	423,782,624	89,384,389
-less: transfer to statutory reserves	(1,879,641,881)	(1,903,863,321)	(1,873,380,980)	(1,791,606,610)
-less: cash dividend for FY 2077-2078	-	(805,512,606)		(757,137,606)
-less: scrip dividend for FY 2077-2078	-	(2,345,606,504)		(2,163,250,304)
-less: cash dividend for FY 2078-2079	(2,555,866,121)	-	(2,522,349,854)	-
-less: scrip dividend for FY 2078-2079	(751,988,001)	-	(713,872,600)	-
-closing balance	**4,132,001,814**	**4,026,504,269**	**3,243,361,568**	**3,239,226,171**

4.28 Contingent liabilities and commitments

Contingent liabilities and commitments are those obligations which may not be recognized on the statement of financial position, but they do contain certain credit risk and are therefore part of the overall risk of the Bank.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Contingent Liabilities	65,531,910,216	59,783,199,356	65,531,910,216	59,783,199,356
Undrawn and undisbursed facilities	33,526,574,335	22,377,359,900	33,526,574,335	22,377,359,900
Capital commitments	-	-	-	-
Lease commitments	-	-	-	-
Litigations	798,905,017	440,320,671	798,905,017	440,320,671
	99,857,389,569	**82,600,879,928**	**99,857,389,569**	**82,600,879,928**

4.28.1: Contingent liabilities

Contingent liabilities are possible obligations that arise out of past events and whose existence will be confirmed only by the occurrence of or non-occurrence of one or more uncertain future events not wholly within the control of the Bank. These can also be present obligations that arise from past events but they are not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent liabilities are measured with the provisions of as defined in Nepal Accounting Standard- NAS 37 - Provisions, Contingent Liabilities and Contingent Assets. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Acceptances & Endorsements	11,697,529,999	12,184,451,596	11,697,529,999	12,184,451,596
2. Documentary Credit	11,860,606,122	11,309,569,642	11,860,606,122	11,309,569,642
3. Bills for collection	-	-	-	-
4. Forward exchange contracts	-	-	-	-
5. Guarantees/Bonds	41,973,774,095	36,289,178,118	41,973,774,095	36,289,178,118
6. Underwriting commitment	-	-	-	-
7. Other Commitments	-	-	-	-
Total	**65,531,910,216**	**59,783,199,356**	**65,531,910,216**	**59,783,199,356**

4.28.2: Undrawn and undisbursed facilities

To meet the financial needs of customers, the Bank enters into irrevocable commitments like financial guarantees, letters of credit and other credit commitments. Undrawn facilities refers to the approved credit facility that the Bank has agreed to be made available to the borrower, that the borrower has either not drawn, or has drawn and repaid.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
1. Undisbursed amount of loans	6,979,619,782	2,233,319,251	6,979,619,782	2,233,319,251
2. Undrawn limits of overdrafts	19,367,498,447	11,749,871,120	19,367,498,447	11,749,871,120
3. Undrawn limits of credit cards	1,466,796,729	1,137,776,510	1,466,796,729	1,137,776,510
4. Undrawn limits of letter of credit	5,712,159,377	7,255,893,019	5,712,159,377	7,255,893,019
5. Undrawn limits of guarantee	500,000	500,000	500,000	500,000
Total	**33,526,574,335**	**22,377,359,900**	**33,526,574,335**	**22,377,359,900**

4.28.3: Capital commitments

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Capital commitments in relation to Property and Equipment				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Capital commitments in relation to Intangible assets				
Approved and contracted for			-	-
Approved but not contracted for			-	-
Total			**-**	**-**

4.28.4: Lease commitments

Lease commitments entered by bank for the leasing of spaces for expanding branch operations but provision not made in financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Operating lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Finance lease commitments				
Future minimum lease payments under non cancellable finance lease, where the bank is lessee				
Not later than 1 year				
Later than 1 year but not later than 5 years				
Later than 5 years				
Total	**-**	**-**	**-**	**-**

4.28.5: Litigation

a. Income Tax

Litigation is a common occurrence in the banking industry due to the nature of the business. The Bank has separate unit for dealing with such legal claims. Tax assessment cases which are pending for decision under Supreme Court, Revenue Tribunal and Inland Revenue Department are provided below. Except for the below cases there are no other litigation cases, which will give rise to material outflow of bank's resources and affect the going concern of the bank. Bank has merged/acquired 20 different banks and financial institutions (BFIs) including Bank of Kathmandu Ltd during this financial year, since the date of establishment. These BFIs were merged/acquired at different swap ratios, calculated based on the Merger Acquisition Bylaws upon final approval from Nepal Rastra Bank. Tax assessments of the Bank up to financial year 2075-76 have been completed without demand of tax liability, if any on such transactions/ payments from capital reserves that arose from the mergers and acquisitions.

Finance Act 2080 has provisioned to waive the additional liability of interest and penalty, if the tax liability arises on bargain purchase gain due to merger & acquisitions till financial year 2078/79 is paid within Mangsir 2080. The tax cannot be levied retrospectively, the Bank, together with other banks involved in mergers & acquisitions in the past, filed the case jointly in the Supreme Court against such provision of the Finance Act on 15 September 2023, which is still pending at the court. The amount presented as below includes the probable fines and interest calculated till the date of assessment.

Amount in Rs.

Cases at	Current Year	Previous Year
Supreme Court	163,334,443	133,236,582
Revenue Tribunal	146,891,376	128,781,723
Inland Revenue Department	488,679,198	178,302,366
Total	**798,905,017**	**440,320,671**

4.29 Interest income

Interest income includes interest accrued on financial assets including loans and advances to financial institutions and customers, bank balances at nostro accounts and other interest bearing securities. Interest income is recognised using the effective interest rate (EIR). As per the Carve Out issued by Institute of Chartered Accountants of Nepal, the origination fees on loans to customers or financial institution has not been considered in calculating the EIR. The Bank doesn't recognize the interest income accrued on the loans and advances classified under loss category due to the uncertainty of the recovery. Further the Bank does not recognize the interest income accrued on the loans and advances classified under Substandard and Doubtful category, unless such interest along with principal are covered by the collateral value as defined in Income Recognition guidelines issued by Nepal Rastra Bank.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from cash and cash equivalents	642,905,131	236,204,264	594,661,866	220,422,323
-from due from Nepal Rastra Bank	-	-	-	-
-from placements with bank and financial institutions	17,461,137	7,816,933	11,727,450	-
-from loans and advances to banks and financial institutions	1,444,231,615	892,530,272	1,444,231,615	1,069,126,239
-from loans and advances to customers	43,258,348,931	26,596,604,998	42,031,766,492	25,451,894,843
-from investment securities	3,921,928,843	2,198,527,556	3,917,270,274	2,198,527,556
-from loans and advances to staff	148,619,391	117,252,035	148,619,391	117,252,035
-from others agency balance	61,802,717	1,144,017	61,802,717	1,144,017
	49,495,297,765	**30,050,080,075**	**48,210,079,805**	**29,058,367,013**

4.30 Interest expense

Interest expense includes interest accrued on deposits from customers including BFIs, debt securities issued and other interest bearing financial liabilities. Interest expense is recognised using the effective interest rate (EIR). Promotional expenses and incentives incurred to solicit the deposits are not considered in the calculation of effective interest rate because of the immaterial amount and allocation of these costs to individual deposit is not feasible.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on dues to bank and financial institutions	75,767,446	512,158,999	75,767,446	512,158,999
-on dues to Nepal Rastra Bank	234,857,759	187,670,723	234,857,759	187,670,724
-on deposit from customers	29,926,195,677	17,730,129,751	29,707,414,142	17,575,201,938
-on borrowings	835,081,464	298,208,518	323,616,578	82,645,496
-on debt securities issued	761,432,866	411,134,242	761,432,866	411,134,242
-on subordinated liabilities	-	-	-	-
	31,833,335,212	**19,139,302,233**	**31,103,088,791**	**18,768,811,399**

4.31 Fees and Commission Income

Fees and commission income earned from services including fees collected from issuance of Loans and advances, letter of credit, guarantees and sale of digital products are recognized on accrual basis. Loan administration fees, service fees and swap fees on new loans or on renewal of underlying credit facilities are the transaction costs collected by the bank. Bank has availed Carve-out on NFRS for accounting of transaction costs to include as part of EIR.

Other fees include commission income from remittance, custody and advisory fees as well as fees from insurance brokerage, foreign exchange transactions etc.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from loan administration fees	312,430,169	348,010,279	312,430,169	348,010,279
-from service fees	309,957,316	358,449,916	149,586,675	124,276,645
-from consortium fees	-	-	-	-
-from commitment fees	4,597,403	11,428,645	4,597,403	11,428,645
-from D.D/ T.T/swift fees	51,395,183	41,827,945	51,395,183	41,827,945
-from credit card/ATM issuance and renewal fees	927,728,091	592,560,684	927,728,091	592,560,684
-from prepayment and swap fees	10,004,147	13,205,362	10,004,147	13,205,362
-from investment banking fees	-	-	-	-
-asset management fees	1,338,276	24,107,677	-	-
-from brokerage fees	-	-	-	-
-from remittance fees	266,577,253	236,656,324	266,577,253	236,656,324
-from commission on letter of credit	336,498,366	293,226,957	336,498,366	293,226,957
-from commission on guarantee contract issued	433,948,459	344,526,116	433,948,459	344,526,116
-from commission on share underwriting/issue	33,606,494	141,899,077	-	-
-from locker rental	15,533,100	12,097,550	15,533,100	12,097,550
-from other fees and commission income	260,611,955	210,281,462	235,843,177	200,011,348
Total fees and commission income	**2,964,226,212**	**2,628,277,994**	**2,744,142,023**	**2,217,827,855**

4.32 Fees and commission expense

Fee and commission expense includes transactions and service fees expensed for the services received. Fee and commission expense are recognized on accrual basis.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on ATM management fees	-	-	-	-
-on VISA/Master card fees	343,310,755	224,913,891	343,310,755	224,913,891
-on guarantees	-	-	-	-
-on brokerage	-	-	-	-
-on D.D/ T.T/swift fees	23,393,312	14,949,511	23,393,312	14,949,511
-on remittance commission	159,312,809	149,074,085	159,312,809	149,074,085
-other commission expenses	191,523,802	260,222,474	157,553,538	146,579,021
Total fees and commission expense	**717,540,678**	**649,159,961**	**683,570,414**	**535,516,508**

4.33 Net trading income

Net trading income includes all gains and (losses) from changes in fair value, related capital gains/ losses, foreign exchange trading gains/ (losses), interest income from trading assets and dividend from financial assets measured at fair value through profit or loss.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from changes in fair value of trading assets	144,281,360	(359,888,262)	-	-
-from gain/loss on disposal of trading assets	1,035,011	22,305,561	-	-
-from interest income on trading assets	-	-	-	-
-from dividend income on trading assets	308,920	-	-	-
-from gain/loss foreign exchange transaction	474,601,196	594,205,883	474,601,196	594,205,883
-from other trading income	-	-	-	-
Total net trading income	**620,226,487**	**256,623,182**	**474,601,196**	**594,205,883**

4.34 Other operating income

Gain/ (loss) from sale of investment securities, dividend on investment securities, gain/ (loss) on sale of investment securities and properties, gain/ (loss) from trading of gold and silver and subsidies received from the government or other financial institutions are recognized in other operating income. Subsidy received for the purchase of equipment are deducted from the cost of related equipment. Profit / (loss) on sale of property and equipment are recorded when the control over those are transferred to the buyer and fair consideration has been received.

Profit / (loss) on sale of repossessed collateral classified as investment property are recorded when control over those collateral are transferred and a fair consideration has been received from the buyer. Dividend income from assets is recognized when the bank's right to receive the payment is established.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from foreign exchange revaluation gain	18,500,477	54,487,278	18,500,477	54,487,278
-from gain/loss on sale of investment securities	(21,736,070)	92,607,063	1,064,615	92,607,063
-from fair value gain/loss on investment properties	-	-	-	-
-from dividend on equity instruments	95,658,912	66,290,978	93,021,334	47,734,533
-from gain/loss on sale of property and equipment	3,451,709	(61,236)	3,727,439	(412,742)
-from gain/loss on sale of investment property	2,549,044	9,538,843	2,549,044	9,538,843
-from operating lease income	-	-	-	-
-from gain/loss on sale of gold and silver	8,713,211	10,772,585	8,713,211	10,772,585
-from others	87,460,274	258,240,238	87,450,505	258,120,238
Total other operating income	**194,597,557**	**491,875,749**	**215,026,625**	**472,847,798**

4.35 Impairment charge/(reversal) for loan and other losses

Net impairment charge or reversal on loans are the movement in collective and specific impairment allowance from the previous year on the basis of individual assessment of loans and historical loss experience on loans. The Bank has applied the carve out by Institute of Chartered Accountants of Nepal issued for the implementation of Para 5.5 of NFRS 9-Financial Instruments to measure the Impairment Loss on Loan and advances. Additionally, impairment is also calculated using the provisions of Directive No 2 issued by Nepal Rastra Bank and the impairment charges/(reversal) for loans is the higher of NRB Provision and provision as per NFRS 9 as mentioned above.

Impairment charge/ (reversal) for loans and other losses comprise of impairment losses and reversal of impairment on, investments, cash and bank balance measured at amortized cost and the account receivable balance identified for impairment.

Goodwill is the excess of the consideration transferred over the fair value of the acquired assets and assumed liabilities in a business combination. Goodwill is not amortized but rather tested for impairment at least annually. Goodwill is also tested for impairment between annual tests if an event occurs or circumstances change that would more likely than not reduce the fair value of the reporting unit below its carrying amount. When testing goodwill for impairment, we assess qualitative factors for all of our reporting units to determine whether the fair value of a reporting unit is less than its carrying amount, including goodwill. Events or circumstances that might indicate an interim evaluation includes, unexpected adverse business conditions, declining cash flows, a sustained decrease in share price, unanticipated competitive activities and acts by governments and courts.

Goodwill impairment test is carried out with following multi step process:

The current condition of the acquired business needs to be assessed to understand whether impairment testing is needed. Since the acquired business is managed by the single entity it is imperative to assess the effect of merger in the resulting entity after merger. On assessment by the management, there comes no adverse situation where the business of the bank is severely affected after merger amidst the current economic conditions. Though the current economic situation has slightly slowed down the business activities but the potential business area remains in abundant. We have also assessed whether the fair value of our business has come down below the carrying amount. For assessment of fair value of the bank we have considered the business value based on market approach and income earning approach. After the computation of business value we have compared our carrying book value including recognised goodwill with the business value thus arrived as on reporting date. On comparison the fair value of the business is higher than the carrying value of the business. With this management is confident that the goodwill arrived on the business combinations does not show any indication for impairment calculation.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on loans and advances to B/FIs	(7,829,661)	5,671,349	(7,829,661)	5,671,349
-on loans and advances to customer	3,513,242,705	507,994,617	3,433,968,723	460,759,740
-on investment securities	-	-	-	-
-on cash and cash equivalents	-	-	-	-
-on placement with banks and financial institutions	-	-	-	-
-on property and equipment	-	-	-	-
-on goodwill and intangible assets	-	-	-	-
-on investment properties	-	-	-	-
-on account receivables	-	-	-	-
Total impairment charge/(reversal)	**3,505,413,044**	**513,665,966**	**3,426,139,062**	**466,431,088**

4.36 Personnel Expense

The cost of all short-term employee benefits is recognized as an expense during the period in which the employee renders the related service. Accruals for employee entitlements to salaries, bonus and annual leave represent the amount which the bank has a present obligation to pay as a result of employees' services received up to the reporting date.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-salaries	1,307,194,221	1,090,223,744	1,165,401,699	957,539,998
-allowances	1,430,363,351	1,159,303,678	1,323,120,323	1,064,824,078
-gratuity	246,284,189	203,412,836	235,624,267	194,471,960
-provident fund	129,716,517	107,301,682	116,436,390	95,535,523
-uniform	667,000	-	-	-
-training and development expenses	41,377,000	23,526,544	35,264,161	19,102,255
-leave encashment	157,551,022	58,362,791	150,863,390	53,428,420
-medical insurance	12,772,453	6,897,001	12,772,453	6,897,001
-life insurance	20,610,456	12,474,416	18,566,496	11,139,647
-employee incentives	-	-	-	-
-cash settled share-based payments	-	-	-	-
-pension expenses	-	-	-	-
-finance expense under NFRS	111,674,036	105,465,270	111,674,036	105,465,270
-other staff expenses	52,111,221	17,096,621	35,191,960	1,590,000
	3,510,321,466	**2,784,064,583**	**3,204,915,175**	**2,509,994,152**
-employees bonus	1,065,091,092	820,153,861	1,029,502,688	780,731,661
Total personnel expenses	**4,575,412,558**	**3,604,218,444**	**4,234,417,863**	**3,290,725,812**

4.37 Other operating expense

Bank operates in a competitive environment for rendering the better banking services to the public in a convenient way. For this, bank incurs various expenses in the form of lease rent, traveling, security, fuels and electricity, communication, advertisements and other directly related expenses. These expenses are incurred and accounted on accrual basis and are charged to income statement unless those expenses form the capital nature.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-directors' fees	5,230,822	3,211,000	2,880,500	2,488,000
-directors' expenses	2,366,026	3,085,165	1,741,478	2,446,091
-auditor's remuneration	5,257,600	3,243,100	4,520,000	2,858,900
-other audit related expenses	966,508	1,341,354	-	904,000
-professional and legal expense	30,814,527	23,890,376	30,140,130	23,816,863
-office administration expenses	1,706,034,627	1,247,586,684	1,656,477,800	1,195,113,668
-operating lease expenses	100,939,038	70,778,597	92,464,652	57,748,686
-operating expense on investment properties	-	-	-	-
-corporate social responsibility expenses	26,352,869	31,899,089	24,549,885	29,386,124
-onerous lease provisions	-	-	-	-
-other operating expenses	67,628,141	132,096,180	62,586,906	132,096,180
Total operating expense	**1,945,590,158**	**1,517,131,545**	**1,875,361,351**	**1,446,858,512**

4.37.1 office administration expenses

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Water & electricity	87,982,062	71,813,234	85,853,324	69,874,026
Repairs and maintenance		-		-
(a) Building	5,631,919	1,155,079	5,631,919	1,155,079
(b) Vehicle	16,978,128	13,882,173	16,209,013	12,997,222
(c) Computer and accessories	2,079,580	2,446,023	2,079,580	2,446,023
(d) Office equipment and furniture	21,139,543	16,403,956	20,388,932	16,403,956
(e) Other repairs	22,297,593	14,548,271	21,379,654	13,730,238
Insurance	23,452,727	13,864,740	22,784,758	13,043,700
Postage, telex, telephone,fax	100,502,455	90,297,710	96,985,055	86,958,069
Printing and stationery	89,925,126	68,439,677	84,053,067	61,581,366
Newspaper, books and journals	14,886,438	14,759,202	14,843,264	14,709,535
Advertisement	123,591,863	109,003,694	122,937,728	108,369,013
Donation	-	-	-	-
Security expenses	317,496,467	257,757,262	316,446,155	256,635,346
Deposit and loan guarantee premium	156,176,599	100,137,309	156,176,599	100,137,309
Travel allowance and expenses	65,368,136	44,198,538	59,559,010	38,836,345
Entertainment	4,165,833	4,259,429	3,709,062	4,107,304
Annual/special general meeting expenses	1,678,507	2,490,928	895,134	495,053
Other	-	-		-
(a) ATS/AMC expenses	133,724,292	86,994,140	130,621,747	85,643,935
(b) Bank charges	27,237,723	16,573,435	27,226,048	16,556,311
(c) Business promotion	75,589,558	57,111,411	75,465,428	56,847,287
(d) Cleaning & gardening	22,033,586	15,343,607	21,664,984	14,827,991
(e) Fees & taxes	93,780,092	37,320,926	91,843,261	33,749,889
(f) Fuel & other lubricants	77,114,555	47,657,377	69,656,588	43,213,404
(g) Membership fees	4,143,893	4,357,993	4,078,893	3,747,262
(h) Office goods and supply	11,163,617	16,218,115	11,163,617	14,091,189
(i) Pantry expenses	20,242,118	14,535,723	17,569,784	12,846,420
(j) Share registration expenses	10,392,809	6,416,605	9,578,504	6,416,605
(k) Others	177,259,408	119,600,127	167,676,692	105,693,791
Total operating expense	**1,706,034,627**	**1,247,586,684**	**1,656,477,800**	**1,195,113,668**

4.37.2 operating lease expenses reconciliation

Rent expenses as per GAAP	505,081,148	408,939,383
Expenses on acconting of NFRS 16	(412,616,496)	(336,237,677)
Reversal of lease liabilities recognised as per NAS 17	-	(14,953,020)
Operating Lease Expenses	**92,464,652**	**57,748,686**

4.38 Depreciation & Amortisation

Depreciation of Property, and Equipment

Bank provides depreciation from date of assets being put to use over the periods of estimated useful lives of assets. These useful lives of assets represent the period over which future economic benefits from those assets are expected to be consumed by the bank. Freehold land are not depreciated as they are non depreciable assets. Depreciation of an asset ceases at the time asset is classified as held for sale or the date asset is de-recognised, whichever is earlier.

Amortization of Intangible Assets

Intangible assets,except goodwill, are amortized on a straight line basis in the Statement of Profit or Loss from the date of put to use, over the best estimate of its useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank.

Assets	Useful Lives
Land	Non Depreciable
Buildings	Upto 40 Years
Machinery	Upto 7 Years
Office Equipments	Upto 5-10 Years
Motor Vehicles	Upto 7 Years
Leasehold Improvement	Upto 10 Years
Software and Intangibles	Upto 5-10 Years

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-on property and equipment	788,993,973	643,883,573	751,652,004	614,554,231
-on investment property	-	-	-	-
-on software and intangibles	40,407,046	33,615,898	39,122,869	32,577,478
Total Depreciation & Amortisation	**829,401,019**	**677,499,471**	**790,774,873**	**647,131,709**

4.39 Non operating income

Non-operating incomes are those incomes earned from the non-core operating activities of the bank. These includes recovery from earlier written off loans, share of profit from investment in associate entities and others. Share of profit from investment in associate entities is recognised using equity method and shown separately while preparing consolidated financial statements.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-from recovery of written off loans	8,525,937	3,268,779	8,525,937	3,268,779
-from other income	-	-	-	-
-from share of profit from investment in associates	8,623,975	65,829,135	-	-
Total non operating income	**17,149,912**	**69,097,914**	**8,525,937**	**3,268,779**

4.40 Non operating expense

Non-operating expenses are those expenses incurred for non-core operating activities of the bank. These include write off for un-collectible loans, write off of other assets and employee voluntary retirement related costs.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-Loan written off	138,132,816	162,960,906	138,132,816	162,960,906
-redundancy provision	-	-	-	-
-expense of restructuring	121,776,048	-	121,776,048	-
-other expense	13,753,384	1,496,447	13,590,179	1,496,447
Total non operating expense	**273,662,248**	**164,457,353**	**273,499,043**	**164,457,353**

4.41 Income tax expense

Current Taxation

Current tax is the estimated tax payable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted as at the reporting date. Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purpose in accordance with the provisions of the Income Tax Act.

Deferred Taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- temporary differences arising on the initial recognition of goodwill.

Amount in Rs.

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
-current tax expense				
-income tax expense based on profit for current year	2,849,923,827	2,326,491,087	2,788,102,452	2,165,532,758
-adjustment for prior years under/(over) provision	1,003	(88,384)		
	2,849,924,830	**2,326,402,704**	**2,788,102,452**	**2,165,532,758**
-deferred tax expense				
-origination and reversal of temporary differences	(180,265,744)	(238,095,272)	(216,936,058)	(98,172,554)
-change in tax rates	-	-		-
-recognition of previously un-recognised tax losses	-	-		-
	(180,265,744)	**(238,095,272)**	**(216,936,058)**	**(98,172,554)**
Total income tax expenses	**2,669,659,086**	**2,088,307,432**	**2,571,166,394**	**2,067,360,204**

4.41.1: Reconciliation of tax expense and accounting profit

	Group		Bank	
	Current Year	Previous Year	Current Year	Previous Year
Profit before tax			9,265,524,189	7,026,584,947
Tax Amount @ 30%			**2,779,657,257**	**2,107,975,484**
Add: Tax effect of expenses that are not deductible for tax purpose			164,897,134	143,413,140
Less: Tax effect on exempt income			(27,906,400)	(14,320,360)
Less: Tax effect of expenses that are deductible for tax purpose			(128,545,539)	(71,535,506)
Total Income tax	**-**	**-**	**2,788,102,452**	**2,165,532,758**
Effective tax rate			**30.09%**	**30.82%**

4.42 Earning Per Share

Bank presents basic and diluted Earning per Share (EPS) for its ordinary shares. Earning per share (EPS) is calculated dividing the net profit for the year attributable to equity holders of Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted Earning per Share is determined by adjusting both the profit attributable to the equity holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

a. Earnings per Share: Basic

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	6,694,357,795	4,959,224,743
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	303,408,889	237,957,533
Basic earnings per ordinary shares (Rs)	**22.06**	**20.84**

b. Earnings per Share: Diluted

	Bank	
	Current Year	Previous Year
Amount used as the numerator		
Profit after tax for the year attributable to equity holder (Rs)	6,694,357,795	4,959,224,743
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares	303,408,889	237,957,533
Diluted earnings per ordinary shares (Rs)	**22.06**	**20.84**

c. Weighted average Number of Ordinary Shares for Basic/Diluted EPS

	Current Year	Previous Year
Number of Shares held at 1st of Shrawan	237,957,533	216,325,030
Add: Number of shares issued due to final bonus	7,138,726	21,632,503
Add: Number of shares issued to merged entity on 10th Jan. 2023	58,312,629	-
Adjusted Number of Shares eligible EPS calculation	**303,408,889**	**237,957,533**

4.43 Proposed and Distributed Dividend

Dividends are recognised at the time it is recommended by the Board of Directors and approved by the shareholders. Following are the details for dividend paid and proposed during the financial year.

Amount in Rs.

	Current Year	Previous Year
Final dividend paid for the years 2021-22 & 2020-21 respectively		
Bonus shares distributed	713,872,600	2,163,250,304
Cash dividend paid	2,522,349,854	757,137,606
	3,236,222,454	**2,920,387,910**
Dividend paid per ordinary share of Rs 100 each	**13.60**	**13.50**
Final dividend proposed for the years 2022-23 & 2021-22 respectively		
Bonus shares Proposed	357,710,597	713,872,600
Cash dividend proposed	2,861,684,772	2,522,349,854
	3,219,395,368.98	**3,236,222,454**
Dividend proposed per ordinary share of Rs 100 each	**9.00**	**13.60**

ADDITIONAL DISCLOSURES AND INFORMATION

5.1 RISK MANAGEMENT SYSTEM

The success of Bank depends on the risk management practices being adopted by the Bank. Managing the risk has been integral part of the banking business as it is exposed to various risks which can be broadly categorized as credit risk, liquidity risk, operation risk, information security risk, compliance risk, legal risk etc. Moreover, the environment, in which the Bank operates in, is changing at a faster rate than usual with changing economic, technological landscape and regulatory environment making risk management more challenging function. The primary purpose of any risk management practice is to protect the quality of its assets by being fully aware of the inherent risks that might arise during the course of operation of a bank.

Soundness of Risk Management System depends largely on the practice of appropriate risk governance structure having the ability to independently assess, monitor and report risk issues on timely basis. The Board is the apex body and has the ultimate responsibility to ensure prudent risk management practices are implemented across all functions and the Bank has adequate mechanism, system and resources for monitoring and managing risk events. For the effective oversight of Risk Management, the Bank has established independent department as well as committees to ensure regular oversight of the Bank is done and issues are timely escalated to the Board.

Risk mitigation involves taking action to reduce an organization's exposure to potential risks and reduce the likelihood that those risks will occur again. Risk mitigation is one of the steps in risk management, which includes identifying the risk, analyzing the risk, and mitigating the risk. In order to maintain highest standard of risk culture in the Bank various committees have been formed and risk issues are regularly discussed in such committees. The Bank has set up following structure with defined roles, responsibilities and accountability to look mainly after Risk Management areas:

a) Integrated Risk Management Department (IRMD)
b) Integrated Risk Management Committee-Management Level (IRMC)
c) Risk Management Committee-Board Level (RMC)

The Board ensures that the Bank has adequate system, resources, policies, strategies to manage the level of risks and reviews the reports submitted by Board Level Risk Management Committee constitution of representatives from the Board. Likewise, the Bank has formed Management Level-Integrated Risk Management Committee to have a robust risk management system and process for sustainable business growth. It constitutes of members from Senior Management Team headed by Senior Deputy Chief Executive Officer. In addition to this, Integrated Risk Management Department (IRMD) oversights routine function of the Bank across different areas covering credit risk, operation risk, information security risk, market & liquidity risk etc. to ensure standard risk cultures, values, are practiced all the times and observed risk issues are within the appetite set by the Bank and reports to RMC. It is an independent unit headed by Chief Risk Officer (CRO) who reports directly to the Board Level Risk Management Committee.

A. Credit Risk

Credit Risk is the failure of customers (companies, individuals, banks, financial institutions, states etc) to perform their obligation towards Bank. Credit risk is paramount risk that bank is exposed to during the normal course of lending and credit under writing. Global IME Bank's Credit Policy Guidelines is the highest level policy document and it reflects long-term expectations and represents a key element of uniform, constructive and risk-aware culture throughout the Bank.

The Bank has embedded three-line defense system and has multiple layer for screening, assessment and identification of credit risk both at pre-approval and post-approval level. It has set of experienced team across credit functions which forms a key strength in managing credit risk of the Bank which is continuously strengthened through training, interaction, tests etc.

Credit Control Unit (CCU) under Integrated Risk Management Department (IRMD) manages the credit risk of the bank. The objectives of this unit are:

- to support Business Unit to develop healthy Risk Assets by critical review of the credit proposals.
- to develop preemptive measures of risk identification, suggest/guide the risk mitigating measures ensuring that the overall credit portfolio of the Bank is maintained healthy, and any adversities are monitored and tracked timely so that it provides ample opportunity to the management to manage any adversities on ensuring extensive review of the overall portfolio of the bank, review of product papers, policies and manuals related to credit etc.
- to review industry trend of major industries on periodic basis and provide necessary suggestion and recommendation.

CCU provides an independent view, highlights the risks associated while assessing Risk Assets of the bank and suggests necessary mitigating measures/covenants. Risk Officers under CCU do not have any lending authority and the unit reports to CRO.

The portfolio of the Bank has been diversified in terms of loan segments, industries, top borrowers as well as geographies to manage overall risk arising from credit function. In addition, Stress testing results are also conducted periodically to assess the impact during adverse scenario. The Bank rigorously conducts onsite/ offsite inspection of the borrowers, function more decentralized at Provincial Level, as a proactive measure to identify credit risks and adopt proper mitigating measures.

Adequate policies, guidelines, etc. are in placed to guide the Bank's credit function which facilitates better credit risk functions. As a result of comprehensive credit risk management system, the Bank has been able to maintain sound health of its portfolio.

Credit Approval and Implementation Process - The Bank's credit assessment is based on risk perspective. Each borrower is rated under different parameters to assess the risk associated with the relationship. Approved loans are forwarded to Credit Administration Department that administers the post approval processes including

review of security documentation, contracts and other legal paper in line with NRB directives, Bank's Credit Policy and Credit Guidelines, Product Papers and as per the approved terms and conditions. Credit Administration Department verifies the certification and ensures completion of all formalities and disburses the loan in the system.

Credit Risk Appetite across various parameters are set to diversification of portfolio concentration. Credit Risk Management Policy (CRMP) of the Bank defines overall risk tolerance/risk appetite level in relation to credit risk under various parameters (sector wise, product wise, borrower concentration, NPA, industry wise etc.) which are reviewed at least on quarterly basis by RMC and the board.

Credit Monitoring- Credit exposures once approved / disbursed are effectively monitored and reviewed on annual basis to determine changes in risk levels. Even after the loan disbursal, credit monitoring is highly emphasized by the Bank to ensure changes and risk levels are periodically monitored. Business/real estate inspections, drawing power calculation, customer visits are conducted by Corporate office, Credit Administration Department, Credit Control Unit, Province Office as well as Internal audit team, in addition to the lending units. The role of Province Offices is strengthened in particular, in relation to credit monitoring functions. Credit monitoring includes the activities like business / assets inspection, customer calls, drawing power calculation, fixed assets collateral inspection etc.

Apart from that, the Bank has also established transaction monitoring unit at central level to ensure the end use of the loan is utilized as per approval. Credit Oversight Team has also been formed that assess the overall health of the borrower particularly by reviewing its financials, implementation status, documents status, business performance etc.

B. Market & Liquidity Risk

Liquidity risk is the risk arising from potential inability to meet all payment obligations when they come due or only being able to meet these obligations at excessive costs. Liquidity risk can be a situation arising from where short-term assets values are not sufficient to match short-term liabilities or unexpected cash outflows. The major liquid assets of the Bank include investment government securities, which is easily convertible into cash level funds during times of liquidity tightness. The Bank has been maintaining Liquid Assets to Deposit Ratio as per approved guidelines of the bank and has been monitoring the ratio in the daily basis.

Market risk is the risk that the value of an investment will decrease due to changes in market factors. It is sometimes called "systematic risk" because it relates to factors, such as a recession, that impact the entire market. These factors will have an impact on the overall performance on the financial markets and can only be reduced by diversification into assets that are not correlated with the market. Bank's investments in form of foreign/local placements and foreign borrowings are subject to market risk. Risk can arise from changes in interest rates, credit spreads, foreign exchange rates and other relevant parameters, such as market volatility and market implied default probabilities. The Bank's aim to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements. In accordance with economic and regulatory requirements, Bank measure market risks by several internally developed key risk metrics and regulatory defined market risk approaches.

The Management defines the liquidity and funding risk strategy for the bank, as well as the risk appetite, based on recommendations made by the Asset Liability Committee ("ALCO"). The Board reviews and approves the limits which are applied to measure and control liquidity risk as well as Bank's long-term funding and issuance plan. Treasury is mandated to manage the overall liquidity and funding position of the bank, and is responsible for reviewing the liquidity risk framework, proposing the risk appetite to ALCO.

Treasury manages the maturity analysis of assets and liabilities. Financial assets and financial liabilities must be disclosed by their contractual maturity, based on un-discounted cash flows. The gap is monitored on periodic basis to maintain the sufficient liquidity by the Asset Liabilities Committee. Treasury also manages liquidity and funding, in accordance with the Board-approved risk appetite across a range of relevant metrics, and implements a number of tools to monitor these and ensure compliance. In addition, Treasury works closely in conjunction with ALCO, and the business, to analyze and understand the underlying liquidity characteristics of the business portfolios. The Bank has been regularly maintaining the minimum liquidity required to be kept as assigned by Nepal Rastra Bank. Further, bank has been regularly conducting Stress Tests to assess stress on different scenarios.

To address the liquidity risk, Bank has developed Liquidity Risk Management Policy where major indicators are assessed on regular basis in ALCO. A written contingency funding plan is in place to manage extreme situation. The major indicators that are reviewed are:

a) Funding Sources
b) Segregation of Deposits
c) Liquidity Gap Report
d) Policy limits on SLR, Liquid Asset to Total Deposit Ratio, CD Ratio, Liquidity Coverage Ratio, Near Core and Non-Core /Total Risk Assets etc.
e) Contingency Funding Plans for Liquidity Crisis

Market and Liquidity Risk Management (MLRMU) has been formed under Integrated Risk Management Department which performs the role of treasury middle office and oversees bank's market as well as liquidity risk related activities. The unit is primarily responsible for ensuring the bank is implementing the policies and procedures related to market risk management and asset liability management of the Bank. The market and liquidity risk management functions are guided by Liquidity Risk Management Policy, Market Risk Management Policy, Contingency Funding Plan, Interest Risk Management Policy, which are developed to provide basic market & liquidity risk management tools/techniques, monitor liquidity ratios, analyze liquidity gap reports etc.

ALCO decisions are also discussed/reviewed in RMC meeting on regular basis.

C. Operational Risk

Operational Risk is the risk of loss resulting from inadequate or failed internal processes, people and system or from external causes, whether deliberate, accidental or natural and includes legal risk. Operational risk is inherent in all business activities. Whilst risks can never be eradicated, Bank follows a number of procedures and practices to manage and mitigate them to preserve and create value of business. The operational risks of the Bank are managed through

standardization of internal processes and monitoring mechanisms.

The bank has adopted the following strategies and measures in its endeavor to create an effective system of operational management and its impact on capital adequacy of the bank:

- Branch visits and surprise cash verification, vault checking is carried out on a periodical basis to ensure the branch has properly managed the vault and cash operations.
- Compliance policy of the bank to the suggestions and instruction on shortcomings as observed in internal, external audit and periodical inspections from Nepal Rastra Bank. Audit reports are reviewed periodically and follow up are made with the branch to update pending instances within the deadline as per commitments made by the branches.
- Periodical review of branch operations functions by dedicated team of Operational Risk Management Unit and Internal Audit Department.
- Periodical review, amendments and implementation of operational manuals and guidelines to address each aspect of branch operations.
- Communication and regular monitoring and follow up of policies, circulars and directives issued by Nepal Rastra Bank timely through the Compliance Department.
- Regular training and orientation to the staffs of the Bank on various operational processes and procedures.
- Periodic visit, review and assessment of operational activities in branches by the central operations unit."
- Development of Robust MIS to capture the exceptional report.

Operation Risk Management Unit (ORMU) under Integrated Risk Management Department has been formed to ensure the compliance of Operational Risk Management of the Bank. It is involved in identification, assessment, monitoring and control of operational risk in the Bank and suggesting appropriate mitigating measures. ORMU reviews the overall operational activities of the Bank through exception reports, onsite inspection, off site inspection, data from branches, system and process oversite etc. Similarly, oversight of operational issues identified on regular basis and communicate with central departments and branches for addressing the issues.

In order to ensure efficient control mechanism, the Bank has also developed Risk Control Assessment (RCA) for Branches which is a self-evaluation of the standards and key processes that need to be complied with to ensure that risks are managed effectively within the branches. In order to ensure uninterrupted banking services, the Bank has developed Business Continuity Plan (BCP) which helps to ensure that business processes can continue during a time of emergency or disaster which also describes about different business interruption elements, prevention strategy, containment strategy, recovery strategy etc. ultimately ensuring the smooth operations of the major critical banking activities.

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D. Information Security Risk

The Bank may have to bear immense financials and reputational losses due to unauthorized access of the Bank's and its customers' information. Therefore, information security risk has become significantly important in recent times, due to increased digitization in process and products, use of various social and communication platforms, cyber security issues (increased cyber frauds) demanding requirement for adequate measures for security of the Bank's information. Along with safeguarding information from unauthorized access, it is also essential to prevent unauthorized access, use, disclosure, disruption, modification, inspection, recording or destruction of information. IS Audit is being carried out at least once in a year and suggestions/recommendations provided by Audit is duly addressed/taken care of.

The major risks that the banks are exposed on Information Security issues are Cyber Security and Incidents, System intrusion, System Failure/Software Failure etc. The Bank has a separate Information Security Unit (ISU) under Integrated Risk Management Unit that oversees overall information security aspect and works closely with IT department, operation risk management unit and other digital units/department of the bank to ensure utmost IT security. ISU is responsible for implementing and maintaining organization-wide information security policies, standards, guidelines, and procedures. ISU provides security awareness education and ensure that everyone knows his or her role in maintaining security. ISU coordinates with department/branches/users to develop securities policies, standards and procedures to help protect the assets of Bank.

E. Environment and Social Risk Management

Bank is committed to contribute towards sustainable banking practices and shall continue to strengthen Environment and Social Risk Management System (ESMS) with adherence to national laws and regulations as well as global E&S standards/practices as applicable. It has established "E & S Risk Management (ESRM) Unit" and has also appointed a dedicated E&S Risk Officer with the same academic background. The Bank has its own E&S Risk Management Policy and Guidelines based on which integration of ESMS with Credit Risk Management system of the Bank is completed. The Unit is responsible for identification, quantification and assessment, monitoring and reporting of E&S risk associated with proposed borrower during credit appraisal process. The corrective action plan and covenants are recommended as per ESDD and site visit checklist by the ESRM unit. In addition, the unit facilitates in smooth implementation of ESMS as well as capacity building of staffs in relation to environment and social risk management. Furthermore, the Bank is planning to fully digitize ESMS for proper recording, review and reporting.

F. Compliance Risk

Compliance Risk is the risk resulting from non-compliance with laws of land, inability to comply with financial reporting standards, failure to fulfill agreements/contract, non-compliance of regulatory requirements etc. The non-compliance can lead to fines, damages and/ or the voiding of contracts and can diminish an institution's reputation.

The Bank has established General Compliance Unit that looks after the compliances status of the Banks. Several departmental

checklists have been prepared in order to ensure that the compliance aspects by departments and by the Banks as a whole are fully met.

G. AML/CFT Risk

Money Laundering and Financial Terrorism Risk Assessment is an important task in Banking with regards to strengthening overall risk management framework. For sound AML/CFT Program and to minimize the ML/TF risk, the Bank has prepared Policy and Guideline on AML/CFT, in accordance with the AML Act, Rules, NRB Directive and FATF recommendation. and also ensured these are implemented across all branches. The Bank has established a dedicated AML/CFT unit to strengthen the AML regime of the Bank which is equipped with adequate resources and experience and reports to Board Level Asset (Money) Laundering Prevention Committee. The Bank has also established a separate AML/CFT committee at Management Level headed by Senior Deputy Chief Executive Officer.

Branch Compliance Officer has been assigned at each Branch to ensure KYC/AML/CFT activities are properly implemented across each branch. In addition, the Branch Compliance Officer reports suspicious activities/transactions and AML/CFT related issues directly to Money Laundering Reporting Officer (MLRO) at AML/CT Unit.

H. Legal Risk

Legal Risk is the potential loss that a company or individual could face as the result of a legal issue. It could be a claim made against them, a change in the law or failure to take the proper legal measures to protect themselves. The Legal Department, is committed to the management of the Bank's legal risk.

I. Human Risk

Human Resource Department is involved in managing people who are considered as one of the biggest assets of the organization. Hence, HRD is engaged in a broad range of human resource management practices to capitalize on those assets.

5.2 CAPITAL MANAGEMENT

The dynamic growth of financial markets and the increased use of complex banking products have brought about substantial changes in the business environment faced by the banks and financial institutions today. These challenges require functioning system for the limitation and targeted control of each institution's risk situation. In addition to describing methods for calculating regulatory capital requirements, the new regulatory capital framework (Basel III) places increased emphasis on risk management and integrated bank wide risk management. Therefore, to ensure the capital adequacy level of banks in commensurate with their risk profiles at all times, need to undertake in-depth analysis of their total risk exposure and capital and put in place the suitable procedures and systems. The ICAAP framework is rooted in the implementation of the Capital Adequacy Framework which implements BASEL framework as well as in the implementation of "ICAAP Guidelines (2012)" prescribed by NRB.

The ICAAP is therefore, based on the three pillars of Basel, in particular, the second pillar - Supervisory Review Process (SRP). The three-pillar model of Basel II ensures that banks not only have adequate capital to support all the risks in their business, but also to encourage banks to develop and use better risk management techniques in monitoring and managing their risks. Therefore, ICAAP enables banks to ensure this through stringent Board and Senior Management Oversight, Sound Capital Assessment, Comprehensive Assessment of risks, Monitoring & Reporting and internal Control Review. It further provides guidelines for the calculation of capital requirements and defining extended disclosure requirements.

Thus, in accordance with the model, GIBL is constantly faced with the challenge of developing the most efficient internal procedures and systems in order to ensure that the bank possesses adequate capital resources in the long run with due attention to all material risks involved.

The bank's management has introduced Internal Capital Adequacy Assessment Process (hereinafter referred to as ICAAP). The ICAAP comprises the Bank's procedures and measures designed to ensure the following:

a. An appropriate identification and measurement of risks to which the Bank is or might be exposed to.

b. An appropriate level of internal capital in relation to Bank's risk profile; and

c. Application and further development of suitable risk management systems for the Bank.

1 Capital Structure and Capital Adequacy

Tier 1 Capital and breakdown of its components

Amount in Thousand.

Particulars	Current Year	Previous Year
Tier 1 Capital [Core Capital (CET 1 + AT 1)]		
Common Equity Tier 1 (CET 1)		
Paid Up Capital	35,771,060	23,795,753
Share Premium	-	-
Proposed Bonus Equity Shares	-	-
Statutory General Reserve	11,328,222	6,250,610
Retained Earning	3,243,362	3,239,226
Capital Redemption Reserve	1,833,333	1,387,610
Capital Adjustment Reserve	-	-
Dividend Equalization Reserve	-	-
Other Free Reserve	-	-
Less: Intangible Assets	(235,296)	(495,783)
Less: Deferred Tax Asset	-	-
Less: Investment in equity of institutions with financial interests	(1,690,264)	(886,687)
Less: Purchase of land & building in excess of limit and unutilized	(31,356)	(31,356)
Adjustment under Pillar II	**50,219,061**	**33,259,374**
Less: Loans & Facilities extended to related parties and restricted lending	-	-
Common Equity Tier 1 (CET 1)	**50,219,061**	**33,259,374**
Additional Tier I Capital (AT1)		
Perpetual Non-Cumulative Preference Share Capital	-	-
Perpetual Debt Instruments	-	-
Total Additional Tier I Capital (AT1)	**-**	**-**
Tier 1 Capital [Core Capital (CET 1 + AT 1)]	**50,219,061**	**33,259,374**

Tier 2 Capital and breakdown of its components

Amount in Thousand.

Supplementary Capital (Tier 2)	Current Year	Previous Year
Cumulative and/or Redeemable Preference Share	-	-
Subordinated Term Debt	4,100,000	3,300,000
Hybrid Capital Instruments	-	-
Stock Premium	-	-
General Loan Loss Provision	6,711,053	4,093,152
Exchange Equalization Reserve	331,161	203,846
Investment Adjustment Reserve	6,260	403,260
Assets Revaluation Reserve	-	163,271
Other Reserves	-	-
Total Tier 2 Capital	**11,148,474**	**8,163,529**
Total Capital [Tier 1 Capital + Tier 2 Capital]	**61,367,535**	**41,422,902**

Information about the Subordinated Term Debts .

Amount in Rs

Particulars	8.5% Debenture	10.5% Debenture
Issue Size	3,000,000,000	1,100,000,000
Issue Date	5th April 2021	30-Aug-22
Maturity Date	4th April 2031	29-Aug-29
Interest Rate per annum	8.50%	10.50%
Term from date of Issue	10 Years	7 Years
Debenture Redemption Reserve up to Ashad 2080	**333,333,333**	**-**
Amount Considered for Capital fund	**3,000,000,000**	**1,100,000,000**

Particulars	10.25% Debenture	8.5% Debenture
Issue Size	1,500,000,000	1,600,000,000
Issue Date	11-Apr-19	23-Dec-20
Maturity Date	8-Apr-24	22-Dec-30
Interest Rate per annum	10.25%	8.50%
Term from date of Issue	5 Years	10 Years
Debenture Redemption Reserve up to Ashad 2080	**1,500,000,000**	**-**
Amount Considered for Capital fund	**-**	**-**

Particulars	11.25% Debenture
Issue Size	5,000,000,000
Issue Date	24-Feb-23
Maturity Date	23-Feb-28
Interest Rate per annum	11.25%
Term from date of Issue	5 Years
Debenture Redemption Reserve up to Ashad 2080	**-**
Amount Considered for Capital fund	**-**

Capital adequacy Ratios

Particulars	Current Year	Previous Year
Common Equity Tier 1 Capital to Total Risk Weighted Exposures	10.92%	10.17%
Tier 1 Capital to Total Risk Weighted Exposures	10.92%	10.17%
Tier 1 and Tier 2 Capital to Total Risk Weighted Exposures	13.34%	12.67%

2 Risk Exposures

Risk weighted exposures for Credit Risk, Market Risk and Operational Risk

Amount in Thousand.

Particulars	Current Year	Previous Year
Risk Weighted Exposure for Credit Risk	421,989,627	300,690,805
Risk Weighted Exposure for Operational Risk	23,501,268	16,281,536
Risk Weighted Exposure for Market Risk	677,421	307,310
Total Risk Weighted Exposures	**446,168,316**	**317,279,651**
Add: 2% of the total RWE as per NRB directives (6.4 a 9) (2% in previous year)	8,923,366.32	6,345,593
Add: Desired level of disclosure requirement has not been achieved. Add 3% of RWE (6.4 a 10)	-	-
Add: additional capital charge of 3% of Gross Income as per NRB directives (6.4 a 7)	4,973,775	3,362,664
Total Risk Weighted Exposures (After Bank's Adjustments of Pillar II)	**460,065,457**	**326,987,908**

Risk Weighted Exposures under each of 11 categories of Credit Risk

Amount in Thousand

Particulars	Current Year	Previous Year
a) Claims on government & central bank	-	-
b) Claims on other official entities	434,070	454,870
c) Claims on banks	6,373,632	4,990,158
d) Claims on corporate & securities firms	219,037,045	155,062,925
e) Claims on regulatory retail portfolio	39,182,514	32,585,495
f) Claims secured by residential properties	17,042,022	15,031,748
g) Claims secured by commercial real state	5,924,589	560,680
h) Past due claims	18,760,700	1,385,553
i) High risk claims	44,254,012	42,052,682
j) Other assets	27,701,492	12,420,115
k) Off balance sheet items	43,279,552	36,146,580
Total Risk Weightage Assets	**421,989,627**	**300,690,805**

Details of Non-Performing loan

Amount in Thousand

Particulars	Current Year	Previous Year
Restructured and rescheduled loan	248,305	248,939
Substandard loan	2,861,716	463,694
Doubtful loans	3,908,051	488,807
Bad loan	4,769,794	2,276,199
Gross NPL	**11,787,867**	**3,477,639**
Provision For Loss	7,396,671	2,671,925
Net NPL	**4,391,196**	**805,714**
NPA/ Total Loan	**3.15%**	**1.28%**

Risk Weighted Exposure for Credit Risk

Rs. In Mio

A. Balance Sheet Exposures	Book Value	Specific Provision	Eligible CRM	Net Value	Risk Weight	Risk Weighted Exposures	Previous Year
	a	b	c	d=a-b-c	e	f=d*e	
Cash Balance	6,595	-	-	6,595	0%	-	-
Balance With Nepal Rastra Bank	18,649	-	-	18,649	0%	-	-
Gold	-	-	-	-	0%	-	-
Investment in Nepalese Government Securities	43,521	-	-	43,521	0%	-	-
All Claims on Government of Nepal	325	-	-	325	0%	-	-
Investment in Nepal Rastra Bank securities	48,458	-	-	48,458	0%	-	-
All claims on Nepal Rastra Bank	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA 0-1)	-	-	-	-	0%	-	-
Claims on Foreign Government and Central Bank (ECA -2)	-	-	-	-	20%	-	-
Claims on Foreign Government and Central Bank (ECA -3)	-	-	-	-	50%	-	-
Claims on Foreign Government and Central Bank (ECA-4-6)	-	-	-	-	100%	-	-
Claims on Foreign Government and Central Bank (ECA -7)	-	-	-	-	150%	-	-
Claims On BIS, IMF, ECB, EC and MDB's recognized by the framework	-	-	-	-	0%	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	100%	-	-
Claims on Domestic Public Sector Entities	434	-	-	434	100%	434	455
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	20%	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	50%	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	150%	-	-
Claims on domestic banks that meet capital adequacy requirements	17,540	-	18	17,523	20%	3,505	3,100
Claims on domestic banks that do not meet capital adequacy requirements	33	33	-	-	100%	-	-
Claims on foreign bank (ECA Rating 0-1)	6,386	-	-	6,386	20%	1,277	1,299
Claims on foreign bank (ECA Rating 2)	2,233	-	-	2,233	50%	1,116	207
Claims on foreign bank (ECA Rating 3-6)	8	-	-	8	100%	8	384
Claims on foreign bank (ECA Rating 7)	-	-	-	-	150%	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	2,339	-	-	2,339	20%	468	181
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	50%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	70%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	80%	-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	100%	-	-
Claims on Domestic Corporates (Unrated)	219,282	-	244	219,037	100%	219,037	154,882
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	20%	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	50%	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	100%	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	150%	-	-
Regulatory Retail Portfolio (Not Overdue)	54,151	-	1,908	52,243	75%	39,183	32,585
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	100%	-	-
Claims secured by residential properties	27,126	-	-	27,126	60%	16,276	15,032
Claims not fully secured by residential properties	-	-	-	-	150%	-	-
Claims secured by residential properties (Overdue)	940	173	-	766	100%	766	561
Claims secured by Commercial real estate	5,925	-	-	5,925	100%	5,925	1,386
Past due claims (except for claims secured by residential properties)	19,656	7,149	0	12,507	150%	18,761	5,998
High Risk claims	30,016	-	513	29,503	150%	44,254	36,055
Lending against securities (bonds)	-	-	-	-	100%	-	-
Lending against Shares(upto Rs.2.5 Million)	463	-	-	463	100%	463	-

A. Balance Sheet Exposures	Book Value a	Specific Provision b	Eligible CRM c	Net Value d=a-b-c	Risk Weight e	Risk Weighted Exposures f=d*e	Previous Year
Trust Receipt Loans for Trading Firms	2,355	-	-	2,355	120%	2,826	1,520
Investments in equity and other capital instruments of institutions listed in stock exchange	2,061	-	-	2,061	100%	2,061	1,784
Investments in equity and other capital instruments of institutions not listed in the stock exchange	70	-	-	70	150%	106	13
Staff loan secured by residential property	4,278	-	-	4,278	50%	2,139	1,466
Interest Receivable/claim on government securities	1,440	-	-	1,440	0%	-	-
Cash in transit and other cash items in the process of collection	-	-	-	-	20%	-	-
Other Assets	24,676	4,569	-	20,107	100%	20,107	7,637
TOTAL (A)	**538,959**	**11,925**	**2,683**	**524,351**		**378,710**	**264,544**
B. Off Balance Sheet Exposures							
Revocable Commitments	-	-	-	-	0%	-	-
Bills Under Collection	-	-	-	-	0%	-	-
Forward Exchange Contract Liabilities	4,429	-	-	4,429	10%	443	127
LC Commitments With Original Maturity Upto 6 months domestic counterparty	8,196	-	656	7,540	20%	1,508	1,432
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
LC Commitments With Original Maturity Over 6 months domestic counterparty	2,902	-	338	2,564	50%	1,282	1,375
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	20%	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	36,020	-	1,051	34,969	40%	13,988	12,274
Foreign counterparty (ECA Rating 0-1)	12	-	-	12	20%	2	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	50%	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	100%	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	150%	-	-
Underwriting commitments	-	-	-	-	50%	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	100%	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	100%	-	-
Advance Payment Guarantee	5,942	-	55	5,888	100%	5,888	4,663
Financial Guarantee	-	-	-	-	100%	-	-
Acceptances and Endorsements	11,698	-	-	11,698	100%	11,698	12,184
Unpaid portion of Partly paid shares and Securities	-	-	-	-	100%	-	-
Irrevocable Credit commitments (short term)	20,834	-	395	20,440	20%	4,088	2,520
Irrevocable Credit commitments (long term)	6,980	-	-	6,980	50%	3,490	1,117
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	20%	-	-
Other Contingent Liabilities	491	-	75	416	100%	416	208
Unpaid Guarantee Claims	246	-	7	239	200%	478	246
TOTAL (B)	**97,750**	**-**	**2,577**	**95,173**		**43,280**	**36,147**
Total RWE for credit Risk Before Adjustment (A) +(B)	**636,709**	**11,925**	**5,260**	**619,524**		**421,990**	**300,691**
Adjustments under Pillar II							
Add 10% of the loans & facilities in excess of Single Obligor Limits to RWE						-	
Add 1% of the contract (sale) value in case of the sale of credit with recourse to RWE						-	
Total RWE for Credit Risk after Bank's adjustments under Pillar II	**636,709**	**11,925**	**5,260**	**619,524**		**421,990**	**300,691**

Eligible Credit Risk Mitigants

Rs. In Mio

Credit exposures	Deposits with Bank	Deposits with other banks/FI	Gold	Govt.& NRB Securities	G'tee of Govt. of Nepal	Sec/G'tee of Other Sovereigns	G'tee of domestic banks	G'tee of MDBs	Sec/ G'tee of Foreign Banks	Current Year Total	Previous Year Total
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)	(i)		
Balance Sheet Exposures											
Claims on Foreign government and Central Bank (ECA -2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -3)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA-4-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign government and Central Bank (ECA -7)	-	-	-	-	-	-	-	-	-	-	-
Claims on Other Multilateral Development Banks	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Public Sector Entities	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entity (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on domestic banks that meet capital adequacy requirements	18	-	-	-	-	-	-	-	-	18	-
Claims on domestic banks that do not meet capital adequacy requirements	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Claims on foreign bank incorporated in SAARC region operating with a buffer of 1% above their respective regulatory capital requirement	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AAA)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to AA+ to AA-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to A+ to A-)	-	-	-	-	-	-	-	-	-	-	-
Claims on Domestic Corporates (Credit rating score equivalent to BBB+ & below)	-	-	-	-	-	-	-	-	-	-	-

Credit exposures	Deposits with Bank (a)	Deposits with other banks/FI (b)	Gold (c)	Govt.& NRB Securities (d)	G'tee of Govt. of Nepal (e)	Sec/G'tee of Other Sovereigns (f)	G'tee of domestic banks (g)	G'tee of MDBs (h)	Sec/ G'tee of Foreign Banks (i)	Current Year Total	Previous Year Total
Claims on Domestic Corporates (Unrated)	244	-	-	-	-	-	-	-	-	244	179
Claims on Foreign Corporates (ECA 0-1)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 2)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 3-6)	-	-	-	-	-	-	-	-	-	-	-
Claims on Foreign Corporates (ECA 7)	-	-	-	-	-	-	-	-	-	-	-
Regulatory Retail Portfolio (Not Overdue)	1,907	-	1	-	-	-	-	-	-	1,908	1,886
Claims fulfilling all criterion of regularity retail except granularity	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims not fully secured by residential properties	-	-	-	-	-	-	-	-	-	-	-
Claims secured by residential properties (Overdue)	-	-	-	-	-	-	-	-	-	-	-
Claims secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-
Past due claims (except for claims secured by residential properties)	0	-	-	-	-	-	-	-	-	0	0
High Risk claims	513	-	-	-	-	-	-	-	-	513	1,631
Lending against securities (bonds)	-	-	-	-	-	-	-	-	-	-	-
Trust Receipt Loans for Trading Firms	-	-	-	-	-	-	-	-	-	-	-
Investments in equity and other capital instruments of institutions listed in stock exchange	-	-	-	-	-	-	-	-	-	-	-
Investments in equity and other capital instruments of institutions not listed in the stock exchange	-	-	-	-	-	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-	-	-	-	-	-
Total	**2,682**	**-**	**1**	**-**	**-**	**-**	**-**	**-**	**-**	**2,683**	**3,697**
Off Balance Sheet Exposures											
Forward Exchange Contract Liabilities	-	-	-	-	-	-	-	-	-	-	-
LC Commitments With Original Maturity Upto 6 months domestic counterparty	656	-	-	-	-	-	-	-	-	656	854
Foreign counterparty (ECA Rating 0 -1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-

Credit exposures	Deposits with Bank (a)	Deposits with other banks/FI (b)	Gold (c)	Govt.& NRB Securities (d)	G'tee of Govt. of Nepal (e)	Sec/G'tee of Other Sovereigns (f)	G'tee of domestic banks (g)	G'tee of MDBs (h)	Sec/ G'tee of Foreign Banks (i)	Current Year Total	Previous Year Total
LC Commitments With Original Maturity Over 6 months domestic counterparty	338	-	-	-	-	-	-	-	-	338	163
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3 -6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Bid Bond, Performance Bond and Counter guarantee domestic counterparty	1,051	-	-	-	-	-	-	-	-	1,051	862
Foreign counterparty (ECA Rating 0-1)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 2)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 3-6)	-	-	-	-	-	-	-	-	-	-	-
Foreign counterparty (ECA Rating 7)	-	-	-	-	-	-	-	-	-	-	-
Underwriting commitments	-	-	-	-	-	-	-	-	-	-	-
Lending of Bank's Securities or Posting of Securities as collateral	-	-	-	-	-	-	-	-	-	-	-
Repurchase Agreements, Assets sale with recourse	-	-	-	-	-	-	-	-	-	-	-
Advance Payment Guarantee	55	-	-	-	-	-	-	-	-	55	78
Financial Guarantee	-	-	-	-	-	-	-	-	-	-	-
Acceptances and Endorsements	-	-	-	-	-	-	-	-	-	-	-
Unpaid portion of Partly paid shares and Securities	-	-	-	-	-	-	-	-	-	-	-
Irrevocable Credit commitments (short term)	395	-	-	-	-	-	-	-	-	395	286
Irrevocable Credit commitments (long term)	-	-	-	-	-	-	-	-	-	-	-
Other Contingent Liabilities	75	-	-	-	-	-	-	-	-	75	75
Unpaid Guarantee Claims	7	-	-	-	-	-	-	-	-	7	6
Total	**2,577**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**2,577**	**2,324**
Grand Total	**5,259**	**-**	**1**	**-**	**-**	**-**	**-**	**-**	**-**	**5,260**	**6,021**

Risk Weighted Exposure for Operational Risk

Rs. In Mio

Particulars	Fiscal Year			Previous Year
	2076/077	2077/078	2078/079	
Net Interest Income	13,218	12,401	14,091	
Commission and Discount Income	2,167	2,475	2,753	
Other Operating Income	259	714	538	
Exchange Fluctuation Income	986	983	837	
Gross income (a)	**16,630**	**16,572**	**18,219**	
Alfa (b)	**15%**	**15%**	**15%**	
Fixed Percentage of Gross Income [c=(a×b)]	**2,495**	**2,486**	**2,733**	
Capital Requirement (d) (average of c)	**2,571**			**1,791**
Risk Weight (reciprocal of capital requirement of 11%) in times (e)	**9.09**			**9.09**
Equivalent Risk Weight Exposure [f=(d×e)]	**23,371**			**16,282**

Risk Weighted Exposure for Operational Risk

Rs. In Mio

Currency	Open Position (FCY)	Exchange Rate	Open Position (NPR)	Relevant Open Position	Previous Year Relevant Open Position
INR	672.21	1.60	1,076	1,076	496
USD	0.64	131.40	83	83	43
GBP	(0.03)	171.90	(4)	4	4
EUR	0.09	147.39	13	13	7
THB	0.15	3.78	1	1	0
CHF	(0.01)	151.63	(2)	2	2
AUD	(0.20)	89.87	(18)	18	2
CAD	(0.09)	99.45	(9)	9	14
SGD	0.01	99.54	1	1	3
JPY	37.10	0.95	35	35	6
HKD	0.13	16.77	2	2	2
DKK	0.07	19.73	1	1	4
SEK	0.00	12.78	0	0	0
SAR	0.20	34.56	7	7	7
QAR	0.10	35.52	4	4	4
AED	5.57	35.81	200	200	72
MYR	0.06	28.96	2	2	2
KRW	8.16	0.10	1	1	2
CNY	1.68	18.37	31	31	3
KWD	0.01	427.42	2	2	2
BHD	0.00	346.86	0	0	0
Total Open Position (a)				**1,490**	**676**
Fixed Percentage (b)				**5%**	**5%**
Capital Charge for Market Risk (c=a×b)				**74.52**	**33.81**
Risk Weight (reciprocal of capital requirement of 11%) in times (d)				**9.09**	**9.09**
Equivalent Risk Weight Exposure (=c×d)				**677**	**307**

5.3 Classification of Financial Assets and Liabilities

Financial instruments are measured on an ongoing basis either at fair value or at amortized cost. The following table analyses the carrying amounts of financial instruments by category as defined in Nepal Financial Reporting Standard NFRS 9 (Financial Instruments) under headings of Statement of Financial Position.

Amount in Rs.

		As on 31st Ashad 2080			
	Note	At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	28,531,853,793			28,531,853,793
Due from Nepal Rastra Bank	4.2	18,649,052,888			18,649,052,888
Placement with Bank and Financial Institutions	4.3	668,727,450			668,727,450
Derivative financial instruments	4.4		996,239,429		996,239,429
Other trading assets	4.5		-		-
Loan and advances to B/FIs	4.6	13,660,224,854			13,660,224,854
Loans and Advances to Customers	4.7	354,466,748,244			354,466,748,244
Investment Securities	4.8	85,550,548,627		2,041,124,936	87,591,673,563
Investment in subsidiaries	4.9	650,695,250			650,695,250
Investment in associates	4.10	1,840,164,899			1,840,164,899
Investment property	4.12	1,733,323,553			1,733,323,553
Other Assets	4.16	3,037,530,222			3,037,530,222
Total Financial Assets		**508,788,869,781**	**996,239,429**	**2,041,124,936**	**511,826,234,146**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	13,023,623,863			13,023,623,863
Due to Nepal Rastra Bank	4.18	470,715,561			470,715,561
Derivative financial instruments	4.19	-	946,946,972		946,946,972
Due to Customers	4.20	426,325,446,161			426,325,446,161
Borrowings	4.21	3,282,545,590			3,282,545,590
Other Liabilities	4.23	3,946,562,776			3,946,562,776
Debt Securities Issued	4.24	12,181,589,400			12,181,589,400
Total Financial Liabilities		**459,230,483,351**	**946,946,972**	**-**	**460,177,430,322**

Amount in Rs.

	Note	As on 32nd Ashad 2079			
		At Amortized Cost	At FVTPL	At FVTOCI	Total
Financial Assets					
Cash and Cash Equivalents	4.1	18,198,066,315			18,198,066,315
Due from Nepal Rastra Bank	4.2	11,930,868,071			11,930,868,071
Placement with Bank and Financial Institutions	4.3	-			-
Derivative financial instruments	4.4	-	1,265,935,824		1,265,935,824
Other trading assets	4.5	-			-
Loan and advances to B/FIs	4.6	10,751,322,217			10,751,322,217
Loans and Advances to Customers	4.7	258,087,531,600			258,087,531,600
Investment Securities	4.8	44,551,073,161		1,962,438,212	46,513,511,373
Investment in subsidiaries	4.9	370,695,250			370,695,250
Investment in associates	4.10	652,916,735			652,916,735
Investment property	4.12	559,448,275			559,448,275
Other Assets	4.16	1,540,623,888			1,540,623,888
Total Financial Assets		**346,642,545,512**	**1,265,935,824**	**1,962,438,212**	**349,870,919,549**
Financial Liabilities					
Due to Banks and Financial Institutions	4.17	9,594,870,797			9,594,870,797
Due to Nepal Rastra Bank	4.18	14,438,907,756			14,438,907,756
Derivative financial instruments	4.19		1,271,009,520		1,271,009,520
Due to Customers	4.20	276,964,909,623			276,964,909,623
Borrowings	4.21	5,747,233,648			5,747,233,648
Other Liabilities	4.23	3,918,622,309			3,918,622,309
Debt Securities Issued	4.24	4,492,869,348			4,492,869,348
Total Financial Liabilities		**315,157,413,482**	**1,271,009,520**	**-**	**316,428,423,002**

5.4 Operating Segment Information

1 General Information

Chief operating decision maker uses the branch wise information to make the decision. These information are generated on a daily basis. The bank has established the province office which will monitor their respective branches.

2 Information about profit or loss, assets and liabilities

Particulars	Koshi Province	Madhesh Province	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudur Paschim Province	Others	Total
Revenue from external customers	4,349,283,413	4,085,456,302	14,405,700,217	2,385,359,020	5,609,069,397	593,793,681	1,695,346,143	18,515,966,336	51,639,974,509
Inter-segment revenues	254,312,285	135,523,978	8,088,811,228	814,757,346	1,528,500,096	224,007,997	353,778,113	7,584,008,446	18,983,699,491
Gross Revenues	**4,603,595,698**	**4,220,980,281**	**22,494,511,445**	**3,200,116,366**	**7,137,569,494**	**817,801,678**	**2,049,124,256**	**26,099,974,782**	**70,623,674,000**
Interest Revenue	4,419,824,985	4,079,737,046	21,621,882,197	3,079,368,758	6,862,307,375	783,314,301	1,956,572,738	24,390,771,897	67,193,779,296
Interest Expenses	3,242,489,892	2,839,127,745	15,136,522,624	2,142,843,726	4,772,381,335	461,312,969	1,340,060,712	20,152,049,279	50,086,788,282
Net Interest Revenue	**1,177,335,092**	**1,240,609,301**	**6,485,359,574**	**936,525,032**	**2,089,926,040**	**322,001,331**	**616,512,026**	**4,238,722,618**	**17,106,991,014**
Depreciation and amortisation	37,837,832	39,049,111	302,211,010	53,665,176	89,893,533	11,760,481	28,255,627	228,102,102	790,774,872
Segment profit/(loss)	**439,641,061**	**599,152,002**	**4,656,069,809**	**548,197,335**	**962,907,400**	**151,910,835**	**123,724,376**	**1,783,921,372**	**9,265,524,191**
Entity's interest in the profit or loss of associates accounted for using equity method	-	-	-	-	-				-
Other material non-cash items	**-**	**-**	**-**	**-**	**-**				**-**
Impairment of assets	1,975,795,055	1,041,524,177	3,857,808,605	405,048,006	2,201,006,176	196,066,723	877,504,500	3,552,970,890	**14,107,724,133**
Segment assets	34,120,360,873	31,264,456,593	115,209,194,884	19,932,123,890	44,688,312,340	4,731,096,044	13,820,495,721	111,723,541,063	**375,489,581,407**
Segment liabilities	22,898,515,462	18,317,976,814	216,491,540,564	27,407,251,087	49,907,839,819	6,006,004,898	13,006,270,018	85,313,671,362	**439,349,070,024**

3 Any transactions that occurred between the reportable segments are recorded using inter-branch transaction account. This account is used mainly for accounting the inter branch revenue. These revenues are canceled out at the reporting date. There is no difference between the measurement of reportable segment's assets and entity's assets.

4 **Reconciliation or reportable segment revenues, profit or loss, assets and liabilities**

a	**Revenue**	*Amount in Rs.*
	Total Revenues for reportable segments	**70,623,674,000**
	Elimination of inter-segment revenues	(18,983,699,491)
	Entity's revenues	**51,639,974,509**

b	**Profit or loss**	*Amount in Rs.*
	Total profit/loss for reportable segments	**9,265,524,191**
	Elimination of inter-segment revenues	-
	Profit before Income Tax	**9,265,524,191**

c	**Assets**	*Amount in Rs.*
	Total assets for reportable segments	**375,489,581,407**
	Other assets	6,050,709,293
	Unallocated amounts- Staff Loans & Int Receivable	7,878,339,376
	Unallocated amounts- Cash and Balance with NRB	40,586,575,058
	Unallocated amounts- Investment Securities	90,751,261,163
	Unallocated amounts- Current Tax Assets	3,379,899,906
	Unallocated amounts- Investment Property	1,733,323,553
	Unallocated amounts- Derivative financial Instruments	996,239,429
	Unallocated amounts- Deferred Tax Assets	16,633,758
	Entity's Assets	**526,882,562,942**

d	**Liabilities**	
	Total liabilities for reportable segments	**439,349,070,024**
	Other liabilities	8,809,882,484
	Unallocated amounts-Due to Nepal Rastra bank	470,715,561
	Unallocated amounts- Current tax liabilities & Deferred Tax Liabilities	2,788,102,452
	Unallocated amounts- Derivative financial Instruments	946,946,972
	Unallocated amounts-Debt Securities and Borrowing	15,464,134,990
	Entity's Liabilities	**467,828,852,483**

5	**Information about products and services**	*Amount in Rs.*
	Loans and advances	44,888,138,906
	Investment securities	4,585,462,307
	Remittance	266,573,371
	Card services	933,370,032
	Others	966,429,894
	Total Entity's Revenue	**51,639,974,509**

6	Revenue from Geographical areas	*Amount in Rs.*
	Domestic	
	Koshi Province	4,349,283,413
	Madhesh Province	4,085,456,302
	Bagmati Province	14,405,700,217
	Gandaki Province	2,385,359,020
	Lumbini Province	5,609,069,397
	Karnali Province	593,793,681
	Sudur Paschim Province	1,695,346,143
	Others	18,515,966,336
	Foreign	
	Total	**51,639,974,509**

7	Information about major customers
	The bank does not have any customer, which generates more than 10% of the entity's revenue.

5.5 Share options and share based payment

The bank does not issue shares and options to its employees that would be accounted as per NFRS 2 " Share based payments".

5.6 Contingent liabilities and commitment

Details of contingent liabilities and commitments have been explained in Note 4.28.

5.7 Related party Disclosures

The bank carries out transactions in the ordinary course of business with the parties who are defined as related parties in the Nepal Accounting Standard – NAS 24 (Related Party Disclosures), the details of which are reported below:

Name	Type	Relationship with Bank	Date of Joining/(Resignation)
Mr. Chandra Prasad Dhakal	Key Management Personnel	Chairman	
Mr. Cabinet Shrestha		Director	
Mr. Radhesh Pant		Director	w.e.f. 9th Jan,2023
Mr. Ram Bahadur Bhandari		Director	
Mr. Krishna Prasad Sharma		Director	
Mr. Madan Lal Joshi		Director	w.e.f. 9th Jan,2023
Mr. Devendra Pratap Shah		Director	
Mr. Sudarshan Krishna Shrestha		Director	resigned w.e.f. 9th Jan,2023
Mr. Ratna Raj Bajracharya		CEO	
Global IME Laghubitta Bittiya Sanstha Ltd	Entities where control exists	Subsidiary	
Global IME Capital Ltd		Subsidiary	
BOK Capital Market Ltd		Subsidiary	
JBNL Securities Ltd		Subsidiary	
Mero Microfinance Laghubitta Bittiya Sanstha Ltd	Entities where significant influence exists	Associate	
First Microfinance Laghubitta Bittiya Sanstha Ltd		Associate	
Chhimek Laghubitta Bittiya Sanstha Ltd		Associate	
RSDC Laghubitta Bittiya Sanstha Ltd		Associate	
IME Life Insurance Company Ltd		Associate	
National Banking Training Institute Ltd		Associate	
Nepal Electronic Payment System Ltd		Associate	
Smart Choice Technologies Ltd		Associate	
Nepal Infrastructure Bank Ltd		Associate	
Banking Insurance and Financial Institution Ltd		Associate	
IME Ltd.	Entities Controlled by the KMPs and their Close Family Members		
IME Travels Pvt. Ltd			

Parent and ultimate controlling party

The bank does not have an identifiable parent of its own.

Key Management Personnel

As per Nepal Accounting Standard – NAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of entity.

A person can not be considered as a KMP unless such person has both the authority and responsibility to carry out all three activities metioned in the above definition (i.e. planning, directing and controlling the activities of entity). In considering each possible related party relationship, attention is directed to the substance of the relationship, not merely the legal form.

Accordingly the board of directors and chief executive officer are considered as Key Management Personnel of the bank.

Amount in Rs.

	Current Year	Previous Year
Employment benefits		
-salaries and allowances	20,792,056	19,718,334
-provident fund	759,600	759,600
Director's fees and expenses	4,621,978	4,934,091
	26,173,633	**25,412,025**

In addition to above, the bank has paid non cash-benefits such as Vehicle facility, telephone, other post employment benefits to Chief Executive Officer of the bank in line with the approved benefit plans of the bank.

Close Family Members (CFM) of Key Management Personnel

CFMs of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's spouse, children and dependents of the KMP and their spouse. Any transactions carried out with the CFM are conducted in arm's lenghth price. For the reported period there have been no payments or transactions with CFM of KMP except in the normal course of banking business like loans,deposits and interest on the same.

Entities Controlled by the Key Management Personnel and their Close Family Members

The Bank has conducted transaction with entities associated with IME Group where, Mr. Chandra Prasad Dhakal Chairperson of the Bank is Co-Founder and Chairman of the IME Group. Transaction with the entities which are controlled by KMPs and CFM of KMPs are conducted in arm's length price and the details are provided below with nature of services.

Entity	Nature of Service	Transaction Amount (Rs)	Outstanding Balance
IME Travels	Air Ticket Purchase	4,224,592	

IME Ltd.	Bought Amount	Sold Amount
USD Purchase against NPR	1,095,113,474.56	143,146,345,400.00
AED Purchase against USD	537,099,500.00	146,218,279.64
AUD Purchase against NPR	17,545,100.00	1,555,731,092.00

Subsidiaries and associates

The bank has subsidiaries with an equity interest of 75%, 57.48%, 66.67% and 100% in Global IME Capital Ltd, Global IME Laghubitta Bittiya Sanstha Ltd, BOK Capital Markets Ltd and JBNL Securities Ltd. The subsidiaries' nature of business are mentioned in Note 1.1.

The bank has associate entities with following equity interest:

	Current Year	Previous Year
First Microfinance Laghubitta Bittiya Sanstha Ltd	10.17%	10.17%
Mero Micro Finance Laghubitta Bittiya Sanstha Ltd	14.00%	14.00%
IME Life Insurance Co. Limited	10.00%	10.00%
Smart Choice Technologies Ltd	15.43%	15.50%
Nepal Electronics Payment System Ltd.	26.70%	17.61%
Banking Finance And Insurance Institution Ltd.	6.67%	6.67%
Chhimek Laghubitta Bittiya Sanstha Ltd	8.31%	-
RSDC Laghubitta Bittiya Sanstha Ltd	12.00%	-
National Banking Training Institute Ltd	9.74%	-
Nepal Infrastructure Bank Ltd	5.48%	-
Reliable Nepal Life Insurance Co. Limited	-	10%
Nepal Clearing House Limited	-	7.15%

Transactions with Related Parties

Amount in Rs.

	Current Year	Previous Year
Key Management Personnel		
-loans and receivables	-	
-deposits	139,890,426	308,918,851
For the year ended		
-interest paid on deposit	11,814,139	37,119,161
-interest received on loans	-	
Global IME Capital Limited		
-loans and receivables		
-deposits	161,814,986	329,543,604
For the year ended		
-interest paid on deposit	12,876,346	2,640,714
-dividend received	-	40,313,225
-other commission paid by Subsidiary	2,568,082	2,384,865
-other commission received by Bank	2,568,082	2,384,865
Global IME Laghubitta Bittiya Sanstha Limited		
-loans and receivables	2,658,802,771	1,976,821,092
-deposits	110,210,629	2,259,011
For the year ended		
-interest received on loans	219,499,790	176,595,967
-interest paid on deposit	126,515	-
-dividend received	25,410,270	-
JBNL Securities Limited		
-deposits	204,171,411	62,937,853
-additional investment	140,000,000	-
For the year ended		
-interest paid on deposit	3,369,216	683,077
BOK Capital Market Limited		
-loans and receivables	-	
-deposits	265,805,634	
For the year ended		
-interest paid on deposit	13,440,928	

	Current Year	Previous Year
Mero Microfinance Bittiya Sanstha Limited		
-loans and receivables	913,618,567	818,547,827
-deposits	14,682,953	7,706,594
For the year ended		
-interest received on loans	114,801,620	74,048,004
-interest paid on deposit	348,920	179,235
-dividend received	15,120,000	-
First Microfinance Laghubitta Bittiya Sanstha Limited		
-loans and receivables	1,314,782,083	1,265,741,605
-deposits	69,866,490	1,691,824
For the year ended		
-interest received on loans	112,295,471	131,703,447
-interest paid on deposit	318,541	47,422
-dividend received	-	4,128,755
IME Life insurance co. Ltd.		
-deposits	43,836,325	151,753,877
-additional investment	200,000,000	-
For the year ended		
-interest paid on deposit	15,269,794	31,600,017
Smart Choice Technologies Ltd		
-deposits	26,523,509	81,525,504
For the year ended		
-interest paid on deposit	4,067,289	6,212,378
service fees paid	18,867,086	372,480
Banking Finance And Insurance Institution Ltd.		
For the year ended		
-Training Expenses Paid	729,613	368,605
-dividend received	460,845	
Nepal Electronics Payment System Ltd.		
For the year ended		
Revenue Sharing Expenses	35,425,072	30,011,588
-dividend received	2,945,015	
National Banking Training Institute Ltd		
For the year ended		
Revenue Sharing Expenses	1,359,931	-
-dividend received	243,485	
RSDC Laghubitta Bittiya Sanstha Ltd		
-loans and receivables	498,770,087	
-deposits	4,243,610	
For the year ended		
-interest received on loans	27,997,469	
-interest paid on deposit	-	
Chhimek Laghubitta Bittiya Sanstha Ltd		
-loans and receivables	704,234,596	
-deposits	-	
For the year ended		
-interest received on loans	81,862,139	
-interest paid on deposit	-	
Nepal Infrastructure Bank Ltd		
For the year ended		
-dividend received	47,303,704	

5.8 Merger and Acquisition

During the year Global IME Bank Ltd and Bank of Kathmandu Ltd a "A" Class Financial Institution completed the successful merger with each other on the approval of Nepal Rastra Bank and Annual General Meeting to form a single entity Global IME Bank Ltd. With the merger Global IME Bank Ltd has become the larger commercial Bank in Nepal in terms of capital and the business volume and various other parameters. The Bank's customer reach has expanded to all the 77 districts in Nepal.

The merger was concluded with the swap ratio determined at 100 shares for every 100 shares held at then Bank of Kathmandu Ltd. The swap ratio was duly approved by both the entity's Annual General Meeting held on 23rd Mangsir 2079 (9th December 2022). Joint Operation of the two entities commenced from 25th Poush 2079 (9th January 2023).

Following assets liabilities and equities have been transferred to Bank as on 9th January 2023

Amount in Rs.

Particulars	9th January 2023
Assets	
Cash and Cash Equivalents	3,915,473,019
Due from Nepal Rastra Bank	4,597,546,628
Placement with Bank and Financial Institutions	3,125,782,928
Derivative Financial Instruments	-
Other Trading Assets	121,753,478
Loans and Advances to BFIs	3,517,534,099
Loans and Advances to Customers	102,436,642,019
Investment Securities	18,475,897,459
Current Tax Assets	377,250,734
Investment in Subsidiaries	140,000,000
Investment in Associates	-
Investment Property	41,035,467
Property and Equipment	1,293,070,366
Goodwill and Intangible Assets	26,480,492
Deferred Tax Assets	-
Other Assets	1,510,111,328
Total Assets	**139,578,578,017**
Liabilities	
Due to Bank and Financial Institutions	778,598,702
Due to Nepal Rastra Bank	56,083,392
Derivative Financial Instruments	1,638,799
Deposits from Customers	112,672,321,065
Borrowings	3,375,544,013
Current Tax Liabilities	-
Provisions	14,805,479
Deferred Tax Liabilities	443,754,895
Other Liabilities	2,549,029,969
Debt Securities Issued	2,802,627,832
Subordinated Liabilities	-
Total Liabilities	**122,694,404,146**
Equity	
Share Capital	11,261,433,716
Share Premium	-
Retained Earnings	(95,229,173)
Reserves	5,717,969,328
Total Equity Attributable to Equity Holders	**16,884,173,871**
Non -Controlling Interest	-
Total Equity	**16,884,173,871**
Total Liabilities and Equity	**139,578,578,017**
Contingent Liabilities and Commitments	38,023,453,640
Net Assets Value per share	149.93

5.9 Additional dislosure of non consolidated entities

All the subsidiaries of the bank are consolidated and presented as a single entity and referred to as Group.

5.10 Events after reporting date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the Financial Statements are authorized for issue. After the reporting date two subsidiaries of the Bank namely Global IME Capital Ltd with equity interests of 75% and Bank of Kathmandu Ltd with equity interest of 100% (66.67% as on reporting date) have merged with each other to form a single entity. The equity interest of the Bank after the merger is 81.50%. No circumstances other than mentioned here have arised except proposed dividend as disclosed in Note 4.43 since the reporting date which would require adjustments to, or disclosure in the financial statements.

Comparison of Unaudited and Audited Financial Statement of FY 2079-80

Rs. In Thousand

	Unaudited Financial Statement	Audited Financial Statements	Variance		Reason for Variance
	Rs	Rs	Rs	%	
Assets					
Cash and Cash Equivalents	19,071,572	28,531,854	9,460,282	33.16%	Note 1
Due from Nepal Rastra Bank	18,649,053	18,649,053	-	0.00%	
Placement with Bank and Financial Institutions	668,727	668,727	-	0.00%	
Derivative financial instruments	996,239	996,239	-	0.00%	
Other trading assets	-	-	-	0.00%	
Loan and advances to B/FIs	13,494,415	13,660,225	165,810	1.21%	Note 2
Loans and advances to customers	356,394,700	354,466,748	(1,927,951)	-0.54%	Note 2
Investment securities	98,651,339	87,591,674	(11,059,665)	-12.63%	Note 1
Current Tax Assets	3,379,590	3,379,900	310	0.01%	
Investment in subsidiaries	650,695	650,695	-	0.00%	
Investment in associates	745,165	1,840,165	1,095,000	59.51%	Note 3
Investment property	1,737,579	1,733,324	(4,256)	-0.25%	
Property and equipment	6,638,155	7,740,932	1,102,776.83	14.25%	Note 4
Goodwill and intangible assets	499,869	905,684	405,815.54	44.81%	Note 4
Deferred Tax Assets	170,656	16,634	(154,022)	-925.96%	Note 5
Other Assets	4,627,941	6,050,709	1,422,768	23.51%	Note 6
Total Assets	**526,375,695**	**526,882,563**	**506,868**	**0.10%**	
Liabilities					
Due to Banks and Financial Institutions	13,023,624	13,023,624	-	0.00%	
Due to Nepal Rastra Bank	470,716	470,716	-	0.00%	
Derivative financial instruments	946,947	946,947	-	0.00%	
Deposit from customers	426,325,446	426,325,446	(0)	0.00%	
Borrowings	3,282,546	3,282,546	-	0.00%	
Current tax liabilities	2,996,772	2,788,102	(208,669)	-7.48%	Note 7
Provisions	-	-	-	0.00%	
Deferred Tax Liabilities	-	-	-	0.00%	
Other Liabilities	8,465,765	8,809,882	344,118	3.91%	Note 6
Debt securities issued	12,181,123	12,181,589	466	0.00%	
Subordinated Liabilities	-	-	-	0.00%	
Total Liabilities	**467,692,938**	**467,828,852**	**135,914**	**0.03%**	
Equity					
Share capital	35,771,060	35,771,060	-	0.00%	
Share premium	-	-	-	0.00%	
Retained earnings	2,956,956	3,243,362	286,405	8.83%	Note 8
Reserves	19,954,741	20,039,289	84,548	0.42%	Note 8
Total equity attributable to equity holders	**58,682,757**	**59,053,710**	**370,954**	**0.63%**	
Total Liabilities and Equity	**526,375,695**	**526,882,563**	**506,868**	**0.10%**	

	Unaudited Financial Statement	Audited Financial Statements	Variance		Reason for Variance
	Rs	Rs	Rs	%	
Interest Income	48,221,364	48,210,080	(11,284)	-0.02%	
Interest Expenses	31,103,089	31,103,089	-	0.00%	
Net interest income	**17,118,275**	**17,106,991**	**(11,284)**	**-0.07%**	
Fees, charges and commission income	2,744,120	2,744,142	22	0.00%	
Fees, charges and commission expenses	683,570	683,570	0	0.00%	
Net fee and commission income	**2,060,550**	**2,060,572**	**22**	**0.00%**	
Net interest, fee and commission income	**19,178,825**	**19,167,563**	**(11,262)**	**-0.06%**	
Net Trading Income	474,601	474,601	-	0.00%	
Other Operating Income	229,467	215,027	(14,440)	-6.72%	Note 9
Total operating income	**19,882,893**	**19,857,190**	**(25,703)**	**-0.13%**	
Impairment charge/(reversal) for loans and other losses	2,715,392	3,426,139	710,747	20.74%	Note 2
Net Operating Income	**17,167,501**	**16,431,051**	**(736,450)**	**-4.48%**	
Operating Expenses					
Personnel Expenses	4,137,678	4,234,418	96,740	2.28%	Note 10
Other Operating Expenses	1,853,988	1,875,361	21,374	1.14%	Note 10
Depreciation and Amortization	806,943	790,775	(16,168)	-2.04%	Note 10
Operating profit	**10,368,893**	**9,530,497**	**(838,396)**	**-8.80%**	
Non operating income	8,526	8,526	-	0.00%	
Non operating expense	273,478	273,499	21	0.01%	
Profit before income tax	**10,103,941**	**9,265,524**	**(838,416)**	**-9.05%**	
Income Tax Expense					
Current tax	2,996,772	2,788,102	(208,669)	-7.48%	Note 7
Deferred tax	(146,286)	(216,936)	(70,650)	32.57%	Note 5
Profit for the period	**7,253,455**	**6,694,358**	**(559,097)**	**-8.35%**	

Note 1 Reclassification of T Bills with maturity less than 90 days to cash and cash equivalents and reclassification of Interest Receivables on Cash & cash equivalents to Accrued Income

Note 2 Reclassification of Interest Receivable and adjustment of Loan Loss Provision

Note 3 Reclassification of Investment in Nepal Infrastructure Bank Ltd. as Investment in Associates

Note 4 Recognintion of Goodwill and Fair Value on property for Business Combination with erstwhile Bank of Kathmandu

Note 5 Deferred Tax Asset adjustment on accounting for Business Combinations with Bank of Kathmandu Ltd.

Note 6 Adjustment to Deferred Employee expenditure from staff loans and advances and Right of Use Assets/Lease Liability

Note 7 Cumulative effect on tax liability due to change in LLP and other adjustment of income/expenses

Note 8 Adjustment of Investment adjustment Reserve & Debenture redemption reserve to Retained earning

Note 9 Adjustment for interest accrual on Retirement fund assets and dividend receivable from Associate entities

Note 10 Adjustment for Acturial Valuation and expenses related to discontinued Right of Use Assets

PRINCIPAL INDICATORS

Particulars	Indicators	F.Y. 2022/23	F.Y. 2021/22	F.Y. 2020/21	F.Y. 2019/20	F.Y. 2018/19	F.Y. 2017/18	F.Y. 2016/17	F. Y. 2015/16	F. Y. 2014/15	F. Y. 2013/14
1. Percentage of Net Profit / Gross Income	%	33.71	38.03	34.85	28.44	40.72	41.24	43.41	35.03	30.32	41.05
2. Earnings Per Share	Rs.	22.06	20.84	19.25	17.99	23.47	23.64	25.51	19.33	15.58	19.57
3. Market Value per Share	Rs.	186	251	441	239	293	290	388	515	479.00	640.00
4. Price Earning Ratio	Ratio	8.43	12.06	22.90	13.29	12.48	12.27	15.21	26.64	30.74	32.70
5. Stock Dividend on share capital (Bonus Share)	%	1.00	3.00	10.00	14.00	12.75	16.00	10.00	16.00	23.00	21.00
6. Cash Dividend on share Capital	%	8.00	10.60	3.50	2.00	12.75	-	10.00	-	-	4.00
7. Interest Income/Loans & Advances	%	13.29	9.89	0.12	12.02	12.29	12.88	10.20	8.98	10.00	10.88
8. Employee Expenses/Total Operating Expenses	%	61.36	61.11	65.01	61.44	59.00	56.54	59.13	44.26	46.10	36.96
9. Interest Expenses to Total Deposits and Borrowings	%	8.30	6.59	4.92	6.99	7.18	7.26	4.24	3.06	4.21	4.74
10. Exchange Fluctuation Gain/Total Income	%	2.48	4.98	6.46	6.61	7.38	6.91	5.89	6.36	6.41	5.84
11. Staff Bonus/ Total Staff Expenses	%	24.31	23.73	20.95	18.71	24.90	22.16	26.92	29.77	22.02	34.43
12. Total Operating Expenses/Total Assets	%	1.31	1.49	1.41	1.47	1.77	1.85	1.54	1.70	1.99	1.69
13. Net Profit/Loans & Advances	%	1.84	1.75	1.65	1.40	2.42	2.25	2.62	2.27	1.91	2.26
14. Net Profit/ Total Assets	%	1.30	1.38	1.20	1.06	1.82	1.67	1.75	1.58	1.39	1.62
15. Credit to Deposit Ratio											
a. Total Credit / Deposit	%	85.21	94.99	85.59	88.25	91.62	84.70	79.30	81.47	83.47	82.27
b. CD/CCD Ratio as per NRB Directives*	%	83.47	89.21	72.65	73.18	78.69	75.35	71.24	72.96	74.41	73.64
16. Adequacy of Capital Fund on Risk Weightage											
Assets											
a. CET1	%	10.92	10.17	10.55	10.81	10.56	10.32	10.23	11.01	-	-
b. Core Capital	%	10.92	10.17	10.55	10.81	10.56	10.32	10.23	11.01	11.24	10.94
c. Total Capital Fund	%	13.34	12.67	13.20	12.48	12.31	11.47	11.37	12.35	12.69	12.38
17. Liquidity	%	30.34	23.55	29.89	24.58	22.13	25.34	33.54	35.14	30.12	31.11
18. Non Performing Loans/Total Loans	%	3.15	1.28	1.41	1.74	0.55	0.77	1.60	1.89	2.23	2.55
19. Weighted Average Interest Rate Spread	%	4.66	4.26	4.51	4.43	4.47	4.86	3.36	4.52	4.11	5.34
20. Book Net worth (Rs. in Mio)	Rs.	59,054	37,739	33,439	28,834	16,332	13,579	12,376	8,706	7,323	6,126
21. Total Employees	Number	3677	2966	2961	3059	1696	1638	1348	1107	1,117	1,098

* CCD Ratio Revised to CD Ratio from FY 2021/22

***Principal Indicators before financial year 2016/17 have been calculated based on the audited financials as per GAAP.*

ABOUT SPECIAL RESOLUTION TO BE PRESENTED BEFORE 17TH ANNUAL GENERAL MEETING OF GLOBAL IME BANK LIMITED.

Three Columns Format (Tin-Mahale) of the Amendments in the Memorandum of Association

S.N.	Clause	Existing Provision	Proposed Provision	Reason for the Amendment
1	5 (Kha)	The Issued share capital of the Bank shall be Rs. 35,771,059,718 (Rupees Thirty Five Billion Seven Hundred Seventy One Million Fifty Nine Thousand Seven Hundred Eighteen only).	The Issued share capital of the Bank shall be Rs. 36,128,770,314.55 (Rupees Thirty Six Billion One Hundred Twenty Eight Million Seven Hundred Seventy Thousand Three Hundred Fourteen and 55 /100 only).	To increase Bank's capital after issue of bonus share to shareholders.
2	5 (Ga)	The Paid-up share capital of the Bank shall be Rs. 35,771,059,718 (Rupees Thirty Five Billion Seven Hundred Seventy One Million Fifty Nine Thousand Seven Hundred Eighteen only).	The Paid-up share capital of the Bank shall be Rs. 36,128,770,314.55 (Rupees Thirty Six Billion One Hundred Twenty Eight Million Seven Hundred Seventy Thousand Three Hundred Fourteen and 55 /100 only).	To increase Bank's capital after issue of bonus share to shareholders.

Three Columns Format (Tin-Mahale) of the Amendments in the Article of Association

S.N.	Clause	Existing Provision	Proposed Provision	Reason for the Amendment
1	3 1 (Kha)	Chairman will be provided meeting allowances of Rs. 17,000.00 (Seventeen Thousand) and Rs. 15,000.00 (Fifteen Thousand) for director for presence of Board of Director's meeting. Directors will be provided monthly Rs. 10,000.00 (Ten Thousand) as communication and transport allowances.	Chairman will be provided meeting allowances of Rs. 30,000.00 (Thirty Thousand) and Rs. 25,000.00 (Twenty-Five Thousand) for director for presence of Board of Director's meeting. Directors will be provided monthly Rs. 50,000.00 (Fifty Thousand) as communication and transport allowances.	For timely amendment

HEAD OF PROVINCE

Sulav Hari Joshi	**Dhoj Saud**	**Rupendra Wagle**	**Sushovan Devkota**	**Shanta Shiwakoti**	**Bibhushan Shrestha**	**Pukar Subedi**
Koshi Province	Madhesh Province	Bagmati Province	Gandaki Province	Lumbini Province	Karnali Province	Sudurpashchim Province

BRANCH AND BRANCH MANAGER - KOSHI PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Bhadrapur	Bodha Nath Pandey	Bhadrapur Municipality-5, Jhapa	9802261277
Bhojpur	Pramod Khatry	Bhojpur Municipality-7, Bhojpur	9802261146
Bhotkhola	Shekhar Chaudhary	Bhotkhola Rural Municipality-3, Sankhuwasabha	9843557642
Biratchowk	Chhatra Prasad Adhikari	Sundarharaicha Municipality-10, Morang	9802261120
Biratnagar	Nischal Adhikari	Biratnagar Metropolitian City-7, Morang	9802261015
Birtamod	Dhundi Raj Bhattarai	Birtamod Municipality-5, Jhapa	9802261058
Buddhabare	Gunan Dahal	Buddhashanti Rural Municipality-3, Jhapa	9820126306
Chainpur	Ram Krishna Khanal	Chainapur Municipality-6, Sankhuwasabha	9802261069
Charali	Pitambar Khadka	Mechinagar Municipality-13, Jhapa	9802261077
Damak	Prabesh Lamsal	Damak Municipality-5, Jhapa	9802261115
Dangihat	Bhim Prasad Bhandari	Belbari Municipality-6, Morang	9802261199
Dharan	Bhupal Ghimire	Dharan Sub-Metropolitian City-9, Sunsari	9802261068
Dhulabari	Pradeep Kumar Neupane	Mechinagar Municipality-10, Jhapa	9802261023
Faktanglung	Santosh Neupane	Phaktanlung Rural Municipality-5, Taplejung	9852677099
Gaighat	Lok Nath Paudel	Triyuga Municipality-11, Udayapur	9802261022
Hile	Anup Shakya	Dhankuta Municipality-1, Dhankuta	9802261144
Ilam	Raju Dhimal	Ilam Municipality-7, Ilam	9802261231
Inaruwa	Binod Kumar Yadav	Inaruwa Municipality-2, Sunsari	9802261164
Itahari	Binod Karki	Itahari Sub-Metropolitian City-6, Sunsari	9802261050
Jhumka	Binod Karki	Ramdhuni Municipality-5, Sunsari	9802261270
Jirikhimti	Bhesh Bahadur Neupane	Myanglung Municipality-9, Terhathum	9802261178
Kakarvitta	Rudra Prasad Gautam	Mechinagar Municipality-6, Jhapa	9820126307
Kanchanbari	Om Prakash Bhandari	Biratnagar Metropolitian City-4, Morang	9802261276
Katari	Manish Kumar Magar	Katari Municipality-3, Udayapur	9802261288
Khadbari	Parash Rai	Khandabari Municipality-1, Sankhuwasabha	9802261287
Khotang	Biplab Kafle	Diktel Rupakot Municipality-1, Khotang	9802261142
Okhaldhunga	Saroj Tandukar	Siddhicharan Municipality-11, Okhaldhunga	9802261154
Pakhribas	Krishna Prasad Luitel	Pakhribas Municipality-3, Dhankuta	9802261175
Phidim	Umesh Gautam	Phidim Municipality-1, Panchthar	9802261074
Phikkal	Manish Pokharel	Suryodaya Municipality-10, Ilam	9802261027
Solukhumbu	Pushpa Pradhan	Solu Dhudhakunda Municipality-6, Solukhumbu	9802261143
Taplejung	Himalaya Bhattarai	Phungling Municipality-5, Taplejung	9802261053
Teenpaini	Parash Adhikari	Biratnagar Metropolitian City-2, Morang	9802261243
Terhathum	Binaya Dhakal	Myanglung Municipality-1, Terhathum	9802261076
Traffic Chowk Biratnagar	Mukesh Kumar Shah	Biratnagar Metropolitian City-13, Morang	9802261165
Urlabari	Jayanta Pandey	Urlabari Municipality-7, Morang	9820126302

BRANCH AND
BRANCH MANAGER - MADHESH PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Amlekhgunj	Bishwa Pratap Tripathi	Jitpur Simara Sub-Metropolitian City-21, Bara	9820126308
Bardibas	Bijay Kumar Shah	Bardibas Municipality-1, Mahottari	9802261141
Belwa	Raj Kumar Mahato	Birgunj Metropolitian City-30, Parsa	9802261131
Birgunj	Vivek Tibrewal	Birgunj Metropolitian City-10, Parsa	9802261011
Bypass Road-Birgunj	Surendra Chalise	Birgunj Metropolitian City-15, Parsa	9802261166
Chandrapur	Birodh Neupane	Chandrapur Municipality-4, Rautahat	9802261218
Chhinamasta	Binesh Kumar Shrestha	Chhinnamasta Rural Municipality-3, Saptari	9820126314
Dakneshwari	Janendra Chaudhary	Dakneshwori Municipality-5, Saptari	9802261127
Dhalkebar	Dron Bahadur Khatri	Mithila Bihari Municipality-6, Dhanusa	9802261272
Fatuwa	Sanjib Kumar Shah	Phatuwa Bijayapur Municipality-8, Rautahat	9802261130
Feta	Bidhyananda Chaudhary	Pheta Rural Municipality-7, Bara	9802261129
Gadhimai	Naresh Silwal	Gadhimai Municipality-2, Rautahat	9820126312
Gaur	Kishwor Chaudhary	Gaur Municipality-1, Rautahat	9802261163
Gaushala - Mahottari	Mukesh Kumar Thakur	Gaushala Municipality-5, Mahottari	9820126340
Golbazar	Shrawan Kumar Mahaseth	Golbazar Municipality-6, Siraha	9802261054
Hariwon	Ramhari Bhattarai	Hariwan Municipality-11, Sarlahi	9802261217
Janakpur	Mahesh Kumar Mahato	Janakpurdham Sub-Metropolitian City-2, Dhanusa	9802261044
Janakpur Station Road	Sanjay Mishra	Janakpurdham Sub-Metropolitian City-2, Dhanusa	9820126313
Jitpur	Sanjay Dhar Joshi	Jitpur Simara Sub-Metropolitian City-7, Bara	9802261223
Kalaiya	Anshu Verma	Kalaiya Sub-Metropolitian City-4, Bara	9820126309
Kalikamai	Satish Kumar Singh	Kalikamai Rural Municipality-5, Parsa	9820126311
Lahan	Suresh Yadav	Lahan Municipality-3, Siraha	9802261016
Lahan Ghantaghar Chowk	Amrit Shrestha	Lahan Municipality-3, Siraha	9820126315
Lalbandi	Maheshwor Parajuli	Lalbandi Municipality-7, Sarlahi	9802261073
Malangawa	Nabin Kumar Gupta	Malangawa Municipality-8, Sarlahi	9820126346
Mirchaiya	Saroj Kumar Jha	Mirchaiya Municipality-6, Siraha	9802261056
Mithila Bihari	Hari Narayan Sah	Mithila Bihari Municipality-7, Dhanusa	9802261128
Nawalpur	Santosh Kumar Shah	Lalbandi Municipality-1, Sarlahi	9802261149
Nijgadh	Abinash Sapkota	Nijagadh Municipality-9, Bara	9802261121
Rajbiraj	Mohan Prasad Sah	Rajbiraj Municipality-7, Saptari	9802261062
Rupani	Basant Kumar Chaudhary Tharu	Rupani Rural Municipality-6, Saptari	9802261233
Simraungadh Bara	Bishal Sah	Simroungadh Municipality-6, Bara	9802261225
Siraha	Suresh Kumar Shrestha	Siraha Municipality-1, Siraha	9802261055
Sukhipur	Sanjay Adhikari	Sukhipur Municipality-8, Siraha	9802261271

BRANCH AND
BRANCH MANAGER - BAGMATI PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Aason	Nisha Shrestha	Kathmandu Metropolitian City-27, Kathmandu	9802261095
Anamnagar	Dipendra Bahadur Singh	Kathmandu Metropolitian City-29, Kathmandu	9802261039
Bafal Kalanki	Nitesh Rijal	Kathmandu Metropolitian City-13, Kathmandu	9802261168
Baireni	Sayar Upreti	Galchhi Rural Municipality-6, Dhading	9802261081
Balaju	Sarita Shrestha	Kathmandu Metropolitian City-16, Kathmandu	9820126334
Balaju	Rabindra Prasad Nepal	Kathmandu Metropolitian City-16, Kathmandu	9802261169
Balaju Chowk	Bimala Dhakal Gyawali	Kathmandu Metropolitian City-16, Kathmandu	9802261286
Balkumari	Basanta Babu Karki	Lalitpur Metropolitian City-9, Lalitpur	9820126351
Baluwapati	Ishwor Dhakal	Tokha Municipality-3, Kathmandu	9802261260
Banasthali	Nabin Acharya	Kathmandu Metropolitian City-16, Kathmandu	9802261010
Banepa	Prakash K. C.	Banepa Municipality-7, Kavrepalanchok	9802261089
Barhabise	Krishna Prasad Sapkota	Bahrabise Municipality-9, Sindhupalchok	9802261078
Battar	Dipak Pokhrel	Bidur Municipality-4, Nuwakot	9802261216
Belchowk	Yubaraj Poudel	Bharatpur Metropolitian City-1, Chitawan	9802261104
Bethanchowk	Saroj K.C.	Bethanchowk Rural Municipality-8, Kavrepalanchok	9802261111
Bhaisepati	Priyanka Karki	Lalitpur Metropolitian City-25, Lalitpur	9802261281
Bhakundebeshi	Ujwal Pokharel	Namobuddha Municipality-9, Kavrepalanchok	9802261194
Bhandara	Ashok Rimal	Rapti Municipality-5, Chitawan	9802261234
Bharatpur	Khem Nath Sharma Paudel	Bharatpur Metropolitian City-10, Chitawan	9802261188
Budanilkantha	Ashma Regmi	Budhanilkhantha Municipality-5, Kathmandu	9820126345
Chabahil	Peshal Kumar Dahal	Kathmandu Metropolitian City-7, Kathmandu	9802261037
Chabahil Chowk	Bishnu Prasad Pokhrel	Kathmandu Metropolitian City-7, Kathmandu	9820126333
Chandol	Puja Karki	Kathmandu Metropolitian City-4, Kathmandu	9802261291
Charikot	Diwas Rajbhandari	Bhimeshwor Municipality-2, Dolakha	9802261152
Charkhal Dillibazar	Seejan Shrestha	Kathmandu Metropolitian City-5, Kathmandu	9802261177
Chautara	Navin Shrestha	Choutara Sangachowkgadhi Municipality-5, Sindhupalchok	9802261162
Chhetrapati	Suresh Sharma	Kathmandu Metropolitian City-18, Kathmandu	9802261025
Corporate	Sama Shah	Kathmandu Metropolitian City-28, Kathmandu	9802261116
Dahachowk	Sabita Aryal	Chandragiri Municipality-13, Kathmandu	9820126305
Dhadingbesi	Janak Neupane	Nilkhantha Municipality-3, Dhading	9802261283
Dhapasi	Sudip Bhakta Wagle	Kathmandu Metropolitian City-5, Kathmandu	9802261008
Dhobighat	Anup Mangal Joshi	Lalitpur Metropolitian City-4, Lalitpur	9802261280
Dhulikhel	Suman Shrestha Byanju	Dhulikhel Municipality-8, Kavrepalanchok	9820126322
Dhunche	Subash Ghale	Gosaikunda Rural Municipality-5, Rasuwa	9802261160
Dhunge Adda	Raju Kumar Kashyap	Chandragiri Municipality-15, Kathmandu	9820126331
Dillibazar	Shruti Hada Shrestha	Kathmandu Metropolitian City-30, Kathmandu	9802261032
Doramba	Navin Gautam	Doramba Rural Municipality-3, Ramechhap	9860829158
Ekantakuna	Srijana Karki	Lalitpur Metropolitian City-13, Lalitpur	9820126339
Galcchi	Bikash Pokhrel	Galchhi Rural Municipality-7, Dhading	9820126336
Gathaghar	Poonam Prasai	Bhaktapur Municipality-3, Bhaktapur	9802261282
Geetanagar	Ramesh Niroula	Bharatpur Metropolitian City-5, Chitawan	9802261184
Gongabu	Bibekananda Aryal	Kathmandu Metropolitian City-29, Kathmandu	9802261035
Gothatar	Shailaja Rajya Laxmi Shah	Kageshwori Manahara Municipality-9, Kathmandu	9802261114

Branch Name	BM Name	Branch Address	Contact No
Gwarko	Bibek Thapa	Lalitpur Metropolitian City-7, Lalitpur	9802261088
Gyaneshwor	Deepa Neupane	Kathmandu Metropolitian City-30, Kathmandu	9802261107
Hakim Chowk	Heera Kumar Moktan	Bharatpur Metropolitian City-10, Chitawan	9820126318
Hattigauda	Khagaraj Acharya	Budhanilkhantha Municipality-6, Kathmandu	9802261124
Hetauda	Rabin Raj Dahal	Hetauda Sub-Metropolitian City-4, Makwanpur	9802261046
Imadol	Huta Raj Dahal	Mahalaxmi Municipality-1, Lalitpur	9820126326
Imakhel Thankot	Narayan Kumar Puwar Magar	Chandragiri Municipality-4, Kathmandu	9802261255
Indrachowk	Jeetendra Bade Shrestha	Kathmandu Metropolitian City-25, Kathmandu	9820126344
Indrasarovar	Shankar Muktan	Indrasarowar Rural Municipality-2, Makwanpur	9820126323
Itachhen	Pushkar Bala	Bhaktapur Municipality-2, Bhaktapur	9820126325
Jorpati	Subodh Adhikari	Gokarneshwor Municipality-6, Kathmandu	9802261117
Jyatha	Ganga Bahadur Roka	Kathmandu Metropolitian City-30, Kathmandu	9802261173
Kalanki	Laxmi Dumre	Kathmandu Metropolitian City-14, Kathmandu	9802261038
Kalikasthan	Ramesh Paneru	Kalika Rural Municipality-2, Rasuwa	9802261174
Kamaladi	Ravi Shrestha	Kathmandu Metropolitian City-1, Kathmandu	9802261075
Kamalbinayak	Kalpana Devi Sharma	Bhaktapur Municipality-10, Bhaktapur	9802261261
Kandaghari Kathmandu	Surya Prasad Sedai	Kageshwori Manahara Municipality-7, Kathmandu	9802261257
Kantipath	Yadav Sharma	Kathmandu Metropolitian City-30, Kathmandu	9802261001
Kapan	Rajan Dangol	Budhanilkhantha Municipality-10, Kathmandu	9802261265
Khadichaur	Samjhana Shrestha	Balephi Rural Municipality-7, Sindhupalchok	9802261147
Khaniyabas	Ganesh Sharma	Khaniyabas Rural Municipality-4, Dhading	9820126335
Kharibot Banasthali Kathmandu	Rajendra Dhakal	Kathmandu Metropolitian City-16, Kathmandu	9802261254
Kholesimal	Devendra Raj Adhikari	Kalika Municipality-1, Chitawan	9802261103
Khumaltar Lalitpur	Pravin Acharya	Lalitpur Metropolitian City-14, Lalitpur	9802261258
Khusibu	Ramhari Bhandari	Kathmandu Metropolitian City-17, Kathmandu	9802261059
Kirtipur	Shova Neupane	Kirtipur Municipality-10, Kathmandu	9802261005
Koteshwor	Pratiksha Shakya	Kathmandu Metropolitian City-30, Kathmandu	9802261036
Kuleshwor	Prabhu Narayan Pradhan	Kathmandu Metropolitian City-14, Kathmandu	9802261006
Kumaripati	Bishal Dhwaj Shrestha	Lalitpur Metropolitian City-5, Lalitpur	9802261167
Kuntabeshi	Alice Budhathoki	Mandan Deupur Municipality-8, Kavrepalanchok	9802261196
Kupondole	Rithee Shahi	Lalitpur Metropolitian City-10, Lalitpur	9802261028
Kurintar	Nawaraj Rimal	Ichchha Kamana Rural Municipality-4, Chitawan	9802261110
Lagankhel	Rubina Ranjit Karmacharya	Lalitpur Metropolitian City-12, Lalitpur	9802261007
Lanku	Prakash Sharma	Bharatpur Metropolitian City-6, Chitawan	9820126319
Lokanthali	Bidur Adhikari	Madhyapur Thimi Municipality-1, Bhaktapur	9820126316
Madi	Prakash Shrestha	Madi Municipality-3, Chitawan	9802261187
Mahalaxmisthan Road	Basu Dev Dhungana	Lalitpur Metropolitian City-5, Lalitpur	9820126327
Maharajgunj	Pushpa Adhikari	Kathmandu Metropolitian City-3, Kathmandu	9802261289
Manamaiju	Pitamber Pokharel	Kathmandu Metropolitian City-10, Kathmandu	9802261123
Mangalbazar	Kanchan Shrestha	Lalitpur Metropolitian City-16, Lalitpur	9802261285
Manthali	Sabin Maharjan	Manthali Municipality-1, Ramechhap	9802261100
Mid - Baneshwor	Nabin Subedi	Kathmandu Metropolitian City-10, Kathmandu	9802261029
Nagarjun	Deepak Dhakal	Nagarjun Municipality-5, Kathmandu	9802261150
Nakhu	Pratap Kumar Tamang	Lalitpur Metropolitian City-13, Lalitpur	9802261085
Narayanghat	Rajan Subedi	Bharatpur Metropolitian City-3, Chitawan	9802261018

Branch Name	BM Name	Branch Address	Contact No
Narephat	Santosh Prasad Dhungel	Kathmandu Metropolitian City-32, Kathmandu	9802261290
Naukunda	Dwarika Sandha	Naukunda Rural Municipality-2, Rasuwa	9802261237
Naxal	Pawan Kumar Poudyal	Kathmandu Metropolitian City-1, Kathmandu	9820126329
Nayabazar Kirtipur	Jaya Maharjan	Kirtipur Municipality-9, Kathmandu	9802261253
New Baneshwor	Prabin Chandra Subedi	Kathmandu Metropolitian City-10, Kathmandu	9820126341
New Road	Surendra Sharma Dhakal	Kathmandu Metropolitian City-24, Kathmandu	9802261002
Old Baneshwor	Deepa Shrestha	Kathmandu Metropolitian City-9, Kathmandu	9820126332
Panauti	Badri Kumar Acharya	Panauti Municipality-5, Kavrepalanchok	9802261193
Panipokhari	Arjun Paudel	Kathmandu Metropolitian City-3, Kathmandu	9802261033
Parsa	Reeshi Lohani	Khairahani Municipality-4, Chitawan	9802261183
Pragatipath	Laxmi Upadhyay	Bharatpur Metropolitian City-1, Chitawan	9820126321
Pulchowk	Saroja Hada Nyachhyon	Lalitpur Metropolitian City-13, Lalitpur	9802261080
Putalisadak	Hemanta Acharya	Kathmandu Metropolitian City-29, Kathmandu	9802261204
Raksirang	Rudra Raj Ghalan	Raksirang Rural Municipality-5, Makwanpur	9820126324
Rampur	Nagendra Raj Gautam	Bharatpur Metropolitian City-2, Chitawan	9802261182
Ruby Valley	Lokendra Sthapit	Rubi Valley Rural Municipality-3, Dhading	9841420086
Sahid Chowk	Dhirendra Shrestha	Bharatpur Metropolitian City-3, Chitawan	9802261179
Sanagaon	Bhawana Shrestha	Mahalaxmi Municipality-6, Lalitpur	9802261264
Sankhamul	Sachin Neupane	Kathmandu Metropolitian City-10, Kathmandu	9802261232
Sankhu	Sagar Lamichhane	Shankharapur Municipality-6, Kathmandu	9820126330
Sano Gaucharan	Reshu Shrestha	Kathmandu Metropolitian City-30, Kathmandu	9802261004
Satdobato	Nabin Kadariya	Lalitpur Metropolitian City-14, Lalitpur	9802261040
Shantinagar	Sagar Shrestha	Kathmandu Metropolitian City-31, Kathmandu	9802261268
Sharadpur, Chitwan	Manju Adhikari	Bharatpur Metropolitian City-8, Chitawan	9820126389
Sinamangal	Achala Poudel	Kathmandu Metropolitian City-9, Kathmandu	9802261084
Sindhuli	Ashutosh Khadka	Kamalamai Municipality-6, Sindhuli	9802261140
Sitapaila	Kabita Bartaula	Kathmandu Metropolitian City-15, Kathmandu	9802261003
Sukedhara	Bimal Dhakal	Kathmandu Metropolitian City-3, Kathmandu	9802261091
Sundhara II	Sanat Acharya	Kathmandu Metropolitian City-1, Kathmandu	9802261099
Sundhara Lalitpur	Pallabi Rajbhandari	Lalitpur Metropolitian City-7, Lalitpur	9802261252
Suryabinayak	Dipak Khanal	Bhaktapur Municipality-14, Bhaktapur	9802261060
Swayambhu	Mahendra Khatiwada	Kathmandu Metropolitian City-15, Kathmandu	9820126342
Tandi	Keshab Prasad Woli	Ratnanagar Municipality-1, Chitawan	9802261042
Tatopani	Janga Bahadur Jhyari Magar	Bhotekoshi Rural Municipality-2, Sindhupalchok	9841265272
Thamel	Shusil Kumar Budhathoki	Kathmandu Metropolitian City-26, Kathmandu	9802261009
Thankot	Yek Raj Bartaula	Chandragiri Municipality-5, Kathmandu	9802261090
Thapathali	Merina Shrestha	Kathmandu Metropolitian City-11, Kathmandu	9802261195
Thimi Bhaktapur	Purushottam Acharya	Madhyapur Thimi Municipality-4, Bhaktapur	9802261251
Timure	Deependra K.C.	Gosaikunda Rural Municipality-6, Rasuwa	9802261181
Tinkune	Shambhu Karki	Kathmandu Metropolitian City-19, Kathmandu	9802261215
Tinpatan	Sanjeev K.C	Tinpatan Rural Municipality-7, Sindhuli	9820126328
Tokha	Sudhir Prasad Dhakal	Tokha Municipality-6, Kathmandu	9802261269
Tripureshwor	Ritu Pradhan	Kathmandu Metropolitian City-10, Kathmandu	9802261034
Trishuli	Karna Bahadur Shahi	Bidur Municipality-1, Nuwakot	9802261101

BRANCH AND
BRANCH MANAGER - GANDAKI PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Aabukhaireni	Shat Kumar Paudel	Aanbu Khaireni Rural Municipality-3, Tanahu	9820126391
Amarapuri	Keshav Raj Adhikari	Gaidakot Municipality-14, Nawalparasi East	9820126317
Amarsingh Chowk	Purnima Ale	Pokhara Metropolitian City-10, Kaski	9802261125
Bagar	Dharma Raj Gurung	Pokhara Metropolitian City-1, Kaski	9820126348
Baglung	Hem Raj Sharma	Baglung Municipality-2, Baglung	9802261012
Balewa	Bishnu Prasad Poudel	Baglung Municipality-14, Baglung	9802261292
Bandipur	Shobhit Shrestha	Bandipur Rural Municipality-2, Tanahu	9802261153
Begnas	Ram Chandra Kandel	Pokhara Metropolitian City-1, Kaski	9802261106
Beni	Sokendra Thapa Magar	Beni Municipality-8, Myagdi	9802261047
Besisahar	Nirajan Shrestha	Bensi Shahar Municipality-11, Lamjung	9802261092
Bhorletar	Bikash Thapa	Madhya Nepal Municipality-6, Lamjung	9802261097
Bhotewodar	Janmabhumi Gurung	Sundarbazar Municipality-9, Lamjung	9802261096
Birauta	Pradeep Baral	Pokhara Metropolitian City-17, Kaski	9802261059
Budhibazar Kaski	Jeevan Gurung	Pokhara Metropolitian City-26, Kaski	9802261227
Bungdikali	Prem Prasad Phuyal	Baudikali Rural Municipality-2, Nawalparasi East	9802261246
Burtibang	Ishwor Rajbhandari	Dhorpatan Municipality, Baglung	9802261098
Chipledhunga	Arun Bhat	Pokhara Metropolitian City-9, Kaski	9802261159
Daldale	Prakash Timalsina	Devchuli Municipality-1, Nawalparasi East	9802261185
Damauli	Santosh Thapa	Byas Municipality-3, Tanahu	9802261093
Dordi	Sandip Sedhai	Dordi Rural Municipality-4, Lamjung	9802261220
Dulegauda	Anish Karki	Shuklagandaki Municipality-4, Tanahu	9802261266
Dumkibas	Lok Bahadur Bakabal Thapa	Binayi Tribeni Rural Municipality-1, Nawalparasi East	9802261229
Dumre	Dinesh Adhikari	Bandipur Rural Municipality-1, Tanahu	9802261108
Gaidakot	Kishan Shrestha	Gaidakot Municipality-8, Nawalparasi East	9802261136
Galkot	Sanjeev Basnet	Galkot Municipality-3, Baglung	9802261094
Gorkha Bazar	Deepak Basnet	Gorkha Municipality-6, Gorkha	9802261119
Gorkha Siranchowk	Yuba Raj Sharma	Siranchowk Rural Municipality-4, Gorkha	9802261109
Kawasoti	Sunil Paudel	Kawasoti Municipality-8, Nawalparasi East	9802261051
Khairenitar	Prem Singh Ale	Shuklagandaki Municipality-6, Tanahu	9820126349
Kushmishera	Pushpa Mani Sharma	Jaimuni Municipality-1, Baglung	9802261045
Kusma	Shyam Prasad Dhakal	Kushma Municipality-6, Parbat	9802261066
Lakeside Pokhara	Bhola Nath Paudel	Pokhara Metropolitian City-6, Kaski	9802261219
Lekhnath	Raju Shiva Bhakti	Pokhara Metropolitian City-29, Kaski	9802261214
Manakamana	Gautam Kaji Shrestha	Shahid Lakhan Rural Municipality-2, Gorkha	9802261079
Manang	Pradeep Joshi	Manang Ngisyang Rural Municipality-4, Manang	9802261275
Mustang	Guru Prakash Paudel	Gharpajhong Rural Municipality-3, Mustang	9802261263
Pame	Ratna Thapa Magar	Pokhara Metropolitian City-24, Kaski	9802261064
Pokhara - Sabhagriha Chowk	Bhuwan Wagle	Pokhara Metropolitian City-8, Kaski	9802261065
Pokhara (New Road)	Mandip Baral	Pokhara Metropolitian City-8, Kaski	9802261014
Powerhouse	Ganga Aryal	Pokhara Metropolitian City-30, Kaski	9820126347
Sulikot Gorkha	Tej Bahadur Thapa	Barpak Sulikot Rural Municipality-6, Gorkha	9802261224
Sundar Bazar	Santosh Bhandari	Sundarbazar Municipality-1, Lamjung	9802261105
Udipur	Chandra Kala Ghale Gurung	Bensi Shahar Municipality-1, Lamjung	9802261148
Waling	Rajesh Kumar Joshi	Walling Municipality-8, Syangja	9802261230

BRANCH AND
BRANCH MANAGER - LUMBINI PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Arghakhanchi	Pradip Adhikari	Sandhikharka Municipality-1, Arghakhanchi	9802261048
Bangain	Manoj Sharma	Banganga Municipality-7, Kapilbastu	9802261207
Bardaghat	Anil Bhandari	Bardaghat Municipality-4, Nawalparasi West	9802261200
Bhairahawa	Premsagar Agrahari	Siddharthanagar Municipality-8, Rupandehi	9802261026
Bhairahawa	Bishnu Prasad Acharya	Siddharthanagar Municipality-6, Rupandehi	9820126359
Bhairahawa Sez	Sushma Sharma	Siddharthanagar Municipality-1, Rupandehi	9802261157
Bhaluwang	Prem Bahadur Thapa	Rapti Rural Municipality-1, Dang	9820126364
Bhalwari	Raju Bhandari	Tilottama Municipality-7, Rupandehi	9802261208
Bhumahi	Bimlesh Chaudhary	Sunawal Municipality-12, Nawalparasi West	9802261102
Bhurigaun Bardiya	Laxmi Narayan Sharma	Thakurbaba Municipality-1, Bardiya	9802261228
Bijuwar	Dilip Bista	Pyuthan Municipality-4, Pyuthan	9802261211
Butwal	Ratna Bahadur Khadka	Butwal Sub-Metropolitian City-4, Rupandehi	9820126360
Butwal - Ram Mandir Line	Sanjay Bagale	Butwal Sub-Metropolitian City-4, Rupandehi	9802261017
Butwal Main	Damber Thakurathi	Butwal Sub-Metropolitian City-11, Rupandehi	9802261186
Butwal-Milanchowk	Navin Kumar Panthi	Butwal Sub-Metropolitian City-5, Rupandehi	9802261046
Chandrauta	Madhav Upadhyay	Shivaraj Municipality-5, Kapilbastu	9802261205
Chhahara	Pralhad Neupane	Rainadevi Chhahara Rural Municipality-1, Palpa	9802261198
Devinagar	Kashi Raj Bhandari	Butwal Sub-Metropolitian City-3, Rupandehi	9802261212
Duikholi	Anjan Pokhrel	Pariwartan Rural Municipality-5, Rolpa	9802261244
East Rukum	Sagar Thapa	Sisne Rural Municipality-6, Rukum East	9802261273
Ghorahi	Dilli Raj Bhusal	Ghorahi Sub-Metropolitian City-15, Dang	9802261041
Ghorahi- B	Rajendra Kumar Neupane	Ghorahi Sub-Metropolitian City-15, Dang	9820126365
Gulariya	Subash Kandel	Gulariya Municipality-6, Bardiya	9802261158
Gulmi Durbar	Krishna Prasad Nepal	Gulmi Durbar Rural Municipality-3, Gulmi	9802261112
Holeri	Himal Poudel	Runtigadhi Rural Municipality-9, Rolpa	9802261151
Isma	Kamal Kunwar	Isma Rural Municipality-7, Gulmi	9820126356
Kapilvastu	Pawan Kc	Banganga Municipality-5, Kapilbastu	9802261086
Kerwani	Basanta Shrestha	Devdaha Municipality-4, Rupandehi	9802261209
Khaireni	Ajaya Kumar Shrestha	Devdaha Municipality-5, Rupandehi	9802261256
Kohalpur	Praveen Shah	Kohalpur Municipality-11, Banke	9802261083
Kohalpur Main Bazar	Virat Bikram Verma	Kohalpur Municipality-11, Banke	9820126367
Krishnanagar	Madhav Belbase	Krishnanagar Municipality-2, Kapilbastu	9802261156
Lamahi	Renu Ghimire	Lamahi Municipality-5, Dang	9802261274
Liwang	Dinesh Kumar Gharti	Rolpa Municipality-1, Rolpa	9802261049
Lumbini	Sharad Sharma	Lumbini Sanskritik Municipality-4, Rupandehi	9802261202
Maharajgunj Kapilvastu	Kamal Poudel	Maharajganj Municipality-1, Kapilbastu	9802261210
Majuwa	Yubak Ojha	Chandrakot Rural Municipality-8, Gulmi	9802261071
Malika	Bhanubhakta Ghimire	Malika Rural Municipality-4, Gulmi	9820126357
Manigram	Bhuwaneshwar Paneru	Tilottama Municipality-5, Rupandehi	9820126363
Motipur	Baburam Lamsal	Butwal Sub-Metropolitian City-5, Rupandehi	9802261197
Murgiya	Padam Raj Pokharel	Sainamaina Municipality-3, Rupandehi	9802261189
Naya Mill	Uma Gyawali	Tilottama Municipality-5, Rupandehi	9802261221
Nepalgunj	Nirmal Raj Budhathoki	Nepalganj Sub-Metropolitian City-1, Banke	9820126368
Nepalgunj - Puspalal Chowk	Lokendra Bhandari	Nepalganj Sub-Metropolitian City-4, Banke	9802261061

Branch Name	BM Name	Branch Address	Contact No
Nepalgunj - Tribhuwan Chowk	Nimesh Puri	Nepalganj Sub-Metropolitian City-8, Banke	9802261021
Parasi	Dilli Raj Khanal	Ramgram Municipality-3, Nawalparasi West	9802261278
Pipara	Anil Karki	Banganga Municipality-2, Kapilbastu	9802261206
Pokharathok	Bikram Shah	Panini Rural Municipality-5, Arghakhanchi	9802261192
Pratappur	Santosh Bhakta Pant	Pratapapur Rural Municipality-10, Nawalparasi West	9802261176
Pravash	Madhav Prasad Gyawali	Tansen Municipality-7, Palpa	9802261203
Purba Khola, Palpa	Suman Raut	Purbakhola Rural Municipality-5, Palpa	9802261135
Rajapur	Pushpa Raj Ghimire	Rajapur Municipality-4, Bardiya	9820126369
Rampur Palpa	Krishna Prasad Bhattarai	Rampur Municipality-5, Palpa	9802261222
Saljhandi	Hari Pant	Sainamaina Municipality-11, Rupandehi	9802261201
Sarai	Tej Narayan Neupane	Mathagadhi Rural Municipality-7, Palpa	9802261190
Sarawal	Dadhiram Belbase	Sarawal Rural Municipality-3, Nawalparasi West	9802261013
Sukidaha	Anandamani Adhikari	Gangadev Rural Municipality-2, Rolpa	9802261245
Sulichaur	Raj Kumar Thapa	Sunil Smriti Rural Municipality-4, Rolpa	9802261082
Tahu	Prabin Dev Pant	Rambha Rural Municipality-8, Palpa	9802261191
Tamaghas Hospital Line	Kabita Gautam Panthi	Resunga Municipality-1, Gulmi	9820126358
Tamghas	Yogendra Rayamajhi	Resunga Municipality-1, Gulmi	9802261070
Tansen	Bir Bahadur Saru	Tansen Municipality-4, Palpa	9802261118
Taulihawa Kapilvastu	Lok Narayan Neupane	Kapilbastu Municipality-1, Kapilbastu	9802261242
Thawang	Bishnu Raut	Thawang Rural Municipality-7, Rolpa	9802261259
Tulsipur	Umang Adhikari	Tulsipur Sub-Metropolitian City-4, Dang	9802261057
Wami	Bishnu Kunwar	Musikot Municipality-7, Gulmi	9802261072

BRANCH AND
BRANCH MANAGER - KARNALI PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Adanchuli	Kirpa Charya Bhatt	Adanchuli Rural Municipality-3, Humla	9802261247
Chankheli	Govinda Gyawali	Chankheli Rural Municipality-4, Humla	9802261248
Chhedagad	Hemant Giri	Chhedagad Municipality-5, Jajarkot	9855080982
Dailekh	Yagya Raj Khanal	Narayan Municipality-1, Dailekh	9802261145
Dunai	Lokendra Bahadur Shahi	Thulibheri Municipality-3, Dolpa	9802261293
Gurbhakot	Padam Timilsena	Gurbhakot Municipality-8, Surkhet	9802261235
Jumla	Surendra Bahadur Saud	Chandannath Municipality-5, Jumla	9820126352
Kalikot	Nishan Bhattarai	Khandachakra Municipality-1, Kalikot	9802261087
Mugu	Gehendra Bohara	Chhayanath Rara Municipality-2, Mugu	9802261262
Patarasi	Netra Bahadur Chand	Patarasi Rural Municipality-5, Jumla	9820126353
Raskot	Bhupesh Thapa	Raskot Municipality-5, Kalikot	9802261126
Rukum	Vikash Shrestha	Musikot Municipality-1, Rukum West	9802261052
Salyan	Subodh Jnawali	Sharada Municipality-1, Salyan	9802261138
Surkhet	Krishna Raj Barakoti	Birendranagar Municipality-6, Surkhet	9802261030
Surkhet-B	Dinesh Bhandari	Birendranagar Municipality-6, Surkhet	9820126350
Tajakot	Bhelen Bohara	Tanjakot Rural Municipality-3, Humla	9802261249
Tatopani Jumla	Binod Kumar Acharya	Tatopani Rural Municipality-3, Jumla	9858320688
Tharmare	Anil Chaudhary	Bagachour Municipality-2, Salyan	9802261213

BRANCH AND
BRANCH MANAGER - SUDURPACHHIM PROVINCE

Branch Name	BM Name	Branch Address	Contact No
Achham	Krishna Sodari	Mangalsen Municipality-6, Achham	9802261171
Ajayameru, Dadeldhura	Sushil Pant	Ajayameru Rural Municipality-3, Dadeldhura	9802261133
Attariya	Bhuban Prasad Bhatt	Godawari Municipality-2, Kailali	9802261137
Baitadi	Bharat Singh Bhull	Dasharathchand Municipality-4, Baitadi	9802261031
Bajhang	Hari Chandra Regmi	Jayaprithbi Municipality-10, Bajhang	9802261267
Bajura	Bhesh Raj Devkota	Badimalika Municipality-8, Bajura	9802261279
Baliya	Bishal Bhatta	Lamki Chuha Municipality-4, Kailali	9802261250
Belauri	Keshab Joshi	Belouri Municipality-4, Kanchanpur	9820126375
Bogtan	Paresh Bista	Bogatan Phudsil Rural Municipality-1, Doti	9802261122
Dadeldhura	Prakash Datt Bhatt	Amargadhi Municipality-5, Dadeldhura	9802261019
Darchula	Bibek Acharya	Mahakali Municipality-5, Darchula	9802261172
Dhangadhi Main Road	Sandesh Joshi	Dhangadhi Sub-Metropolitian City-2, Kailali	9820126371
Dhangadi	Mukunda Prasad Bhatta	Dhangadhi Sub-Metropolitian City-3, Kailali	9802261024
Dogada Kedar, Baitadi	Liladhar Bhatt	Dogada Kedar Rural Municipality-3, Baitadi	9802261134
Gokuleshwor	Bashu Dev Bhatt	Shailyashikhar Municipality-4, Darchula	9802261180
Lamki	Harish Chandra Bhatt	Lamki Chuha Municipality-2, Kailali	9802261020
Mahendranagar	Dinesh Bahadur Thapa	Bhimdatta Municipality-4, Kanchanpur	9802261043
Naugad	Bharat Bahadur Saud	Naugad Rural Municipality-5, Darchula	9802261240
Patan, Baitadi	Upendra Bahadur Chand	Patam Municipality-13, Baitadi	9820126387
Pipalla Bazar Dipayal	Kabi Raj Bhatta	Dipayal Silgadhi Municipality-4, Doti	9802261155
Purbi Chauki, Doti	Shridhar Man Shrestha	Purbichouki Rural Municipality-4, Doti	9802261132
Purchoudi	Keshab Raj Joshi	Puchaundi Municipality-1, Baitadi	9802261113
Setopul Dhangadi	Thek Raj Binadi	Dhangadhi Sub-Metropolitian City-4, Kailali	9802261170
Tikapur- B	Janak Dhamala	Tikapur Municipality-1, Kailali	9802261226

Note

MILESTONES!


2007
Established as a national level "A" class Commercial Bank
Launched Global Remit / Card Products / Internet Banking / SMS Banking
2008
2009
Launched Credit Card & tied up with Visa
Selected as one of the authorized banks for various Government transactions
2010
2011
Launched Global Small Business Loan with Insurance Coverage
1st Merger with IME Finance & Lord Buddha Finance
Launched BLB
2012
2013
2nd Merger with Gulmi Bikash Bank & Social Development Bank
Awarded "The Bank of the Year 2014" Nepal
3rd Merger with Commerz & Trust Bank
Opened Rep. Office in Australia
2014
Central Renewable Energy Fund
2015
Selected as the first handling Bank for Central Renewal Energy Fund (CREF)
Awarded "Best Internet Bank Nepal" 2016
Opened Rep. Office in India
2016
2017
Acquired Pacific Development Bank & Reliable Development Bank
Number of branches crossed 100
Paid up Capital reached to Rs. 8 billion & above
Opened Rep. Office in UK
Corporate/Registered office shifted to own Building
Crossed 100 BLB points
Best Employer Award 2018 by World HRD Congress
2018
2019
Acquisition of Hathaway Finance Ltd.
Merger with Janata Bank Nepal Ltd.
2020
Launch of Global Connect
2021
Upgraded to A Rating
Awarded "Nepal's Best Bank" by EuroMoney Awards for Excellence
Branch presence in all 77 district
2022
2023
Merger with Bank of Kathmandu Ltd.
(Total Merged/Acquired Entities: 21)

GLOBAL CONNECT

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Global IME Bank

ग्लोबल आइएमई बैंक लि.

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